

Himachal Fut Com Ltd. (HFCL)

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HFCL/SEC/22-23

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July 28, 2022

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RE: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the "SEBI Listing Regulations").

Subject: Transcript of Conference Call on the Unaudited Financial Results of the Company for the 1st Quarter ended 30th June, 2022, of the Financial Year 2022-23.

Dear Sir(s)/ Madam,

In terms of Regulation 30 read with Para A of Part A of Schedule III to the SEBI Listing Regulations, we hereby submit Transcript of the Conference Call held on July 25, 2022, on the Unaudited Financial Results of the Company for the 1st Quarter ended 30th June, 2022, of the Financial Year 2022-23, which were considered and approved by the Board of Directors of the Company, at its meeting held on July 22, 2022.

This aforesaid Transcript is also available on the Company's website at www.hfcl.com.

We request to take the above information on your records and disseminate the same on your respective websites.

Thanking you.

Yours faithfully, ;C-:[L. _ 1 _

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(Manoj Baid) ' :...

Senior Vice-President (Corporate) &

Company Secretary

Encl: Copy of Transcript.

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"HFCL Limited "

Q1 FY 2022 -23 Earnings Conference Call "

July 25 , 202 2

ANALYST : MR. ABHIJIT MITRA — ICICI SECURITIES LIMITED

MANAGEMENT : MR. MAHENDRA NAHATA – PROMOTER & MANAGING
DIRECTOR – HFCL LIMITED

MR. V. R. JAIN – CHIEF FINANCIAL OFFICER – HFCL
LIMITED
MR. MANOJ BAID – COMPANY SECRETARY – HFCL
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MR. AMIT AGARWAL – HEAD INVESTOR RELATIONS -
HFCL LIMITED fl 1c1c1 Securities
HFCL Limited
July 25, 2022

Page 2 of 22 Moderator: Ladies and Gentlemen, good day and welcome to HFCL Limited Q1 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr.

Amit Agarwal from HFCL. Thank you and over to you Sir!

Amit Agarwal: Good morning Ladies and Gentlemen. We welcome everyone to the Q1 FY 23 earnings call of HFCL Limited. I am handing over the call to Mr. Mahendra Nahata Managing Director.

Mahendra Nahata: Thank you Amit. Ladies and Gentlemen, good morning everyone and warm welcome to HFCL's earnings call for Q1 FY23. I truly appreciate and express my gratitude for making it to HFCL's earnings call today. I am sure that you got a chance to go through our financial results, press release and investor presentation, which are available on the web site of the Company and also the stock exchanges.

Friends you must have observed that the performance during the quarter under review is somewhat below our expectations. Revenue this quarter

got impacted due to supply chain disruptions

including shortage of semiconductors and intermittent gap in supply of optical fibre, which is a critical raw material for manufacturing of optical fibre cables. The revenue was also impacted due to spill over of some of the milestones-based service billings on account of non-availability of certain prerequisite infrastructure from the customer end.

One of the major reasons for low margins during the quarter was fulfillment of existing orders from customers at pre-committed prices despite significant increase in price of raw materials such as semiconductors, fibre and HDPE etc. The increased logistics cost also impacted our margins. However, we see that revenue and margins to restore to targeted levels soon with gradual ease in supply chain and improvement in sales realization with easing input cost pressures. We are witnessing upward correction in optical fibre cable prices by 6% to 7%.

Similarly, the sales prices of telecom products are also showing upward movement in every new order being received by the Company. Further, with required infrastructures being made available, the unbilled revenue will also start getting converted into revenue in subsequent quarters of the current financial year. With these positive changes coupled with vast opportunity landscape, positioning of the Company, initiatives we have taken to enhance product portfolio, ongoing optical fibre cable and optical fibre capacity expansion and creation of new capacities for telecom and defense products, we expect improved and much robust performance on quarter-to-quarter basis.

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Page 3 of 22 Our growth strategy is right on track with strongly built foundation that will ensure consistent performance in time to come. FY 23 will be revolutionary year for the entire telecom industry in India. There is a boost in demand because of government initiatives like upcoming 5G spectrum auction, promoting design led manufacturing and suitable modifications in PLI scheme, thrust on capex in Union Budget, continued network expansion under BharatNet and National Highway Projects and approval of 5 megahertz 4G spectrum for Indian Railways. All these initiatives will lead to opportunities for us.

As per TRAI the economic impact generated by rapid adoption of 5G wave is estimated to reach to \$1 trillion by 2035. India's largest ever 5G spectrum auctions by the end of this month will be a big push for our business. The domestic optical fibre cable environment continues to be strong with the current market demand of optical fibre cables at 35 to 40 million fibre kilometers per annum is expected to grow significantly in next three years on account of higher deployment of optical fibre cable for 5G networks, increase in fibre to the home deployment and expected start of BharatNet projects which will lead to all the villages of the country being connected by optical fibre cable.

There is tremendous opportunity in Global markets as well. We have witnessed that the government of leading economies including US, UK, Germany and Europe are investing heavily on building robust fibre connectivity for deployment of 5G networks and fibre to home networks. The Global market demand of optical fibre cable is about 500 million fibre kilometer per annum and it is estimated to grow to 1000 million fibre kilometer per annum over the next five years. In

India, BharatNet alone will lead to an opportunity of laying 16 lakh kilometers of optical fibre cable translating in almost 50 million fibre kilometers. We also see immense opportunities for telecom and networking products across

the world, especially in markets like Europe and US.

We have identified Europe and US to be the key markets of focus for further deepening our global footprint. We already have our employees in Middle East, France, Germany, UK, and USA to reach out to the customers. We are also appointing distributors and agents in several other countries to further deepen our customer reach.

Friends, this year there will be a major increase in our exports with increase by 2.5 times than the last financial year. We export optical fibre cables and telecom products to 30 plus countries serving 80 plus clients globally. We aim to build upon our Global customer relations and export footprint expeditiously over the next three years and emerge as a large global player in this space. We already have our core leadership in place for global markets and we will further strengthen the global team with recruitment of sales and marketing talent. During Q1 of FY 23 our exports increased by 167% compared to the corresponding quarter of the previous financial year.

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Page 4 of 22 Innovation and R&D are backbone to build a futuristic product portfolio and we have heavily invested in the same to meet accelerated rate of fiberization, 5G products demand and also tap opportunities in defense and railways.

It has been Company's strategy to consistently increase revenue from products. You will be glad to know that in the first quarter of the current financial year our revenue from products has been 59% of our revenue which was only 43% in the FY2022. Increase in product revenue will need less working capital and of course quick realization of revenue.

Your Company is making robust progress in the path of becoming a strong technology driven product Company. Our own R&D centres near Bengaluru and Gurgaon together with our partnership in engineering companies like Wipro and Capgemini and our invested companies are designing latest generation telecom products for us. These products include radio access network products for 5G, routers, switches, backhaul radios, Wi-Fi access points and software defined radios. All these products are not only having large demand opportunities in India but worldwide also.

Our lower cost base and control on technology will help us in getting good market share in India and abroad. The demand of Company's telecom product is also expected to be robust. We expect to increase our revenue from our own design telecom products by 100% during the current financial year and this will keep on going upwards in the upcoming financial years. You will be glad to know that during the current financial year we have started exporting our own design telecom products also. We have already exported these to USA, UK, and Africa though in smaller quantities right now but these quantities are expected to increase to much higher level in the coming quarters.

Orders have also been received from Sweden, South Africa, and Russia also. In fibre optic cable business also we are designing new products constantly. We are opening new technology development centre in United States apart from our own R&D centre for cable and fibre in Hyderabad. We have already received approval from Telcordia in USA for our optical fibre and optical fibre cable which will help us in exporting of optical fibre cable to US markets.

We are also expanding our defense product portfolio. With the completion of design of software defined radio, during the current year, our defense product portfolio will also get enhanced from current portfolio of electronic fuses and opto electronics.

The PLI schemes announced by Government

of India is also going to give boost to domestic

manufacturing and attract large investment across announced sectors including telecom. The recent amendments related to extended timeline and additional incentive aims towards

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Page 5 of 22 incentivizing design led manufacturing in the sector, will have a very positive impact on our competitiveness and profitability. FY 23 will be a year of transformation for HFCL as we will focus on building our capabilities across all businesses and improving our organizational capacity. We will continue to build our organization for sustainable profitable growth and leverage on the upcoming opportunities in telecom, defense, and railways.

Our mission is to transform as a technology driven enterprise that innovates and manufactures for both domestic and global markets as we aim to become a multinational player in cable and telecom and networking products. Our strategic priorities are capacity expansion, product expansion with clear focus on margin accretive products and expanding our Global footprint.

This quarter was also marked with HFCL securing regular purchase orders from marquee

customers .

Anticipating a huge demand in India and Globally , we are undergoing capacity expansion both for optical fibre and optical fibre cables. On completion of our ongoing capacity expansion program, our optical fibre cable capacity will increase to 34.7 million fibre kilometers from the current capacity of 24.75 million fibre kilometers per year and optical fibre capacity will increase from 10 million fibre kilometers to 22 million fibre kilometers on annualized basis . The phased capacity expansion will increase competitiveness and help reduce operating cost and increase margins and profitability.

Our priority of product expansion with clear focus on margin accretive products has led to share of products rise from 43% during FY 22 to 59% in Q1 of FY 23. This shift will continue with margin accretive products followed by expanded capacity of optical fibre , optical fibre cable and FTTH segment and development of new products in telecom and defense electronics .

Friends, let me now brief you on key performance matrix of Q1 of FY 23.

Revenue in Q1 of FY 23 stood at Rs.1051 Crores as compared to Rs.1183 Crores in Q4 of FY 22 and Rs.1207 Crores in Q1 FY 22.

EBITDA for the quarter stood at Rs.130 Crores as compared to Rs.154 Crores in Q4 FY 22 and Rs.191 Crores in Q1 of FY 22. EBITDA margin stands at 12.37% for Q1 as compared to 13.02% of Q4 of FY 22 and stood at 15.82% in Q1 of FY 22.

For Q1 FY 23, profit after tax stands at Rs.53 Crores as compared to Rs.68 Crores of Q4 FY 22 and Rs.91 Crores of Q1 FY 22. PAT margins stands at 5.04% in Q1 FY23 as compared to 5.75% in Q4 FY 22 and 7.5% in Q1 of FY 22.

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Page 6 of 22 Segment revenue from telecom products during the quarter stood at Rs.620 Crores that is 59% of our revenue as compared to Rs.585 Crores that is 49% of Q4 FY 22 revenue.

Finally I would like to reiterate our business priorities for upcoming quarters. We aim to continue our strategy priorities related to business transformation with focus on capacity expansion, expansion of product portfolio, telecom, defense, and railways, focus on margin accretive products and expanding global markets . Backed by investment in innovation and R&D , FY22 and FY 23 will be transformation year for HFCL

ensuring sustainable growth in revenue and profitability.

We are already witnessing product enquiries from our customers . We will leverage our core strength in new product design and strong customer relation as we plan to capitalize on the vast business opportunities present both in India and Globally. Thank you once again for your keen participation.

With this, I conclude my opening remarks and open the floor for Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. Ladies and Gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Hardik Vyas from ET Wealth . Please go ahead.

Hardik Vyas: Sir I would like to know how has been the optic fibre prices for the quarter and the delta between the fibre prices and OFC prices the quarter?

Mahendra Nahata: Hardik your voice is not clear. Can you repeat?

Hardik Vyas: Sir what are optic fibre prices for the quarter and how has been the delta between optic fibre and optic fibre cable prices for the quarter?

Mahendra Nahata: Hardik optical fibre prices currently holds around Rs.425 to Rs.450 per fibre kilometers. In fact they have risen sharply from the last financial year, but now seems to be stabilizing. I do not foresee any further increase in the prices. They seem to be stabilizing .

Hardik Vyas: Has the optic fibre cable prices also moved up in tandem with them?

Mahendra Nahata: I am coming to that. Optical fibre cable prices if you look at in our case it may vary from manufacturer -to-manufacturer and depending upon composition of cable what kind of cable people manufacture that is around Rs.1000 per fibre kilometers as against what used to be about Rs.880 per fibre kilometer in the Q1 of the last financial year.

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Page 7 of 22 Hardik Vyas: The upward movement has been more or less the same in percentage terms for both optic fibre and fibre cable?

Mahendra Nahata: No. Fibre has been much higher.

Hardik Vyas: That has been hampering our margin?

Mahendra Nahata: Because last year we used to purchase even at Rs.260 to Rs.270 fibre kilometer, which has gone up to Rs.425 to Rs.450 so that increase has been much higher and not only that ,prices of plastics also increased significantly which is the second highest raw material required for manufacturing cable SDP, LDP, PBT all these also increased significantly with increase in the crude prices but again these are also started coming down now. They are seeing a downward trend so that is also a

positive factor. Fibre prices have stabilized. Cable prices have now gone up because increase or decrease in the price of the finished product follows two or three months later than by increase or decrease in the price of the raw material so now the cable prices from the last quarter to this current quarter is am talking about ongoing quarter they have increased by 6% to 7% so what I am saying this Rs.1000 would be 6% or 7% better in the current quarter. They have already started showing an increase so they are following now and SDP and all these prices have started coming down so this quarter is expected to be better.

Hardik Vyas: This quarter and going forward it is expected to be better? The second question is we are staring at a huge opportunity in terms of 5G the spectrum auctions are slated to happen very soon?

Mahendra Nahata: Tomorrow.

Hardik Vyas: Tomorrow yes so what my question was X the spectrum fees for the Telcos what kind of size are we looking at for the order going in from the Telcos and other things for 5G that I can see?

Mahendra Nahata: Auctions

are happening tomorrow and I think the government has given good payment plan to the operators. Prices may seem to have been higher but the payments will be made in 16 years so if somebody buys 1 gigahertz of millimeter band and 100 megahertz of mid band, which is almost I think the maximum allowed may be a little bit more people will pay about Rs.40,000 Crores. Now Rs.40000 Crores it will be paid in 16 years so there would not be stress on the cash flow of the Telcos as much however network expansion is going to happen and they will have to invest on capex and with the investment in capex, I expect the products which we are having and which we are having under design and which are expected to be in the market in the current financial year, we will see a very good demand opportunity. I will tell you which segment. One, fibre optic cable with 5G network more and more base stations the towers which you see are to be connected over fibre optic cable because the higher throughput use the microwave radios will be less, use of HFCL Limited

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Page 8 of 22 fibre optic cable will be much more and therefore the capacity of the fibre optic network has to be increased manifold so that would see a huge demand opportunity in fibre optic cable and advantage that we have an almost 50% market share in the Country. So Increase in demand large portion of this I believe will be available to HFCL and that will be a major boost to our fibre optic cable business wherein we have been increasing our revenues consistently over the years and this current year also we foresee increase in our revenue in fibre optic cable segment significantly. I think last year it was if I am not wrong it was about Rs.1700 Crores in the last financial year which we expect to increase to roughly about Rs. 2300 Crores so last year from Rs.1780 Crores we will increase to Rs.2300 Crores in the current financial year; however, large portion of this increase will come from the export market also because we see significant increase in export in our fibre optic cable business again because of 5G which is happening not only in India but is happening worldwide so one is the fibre optic cable. Second is the 5G products which we are designing which includes the radio access network, which includes routers, which includes switches, which are required not only for 5G but other areas also. There again as we have seen in our Wi-Fi and backhaul radio business where we got significant demand from domestic operators we foresee significant demand from domestic operators for 5G products also so this is going to be a great year in terms of demand opportunities for product which we are manufacturing and which we are designing.

Hardik Vyas: If would translate to an opportunity in terms of revenues for us immediately as and when the auctions happen and from the second half of the current financial year or for the next financial year?

Mahendra Nahata: I would not like to give any forecast or any guidance in terms of that but I think orders to be received would be reasonable in large in number.

Hardik Vyas: But that would be more or less in a year or two, right or it would be very much in the future as in three years or four years later?

Mahendra Nahata: It would start from now and it will continue over the years because network expansion does not happen in a year. It continues like 4G network started in 2011-12 and it is getting expanded even now in 10 years so this network expansion will keep on happening so I do not see any dearth of demand for the next five years to come either 5G or FTTH some or other form of major expansion will keep on happening.

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Hardik Vyas: Sir my last question is on our defense product portfolio how is that coming along and when we do feel that will translate to revenue and for other telecom products other than Wi-Fi and routers?

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Page 9 of 22 Mahendra Nahata: One in terms of defense as you know, defense takes a longer time because the testing processes

and all they are so long as I have been constantly telling I do not see any larger revenue coming from defense in the current financial year. We think they will start flowing from the next financial year and not in the current financial year because defense processes and procedures are very, very long. In terms of other products which I described just now 5G and all that that I believe that from the last quarter of the current financial year and starting in a big way in the next financial year it will start flowing in.

Hardik Vyas: Sir could I get the breakup of our order book in terms of optic fibre, exports, and services?

Mahendra Nahata: Since you have asked the details, I will give you. Our total order book is about Rs.5,058 Crores out of which optical fibre cable is around Rs. 974 Crores and we keep on receiving orders of fibre optic cable. We keep on receiving orders so it is not going to be that it is Rs.974 Crores for the whole year. We will keep on receiving. While we supply, we will keep on receiving orders. Defense network which we are laying down is about Rs.2,300 Crores. Then the projects which we have undertaken for execution majorly Jio about Rs.1,000 Crores and then some project orders from railways, which includes products and installation, commissioning of that and certain other telecom products which we are manufacturing all put together will be roughly about Rs.500 Crores and BharatNet which we are doing and certain miscellaneous is about Rs.500 Crores so this all put together is Rs.5,304 Crores.

Hardik Vyas: Thank you so much and all the best.

Mahendra Nahata: Thank you

Moderator: Thank you. The next question is from the line of Pranav Kshatriya from Edelweiss. Please go ahead.

Pranav Kshatriya: I would just want to know how the margins behaving for product business, you did talk about some of the cost pressure easing and the prices for the product increasing so can you tell us that how do you see the margins going forward for products?

Mahendra Nahata: Pranav you know your line was very, very bad so whatever I can understand and whatever I have understood from you I would try my best to reply. Our EBITDA margin in the current quarter has been 12.37%. Now with increase in the prices of our sales realization and some decrease in the cost, I think our EBITDA margins should go up by about anywhere between 3% and 4% in the coming quarter. 3% to 4% will be going up and this will be happening with increase in the product prices and also decrease in the cost of that so in the product segment our business I expect 3% to 4% increase in our EBITDA margins going forward.

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Page 10 of 22 Pranav Kshatriya: I also wanted to understand how the export contribution has increased quite dramatically which

countries which orders or what exactly is contributing and how sustainable is this? Where do you see export contribution eventually set?

Mahendra Nahata: Export majorly you will be glad to know that we are exporting quite a bit to all good economies and developed coun

tries. This speaks of the product quality we do. In fibre optic cable which is the major export revenue because the product revenue has just started flowing in the current quarter we export to Middle East which includes Dubai, Oman such kind of countries. We export to France, Germany, United Kingdom, and several other countries but these are some of the countries. Portugal these are some of the countries I am trying to mention and we have now received approval from United States also so we will be starting our export there also. Last year we had Rs.300 Crores export. This year we are looking at making it at least Rs.750 Crores, which is going to increase further in the coming years. We are putting a huge importance on the export of our products so this year it will not only be fibre optic cable but it would be our products also. Product also we have started creating infrastructure for sales and marketing in Europe right now and recruiting couple of people and putting up agents and distributors for certain products like Wi-Fi and all that. They are sold by agents and distributors also in some other countries so we see a good opportunity for fibre optic cable and our products also. In terms of products as I mentioned in a small way we have started we have started exporting to several countries which I mentioned in my opening remarks and this will further get strengthened in the next coming quarters in the increase in the revenue. Export the places we have undertaken USA, UK, and some in Africa. Orders are also there from Sweden, South Africa, and Russia for the products and cable as I mentioned mainly to Europe and Middle East.

Pranav Kshatriya: Thank you so much. That is it from my side.

Moderator: Thank you. The next question is from the line of Sanjay Shah from KSA Securities. Please go ahead.

Sanjay Shah: Good morning Gentlemen. Thanks for the opportunity. Sir it was very nice to hear your promising words and understanding about the telecom industry so coming back to our fortune of our Company and growth trajectory you have explained about all the upcoming opportunities to us as a Company and to the industry as a whole. We would like to understand what are the challenges, which you foresee ahead are and how our Company is going to outright that challenges and grow

further from here?

Mahendra Nahata: Thanks Sanjay. Number one, as I said in my opening remarks, this quarter was an exceptional quarter in terms of increase in cost which was contributed by increase in raw material cost, logistical cost, depreciating value of rupee which included further increase in raw material prices
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Page 11 of 22 and also at the same point of time non billing of revenue because certain areas the customer wants to create some infrastructure and then the milestone would have got completed could not happen because it was the customer's fault that he could not create infrastructure which is starting to happen in this quarter so these all contributed for a lower performance in the last quarter, but this quarter onwards as I mentioned sales prices have started increasing, costs have now stabilized so they have started declining and as a result of that next quarters are going to be better and better. So that is as far as the performance of the current quarter and the expected performance of the next few quarters. Now the challenge when we increase our capacity for fibre, fibre optic cable and also we have new products under design which are getting completed which would lead to require new markets major challenges of course to get new customers. Challenge does not mean that it is difficult. Challenge

means that we have to work and create new customers in different markets, but I am pretty sure like fibre optic cable we have seen, we almost increased our export by 2.5 times last year and this year again that increased base we are going to increase by another 2.5 times. Why it is happening. Because good product quality and timely delivery and good cost base. Now same thing is going to happen in our telecom product portfolio also, which again we have shown in Wi-Fi and backhaul radios, in India we have got highest market share as an Indian Company. We have got the highest market share as an Indian Company as a local manufacturer so with this lower cost base we will be able to find and our control over technology we will be able to find good customers abroad also, but it always remains a challenge to find customers, to deliver quality as per their expectation and keep on fighting with the competition in terms of features, that we are able to do with our own R&D because with own R&D we can keep on upgrading our technology. If it was not our R&D then upgradation would not be possible. I will give an example Wi-Fi. When we started Wi-Fi it was based on Wi-Fi 5 standard then came 6 so we are already producing 6. Now 7 is coming. We are already designing Wi-Fi 7 so challenge is mitigated by own R&D, better cost base and good marketing and sales infrastructure.

Sanjay Shah: Yes it was really very great and helpful to understand. Sir as far as your export is concerned the growth trajectory which you have shown is very exciting so can you explain that how inroads we are doing and facing the competition from other Chinese and other more players and how are our team lined up and are we selling through distributor or we are selling directly to the customer which will help us to understand the inroads into export more?

Mahendra Nahata: Mr. Sanjay first of all Chinese competition has declined consistently and considerably. In India, for example Chinese products are not allowed. USA stopped buying Chinese products. Many European countries have stopped buying Chinese products. This is for the strategic reason because all the countries expect Chinese use their telecom products for spying so I was reading one new article in CNN website, which was saying that Chinese Huawei's telecom products were designed to interfere with the strategic nuclear arsenal communication of the United States. You can imagine how serious it is so worldwide in the equipment side Chinese penetration has gone down
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Page 12 of 22 which has helped European companies, American companies, and Indian companies because they were lowering prices not because of competitiveness but because of government support for other reasons the defense and strategic reasons so that competition has reduced considerably. Number two fibre optic cable business there has been dumping duty imposed on Chinese vendors in Europe, which has also helped us because there is I think 22 % dumping duty has been imposed on the Chinese products, which has also helped us because the Chinese dumping of products for strategic reasons has been stopped by governments all over the world so we do not have a problem with the Chinese at all. We are very well able to successfully compete with the Chinese all over the world and this restriction on Chinese equipment has helped considerably not only Indian companies but companies abroad also so that was your question Sir or any other question.

Sanjay Shah: It was very well explained. Only the thing was our distribution done through distributor we are directly selling the product to the customer?

Mahendra Nahata:

It is both. We are selling directly to the operators. One of the very large operators I cannot name like because of customer confidentiality based in Europe which has got worldwide operations we got an order very recently and we are working with several other customers directly and some of the products are sold through distributors also because distributors have wider reach so there are a

number of countries. Telcos buy it from distributors also. Smaller Telcos buy it from distributors also so we sell through distributors also. That increases our customer reach and as I said for telecom products Wi-Fi and all this which are sold in the common market we are appointing distributors in all the places and our employees which we have recruited in England for example who will be taking care of Europe and MENA market the focus is on appointing distributors so some products they have wider reach distributors rather than one sales person so it is a mix of both.

Sanjay Shah: That is great Sir. Wish you good luck and hopefully looking for very exciting years ahead for HFCL Sir. Thank you very much.

Moderator: Thank you. The next question is from the line of Neerav Dalal from MIB Maybank Securities India. Please go ahead.

Neerav Dalal: Thank you for the opportunity. I had a couple of questions. First is, is there a difference between qualification for cables and telecom products so what I was trying to understand is that it is faster to sell telecom products in exports market or is it similar to what the optical fibre cable is done so because what I understand is that the qualification process is slightly longer for the fibre and cables? Is it similar for other telecom products or how should we look at that?

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Page 13 of 22 Mahendra Nahata: I think you should look at conversely. Cable would be little easier than the equipment because

cable is tested for large parameters but equipment because one equipment has hundreds of components so they are to be tested little differently in an environmental test and optical test or the radio related test. I would say equipment side would be little longer than cable, but more or less there is not much of a difference but equipment side it will be longer.

Neerav Dalal: Because what I was understanding we are targeting the export markets through distributor also so that is the reason it was so is it same we push cables and fibre also through distributors or how one should then look at it?

Mahendra Nahata: Some of our products are pushed through distributors also in fibre and cable but they are already prequalified from the testing agencies. Not that every customer needs to own approval. There are testing agencies like I mentioned Telcordia. Now Telcordia approval is there. Now you can go to US market and say this is the Telcordia approval and not every customer would like to test its own. Some of them may be not all of them.

Neerav Dalal: Got that and with regards to BharatNet phase II any update on that, anything in terms of tendering?

Mahendra Nahata: Yes. What I understand the government has now decided to implement it in EPC model where contract would be given to larger parties to implement the network including the supply of equipment. Now whenever that happens and I believe the Prime Minister announced program very recently last month in Bengaluru also, DoT should come out with the tendering process soon and this is again a major, major opportunity for HFCL. The capex targeted in three years time frame is Rs.80,000 Crores and in this segment of optical fibre cable, HFCL is the largest vendor in the country so I see a major demand opportunity

for HFCL in BharatNet whenever it happens and it

should happen soon because it is the Prime Minister announced program and with the Rs.80,000 Crores capex I would not guess about the share which we will get but it is going to be very significant and significantly adding to Company's revenue and profitability.

Neerav Dalal: Got it and third question is in terms of margins do you see phase two margins to be lower than phase one or vice versa and the second question is between private and public what would be the margin differential in terms of private and public because where I am going to is that as our exports are increasing as the private share of revenues are increasing we have seen a decline in margins? Obviously, there is some inflation issue but then could comment on how do you see it?

Mahendra Nahata: Phase I and phase II you mean to say BharatNet or something else?

Neerav Dalal: Sorry BharatNet?

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Page 14 of 22 Mahendra Nahata: We cannot compare phase one or phase two as such that how the margins would show. That

would completely depend upon a number of factors; what kind of tender, what kind of participants, and what kind of products so I would not compare phase one or phase two margins but I am sure with the government's insistence on saying that they would only allow large players to participate in tenders so as to implement the network properly and good quality margins, I think should be in reasonable terms but in government tenders you can never expect margins to be very, very high because they are competitive tenders but it would be in a reasonable level without any doubt number one. Number two latest trends what I have seen in private and public, private sector margins are tending to be better. I will tell you why, in telecom in public sector the buyer is

BSNL alone and in fibre optic cable business you will find there are 20 manufactures and BSNL opens the doors for everybody so prices go down significantly. We did not even take any order from BSNL in the current financial year. We have not taken any order in the last quarter when there was tender we did not take any order because the prices were going down significantly but that does not happen in the private sector because private sector does not open the doors for everybody. They believe in quality because they want quality and they want timely delivery and quantity is to be supplied in time frame which they require and some kind of specialized kind of cable which everybody does not manufacture so of late one has seen private sector margins are better than the public sector margins and export also same trend is there. As I said in my opening remarks the prices between orders received in Q1 and what are being received in Q2 there is an increase in prices by 6% to 7%. They are all from private sector.

Neerav Dalal: Got that. Thank you.

Moderator: Thank you. The next question is from the line of Ankit Pande from Quant Money Managers Limited. Please go ahead.

Ankit Pande: Thanks for taking my question. A very good morning: Sir if you could talk a little bit about the Reliance Jio order book kind of declining or is there not too much to read into it given it has been higher in the past for us?

Mahendra Nahata: Your question was what. Can you repeat the question?

Ankit Pande: The Jio order book Rs.1,000 odd Crores that you indicated is that kind of is it low number?

Mahendra Nahata: It is not declining. It is almost constant and we expect orders from all operators why only Jio. All operators when the 5G starts we execute orders from all operators and Jio orders are not declining. We are constantly supply

ing to them. We are constantly supplying fibre optic cables. We are supplying backhaul radio. We are doing installation -commissioning services for them, EPC services for them in the entire North India for fibre optic cable and FTTH and I believe whenever HFCL Limited

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Page 15 of 22 the 5G happens and whenever they buy, we being a reliable and quality supplier, we expect them to keep on bestowing with better orders. Of course, we have to be qualified. We have to be qualified with good quality and we have to have a reasonably good and competitive prices which we have been maintaining with them since the last 10 years good quality, timely supply and competitive prices and we should be able to do that in the future also.

Ankit Pande: Great nice to hear that. Also on continuing the team the 5G ordering cycle is such have companies made enquires of you? I would imagine there would have been some enquiries leading into the auction.

Mahendra Nahata: As I said our product offering for 5G would be coming around I would say October to December and we will be approaching them. Now we will be starting approaching them that these are the products and these are the specification and from then onwards we will start having a serious discussion with them.

Ankit Pande: Thanks a lot and also if you could just a couple of numbers the capex for this year would be what the expectations would be if you could clarify that and if you could also give me the receivables and the inventory number working capital number this quarter?

Mahendra Nahata: Your first question is the capex which is going to be about Rs.450 Crores this year and next year put together for optical fibre and optical fibre cable expansion. This is not only this year, this year and next year. Expenditure on R&D is going to be about Rs.150 Crores in the current year.

Ankit Pande: Okay and what would be the working capital numbers this quarter? That would be all from my side.

Mahendra Nahata: Working capital numbers can you clarify what do you mean by that?

Ankit Pande: Inventory, receivables, and any components?

Mahendra Nahata: Receivables is 170 days and inventory is about 50 days inventory.

Ankit Pande: No significant movement from the March numbers as such?

Mahendra Nahata: If you look at the number of receivable days it has gone down. If you look at the numbers of the same quarter last year it was 195 days. It has gone down to 174 days now and inventory again hovers around the same sometimes 55, and sometimes 57. It all depends upon the situation to situation.

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Page 16 of 22 Ankit Pande: Very nice and just a clarification you mentioned about the European telecom operator with global footprint did that order come in Q1 or has it come in the last few days in Q2?

Mahendra Nahata: It has come in Q1 and Q2 both.

Ankit Pande: Q2 both okay? Do we expect significant growth or it is still early days?

Mahendra Nahata: We expect significant growth not only from this player but from a number of other players also.

This growth only I am talking of increasing the export from 2.5 times what was Rs.300 Crores and I am saying that we will grow by 2.5 times and that time has started from the Q1 itself. Of course,

the profitability was less because of the reasons I have mentioned to you but now the profitability growth is going to be better and the order book is there. The order b

ook for export order book for

fibre optic cable is already building up. Our problem right now is the capacity constraint not the order book. That is why we are increasing our capacity. That will increase our revenue and profitability both.

Ankit Pande: Great many thanks and all the very best. Thank you so much.

Mahendra Nahata: Thank You

Moderator: Thank you. The next question is from the line of Chetan Shah from Jeet Capital . Please go ahead.

Chetan Shah: Congratulations on a lovely set of numbers. Just one specific clarification you mentioned that our margin can grow up by 3% to 4%. Do you mean by Company as a whole or you are talking export in specific , if you can?

Mahendra Nahata: I spoke that 3% or 4% will go up in the product segment.

Chetan Shah: In the product segment okay got it , and Sir my next question is broadly, I know you eluded very detailed in my previous earnings question but I am just trying to understand Sir , if you look at it our segmental revenue and a breakup our EPC business side capital employed is increasing sequentially over the last four to five quarters but our revenue is more or less flat and actually declining so could you just kindly help us know where are we building the capacity in terms of some future opportunity one part is that? The second is by end of August also we will have a clarity on our entire 5G auction and then all the three private and one public player will start rolling this out in the next 12 to 15 months in major geography across India? In terms of the size of an opportunity, I am not asking HFCL in specific but as outsourcing opportunity from this telecom operator what can this quantum or a number may be and when do you think our pie will be? That will be very helpful just to get a sense of opportunity in the next two years time.

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Page 17 of 22 Mahendra Nahata: What I estimate is that expenditure for by telcos in 5G networks and also extension of 4G networks also so BSNL for example is now going to put 4G network and then they will go to 5G also . Expansion of current 4G network that is also going to happen and then the 5G network by three private telcos and the fourth BSNL eventually. This is all going to lead into the market opportunity or demand increase in various segments of telecom, fibre optic cable to start with then passive infrastructure, tower this and that, all they would be requested for everything else, small cells because of the higher coverage required and the lower coverage of 5G because of higher frequency band , equipments for 5G. Common equipment for 4G, 5G like switches, routers all these are required to have massive quantity, minimum expenditure which I expect this is my expectation in the 5G network in four to five years by Indian telcos is going to be 3 lakh Crores and our market share, I cannot have a guess on that but I think with the product we have fibre optic cable where we have dominant market share , we have good market share in execution of services for the good clients. We received order very recently and Reliance Jio we are executing, all point of time we have been executing network for them since last 7 to 8 years we keep on doing that. Our positioning in cable, execution and the products like Wi-Fi, license band radio I think will continue in the same manner for 5G products also. There is no reason why we should not be happy so I believe with this good positioning and capex by telcos, HFCL will gain immensely no doubt about that.

Chetan Shah: Got it, Sir my question about that increasing in capital employed in EPC business the revenue is not reflecting that if you can give us some idea

on that please ?

Mahendra Nahata: Capital employed has not increased but revenue has gone down in the last quarter because of the reason I explained to you . The given amount of services could not be filled that was the problem.

Chetan Shah: Got it, Sir one last question from my side this is more of technical understanding and pardon my ignorance on that. I am just trying to understand Sir once this 5G roll out happens and I am just fast forwarding 2 years from today do you think that this Wi-Fi and Wi-Fi related equipment network which you are already working in terms of R&D side can have a major upgrade required because in India most of the routers and equipment for the Wi-Fi which most of the people be it in office or home and all are using for last 5, 6, 7 years does the need of replacement of this equipment also create a very different set of opportunity or that is too much to think as of now for me? Sorry I am not a technical guy , so please pardon my ignorance .

Mahendra Nahata: You are asking technical question. You may not be technical but you are asking technical question, which is good . You know look 5G and Wi-Fi they are different standards which Wi-Fi has to upgrade and to be compatible with 5G. I have been telling in my previous interactions with shareholders also and now again. Compatible standard with 5G is Wi-Fi 6. Till now we are working on Wi-Fi 5 and Wi-Fi 6 now but now 5G compatibility will be Wi-Fi 6 and we are

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Page 18 of 22 already working on Wi-Fi 7 and very soon, Wi-Fi 7 product will be out, compatibility means the Wi-Fi has to match the throughput of 5G. Mostly throughput are lower you need Wi-Fi 6, 5G throughput is higher you need Wi-Fi 7 so we are already on Wi-Fi 7 particularly when you see that from outside 5G signal is coming inside how it is to be distributed. It can be distributed by 5G small cell. It can also be distributed by Wi-Fi 7 so depending upon what kind of requirement. In a home kind of requirement one would use Wi-Fi 7, in enterprise kind of requirement you need higher throughput and you would use small cell for 5G. At HFCL we are designing Wi-Fi 7. We are designing indoor small cell for 5G. We are also designing outdoor small cell for 5G so all the products we are covering whatever customer needs we will be able to supply.

Chetan Shah: Sir my last question on export business. You said that we will be 2.5x our number eventually and Sir just to get a sense because China is no more reliable customer for lot of people in terms of the equipment and also in terms of the rollout and if we look at the two large players Tata and Reliance both are saying that we will be likely competitor to rollout telecom equipment itself for over a period of time on a Global side do you think that we will also be one of the beneficiary of that thing if it all it happens on a larger and a bigger scale that Huawei did in last decade or so ?

Mahendra Nahata: Chinese as I said are getting restricted world over, very restricted because of the strategic reasons for their spying through telecom networks as I said earlier to an answer of one of esteemed participant. Chinese are declining because of the reason I explained. Now Tata and Reliance of course it is good that more indigenous vendors come up but the global demand is so big so few other more number of players would not really matter at all and kind of numbers we are looking for our selves 1000 Crores, even if you say 1000 Crores what it is in front of billions of dollars of global demand it is neither here nor there that is why I am saying our export we will be able to increase significantly in the coming years because of

the huge global demand of cable and other equipments. Our strong push on export is precisely for this reason. It is a huge demand opportunity and till now we have not been present in the global market to that scale still we were having good revenues. Now to further increase in revenues we are not depending upon the Indian market we are increasing our presence in the global market and as you see last year we had a two half times increase now on that two and half time increase we are on further two and half time increase in the current year.

Chetan Shah: Right thank you so much. It is always a very helpful and informative interaction with you every quarter. Wish you all the best Sir. Thank you so much.

Mahendra Nahata: Thank You

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Page 19 of 22 Moderator: Thank you . The next question is from the line of Pratik Singhania from Sage One Investment Manager. Please go ahead. Sir, we have lost the line of Mr. Pratik. We will take the next participant whose name is Ashit Kothi an individual investor. Please proceed .

Ashit Kothi: Good Morning Sir. With reference to our presentation in slide number 4 where we are talking about public telecommunication , we are talking at 79% of revenue , defense communication at 19% and then railway communication is 2% vis-à-vis page number 8 now over there we are talking about current order book as public telecommunication 1,519 Crores, 2,354, and 381 so if try to correlate both of them bit of a confusion ?

Mahendra Nahata: The difference is in revenue and this order. Orders keep on coming so ratio between orders and revenue would always remain different. Order is what is happening now. Revenue which has happened in the past so they would always be different. They can never match.

Ashit Kothi: Does that mean that defense is now heading ahead of public telecommunication, defense communication and electronics. Does that mean that defense is heading ahead of public telecommunication spends or the order book why is it so ?

Mahendra Nahata: Our order book would be more from the private operators. Moving forward new orders coming would be mostly from private operators from India and globally, not only India.

Ashit Kothi: Sir with regards to overall our revenue mix what we have shown as 59% as product and projects as 41%. Within that if I want to break it up into product exports, project exports and local is that possible ?

Mahendra Nahata: Our export revenue has been 184 Crores in the first quarter , which is completely product out of 1,051 of the total revenue .

Ashit Kothi: Okay and our margins are much better off in exports vis-à-vis local or we are better off in local?

Mahendra Nahata: It is not like that. It all becomes order to order and the first quarter as I said what impacted us more in exports in some cases because logistical cost went much higher in the exports on the CIF orders because the container prices became high, the freight become higher so there was higher impact on the exports than the local sales . The containers and all this were not the issues but now of course we feel 6 % to 7% in the export prices in the current quarter.

Ashit Kothi: Okay and how much we are going to take the benefit of PLI?

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Page 20 of 22 Mahendra Nahata: PLI we will be taking significant benefit. We have applied but we are applying again in the newly announced scheme and we will be taking the

full benefit of PLI. The numbers I cannot tell you at the moment because the next four or five years but it will be significant amount of benefit, significant amount.

Ashit Kothi: Till now how much we have bid for tendering system in government tendering projects what is our participation in terms of value ?

Mahendra Nahata: We have bid in the defense sector. Defense sector we have bid. Majorly in defense sector. There is no bid in the public government telcos. There is no bid pending. I think maybe one bid in the BSNL. One bid for router or something is there but not much.

Ashit Kothi: In value terms ?

Mahendra Nahata: Value how can I tell you value from the bid we have put .

Ashit Kothi: We have bid for 5,000 Crores, 10,000 Crores 2,000 Crores.

Mahendra Nahata: Defense tenders could be in the vicinity of something like 5,000 Crores or more . Yes something like that you can say total.

Ashit Kothi: Sir with regards to fibre optic cables , Sterlite Technologies and some other players where do they stand in terms of competition with our Company ?

Mahendra Nahata: Well, how can I talk about competitors? I respect all the competitors. I respect all of them and they are also good people, good Company , good quality, good competitors, and we respect them.

Ashit Kothi: But we are way ahead in terms of our share of the market .

Mahendra Nahata: Domestically, yes.

Ashit Kothi: Okay thank you Sir. Thanks a lot .

Moderator: The next question is from the line of Pratik Singhania from Sage One Investment Manager. Please go ahead.

Pratik Singhania : Sir my question was with respect to near term pricing based on the global demand and supply of fibre capacities because what I hear is like China is not adding capacity and Prysmian and Corning capacity has been fully booked for next two to three years and because your capacity would also take some time so , what is your sense on the pricing in the near term say around 6 to 8 months ?

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Page 21 of 22 Mahendra Nahata: I think prices are going to remain same, not going to increase and people are adding capacity in

China also why they are not. They are adding capacity. I think every one is adding capacity in fibre , not that they are not adding. Everyone is adding , and Corning and Prysmian, I do not know, because Corning actually do not talk about their capacities but China people are adding capacities. We are adding capacities. Other Indian Companies, I do not know Sterlite, BTL they must also be adding capacity because capacity in fibre is being added because of the demand of fibre is expected to increase in next five years in our estimation this 500 million will go to almost 1000 million in next five years. Prices I think are going to hover around currently global market price is roughly about \$5 which is going to remain around the same. It had gone up to \$5.2. It is depending upon manufacturer to manufacturer between \$5 and \$5.2 this is what is right now.

Pratik Singhania : Sir in PLI scheme of course like you would be able to share the exact details but most of the companies that we have seen that whatever is the capex amount at least that they are able to recoup over next five years after the investment is made so would that be a ballpark case for us as well?

Mahendra Nahata: That should be a ballpark case , yes.

Pratik Singhania : Okay thank you so much. All the best.

Moderator: Thank you. The next question is from Saket Kapoor from Kapoor & Company . Please go ahead.

Saket Kapoor: Namaskar Sir, just to sum up of what you have spoken and just to make good sense and correct me. This is one of quarter in which

the impact of higher input cost in terms of logistic has played its part in lower margin and also with some disturbance at our client end; some deliverables which was scheduled for this quarter were spilled over to the next quarter ?

Mahendra Nahata: You are right, Mr. Kapoor you have summarized what I said in my presentation, question, and answer, you are right.

Saket Kapoor: Yes Sir I was just trying to make good sense of that. Sir when you spoke about the turnover for OFC cables looking at around Rs.2,300 crores for this year what has been the OFC contribution for the first quarter ?

Mahendra Nahata: I think it was over 500 Crores if I am not wrong. It is around 500 Crores. 530 Crores to be precise.

Saket Kapoor: 530 so it should be in this vicinity of 500 to 600 for the remaining quarter to reach 2300 that should be realistic number.

Page 22 of 22 Mahendra Nahata: You can say that , yes.

Saket Kapoor: Sir when we look at the purchase of stock and trade component . Just a purchase of stock and trade part component has gone up considerably for this quarter in commensurate to the turnover if you could explain the same and I am coming in the queue. Thank you for all the detailed answer. It is pleasure to hear in this call than to ask questions. Thank you.

V R Jain : Saket purchase of stock and trade is nothing but the outsourced materials which are procured for execution of various contracts in hand. See fibre cable we are manufacturing so wherever cable is required that is in -house supply but other than cable lot of materials are being outsourced.

Saket Kapoor: I will come up with a followup.

Moderator: Thank you. As that was the last question for today. I would now like to hand the conference to Mr. Mahendra Nahata for closing comments.

Mahendra Nahata: Thank you , gentlemen. Thanks a lot for your keen interest in HFCL and making yourself time available for this conference. I express my gratitude and I can assure you, Company is in good trajectory of progress with its increase in capacities, increase in product range and increase in customers, new customers, new products, new geographies , all three are happening at the same point of time and I am sure coming quarters ' performance of the Company would be in the expected trajectory which we had planned for ourselves and the pressures which came in quarter one are no longer visible so there should be improved performance in the coming quarter by the Company . Thank you very much. Thanks a lot for being with us. Thanks a lot for your time.

Moderator: Thank you . On behalf of HFCL Limited that concludes this conference . Thank you for joining us. You may now disconnect your lines.

Call: Oct 2022

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HFCL/SEC/22 -23 October 28, 2022

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RE: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the “SEBI Listing Regulations”).

Subject: Transcript of Conference Call on the Unaudited Financial Results of the Company for the 2nd Quarter and Half Year ended on September 30, 2022, of the Financial Year 2022 -23.

Dear Sir(s)/ Madam,

This is further to our earlier announcement dated October 18, 2022.

In terms of Regulation 30 read with Para A of Part A of Schedule III to the SEBI Listing Regulations, we hereby submit Transcript of the Conference Call held on October 20, 2022, on the Unaudited Financial Results of the Company for the 2nd Quarter and Half Year ended on September 30, 2022, of the Financial Year 2022 -23, which were considered and approved by the Board of Directors of the Company, at its meeting held on October 18, 2022.

This aforesaid Transcript is also available on the Company's website at www.hfcl.com.

You are requested to take the above information on records and disseminate the same on your respective websites.

Thanking you.
Yours faithfully,
For HFCL Limited

(Manoj Baid)
Senior Vice -President (Corporate) &
Company Secretary

Encl: Copy of Transcript.

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“HFCL Limited
Q2 FY 23 Earnings Conference Call ”

October 20, 2022

MANAGEMENT : MR. MAHENDRA NAHATA , MANAGING DIRECTOR AND
PROMOTER
MR. V R JAIN, CHIEF FINANCIAL OFFICER
MR. MANOJ BAID, COMPANY SECRETARY
MR. AMIT AGARWAL , HEAD - INVESTOR RELATIONS

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Moderator: Ladies and gentlemen. Good day, and welcome to the HFCL Limited Q2 FY23 Earnings Conference Call, hosted by ICICI Securities Limited.

We have with us on the call Mr. Mahendra Nahata, Managing Director and Promoter; Mr. V R Jain, Chief Financial Officer; Mr. Manoj Baid, Company Secretary; Mr. Amit Agarwal, Head, Investor Relations.

As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mahendra Nahata. Thank you. And, over to you, sir.

Mahendra Nahata: Good Evening Ladies and Gentlemen,

A warm welcome to HFCL's earnings call for Q2'FY23.

I truly appreciate and express my gratitude for making it to HFCL's earnings call for second quarter and first half of FY23. I am sure that you got a chance to go through our financial results, press release and investor presentation, which are available on the website of the Company and also on the website of stock exchanges.

For HFCL, Q2 FY23 has turned out to be quite promising. We were able to continue on our sustainable growth path, which was fueled by some key product launches including world's first

Open source Wi-Fi 7 Access Points, 5G -8T8R Macro Radio Unit and 5G Lab -as-a-Service during India Mobile Congress 2022 - South Asia's largest digital forum. As a technology-driven enterprise, there is a significant thrust on innovating futuristic 5G products for which we have collaborated with industry leaders like Qualcomm. This will create huge opportunities for our new products based on 5G technologies like 5G -8T8R Macro Radio Unit, 5G indoor and outdoor small cell development and 5G mm Wave Fixed Wireless Access Customer Premise Equipment products in the domestic and global markets. The other strategic priority during this quarter was on expansion in key global markets including United States & Europe to further support our strategic direction to become a Product led Global player in Optical Fiber Cables and Telecom Products and solutions space. By winning some key orders from Reliance Retail, BSNL & RailTel, we have been able to close Q2 FY23 with an order book of more than Rs.5,200 crore.

The global macro environment continues to be challenging and dynamic. However, with the advent of 5G, the opportunity landscape for manufacturers in the telecom and technology industry looks promising and has grown manifold. It has also given rise to a spike in demand for Optical Fiber Cables and Telecom & Networking Products. The deployment of a robust 5G infrastructure in the next couple of quarters will enable enterprises to embark on the digital transformation journey across the sectors.

The current global demand for Optical Fiber Cable is 600 million fiber km equivalent cable. Since
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Page 3 of 21 over 95% demand is witnessed in global markets and given the competitiveness of our portfolio in Optical Fiber Cable, equipment and end-to-end network solutions, we aspire to cater to more markets and more customers. The development of revolutionary yet indigenous technology and products has positioned Indian companies like us in the forefront of global technology leadership. We have already established a successful and strong footprint in 30+ countries, serving 80+ clients globally in Optical Fiber Cables and telecom products. We have our employees in Dubai, France, Germany, England, US, Kenya to further widespread our presence and deepen our customer reach. Apart from this, we have also appointed dealers and distributors in many Countries to cater global demand. Over the next 3 years, we aim to build upon our global customer relations and export footprints expeditiously and emerge as a large global player in this space.

Our export revenue has grown by 88% in Q2 FY23 on a Year to Year basis. In this half year FY 23, export revenue stood at Rs.376 crores compared to Rs.171 crores in H1 FY22 showing an increase of 120%. We are well on our mission to double the export revenue during current financial year. This trend is expected to continue in coming years as well.

Zooming into the Indian context, in order to create a strong 5G network infrastructure in India, the telecom industry will witness an investment of Rs.3.5 to 4 lakh crores in the next 5 years to facilitate 5G services rollout. Indian telcos are estimated to spend between 1.5 - 2.5 billion dollars on Optical Fiber Cable alone in the next three to four years.

The domestic Optical Fiber cable market environment continues to be strong with the current market demand of Optical Fiber cable products at 35 -40 mn fiber km p.a., which is expected to grow significantly over the next few years on account of creation of 5G network across the Country, expansion of existing 4G network, deployment of Fiber To The Home network, implementation of Bharatnet

projects which will lead to all the villages of the Country being connected by Optical Fiber Cable and creation of multiple data centers across the length and breadth of our Country. In India, BharatNet alone will lead to an opportunity of laying 16 lakh kilometre of Optical Fiber Cable translating in almost 50 million fiber Kms.

There is tremendous opportunity in global markets as well. We have witnessed that the governments of leading economies including United States, United Kingdom, Germany and in Europe are investing heavily on building robust fiber connectivity for the deployment of 5G network and FTTH Networks. The global market demand of Optical Fiber Cable is about 600mn fkm p.a. and it is estimated to grow to 1000mn fiber km p.a. over the next 5 years.

We also see immense opportunities for Telecom & networking products and system integration across the globe as part of 5G rollouts, especially in markets like Europe and US. We have identified Europe and US to be the key markets to focus on for further deepening our global footprints.

During this quarter, we also entered into a crucial partnership with Qualcomm, for design and development of 5G millimeter wave Fixed Wireless Access Customer Premise Equipment products and 5G Outdoor Small Cell product development. All these initiatives and significant alliances will enable HFCL to expand its 5G product portfolio by launching various products gradually for India and global markets and these products shall enhance 5G user experience and contribute for efficient utilization of 5G spectrum.

Another significant highlight in our participation at the India Mobile Congress this year, the largest digital technologies forum in South Asia. With our honorable Prime Minister inaugurating the launch of 5G at the event, the world witnessed every key telecom and technology player
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Page 4 of 21 showcasing their latest and most innovative solutions. HFCL took this opportunity to launch some significant new offerings including World's First Open source Wi-Fi 7 Access Points. With this launch, your Company is the world's first and first OEM in India to launch Open source Wi-Fi 7 Access Points, designed to deliver extremely high throughput, generating a speed of more than 10 giga bits per second. With a strong background of R&D, our line of Wi-Fi 7 products is bound to enable telecom operators to deliver better user experience than earlier, bringing us a step closer to Metaverse.

At the India Mobile Congress, we also launched the first product from our 5G product family - 5G 8T8R Macro Radio Unit which is modular in design and can be easily customized to support any

Sub-6 GHz frequency band to address the global markets. 5G is bound to accelerate the adoption of virtualization and cloud native technologies. Our next generation Radio Unit combines the power of vRAN based on open standards to accelerate 5G deployment.

5G Lab -as-a-Service was another significant launch at the India Mobile Congress. HFCL is one of the few companies in the Country to launch 5G Lab -as-a-Service. Telecom operators are adopting multi-vendor networks based on cloud native technologies for faster and cost-effective rollout of 5G services and for improved user experience. Our Lab -as-a-Service, situated in Bangalore, will provide an automated test environment for the private sector, academia and government to work together on product innovations from concept to reality, thereby accelerating rollout of 5G solutions and services both in India and globally.

I would also like to mention that HTL Ltd, our material subsidiary has established a state-of-the-art Polymer Compounding facility as backward integration at its Hosur plant in Tamil Nadu for manufacturing of

Polyolefin based compounds of various grades and colors which are required as raw material for manufacturing of Optical Fiber Cables. With our Optical Fiber Capacity expansion coupled with the vast opportunity landscape, this backward integration will enable us to improve our profitability and with availability of multiple grades of Polymer, it will further help us to tap more customers in domestic and global markets.

Let me now brief you on key performance metrics of Q2 of FY23.

- Revenue of Q2FY23 stood at ₹1173 Crores as compared to ₹1051 Crores in Q1 of FY23 and ₹1122 crores in Q2 of FY22
- EBITDA for the quarter stood at ₹175 Crores as compared to ₹130 Crores in Q1 and ₹173 crores in Q2 of FY22; EBITDA margin stands at 14.88 % for the Q2 of FY23 as compared to 12.35 % of Q1 and it stood at 15.44% in Q2 of FY22
- For Q2FY23, profit after tax stands at ₹84 Crores as compared to ₹53 Crores of Q1 of FY23 and ₹86 Crores in Q2 of FY22; PAT margin stands at 7.18% in Q2 as compared to 5.05% in Q1 of FY23 and 7.66% in Q2 of FY22.
- Segment revenue for telecom products during the quarter stood at ₹671 Crores as compared to ₹620 Crores.

From the above financial performance, you would kindly appreciate that on the backdrop of easing supply chain disruptions and improvement in input costs, we have been able to demonstrate healthy growth in our revenue and margins over last quarter.

We believe that our revenue and margins will continue to grow with all the initiatives taken in last few quarters. We have also applied for the design-linked incentive scheme for telecom and networking products and are committed to invest a sum of Rs.425 crore over a period of four years.

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Page 5 of 21 We expect to receive the approval from the government any time now, and this investment will support various stages of development and deployment of a futuristic range of technology products and solutions.

With a major focus on the 5G revolution, HFCL is witnessing a transformation towards emerging as a high-tech global enterprise and integrated next-gen network solution provider. As a result a leader in telecom equipment and optical fiber cable manufacturing in the Country, we will continue to offer more robust and high tech solutions with open source technology. To conclude, I would like to say that as we are already witnessing a strong demand for our 5G products, optical fiber cables and integrated network solutions both in India and globally, we will continue to leverage our capabilities and continue with our strategy of tapping new customers, new geographies and new products.

Thank you once again for your keen participation. With this, I conclude my opening remarks and open the floor for the Question & Answer session. Thank you very much.

Moderator: Thank you, very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press '*' and '1' on your touchtone telephone. If you wish to remove yourself from question can please press '*' and '2'. Participants are requested to use handsets while asking the question. Ladies and Gentlemen we will wait for the moment while the questions queue assemble. Reminder to the participants anyone who wishes to ask a question may press '*' and '1' at this time. The first

question is from the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij: Good evening, sir. My questions are you have built a very good defense portfolio, so my questions are on that part of the business. If you can talk about a little bit on the electronic fuses and electro optical devices. What is the order book like, where we are in terms of scaling that business? That would be helpful.

Mahendra Nahata: Yeah Aman, thank you

u, very much. For your good question. In fact, as you would know, defense equipment developed and being put in operation takes a lot of time because of the very rigorous testing going on. In terms of our electronic fuses, we have already offered it to the Indian Army for testing, and the testing work is still in progress. It has not ended. There have been certain issues in testing which the Indian industry has gone back to government and told them to redo the testing because of certain issues.

So those work is in progress, results are not yet out. And, I expect good business to emerge from electronic fuses, not only in India but abroad also, because we have IPR of this. But yes, there are no orders available at this point of time because this testing and all that takes long amount of time. And same stands for electro-optic devices where we have got a small order from Northern Command which is under execution, but for larger orders, we have participated in tenders which are, results are not yet out. So it will take certain amount of time still.

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Page 6 of 21 As I have been telling earlier also, we expect revenues to start from defense products in the next financial year, that is FY23 -24 only. This is the time for development and testing. Revenues will start flowing in from FY23 -24

Aman Vij: Sure Sir, a little bit clarification, so yes, I just wanted more clarification, sir. We had mentioned that we had bid for 5 million fuses. So that order is canceled or what has happened to that order?

Mahendra Nahata: No, testing is in progress. There have been certain issues for all the Indian private companies who had participated, and we have gone back to government and asked them to redo the testing part of it and that is under consideration in government. It has still not been finalized. Neither the order has been finalized from anybody, nor the financial bids have been opened.

Aman Vij: Okay, sir. And you have mentioned in the presentation that this, say for example, electronic fuses, can be \$0.39 billion in FY25. Sir, in this year, what is the current size of the market, in FY22 -23?

Mahendra Nahata: In the current financial year, no orders have been placed on the private industry. Government is buying from the PSUs only. So we don't know the real size of the market. But yes, from two years, FY25 and all that, whatever we have mentioned in the presentation, holds good.

Aman Vij: And, how much market share do you think we can gather out of that \$0.39 billion market size, and how many private players have bid for the same tender, if you can talk about that.

Mahendra Nahata: Three private players have bid for that, three private players and it's very difficult, I mean, at the moment to say market size because you know, the tender would be awarded to one company or maybe government later on decides to multiple companies, we do not know. It's very difficult to predict that how much market share we will have. But yes, numerically, I think we should expect some 20% - 25% market share at least.

Aman Vij: And if you can mention the names of the other players who have bid?

Mahendra Nahata: Other players have been, apart from us, I think HBL from Hyderabad and there is one more company near Delhi which I don't remember the name, but yes, there is one more company. There are three private companies.

Aman Vij: Is it, sir, A.N. Enterprises?

Mahendra Nahata: I don't remember the name, Aman.

Aman Vij: Sure, sir. That helps. So, on the fuses side, there are different kind of fuses. On your website, you have maintained proximity fuses and all those things. So we have developed all these products in house?

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Page 7 of 21 Mahendra Nahata: These are all developed by our own company with help from some foreign partners who are R&D contractors. The IPR completely rests with the Company. So you can call it is an in house development.

Aman Vij: Okay. But you had mentioned in the presentation we are the only Indian company to do it. So the other two players?

Mahendra Nahata: One company, yes, one company, at least, I know. They've got a foreign collaboration. The company near Delhi. The HBL, I do not know, very sure that whether it's their own development or whether they have got any partnership. I'm not too sure. But at the time when we said this in the presentation that this, all these fuses have been developed by us, it was true. But HBL, I do not know at the moment that whether there is any partnership or local development.

Aman Vij: Sure, sir. And you mentioned next year you expect some revenue. So if you can quantify how the scaling can happen, say, FY24, what kind of revenue

Mahendra Nahata: This all depends upon when the tender is opened, Aman.

Aman Vij: Okay, but do we expect a, say, INR100 crore, INR200 crore kind of

Mahendra Nahata: If there are more questions, you can come back in the queue, Once I think, there are too many questions. You can come back in the queue.

Aman Vij: Sure, sir.

Mahendra Nahata: But what is your last question? You can ask.

Aman Vij: Yes, sir, my last question was on the electro-optics part. So the market is quite big, you have mentioned \$3 billion, but we are only developing, say for example, one product. I don't know how many products we are developing. Say, night vision goggles, you are developing, as per your presentation.

Mahendra Nahata: Not goggles. It is not a goggle, it is a night vision sight mounted on a rifle or a machine gun. It's a night vision sight, not a goggle.

Aman Vij: Yes, sorry, my mistake, sir. So, you've mentioned electronic fuses, maybe you can, may be get 20% or 25% market share, but electro-optics are much bigger market

Mahendra Nahata: I am again, expecting, I'm not sure whether it will be 20%, 15% or 50%, but that is what the expectation is. In terms of electro-optic devices, there are multiple players in the Country; there are six, seven different players in my opinion. So again, one should expect some 10%, 15% market share on a numerical basis. But then, it will depend upon tender to tender, how much you will.

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Page 8 of 21 Moderator: Thank you. The next question is from the line of Hardik Vyas from Economic Times, please go ahead.

Hardik Vyas: Good evening, sir. Sir, we have been talking a lot about the 5G opportunity and things seem very good. Yes, so do we, when do we see the execution for the 5G products happening, and the 5G services that we are laying down of the network for various network operators and of course the BharatNet happening? How soon do we see the execution happening for 5G?

Mahendra Nahata: Look you know, Bharat Net and 5G are two separate issues. BharatNet is not envisaging any 5G. BharatNet, you know, government is very keenly working on this at present, as I understand and they are looking at model of EPC kind of a model, where they will select companies out of a tender to build this BharatNet Network which is connecting every village of the country through fiber optic cable. Now, the cable will reach to some center point of the village, but from there on, I think government would ask operators to give connectivity to different households on a commercial basis. So what this project entails is laying down fiber optic cable and related equipment

to all these villages. So this does not contain 5G. 5G may come later on in this area.

Now, coming to the 5G products, as I said, we will be putting it in the operators' networks on a trial basis starting two to three months from now. And when the trials are over and operators require any changes, we will have to do that. But that is the normal issues because different operators have different software and graphics user interface issues which will be changed may require a change as per the requirement and we expect revenue to start coming up in the beginning of Q1 of the next financial year.

Hardik Vyas: Okay. So as I understand it right, in the current revenues and up to now there has not been any 5G component. It's been a regular business apart from 5G.

Mahendra Nahata: Yes, you're absolutely right. There's no 5G component at the moment. We have launched the product just recently. It has to go through the field trials and the operators' networks, and then the production and revenue. It's a bit of a few months' cycle. But we are very well on target.

Hardik Vyas: Okay. And, sir, my second question is on the software-defined radios. How big is the opportunity, and when are we likely to tap it in terms of revenues, and so when do we see it in numbers?

Mahendra Nahata: The software-defined radio is for the army. And that development is in progress, and we had to submit samples in sometime in December to Indian Army after development. So and then the sample would still be tried and tenders would be there. So, I think reasonably, if you say, that major market opportunity for the software-defined radio is in FY 24/FY 25. But the market size is very large, in a sense that majority of the radios of

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Page 9 of 21 Indian army, maybe all of them will be switched down to the software-defined radio in few years' time. The total market opportunity, if I remember well, it's not less than INR40,000 crore.

Hardik Vyas: Okay. Okay. So we can see the next year going to be 5G-heavy in terms of execution and revenues and margins, and everything will be driven on the back of exports and 5G, more or less, if I'm understanding it right.

Mahendra Nahata: Look, in the next year, we expect good amount of revenue to come from not only 5G but other products also, telecom products which we have.

Hardik Vyas: Yeah Yeah Yes, so, the current business plus 5G.

Mahendra Nahata: Yes, current business and the new products which we are also doing right now including the routers, switches, those are also the products which are required in 5G and non-5G applications also, in all kind of networks. So those products coupled with 5G, and then of course, our current range of products will bring in revenue for the next year.

Hardik Vyas: And Bharat Net would be BharatNet as well would contribute to the revenues and profitability in the next year, right?

Mahendra Nahata:

Look, you know, while doing our internal projections for next year, we have not taken into account BharatNet as yet. Once BharatNet comes, it may be, we may be able to improve our internal projection. But as yet, we have not taken that into accounting.

Hardik Vyas: Okay, thank you so much, that is all from my side.

Mahendra Nahata: Thank you

Moderator: Thank you. The next question is from the line of Sanjay Shah from KSA Securities. Please go ahead.

Sanjay Shah: Yeah Good evening, Gentlemen. Sir, congratulations, again, on the exciting presentation and explanation. Sir, my question was more regarding towards the opportunity on rail networking, which we have not highlighted in your comment. That was number 1 and second was, I wanted to

Mahendra Nahata: Repeat Mr. Shah repeat, which networking?

Sanjay Shah: Rail

Mahendra Nahata: Rail networking, okay.

Sanjay Shah: Yes, and connecting to that

Mahendra Nahata : Yes, important

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Page 10 of 21 Sanjay Shah: Yes, my question was regarding that you throw out some doing a capex of INR425 crore with some government. Can elaborate on that? We need to understand on that, sir?

Mahendra Nahata: Okay. So on the railway network, good question, Mr. Shah. In a few minutes' presentation, I could not highlight every opportunity

Sanjay Shah: I understand.

Mahendra Nahata: But that's one area we are doing good business. In fact, as I've been saying, we are implementing couple of networks abroad. In India also, we are working on six or seven different railway projects, which are sub contracted to us by the key turnkey players. But now, directly we are implementing the telecom network of the metros Kanpur and Agra n. This is directly awarded to HFCL for INR200 -230 crores or so of that particular railway network. We have also participated directly for Surat and Ahmedabad metro telecom networks. So we are going to participate in a couple of more such opportunities. I'm sure this revenue from railways, telecom networking, should result in giving us a reasonable revenue every year, something like INR500 crore or so. I reasonably expect with so many tenders in which we have participated, many more opportunities are there, we should be able to get a reasonably good amount of revenue and government is going to modernize telecom and signaling network of entire railways in any case. Therefore, there will be more such

opportunities coming up and we are developing this business, and we have emerged as one of the leading company in the country which is doing such kind of a networking for railways. I've said, multiple times, we are doing in India and couple of places we are doing abroad.

Now, coming to your second question, INR425 crore, this, of course, includes expenditure on R&D also. This is, as per the DLI scheme, Design - Led Equipment Manufacturing Incentive scheme which government has announced, and we have projected the investment of INR425 crore, which includes R&D investment because the DLI scheme allows R&D as an investment, as a part of the overall incentive scheme. So some INR425 crore in R&D and the new infrastructure which we'll create for manufacturing telecom projects, it's worth, put together it's INR425 crore. This DLI scheme is under consideration of government and I understand, whatever discussion I had with the government officials during India Mobile Congress, they are expected to announce finalization of this scheme, I think within next month, they should announce it, that is what I expect, and I expect that HFCL will be definitely be a part of it.

Sanjay Shah: That's great. So, sir, we are entering into an exciting period, as you cited, was the 5G, defense, rail, this DLI scheme, then what incremental capex we need for next two, three years? And how we line-up that?

Mahendra Nahata: Look you know, Some of the capex which we are implementing in projects right now, this fiber optic cable manufacturing capacity expansion and the fiber manufacturing expansion, part of the money, we already raised in HFCL Limited
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Page 11 of 21 the last QIP, and the balance is being funded through the debt from the banks. And the next phase of expansion, when we do, of course, we have not decided the numbers as yet, but it is under consideration. But whenever we do, it would be a mix of debt and equity.

Sanjay Shah: So will that be a major capex needed for that to participate in the growth story?

Mahendra Nahata: Well I don't know at the moment, the current, what amount of capex will be required. But it will not be so big that it outnumbers the size of the Company. It would be the reasonable numbers.

Sanjay Shah: Understand, right sir, thank you, thanks for the explanation, it would really helpful, thank you sir.

Mahendra Nahata: Thank you

Moderator: Thank you. The next question is from the line of Balasubramanian from Arihant Capital Markets. Please go ahead.

Balasubramanian A: Sir, I have few questions regarding the R&D. Past few years, we have spent around INR123 crore, right now we are focusing around INR150 crore target. So, apart from INR150 crore, we have to spend the remaining amount for capex, right, sir, for this year? So what kind of quantum we make for next six months?

Mahendra Nahata: Look you know, This year expenditure on R&D is INR150 crore, we have estimated, and that is what this the burn rate is at this point of time because we are doing R&D in multiple areas, as I've explained. WiFi, UBR, 5G, routers, switches, software-defined radios. Some of the R&D is being done by totally by our team, some of the place where R&D is being done by the contract R&D players you know, which are working for us and designing equipment for us with our own IPR. So all this put together is the amount of expenditures we have talked about.

Now when you say that If you're asking a question of INR425 crore, how it is going to be spent, as I said, part of that would be R&D, part of that

would be capital infrastructure.

Balasubramanian A.:

Okay, sir. Sir, I'm looking into capex plan. Right now, they are into 10 million fiber kilometers for optic fiber capacity, so it is mentioned around 22, the target, million fiber kilometers. So, so, what is the timeline for that?

Mahendra Nahata: I think that expansion is going to happen in Hyderabad, in our current facility, and the timeline for the work is already starting. I think it should take about 12 months to complete, about 12 months. Give or take a couple of months here and there, but about 12 -months.

Balasubramanian A.: Okay, sir.

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Mahendra Nahata: Because you know the construction time and delivery time of fiber manufacturing equipment is very -very high at this moment because of the worldwide demand which has happened. The delivery time of machines, it takes almost nine months to a year and then the installation commissioning and the construction of building will itself take a long because 45 -meter -high towers and all that, it takes a lot of time, but within 12 months, we should be able to commission it.

Balasubramanian A.: Okay, sir. Okay, got it. Sir, in terms of Defense exports, the market size is around INR12,500 crore to INR13,000 crore, and it is expected around INR42,000 crore by FY25. It's almost more than 3x. But we are focusing on growing double x. So we can expect more or it is sufficient?

Mahendra Nahata: No, I think I think we're talking of two different things. We are not talking of growing exports in defense. We are talking about growing exports in fiber optic cable and telecom equipment. If you really look at how our exports have gone up, it's a good question but in a slight different way I can answer. Export, we have been putting a lot of emphasis. Our export, if you look at, in year ending March '21, financial year '21 was just INR193 crore. It increased to INR353 crore in 2022 financial year '21 -'22. Now, in this year itself, in the first six month itself, we have crossed that we have reached to INR376 crore.

So as I've been saying, we nearly doubled our exports this year from the last

year's INR353 crore. We are on the track but first six month itself we have gone to INR376 crore. So we have absolutely no reason to say that we will not be able to grow to over 100% from the last financial year. So we are working on a target of INR750 crore. Our run rate is very very much within that target, and we should be able to double our exports. We have a high thrust on exports, which is cable and equipment. Right now it is more of cable. From the next year onwards, we will start exporting our equipment also. Some export started this year, but major export will happen in the next year. So with increase in export of fiber optic cable and then the export of the telecom equipment, we expect to continue this trend of increased exports every year from our company.

Balasubramanian A.: Okay, sir. Sir, got it, Sir, you were talking about that Polymer polythene based manufacturing plant for backward integration. Could you please throw more light on that?

Mahendra Nahata: Yeah, sure. We use these plastic compounds for manufacture of fiber optic cable, like HDPE. We in all our factories put together, we have about consumption of 2.5 crore kgs of this HDP polymer for manufacturing of cable. Now, you get natural colour, this HDP compounds from the refineries. Now earlier, what we used to do, there are people who do the compounding making it in different colours, because in fiber optic cable different people want different colours and different tubes have got different colour. So, you need different colours.

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Page 13 of 21 We used to buy it from different people who would do the compounding and then sell it to us. So there were intermediaries. We did the economics and we said decided to do this compounding ourselves which will save a lot of money, roughly about INR 6/ kg, we would be saving by doing the compounding ourselves. This means on 2.5 crore kg, we would be saving something like, INR18 - 19 crores, 15 to 18 crores, 6 to 7 rupees a kg per year by doing compounding ourselves 15 -16 crore. Whereas the whole project cost are INR17 -INR 18 crore.

So, by investing about INR17, INR18 crore, we would be saving INR15 crore, INR16 crore every year. The ROI is just one year. So this save us money and gives us better profitability and better competitiveness. This production has already started in Hosur, in our plant, which is owned by HTL, our subsidiary and this manufacturing has already started.

Balasubramanian A.: Okay sir, got it, thank you sir that's it from my side.

Mahendra Nahata: Thank you

Moderator: Thank you. The next question is from the line of Pranav Khandwala from Khandwala Securities. Please go ahead.

Pranav Khandwala: Good evening, sir. Congratulations for the fantastic results, Sir, two questions prima facie, would like to understand the latest news, which came on HFCL and Qualcomm. Like, what is the opportunity for HFCL, and if you could give us some fair bit of idea in terms of this 5G Outdoor Small Cell development, and how that will benefit HFCL and Qualcomm, this entire 5G network opportunity?

Sir and the second question is if you could give me some fair bit of idea on the order book and in the presentation you mentioned that there is some USD breakup given, and the export market. So if you could give me a clarity on that, please.

Mahendra Nahata: Yeah, thank you, Pranav. First of all, let me come to the 5G product development. We have done two agreements with Qualcomm, not one, two. One is, of course, this 5G Outdoor Small Cell, and secondly, 5G Fixed Wireless Access Terminal. Now, let me explain both the products. Outdoor Small Cell is required to fill in the gaps in the network. When the telecom operators do their networking and install large c

ells, there are gaps in between where the signals are not able to reach. Particularly in 5G, the spectrum use is of a higher level. In 2G, 3G, we were using up to 2.3 gigahertz in 3G and 4G, for example. But here, it has become 3.5 gigahertz.

So there are holes in the network at various places, or wherever the capacity requirement is high, operator will start putting small cells instead of large cells. It has happened at quite a large scale in 4G networks also, a huge amount of small cells have been put by the operators. Requirement of outdoor small cells in 4G would be even HFCL Limited

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Page 14 of 21 higher. So, we are going to design and manufacture this 5G small cells for outdoor applications using this Qualcomm platform. We will be designing and manufacturing the small cell and market is expected to be very -very high in, India and abroad both, because 5G networks are being implemented all over.

The second product, which we have done, is the fixed wireless access CPE, again using the Qualcomm platform. Now, FWA CPE is required in the places where you need fiber like speeds at home or at office, without fiber, where what would happen, this FWA CPE would be acting on the 5G

network, would installed at home, taking throughput from 5G network, it will give a fiber-like connectivity at home. So operators are doing FTTH as well as, they would do FWA also. Now, FTTH, they would do at a place where the dense requirement of fiber optic connection is required, there they would lay down fiber. Wherever the requirement is not so big, few people would want fiber-like connectivity in homes or offices, where it is not economical to lay down fiber network, there they would be using up FWA where without laying the fiber-like, fiber optic network and 5G network itself, you will be getting high speed connectivity at home or enterprise.

And the market of FWA CPE is expected to be very -very high all over the world, billions of dollars of market is expected of FWA CPE. This is our second partnership, we have done with Qualcomm. We expect to launch this product from the beginning of the we expect to put in the field trials with the operators in the beginning of next calendar year, revenue expected from the first quarter of the next financial year.

Pranav Khandwala: So, what would be the revenue opportunity on a quarter-on-quarter basis or year-on-year basis for HFCL?

Mahendra Nahata: For these two products?

Pranav Khandwala: Yes.

Mahendra Nahata: It is very difficult to target to give you a number at this point of time, but I can say that it would be hundreds of crores. It would hundreds of crores

Pranav Khandwala: Okay, okay.

Mahendra Nahata: And your second question was on exports. Now, as I said in the answer to my previous question of the gentleman, that we have been putting a lot of emphasis on exports because if you look at the world market and the Indian market, Indian market is probably though it's a big market but probably 5% of the fiber world market whether it is fiber optic cable or telecom equipment. 95% of the market sits outside our country.

So, while putting lot of effort and emphasis on the Indian market, we need to go out of the country to access this 95% of the market also. So if we are able to explore or get in to this see, a small percentage of this 95% market,

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Page 15 of 21 we are able to increase our sales. Now, particularly when you have your own products, your own technology, your own IPR, you are free to go in market anywhere, if your technology is at par with other manufacturers.

So

what we have seen, we started with fiber optic cable for example, and as mentioned in the figure, we are doubling almost doubling every year. In 21 financial year INR193 crore, in 22, it became INR353 crore, this half-year itself, it has become INR376 crore. So we are on path to reach to INR750 crore like I talked about in my last presentations also. And we expect to continue this trend in future also because there will be increase in export of fiber optic cable as well as then there would be export of equipment also. So export is something which we are putting a lot of emphasis because that's the 95% of the world market.

Pranav Khandwala: Okay. And if you could give me a slight break-up in terms of your order book currently?

Mahendra Nahata: Yeah, current order book is about INR 5,000 about INR5,300 crore and this comprises of government and non-government both. Almost 55% is government, 45% is non-government and we are getting regularly repeat orders from our customers. We keep on getting INR100 crore, INR200 crore, INR50 crore, INR40 crore, INR60 crore, we keep on getting orders. Orders are in regular flow. But the current order book, as I said, INR5,280

crore.

Pranav Khandwala: Okay sir, Thank You so much sir

Moderator: Thank you. The next question is from the line of Sahil Sanghvi from Monarch Network Capital. Please go ahead.

Sahil Sanghvi: Yes, congratulations, sir, on a very fine set of financial, and the opportunity ahead looks very encouraging. I just wanted to understand two things. One, on the order book that you have announced, how much is that coming from exports like, current order book from export?

Mahendra Nahata: In exports, you don't get larger orders in one shot. Orders keep on flowing in. The exports orders out of current order book of INR5,300 crore should be about some 300 crore or so. But they keep on flowing, orders you keep on supplying, orders keep on coming, and we are well within our target to reach to INR750 crore as I was explaining just recently. So orders keep on flowing. So, it should be well over INR300 crore at this point of time.

Sahil Sanghvi: And this will be largely OFC orders?

Mahendra Nahata: Yes, this is largely OFC at this point of time.

Sahil Sanghvi: Okay, got it, sir and secondly, sir, I mean, we have some pledged shares right now and I just wanted to understand two things on that front, sir.
One

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Mahendra Nahata: No, there are no pledged shares at this moment, Mr. Sanghvi, there are no pledged shares, zero. This is only a non-disposable undertaking given to the institutions. When you take loan from the financial institutions, they take a non-disposable undertaking from the promoters that promoter should not sell the shares and walk out without informing the institution and taking their approval. That is a normal procedure. So, it's a non-disposable undertaking. There is no pledge at all, zero pledge.

Sahil Sanghvi: Okay, because on the exchange how it shows up is it shows up as a pledged share. So, we are not liable, right, in any ways,

Mahendra Nahata: No, there is no pledge. It is a non-disposable undertaking. There is no pledge.

Manoj Baid: It is otherwise encumbered, sir, because exchange's format of shareholding pattern does not permit us to show separately whether it is pledged or otherwise encumbered, there is only one column in the shareholding pattern. So, it is basically not pledged, it is otherwise encumbered, by way of non-disposal undertaking given in favour of banks.

Mahendra Nahata: It is non-disposal undertaking. There is no pledge at all.

Sahil Sanghvi: Got it, Thank you sir and all the best

Moderator: Thank you. The next question is from the line of Dipesh Sancheti from Manya Finance. Please go ahead.

Dipesh Sancheti: Yeah, Sir, a question regarding the fund raising which we had, on 2nd September we had mentioned about raising of about INR650 crore, but after that, there has been no update. We gave warrants to promoters and non-promoters in the context of fund raising, so when is that expected?

Mahendra Nahata: Yeah, Mr. Sancheti, warrants have been issued to promoters and the key management personnel also subscribe to the warrants, which speaks of

confidence promoters and the key leadership team of the Company has in the performance of the Company. So that has happened.

The next question of yours, whether the fund raise is going to happen and when, we are all in the planning stage at this point of time, what are the kind of capex required, which are kind of expansions or backward integration we have to do. Once it is finalized, of course, we will come back to you.

Dipesh Sancheti: Is it expected to happen in this financial year?

Mahendra Nahata: It is under consideration, Mr. Sancheti I will not be able to say more than that. It is under consideration. The final decision has to be taken by Board, but it is under consideration at this point of time.

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Dipesh Sancheti: Okay, Thank you so much if there is any other question I'll get back in line.

Moderator: Thank you. The next question is from the line of Swapnath Amath from NSFO. Please go ahead.

Swapna Kamath: Yeah, Good evening, sir. Sir, my question is on, so as I understand, we want our company to be more a products -driven company and less of these turnkey contracts, and as we have seen that this part of the revenue has been coming down consistently, and that is what is our objective as per your previous calls. I just wanted to get a sense on where do you see these numbers stabilizing on the turnkey contracts that then we will see that this amount of the revenues will continue steady state and because we are doing some products works, so this much of turnkey will be part of this overall business, or how should we look at the business as such?

And also on the capital employed that is deployed in a turnkey contract, so that is substantial. So, do we see some amount of cash getting released from there which can be used for capex etc. which might be blocked, because of few debtors?

Mahendra Nahata: Yeah, Swapna very good two questions, and I'll answer each of them. I have been saying from the beginning that and during my last two calls also you would have heard that we want to be more of a product company, less of a project Company and that what we decided to go in a manner it is really happened in that way. If we look at numbers in financial year 31st March ended on 31st March 21, our revenue from products was 27%, and from the projects was 73%. Now it become 43% from products and 57% from projects in financial year ended on 31st March 22. So products become 27% to 43%. Now, if you look at this year, in the year to date first six months, if you look at, our revenue from the product has been 58% and project is 42%. Now, just go back and compare. What was 27% in FY2021 year ended 31st March is 58 % now and the project revenues is at 73% is 42% now. These are remarkable changes and we expect to continue on this trend and further increase our revenue percentage from products in the next financial year because of these different products of 5G, WiFi , UVR, Router, switches, coming in production. This trend is going to continue and our revenue from products will further increase.

But I'm not saying that we will not do projects. We will do projects but which are not highly cash negative. We wouldn't do such projects which are

highly cash negative, because doing such projects make us heavy –the burden on the cash flows of the Company. So that's all, we have gone for more revenue from the products which has fructified that approach and less on the projects.

Now, coming to the second question. Yes, we have a very reasonable good amount of money. I will expect that delayed in project, but it is only the

projects, particularly our projects defence projects which we are

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Page 18 of 21 implementing. We still have a receivable of more than INR1,000 crore.

Now, we have started switching on of various part of this network and the money has started flowing in. This used to be this INR1,000 -plus crore today, used to be more than INR1,500 crore about a year ago. Now it has come to INR1,000 crore or INR1,100 crore. And we expect that by March end of March this financial year, full network will be switched on. Two more parts of the network, we are switching on within next 15 days, two have been switched on, two more would be switched on in this maybe been less than a month. So by March, we expect to complete, and then reach major part of this money within next four to six months' time. So this is major release of this money, which is about INR1,000 crore or so, lot of money would flow-back into the company which will decrease the pressure on working capital and release more money for capex also.

We are right on track, you have a good question, but yes, there is a delay in payment for this particular project, not because of any fault of the Company but because of customer did not do its own part of work, which is construction of infrastructure on which we were to install equipment and various other reasons related to customer, nothing to do with the Company. This delayed the payment, but now, we are on track and I think by March, major, major portion of this money would be realized, which will increase the cash flow of the Company, which will make the money available for more working capital as well as for capex.

Swapna Kamath: Sure, sir. Thanks a lot for the detailed answer. And sir, I really appreciate that point, and it's pretty commendable that our telecom products revenue run rate is now almost INR671 crore quarterly run rate. That's pretty significant from where we were. So, but sir, if you can just give me an idea as to this turnkey. You said you will continue doing these contracts, but I mean where I mean, if you have if we say that this is the number, if we are projecting this particular segment, then how do we look at it? Like, number we should look at in the overall pie? Like a 25% or like 15% of the overall revenues?

Mahendra Nahata: Look when I say we will continue, we will continue to do which are not cash negative.

Swapna Kamath: Okay.

Mahendra Nahata: For example, I will tell you, the private operators naturally are implementing like, for Jio what we are doing? It's not major cash negative, payments within 30 days and there is absolutely no issue of cash use. We will there is no reason why we cannot continue to do that. Maybe profitability could be low, but since working capital investment is not there, there is no reason why we should not do that.

Now, we are also looking at some contracts of this nature in export market, in European market. And maybe, we would be some small contract in very, very soon in one of the major European countries, and we intend to increase our presence in international market in

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Page 19 of 21 implementation, because that is highly profitable and they're very quality -conscious people, so they don't

give projects to small companies and the profitability is much better. So we intend to increase our presence in the international market in project implementation and international, when I say, I am talking of developed countries like West European countries or America, such kind of countries.

And also government, wherever the projects are funding is poor, we will not participate into that, but wherever the funding is ensured in a manner that while implementation is going on, large percentage of capex is made

available to us within that implementation period, we would look at such projects only. So, I would say in terms of percentages, you can say that 25% or so revenue would keep on coming from the project sides which are less involvement of working capital and more profitable.

Swapna Kamath: Understood and sir, lastly, one last question on the defense side. You mentioned about the opportunity, competition, etc. could you give a ballpark idea as to what kind of margins would they be similar to what we earn in the telecom products or are they different in the electronic fuse and electro-optics, etc.?

Mahendra Nahata: Swapna, I think, if you say the market is whichever place you go, defense or otherwise, the market is always competitive. There is no cakewalk kind of a market. So, I would say the margins would be similar to what you get in normal telecom business, maybe couple of percentage, 2%, 3% extra because not anybody and everybody can enter into this market because of very strict entry conditions and the quality and performance conditions. So it could be 2%, 3% extra, some 20%, 30% higher than what you get into the normal telecom business. But yes, market is competitive, but yes, a bit of a 20%, 30% extra percentage, you can get as a profit.

Moderator: Thank you, Ms. Kamath may we request that you return to the question queue for follow up questions.

Swapna Kamth: Yeah Thank You, I'm done

Moderator: The next question is from the line of Anand Jain, an Individual Investor. Please go ahead.

Anand Jain : Thanks for the opportunity, sir, and congratulations on very good set of numbers. My questions are also on the defense opportunity that you have listed because that's a very exciting part and the kind of entry barriers that it has, I'm certain that it must have taken us a very long time. I just want to understand what kind of capex have we done in order to be where we are right now. That's my first question.

The second question is on the fuses price side, what I have come to understand is that it requires approval by ARDB, Which is like a, this is like a part of DRDO. So do we have the ARDB approval for all the three types of fuses that we are looking to make? That's my first question. I will ask further questions.

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Mahendra Nahata: Look you know, we have spent about INR50 crore or so in development of these fuses and electro-optic devices. This is R&D expenditure, you can call it the capex, and we have spent about INR50 crore on that. Now, coming to this fuses, of course it requires the approval ARDB, and also, not only that, DGQA also. This is Directorate General of Quality Assurance in the Indian Army and as I said, the testing has been going on and there are certain issues which are happening in which whole Indian industry has protested that testing has to be redone, and that is under consideration of the government. It has still not been totally decided, so it is under consideration. The tender is yet to be opened, and let us see when they decide and when they open.

Anand Jain: No, so the questions here because I have been tracking this has a very long time because 10 years back also these tenders that come and then you had all ECI

L kind of colluding with MOD and then there is a South African company which used to come in and supply this fuses to ECIL . So are the issues political in nature or technical in nature, that is my another question. And the last question because last time it was clearly I don't want to call it on a con call

Mahendra Nahata: No, no, I would not use the word colluding or political or all that. That's

not in my domain to comment. But yes, there are technical issues. I would definitely say there are technical issues. Earlier, the supply was being made by ECIL, of course with the participation of the South African company and then of late, BEL has also coming into picture in participation with an Israeli company but ours is a total owned development. But yes, the issues are being faced are technical, not I wouldn't call it political or colluding. These are not the words I would use, but yes, technical issues are there which are being sorted out with the Army, whether and DGQA or ARD or multiple agencies are there, it's not DGQA or ARD alone. The user trials are there, users themselves try. So there are multiple levels of testing which is really taking time and the entry barrier we are experiencing ourselves you know.

Anand Jain: Last one question on the same thing is that other issues only limited to our company or like other competitors that we have, are they having different set of issues or are the issues common for all of us? And finally, what I've come to understand from HBL is that there is a tender for grenade fuses, in which they say that they are clear to go. What is our positioning there?

Mahendra Nahata: Look you know, the issues are technical issues are common to all the companies, all the private sector companies, they're more or less common. If there are 100 deficient technical parameters, somebody will have two, somebody will have three, but almost common with all in private sector. The grenade fuses, we are not part of that I have not taken part into any grenade fuse kind of a situation. We are not there at all.

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Page 21 of 21 Anand Jain: Okay great sir and wish you all the best.

Mahendra Nahata: Thank you

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Mahendra Nahata for closing comments.

Mahendra Nahata: All right, thank very much ladies and gentlemen, for attending this earnings call of HFCL and as I've said, company is on the right part of growth, right quarter progress. It has become a technology-led telecom equipment products and fiber optic cable manufacturing company. There is a lot of backward integration to increase the profitability. Again, with an emphasis to go into the export market, we are increasing our revenue from that side of the business. With the increase in exports of fiber optic cable and equipment in the next year, we further expect to increase our market share in export market. We are on the right track to become a product-led company, which I have shown by the data that how we have increased our revenue from products. We are on the part of the expansion of our product range and also on the size of our fiber optic cable and fiber manufacturing facility.

All that would lead to continue to lead the Company in the growth phase, which is happening today in the country with the 5G rollout, FTTH rollout not only India, all over the world these kind of things are happening. So, opportunities are exciting, market is big, opportunities are exciting, and the Company has taken all the right steps to take part in this opportunity and grow with the market growth. The Company also expects to grow in the coming financial years. Thank you very much, gentlemen. Thank you

very much.

Moderator: Thank you. Ladies and gentlemen, on behalf of ICICI Securities Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

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RE: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015 (the “SEBI Listing Regulations”).

Subject: Transcript of Conference Call on the Unaudited Financial Results of the Company for the 3rd Quarter and Nine Months ended on December 31 , 2022, of the Financial Year 2022 -23.

Dear Sir(s)/ Madam,

This is further to our earlier announcement dated January 19, 2023 .

In terms of Regulation 30 read with Para A of Part A of Schedule III to the SEBI Listing Regulations, we hereby submit Transcript of the Conference Call held on January 24, 2023 , on the Unaudited Financial Results of the Company for the 3rd Quarter and nine months ended on December 31 , 2022, of the Financial Year 2022 -23, which were considered and approved by the Board of Directors of the Company, at its meeting held on January 23, 2023 .

This aforesaid Transcript will also be available on the Co mpany's websi te at <https://www.hfcl.com/> .

You are requested to take the above information on records and disseminate the same on your respective websites.

Thanking you.
Yours faithfully,
For HFCL Limited

(Manoj Baid)
Senior Vice -President (Corporate) &
Company Secretary

Encl: Copy of Transcript.

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“HFCL Limited ”
Q3 FY '23 Earnings Conference Call”
January 24, 202 3

MANAGEMENT : MR. MAHENDRA NAHATA , MANAGING DIRECTOR AND
PROMOTER

MR. V R J AIN, CHIEF FINANCIAL OFFICER
MR. MANOJ BAID, COMPANY SECRETARY
MR. AMIT AGARWAL , HEAD - INVESTOR RELATIONS

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January 24, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to the HFCL Q3 FY '23 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mahendra Nahata, MD, HFCL. Thank you, and over to you, sir.

Mahendra Nahata: Thanks a lot, and Good afternoon Ladies and Gentlemen and greetings for the New Year 2023 . A warm welcome to HFCL's earnings call for Q3'FY23.

I truly appreciate and express my gratitude for making it to HFCL's earnings call for the third quarter of FY23. I am sure that you got a chance to go through our financial results, press release and investor presentation, which are available on the website of the Company and also on the website of stock exchanges.

Friends, our Country has recovered to a large extent from the aftermath of the macro economic challenges posed due to the pandemic and Geopolitical situation. I applaud our Government, the RBI and policymakers for handling the situation so well and setting India on a path of economic growth . As a result, World Bank has upgraded India's economic forecast for FY23 citing the Country is showing higher resilience to Global shocks and robust domestic demand. The telecommunication sector has been at the forefront of India's technological growth, ushering into new advancements and enabling innovations. The impact of supply chain disruptions due to the ongoing Russia -Ukraine conflict also seems to ease a bit further during this quarter. For us, Q3FY23 was earmarked with some significant developments including the launch of our 5G products and services during India Mobile Congress 2022, coupled with a prestigious partnership with Qualcomm for the development of innovative and futuristic 5G products. Further, we received approval to avail incentive up to Rs. 652.79 crore under the PLI scheme from the Government of India which will give us a boost to the production of indigenous telecom equipment from India. With the favourable industry tailwinds, we bagged key orders from prominent domestic and Global players. The demand for our new range of Optical Fiber cables in key markets remained high leading to stellar performance on export front, which grew by 140.38% on a Y -o-Y basis. We have been able to close Q3FY23 with an outstanding order book of more than Rs. 7,000 crore.

As India undertakes one of the fastest and largest 5G infrastructure rollouts, there has been significant progress on home -grown 4G and 5G stack. The next couple of years will be exciting for the telecom equipment industry, as the leading telcos are placing massive orders for 5G rollout. During the fiscal period 2023 -28, the total addressable market size for various 5G products and services globally (which includes 5G Transport Products, 5G RAN Products and

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System Integration Services) is estimated around USD 400 billion to meet this impending demand emerging from the 5G network rollout in India and also global market , we launched some key innovative products at the India Mobile Congress 2022 - Asia's largest telecom, media and technology forum, held during October 2022. We launched World's first Open source Wi - Fi 7 Access Points, 5G -8T8R Macro Radio Unit which combined the power of vRAN and open standards to accelerate 5G deployment. HFCL also launched 5G Lab -as-a-Service facility to accelerate rollout of 5G solutions and services. To sustain innovation and technological breakthroughs, we collaborated with industry leaders like Qualcomm

Technologies, for designing and developing various 5G products.

The telecom industry has continued to witness a strong investment momentum on the backdrop of advent of 5G, deepening of FTTH penetration in the country, ongoing BharatNet, proposal for modernisation of railway and defence telecom networks and NHAI telecom initiative launched by the Government of India . Also, with the hyperscaling of data centres and 5G networks, we are seeing a manifold rise in the demand for fiberization and Telecom Networking Products in India. In order to create a strong 5G network infrastructure in India, the telecom

industry will witness an investment of at least INR 3.5 to 4 lakh crore in the next 5 years to facilitate 5G services rollout in India .

The domestic Optical Fiber cable market environment continues to be strong with the current market demand for Optical Fiber cable products at 25 -30 mn fiber km p.a., is expected to grow significantly over the next few years on account of creation of 5G network across the Country, expansion of existing 4G network, deployment of Fiber To The Home network, implementation of Bharatnet project and creation of multiple data centers across the length and breadth of our Country. In India, BharatNet alone will lead to an opportunity of laying 16 lakh kilometer of Optical Fiber Cable translating in almost 50 million Kms of fiber .

Until June 2022, the level of fiberization in India was at 35 % against the ideal requirement of 75% for the launch of 5G services. Indian telcos are estimated to spend \$1.5 - 2.5 billion on Optical Fiber Cable in the next three to four years.

The current global demand for Optical Fiber Cable is 650 million fiber km equivalent cable which is expected to grow significantly on account of 5G rollouts, FTTH expansions , creation of multiple hyper -scale data centres. As the largest supplier of OFC in India, HFCL has been focused on developing the new -age low diameter cables like Micro duct cables, FTTH cable range, micro modules cables, aerial cables and underground cables for meeting the growing global demand.

As already informed, significant development during this quarter was our export growth of 140.38% on a Y -o-Y basis and we are optimistic to continue with the same trend in coming quarters by accessing more geographies. Our powerful and robust innovations have helped us in establishing a global footprint in 30+ countries, and serving up to 80+ clients on the global front.

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With our own employees in places like Dubai, France, Germany, England, Netherland, Kenya, and the US, we are further deepening our customer relations and widening our global presence. Leading global economies including the US, UK, Europe, are some of the key focus markets for us.

During the quarter, one of the key milestones was to receive approval under the production - linked incentive (PLI) scheme from the Government of India to avail incentives up to Rs.652.79 crore over a period of 5 years during FY22 -23 to FY26 -27. As part of the development, we have earmarked an investment of ~Rs. 425 crore over a period of 4 years starting from FY22 -23 for manufacturing of various telecom products including 5G equipment. In order to avail the benefits under PLI scheme the Board in its meeting held on 23rd January 2023 has given its approval for setting up the manufacturing facility for telecom and networking products in Gurugram in the State of Haryana. The participation in the PLI scheme will enable us to support the Government's initiative of 'Make in India' and make us more competitive in Global markets. The Board in the said meeting also decided to further expand the existing optical fiber manufacturing capacity by ~15mn fkm p.a in Hyderabad where Company's optical fiber manufacturing facility is already operational, instead of earlier plan of setting -up through its

wholly owned subsidiary i.e. HFCL Technologies Private Limited. The estimated capex for this proposed capacity expansion would be ~Rs.357 crore and the total consolidated capacity of optical fiber manufacturing post expansion will reach from existing capacity of 10mn fkm p.a to 25mn fkm p.a.

Further, HTL Ltd, our material subsidiary was recognized as the 'Emerging Company of the Year' during the 8th International Aerospace & Defence Awards conducted during the recent Defence Expo 2022 in Gandhinagar, Gujarat, making it a stepping stone towards expanding our presence in the defence arena.

During the quarter under review, the Company has bagged prestigious orders from various Indian and Global customers amounting to appx Rs.3 ,000 crore. We have a stable order book of more than Rs.7000 crores as of 31st December, 2022.

Let me now brief you on key performance metrics for Q3FY23.

● Revenue for Q3FY23 stood at Rs. 1086 crores as compared to Rs. 1173 Crores in Q2FY23 and Rs. 1215 crores in Q3FY22

● EBITDA for the quarter stood at Rs. 193 crores as compared to Rs. 175 Crores in Q2FY23 and Rs.174 crores in Q3FY22; EBITDA margin stood at 17.80% for Q3FY23 as compared to 14.88% for Q2FY23 and it stood at 14.36% in Q3FY22

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● For Q3FY23, profit after tax stood at Rs. 102 crores as compared to Rs. 84 Crores of Q2FY23 and Rs. 81 Crores in Q3FY22; PAT margin stood at 9.36% in quarter under consideration as compared to 7.18% in Q2FY23 and 6.67% in Q3FY22

● Segment revenue for telecom products during the quarter stood at Rs. 693 crores as compared to Rs. 671 Crores in Q2FY23

From the above financial metrics, you would kindly appreciate that on the backdrop of easing supply chain disruptions and reduced pressure on input costs, we have been able to demonstrate healthy growth in our order book, profitability and margins over last quarter. We are optimistic about tapping into future opportunities and believe that our order book, revenue and margins will continue to grow with the initiatives taken in the last few quarters.

With 5G driving telecom operators and their innovation to a new high, HFCL is also witnessing a transformation towards emerging as a high-tech global enterprise and integrated next-gen network solution provider. Having established a strong footing in the industry as a leader in optic fiber cable manufacturing in the country, we will continue to offer more robust and high-tech solutions with open source technology. In FY2023-24, we will further continue to invest in R&D and focus on our strategy of tapping new customers, new geographies and new products. We aim to grow with strong contribution coming from exports, Product segments and Private customers. We are also looking at strengthening our order book further, which is over Rs. 7000 crore as of Q3FY23.

To conclude, I would like to say that given the opportunity landscape in India owing to the 5G rollout, deepening of FTTH penetration, ongoing BharatNet, railway, defence and NHAI telecom projects, and hyper-scaling of data centres, we will continue to leverage our capabilities and make the best out of the available opportunities to innovate further.

Thank you once again for your keen participation. With this, I conclude my opening remarks and open the floor for the Q&A session. Thank you very much.

Moderator: The first question is from the line of Aman Vij from Astute Investment Management.

Aman Vij: Good afternoon sir, first of all, congratulations of a very good performance on the optical fiber segment. Sir, I wanted an update on the other segment as well, which is the defense segments. So if you can talk about what is the update on the electronic fuse tender as well as electro optic tenders?

Mahendra Nahata: Aman, the performance is overall being robust, not only on optical fiber cable businesses but other

areas also, including the project and the services. As far as projects for fuse is concern, that is yet to be decided. There are a lot of issues going on and which are under discussion. Since it's a defense-related projects, I would not like to go in more details at this point of time, but it is yet HFCL Limited

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not decided. And I believe that the tender is under consideration and let us see what decision finally the military authorities take giving the best interest of the country in view in the next few weeks time.

But no decision has yet been made. In electro optics, a tender, we have participated, which is under evaluation. Technical testing is going on. We have submitted samples for totally indigenously designed electro optic products. Now, not only indigenously designed product, but the core, which is heart of the system, has also been designed by us. I think we are one of the probably only Indian company, which has designed a 12-micron core by ourselves. Only the sensor has been purchased from outside. The rest of design is done by ourselves, which increases our competitiveness and quality performance also.

So it is under evaluation, technical evaluation at this point of time. And but other couple of areas also, we are making good progress in defense. So as you know, defense revenue takes time, and I've been saying repeatedly on every call, that we don't expect any revenue in the current financial year from defense because our evaluation and this performance checks and all this are going on. But you should start picking on from the next financial year and then increase further in the coming financial years.

We are already working on a couple of more projects for defense, including as I had informed earlier also modernization of BMP armored personnel carrier that is going on, bench test has already happened. We are now keeping the BMP with our optoelectronic products and control systems. That evaluation will take place in the month of March. And similarly, we are working on software-defined radios, high-capacity radio relay. These are four, five different projects we are working, but revenue would start coming from the next financial year, but the major growth would be from year next to that.

Aman Vij: Sure Sir, just a clarification on this, and then I'll move to my next question. So on the few sites, you had explained that the tender last time, there was some issues and the army has given the tender to the public sector companies rather than the private.

Mahendra Nahata: There was no tender has been awarded to anybody, no such tender award has happened.

Aman Vij: So they were supposed to come with new tenders...

Mahendra Nahata: New tenders allowed to participate. Award not happen ed.

Aman Vij: Okay, but what I understood from the last call, you had mentioned that only the public sector companies product was allowed to go through the second level of trial and private companies, products were not allowed to go, and that is why private sector had complained to the Ministry of Defense. So I just wanted that.

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Mahendra Nahata: That still remains the same. So after all this representation by all private sector companies, no decision has yet been made to award tender to anybod y. And let us see what decision government finally takes in terms of giving a chance to private sector companies again to price the products because private sector companies to the best of my knowledge out of the fleet, have indigenous technologies own I PR, at least HFCL has got o wned technology with IPR and which serves the real purpose of the Self -Reliance, Atma Nirbhar particularly defense sector and is under consideration of defense authorities, that is much I can say.

Aman Vij: Sir, the trials which were going on, has it stopped for every

body or only the private players and public sector trials are still going on?

Mahendra Nahata: It's not stopped in a sense that decision has yet to be taken that whether as the second chance has been allowed to public sector companies, our representation is that once you have given a second chance to those companies, you have to give the same parity to the private companies also.

Aman Vij: Sure Sir tha t helps , on the electrooptic side, you said, what is the tender that we have already bid for?

Mahendra Nahata: This is the tender for, I think, light machine guns or assault rifles, one of them. Because their equipment is same. About 5,000 sites for this night v ision devices, and that is under evalua tion.

Aman Vij: And, what is the rough order size or such project?

Mahendra Nahata: I cannot say that price has not been opened up. Aman, so I cannot say the pric e, the size, but its 5,000 units or more fresh ten ders are coming.

Aman Vij: Sure, sir. And you said we are the only players who have the indigenized product in this compared to others?

Mahendra Nahata: No. I said, indigenized core, product other people have also indigenized. But withi n that, within the whole product with a major cost is the core. The core we have indigenized. So it's not only the indigenous product, the core has also been indigenized. It's something like equipment, where chipset, for example, you indigenized. So here, the core is the basic heart of the system, heart and mind of the system. We have indigenized that.

Aman Vij: And how many players were there in private sector who have bid for this?

Mahendra Nahata: I think must be six, seven players. I don't remember exactly it, but there must be six, seven players.

Aman Vij: Sure Sir, last question on the defense side. You had mentioned that FY '23, there won't be any revenue. FY '24, maybe some in FY '25, the scaling will happen. So according to your rough

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estimate, what can be the numbers in FY '24 and '25 in defense for us and from which we have four, five products, so which do you think will commercialize first?

Mahendra Nahata: Right now, I can't project a number because it's too early to say that. But yes, next year, I expect some couple of 100 crores of revenue come from this. But to project to the year next to that, that would be too much of a forward -looking statement. I would not like to make at this point of time. But yes, there will be significant grow th, that's much I can say.

Aman Vij: And out of these four, five categories in defense, which do you think we will be able to commercialize first?

Mahendra Nahata: I think electro optics should be the first one to be commercialized.

Aman Vij: okay, and followed by, sir?

Mahendra Nahata: Followed by, it may be the upgradation of BMP. It may be the fuzes also. Yes.

Aman Vij: Sure Sir , and this time, you have updated the presentation and you have talked a lot about the addressable market. And in the def ense itself, you have talked about...

Mahendra Nahata: Aman, can you come back with the question, there are too many questions in the queue, other people are also there.

Moderator: We'll take the next question from the line of Balasubramanian A from Arihant Capital.

Balasubramanian A: Good evening Sir, congratulations for good set numbers. Recently, we have secured one of the

EPC contracts in UP like which is laying fiber optic cables to implement rural water supply network. And we don't have expertise in rural water supply network, like how we are going to manage this project and like what kind of profitability we can expect in this project, what kind of margins we can expect because right now, we are facing pressure on EPC contracts margin levels. And what are the minimum criteria we are looking to select the projects?

Mahendra Nahata: Good question, Mr. Balasubramanian. First of

all, let me tell you. First I'm coming to expertise

and then I will come to the rationale. As for expertise of laying water pipeline is concerned, it is the same SDPE Duct, which lay for telecom network. There's absolutely no difference, except the diameter.

Only difference is that you have to keep the gradient in view, which you don't keep in view while when you do telecom cable because no water has to flow in telecom.

So absolutely, there's no difference in laying. It is a combination like what we do in a backhaul network for fiber optic cable and fiber-to-home network, there's absolutely no difference than HFCL Limited

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that. So technology is same. Way you do it is same. Only the gradient is the thing which you have to keep in mind, which is not a difficult thing to do at all. Number one.

Our rationale of taking, worldwide many places I've seen that, and even in India, Telangana it has been done by the government in a Bhagirathi project. That you laid down fiber optic cable while laying down water pipelines because the cost of laying fiber optic cable, if you look at more cost is in digging than the fiber itself. Here you're digging anywhere for laying the water pipeline. So you might as well put the fiber also.

So what I said, like HFCL, do this experimentation in Uttar Pradesh and many other parts of the country, if this is successful, that we lay fiber optic cable together with this because here, this project is making pipeline reach to every home. So we will give fiber optic cable reach to every home, which is anyway the objective of government of India under BharatNet program. And also at the same point of time, operators are also looking at taking fiber to home at a lower cost because ARPUs in the village may be lower.

Lower cash cost can only happen if the capex is low. So here since that the cost of digging is not there, cost of RoW is not there. The cost is expected to be much lower than what you would have incurred if you had laid down fiber optic cable alone for the telecom use. So the cost will be lower, expectation of ARPU would also be lower from the rural subscribers. So it is expected to be beneficial to operator also to government also and we get additional revenue.

So this is a new experiment we are doing in the country. So as that if this is successful, we would like to do this in the more number of areas. So this is the first such project where anyway, only water pipeline, we have decent profit. But we are doing a survey for the telecom purpose also, and we are going to lay fiber optic cable also in selected areas. Coming to profit, we are targeting at least about 10% profit before tax margin, 10% PBT in the project, which we have no reason to believe that why it would not be there yes, certainly, it would be there. 10% PBT is expected out of this.

Balasubramanian A: Okay Sir, my second question, our telecom product share increased to 64% versus 42%. And like our margins also substantially improved, EBIT margin improved 19%. Like if the telecom product shares crosses above 70%, what kind of EBIT margins we may expect and what kind of working capital cycle improvement we expect in over medium term?

Mahendra Nahata: Look, this is one of the strong performance area of the Company, which you have really pointed very well Mr. Balasubramanian. If you look at in the current quarter, our product revenue is 64% as against it was 57% in the last quarter and 42% in the same quarter of the financial year 2021. So 42% in one year has been up 64% during the quarter under review. If you really take it 9 months of the year, then this is 60% in the 9 months. And compared to the same 9 months in the last year, it was 41%. If you compare 1 one year back, go back by one year, financial year '21, HFCL Limited

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it was only 27%. Financial year '22, it became

43%. This year, this quarter, it is 64%. So we

have been rapidly growing our revenue from products, which has been my key initiatives, I've been talking every earnings call that we have been rapidly growing our revenue for products rather than projects.

Project which was 73% in March '21, it has gone down to 36% in the current quarter under

review. So we expect to continue this, our strategy is not to stop taking project. We will keep on taking projects, but we are not draining our cash flow, number one, and at the same point of time, which are profitable.

So if you look at, we have not taken any major telecom turnkey projects in the current quarter. We have taken this water supply together with telecom, where the payment conditions are good and the profitability is there, but we have not under taken any large telecom turnkey projects, there were many under offer. We could have taken a couple of 1,000 crores, I can tell you, a couple of 1,000 crores, but we did not take it because payment conditions are not good.

So strategy is to take more revenue from products, but not to forget the projects, if the cash flow negativeness is not there and profitability is decent for example, we are doing this, Reliance's telecom turnkey projects. We're implementing their fiber optic cable network in North India, and FTTH network in North India, but payment condition is good. So we have no problem in keeping on implementing that project because there is no negative cash flow. There's no cash flow problem in that project. So we'll continue to do that. But yes, now we will not take a highly negative cash flow projects, which creates the cash flow problems for us.

Balasubramanian A: Sir, what is the average working capital cycle for telecom products and EPC contracts, like if you could share some color?

Mahendra Nahata: On overall basis, I would tell you, it is about 125 days working capital cycle products and this mix of, if you do, it's an average. But if you say only products, products would be roughly 90 days and that could be roughly 150 days or so 170 days or so.

Balasubramanian A: Sir, on that optical fiber capex around INR 357 crores. What is the capex for optical fiber cables?

Mahendra Nahata: No, this is INR 356 crores only for optical fiber. Optical fiber capacity enhancement of 15 million fiber kilometers.

Moderator: Mr. Balasubramanian, may we request you to please return to the queue. There are several participants waiting for their turn.

Balasubramanian A: Thank you so much sir, I'll come back.

Moderator: We'll take next question from the line of Abhishek from Arihant Capital, please go ahead.

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Abhishek: Congratulations on good set of numbers. Sir, I want to understand on the railway communication side, we have an order book of INR 309 crores. Now Railway is talking about the increment in capex, the higher budgetary allocation by at least by 25% going forward. Sir, what kind of work we are doing? And can you throw some light on how you see the railway business going forward?

Mahendra Nahata: Abhishek, again, a very good question. I must appreciate. We have been a good expertise in railway telecommunication. If you had seen yesterday's Times of India, there was a full page ad by Larsen & Toubro that they have switched on the metro rail network of Mauritius and there was a full page advertisement. You must have seen that. Point, I'm trying to make here is the telecom network of that was done by HFCL. Mauritius metro, which was started overall construction was by L&T and which was flagged off two days back, and there was a full page ad by L&T yesterday on that. Telecom network of that project was done by HFCL.

Few days back, I think a couple of weeks back, if you would have seen another news item where Dhaka Metro Phase 1

is also switched on, flagged off by Shaikh Haseena, the Prime Minister of Bangladesh. There also, the telecom network was done by HFCL. Similarly, number of projects in dedicated freight corridor here has been done by HFCL for telecom. Kanpur and Agra Metro are also telecom network is being done by HFCL. We have participated in a couple of more projects Ahmedabad, Surat. The tenders are yet to be opened. There also we expect reasonable size of order to come to us.

So point I'm trying to say, not only in India but abroad also, we are doing a lot of telecom projects like Mauritius, Dhaka I just mentioned. In India also, some of the projects are subcontracted to us by the large contractors, turnkey contractors, some like Kanpur -Agra, we are doing directly. We have participated directly in Surat and Ahmedabad. So we developed a good amount of expertise.

Now there are more than 50 new metro cities are being planned on metro network. So we will be participating in all these projects also. So I see reasonable growth in revenue coming up on these areas. But yes, between order and execution orders, it takes a lot of time because order comes when they start building the infrastructure, the pillars, the lines and all that. The completion of that takes a long time. But I think our revenue from railway next year onwards something like INR 500 crores per annum should be able to reach growing steadily by some percentages every year.

Abhishek: What will be the margin on those projects? And just a follow-up.

Mahendra Nahata: The margin, Abhishek, depends, different in different projects. But generally, you can see

something like 10%, 12% margin can be there generally. But around 10%, you can say. But it differs for different projects -to-project.

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Abhishek: Sir, my second question will be what is the follow-up, So how the PLI benefit will be coming in the picture right now. So what level we'll be getting the PLI benefit? Is there any time line or anything is there right now?

Mahendra Nahata: No, PLI benefit, it's the next five financial year and starting on the current financial year. So what we produce after a new investment, which would be done by us INR 425 crores in the next four years, and there is a percentage they have provided this year, how much percent next year, how much percent.

And since we have got approval within the PLI, DLI scheme, design linked incentive scheme. So R&D expenditure is also taken as a part of capex for the purpose of calculation of this total investment of INR 425 crores. So total investment, INR 425 crores and the PLI incentive given to us is INR 653 crores. This will be available to us in the next five financial years, including the current year.

Current year is not expected to be much because we are yet to start making investment which would be start doing now except R&D, infrastructure investment, we are still not done. We are going to start it now in Gurugram near Delhi. But from next year onwards, when we start producing this equipment, four years' time frame, we expect to receive about INR 600-plus crores as incentive out of the production telecom equipment we will do in India.

Abhishek: Thank you Sir, I have few more questions I'll come back

Moderator: We will take our next question from the line of Sanjay Shah from KSA Securities Private Limited.

Sanjay Shah: Good Evening Sir, commendable and congrats on the front of shifting of private customer business, which is a very huge achievement company has done. And also on the product side, shift is really a remarkable achievement company has done. Sir, my question was regarding our Slide 18, I suppose. In Slide 18, we mentioned about key partnerships. There are 12 partners with us, and so will it be possible to highlight briefly on the opportunities with these partners and what

business they throw to us and as an asset to our Company?

Mahendra Nahata: Yes. I will definitely do that. But before I do that, one of the point I would like to highlight. You rightly said that there is a good performance in the area of products and all that. There have been three key areas I would like to highlight. The Company has done a robust growth in terms of strategic decision we took, where we have been very successful in implementing those decisions, and they have been a long-term benefit to the Company, there would be long-term benefit to the Company, one.

If you look at our revenue from products and projects, which I mentioned a little while back, that it has grown to 64% in this quarter, but it was 27% in the financial year '21, 27% to 64%.

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And naturally, this turnkey has gone down from 73% to 36%. Last few earning calls I have been repeating this, that this is our policy, this is our strategy to reduce our revenue from projects and increase from products. And gentlemen, this has been pretty successful, 27% of products revenue going to 64%, it's a good performance. Number one. So one first strategic vision and the performance is the revenue mix.

Second, increase in exports. There is another area I've been talking that we want to increase our exports, not marginally, but geometrically, we want to increase our exports. Now if you look at in the current financial year till now, our exports have already crossed more than INR 600 crores up to December. Now my target for export in the current financial year was INR 750 crores, which is more than double of INR 360 crores of last year to INR 180 crores a year before that. So INR 180 crores become INR 360 crores, then the target of the current year was INR 750 crores.

But let me tell you, this year, we will be crossing INR 850 crores. So INR 180 crores come INR 360 crores and INR 360 crores would be coming INR 850 crores in the current financial year.

And I can tell you, we will maintain the same kind of growth trajectory. As a company, we have taken the target of reaching to our export revenue of INR 1,500 crores in the next financial year. So INR 180 crores, INR 360 crores, INR 850 crores and the target of INR 1,500 crores.

This is the kind of another success has been in the Company, increase in export revenue, which is the strategy we have taken up as a second cornerstone apart from revenue increase of products

and which automatically is to revenue increase from exports.

Now, what is the second thing which is happening in export, which is also very critical. Though we have taken only a pilot project at this point of time, but the inquiries we are receiving, we are not sure that whether we can take that quantum of orders, which is implementation of projects in Europe.

Now European project payments are very good. You get paid every 15 days, every 15 days on the base of work completed. We are getting firm inquiries where they are saying come and do. After looking at the work we have done in Germany, kind of pilot work what we have done. We are getting inquiries for 100 s of crores for implementation of projects in Europe. Only point is that I am not able to ramp -up my implementation team to such a quick extend to get to undertake those number of projects. So we are really looking at how much order we should be taking where we don't dissatisfy the customer. We'll do less work, but we keep customers satisfied. So in the export front, when I say INR 1,500 crores, that does not include revenue, we would be getting from project side, whenever we start taking this project, which we believe that we should start taking in the next one or two months' time frame after ramping up our team which we have decided to recruit some people and do that, but that would be an addition.

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So second i

initiative of growth of export has also been very successful. Third initiative we have taken increase of revenue from private sector, decreased revenue from government. When I say this, our policy is to take only those government projects, which are not negative in cash flow. Cash flow is better, payments are better. Only those government projects we'll take or even the private. But the policy of decreasing revenue from government has also been very successful. In the quarter under review, the government revenue has only been 20% and private has been 80%. Now if you go back financial year March '21, government revenue was 49% and private was 51%, see it more or less it was 50 -50. 50 -50 has now become 20 -80 in terms of private sector. So these three key initiatives, Mr. Sanjay Shah, one, increase in product revenue, increase in exports and the increase in revenue from non -government. You have been in the calls earlier also, I remember.

So last four, five, six calls, I've been repeating this, we have demonstrated that how successful we have been implementing each of the strategy. Now let me again come back that we will continue on the strategy to keep on increasing our exports. Our strategy of new products by our R&D efforts is on, new customers, new geographies is on, and we will constantly improve our exports and revenue on the basis of strong demand, not only in India but abroad also.

Let me put it like this. In the world market it is 100, Indian market is 6% to 7%. 9.3% to 9.4% market, sit outside India. Now take out Chinese, where we can't go. Let us say, take out Chinese which might be 25% to 30%, but still 65% of the market is beyond India which is accessible to us. So while we concentrate on our domestic 60% to 70% of the market, we should go out and grab some share of the 65% market also, which we have successfully demonstrated in optical fiber cable.

We are now getting good success in implementation of projects also, but we will get good success in the product segment also, which I've been saying we would start working on this from the next financial year. Working has already started, but we will start getting a full revenue from the next financial year on the product side also.

So that is as far as you talked about projects and turnkey and so I thought not only that, but there are three very strong strategic points, which the Company has undertaken and has been very successful, I thought I should mention to the benefit of all participants on the call.

Now coming to the key partnerships, which we have said. One we discussed about Qualcomm. Qualcomm is a world leader in wireless technologies. So we had a partnership with Qualcomm for development of WiFi, backhaul radios, and now 5G products. 5G products is very critical, very critical. I, myself visited the top leadership of Qualcomm a month back. And it's a very successful partnership going on in terms of they're helping us in development products, their technical know-how, systems and all that. And we believe that will start coming out with the 5G

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products with Qualcomm technology in the starting from the field trial, I would say, from the first quarter of the next financial year.

The non -5G products, which is WiFi and backhaul radio are already there. They are growing production. New versions of that, including WiFi 7, first WiFi 7 based on open RAN standard

already demonstrated. So there are already in the production WiFi 5, 6 are already under production. They are being sold.

So it's a very profitable partnership. WiFi and radio are already there, but this 5G radio networking products, which includes macro cells, small cells, indoor, outdoor and fixed wireless access, which is going to be a very -very successful product are going to come up gradually starting in field trials on the first quarter of the next financial year.

N

Now this is one partnership. Now coming to two particular partnerships here, BigCat and Nivetti Systems. Here, we have invested money in their company. BigCat, we have invested about 50% of their equity and as against that investment, they're designing, software defined radio for us for army application. Similarly, I think that is expected to a huge market opportunity to INR 40,000 crores, INR 50,000 crores in the next six, seven years.

Nivetti Systems, again, we have invested in their company 15%. The design of switches is being taken by us and switch again has a huge market, \$10 billion to \$12 billion worldwide L2, L3 switches and these switches are being manufactured and sold by us as they have been designed by Nivetti systems.

Now other opportunities like Wipro, CommAgility, VVDN, these are the companies where we have done partnership for designing of products for us because when you design so many products, you can't ramp up your own R&D by yourself into such a manner. So we have given them contract for designing products for us. Contracts, they are doing work for us for designing our products, the IPR belongs to us.

For example, Wipro is designing a router for us, but design parameters, testing architecture is being done by us, development is being done by Wipro. So Wipro is probably doing three kind of routers, 120 Gbps, 300 Gbps and 700 Gbps. After that, we'll go above 1 terabit also. So Wipro is designing routers for us. VVDN is also helping us in designing of some of the wireless products. Similarly, CommAgility is also helping us in designing of the 2/2 small cell for indoor application. So we have more than about 250 R&D engineers within our Company, but we need many more.

So these are the R&D contracts, all the partnerships where we have invested money, they are helping us in designing this different technology equipment where IPR belongs to us. So I would say, not less than 400 to 500 people put together much is working in these companies for

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designing products for us. So that's an R&D spend, which belongs to us because they are working on contract for us.

So other companies like Metanoia or IP Infusion, they are software stack partnerships, unique software stacks for different products, which they are supplying software stacks to us. So there are different kind of partnerships starting from contract R&D to technology partnerships like Qualcomm or partnerships like equity partnerships, we have done, Nivetti systems or BigCat. But all lead to new products for us, all lead to new products for us where IPR belongs to us. That is the advantage we have got. So this is all this partnerships strengthening our R&D by getting more -and-more manpower, better manpower, design products for us. And once these products come in the Company, manufacturer has sold, which will increase our revenue and profitability both.

Sanjay Shah : I think it is ready stage for us for growth for HFCL for next 3 years, thank you very much Sir for detailing.

Moderator: We'll take a next question from the line of Hardik Vyas from Economic Times.

Hardik Vyas: Sir, I just had one question. You have enlightened us enough on all my questions. Just one question that we have been taking all these initiatives, but where do we see our next phase of growth for the next four quarters coming in from as in I'm not asking you the numbers, but the way you have said that you probably would exceed INR 1,500 crores on the product export revenue side. So will that be the same contribution as in roughly 15% to 20% of the overall revenue? Or could you please guide us on that?

Mahendra Nahata: Hardik, growth would continue on the back of strong demand in India and globally because now, we are not only talking to Indian market but to global markets, because that is one area

where

we are now concentrating and the performance has shown that.

Until now, we have been working on exporting fiber optic cable. Now I started working on export of projects also. Third, we would now be working very seriously on export of products also. So overall growth is coming on indigenous demand, local demand on the back of 5G, NHAI, defence, railways, BharatNet and all that and a strong global market.

Now growth will come from which areas. And let me tell you that. One, fiber optic cable. Fiber

optic cable revenue has been increasing consistently. This year, it would be around INR 2,300 crores to INR 2,400 crores in the current year, which you are talking about. Last year, it was about INR 1,700 crores. Year before that, it was INR 1,200 crores. Year before it was INR 700 crores, INR 700 crores, INR 1,200 crores, INR 1,700 crores, INR 2,300 crores , INR 2,400 crores. This has been the kind of growth. So we will maintain this kind of a growth

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trajectory. In the next financial year also. This growth trajectory will be maintained and major growth would be coming from export market. As I mentioned, INR 750 crores, INR 850 crores this year, but we expect to reach to INR 1,500 crores. This is in fiber optic cable alone, but there would be projects on the top of that. There would be products on the top of that. This INR 1,500 crores again, I tell you for only for fiber optic cable. But projects and products would be on the top of that. So how much that would be, it's too early for me to start talking about because we have to still jump into the water and swim there. That is one.

Second growth opportunity or whether the growth, of course, would happen in the product business. As I said, products are going to be launched, all 5G -related product, routers and all that are going to be launched starting from the first quarter of the next year . So first quarter, we are starting field trials of the equipment, and it will continue field trials and launching for throughout the year.

So second growth is going to come from your -- this product revenue, wherein we believe that next year, a reasonably good number of products will be launched and revenue would come from national and internationally both.

Third growth would come from those projects which are financially profitable and also cash flow positive. That is the other area where we look forward, the growth would come, not that we are stopping project business. No. where the profitability is there and the cash flow is not so much negative, we would keep on getting projects. So that is another area of growth, which is going to come. So all this put together, growth would be there locally, internationally, cable, projects and products , all three areas.

Moderator: Our next question is from the line of Abhishek from Arihant Capital.

Abhishek: Sir, my question is largely on the export side, you have given the numbers right now. So what will be the mix of the export side, if you can throw some light, which are the segment , and how you see defense as an opportunity for an export?

Mahendra Nahata: Look, we have not at all looked at defense as an opportunity export till now. Because once we start supplying in India, then only we will be starting looking at opportunity of export in defense. Fuze, for example, we are registered in NATO as a possible supplier, NATO's some cage number, which has allotted to us. But we are not working on any of such proportion at this point of time because let us first establish ourselves in a good way in India, then we look forward for export in defense equipment. So that revenue is not in my projection at this point, not that we would not do that. But I don't visualize doing that in next one or two years. That's the number one.

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Now coming to exports right now

now, the entire exports mostly has been fiber optic cable till now. As I've been saying that until now we have been consulting at fiber optic cable project very small work we have started as a pilot. But next year, we will be doing more of that. Product, yes. That's one area that there would be another growth opportunity apart from fiber optic cable. When I say INR 1,500 crores, as I said, that is fiber optic cable and products and projects will be added on the top of that. So these are the export opportunities we are working on.

Abhishek: Thank you Sir.

Moderator: Our next question is from the line of Hitesh K. Patel from KK Patel & Company.

Hitesh Patel: Good evening Sir and congratulations for the good quarterly numbers. I would like to clarify one thing. Sir, in the month of October '21 INR 600 crores expansion plan of optical fiber cable was announced. So right now, sir, what is the on-stream of where the expansion. Are we 100% spending on the capacity announced in the October month?

Mahendra Nahata: No, Mr. Hitesh. Fiber optic, as I mentioned, INR 356 crores expansion has already started. Construction has already started in Hyderabad. That work is going on. Fiber optic cable, we are yet to start construction, but machine orders and all has started . Construction activities yet to start because of land acquisition work and that is going on, which is expected to be completed

in next one month's time frame, then immediately that work also would start. A lot of land has been acquired. Payment has been made, but construction, we have to start once the land acquisition is completed, we will start construction of that. But fiber, work has already started.

Hitesh Patel: And one more question, sir, how would you see the future margins of the company on the product side? About six months back because of the COVID, margin was shrunk by huge margin. In this quarter, we have seen some spike in the operating margin. How would you see the future?

Mahendra Nahata: Look, as you would have seen, the profit margins have grown in the current quarter. There has been a reasonably good growth in the profit margins. And I believe that going forward, margins will keep on becoming a bit better. Reason being as we bring in more telecom products in our product portfolio, I believe that margins would keep on growing further because once we have products with our own IPR, our own control on the technologies, the margins are expected to grow. So the margins have grown into the in current financial year, current quarter. And we're expecting that the margin will grow further.

But to put up a number would be very difficult right now that how much growth would be there.

But yes, I expect the margins to grow.

Moderator: We will take our next question from the line of Dipesh from Manya Finance.

Deepesh: Sir, you mentioned about setting up the new manufacturing facility for the PLI scheme. Now the project cost, you said that it will be funded by a fresh fundraise. Will the fresh fund raise will

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come through as a preferential allotment as you had planned before? And will it come in this quarter or maybe in the next quarter?

Mahendra Nahata: I didn't say that we did by fresh funds. I never said that. I said.

Deepesh: In the press release, sir. In the press release, it has been mentioned that the project cost will be funded by term loans, internal accruals; preferential issue of warrants which have already been given and the fresh fund raise.

Mahendra Nahata: Yes. So that's what you are referring. I thought you are referring to, what I stated just now. No. So fresh fundraise, though there has been enabling resolution passed by shareholders and the Board also. But the warrants have been already issued, as you know, but we have not really decided when are we going to do the fundraising and all that. So we are waiting

g because this

investment is to be made in next few years, not immediately. So we are waiting for the right moment and when the funds to be raised.

So no such decision has yet been taken to raise the funds at this point of time. Whenever we think we will definitely come back to you only enabling resolution, which have been passed.

Dipesh: Okay, And just one more question, sir. I mean what is the reason the sales declining? And going ahead, do we see, I mean, how strong do we see 20%, 25% growth in volumes?

Mahendra Nahata: I would like to say one thing here, decline in sales is not important. Improvement in profitability and overall profit is more important. If you get the same profit or more profit or less sales is, I think, is a good performance parameter for any company. So in the current quarter, if you see the sale as a small decline, and I will explain the reason also, but profitability has increased. So that is a key parameter one should look at.

And that's what we are looking at the Company that profitability should increase. Revenue should also increase. No doubt, it has to increase. But more effort should be on increase of profitability. Now a small decline in the sales in the current quarter has been because that some incomplete work in the projects could not be billed in because the customer testing has not happened, particularly in the army related project.

The customer testing could not happen because of various issues related to the customers. That is why this billing of that particular work could not be made. Otherwise, you would have surpassed what last quarter's revenue was, but it was the reason was this that we could not bill that, so it could not be part of our revenue.

Moderator: Thank you. Ladies and gentlemen, we take that as a last question. I would now like to hand the floor back to Mr. Nahata for closing comments. Over to you, sir.

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Mahendra Nahata: Thanks to all of you, gentlemen, for being part of this call. I'm sure you would have got a good view of what kind of strong performance Company has given, what kind of a strong strategical path we have created for our Company for future growth and our strategy of new products, new customers, new geography is on track, by increasing our product range, by innovation, which is improving our profitability, increase our exports, we have increased our revenue from private

sector, we have increased our revenue on products. And we are sure to continue on that course and continue to improve the revenue and profitability of the Company . Thank you very much, gentlemen. And again, wish you a very -very Happy and Prosperous New Year. Thank you very much.

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

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HFCL/SEC/ 23-24
May 15 , 2023

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Security Code No.: HFCL

Subject: Transcript of Conference Call on Financial Results/ Earnings for the 4th Quarter & Financial Year ended March 31, 2023 .

Dear Sir(s)/ Madam,

We hereby submit Transcript of the Conference Call held on May 09, 2023 , on the Audited Financial Results of the Company for the 4th Quarter & Financial Year ended March 31, 2023 , on Standalone and Consolidated basis, which were considered and approved by the Board of Directors of the Company, at its meeting held on May 08, 2023 .

This aforesaid Transcript is also available on the Company's website at www.hfcl.com .

We request to take the above information on your records and disseminate the same on your respective websites.

You are requested to take the above information on records.

Thanking you,

Yours faithfully,
For HFCL Limited

(Manoj Baid)
Senior Vice -President (Corporate) &
Company Secretary

Encl .: Copy of Transcript
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"HFCL Limited
Q4 FY '23 Results Conference Call "
May 09, 2023

MANAGEMENT : MR. MAHENDRA NAHATA – MANAGING DIRECTOR &
PROMOTER

MR.V R JAIN – CHIEF FINANCIAL OFFICER
MR. MANOJ BAID – COMPANY SECRETARY
MR. AMIT AGARWAL – HEAD INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to the HFCL Q4FY23 Results Conference Call hosted by ICICI Securities. As a reminder, all participants lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star

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then zero on your touch phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mahendra Nahata, MD HFCL. Thank you and over to you, sir.

Mahendra Nahata: Good afternoon, ladies and gentlemen. I'm sorry for a little delay, it happened because of some connectivity issues.

I am delighted to welcome you all to HFCL's earnings call for the fourth quarter and financial year ended 23. I trust that you got a chance to review our financial results, press release, and investor presentation, all of which are available on the website of the Company and also on the website of stock exchanges.

During FY23, the global economy faced challenges such as financial market volatility, high inflation, and slower growth. However, despite these headwinds, India remains a promising economy and is expected to emerge as the fastest-growing in the world.

The telecom industry during FY23 has witnessed significant growth and expansion both in India and globally, with increasing adoption of broadband technologies including broadband wireless technologies, 5G network rollouts, and the growing demand for high-speed connectivity driving continued innovation and investment in the sector.

Indian Government has maintained a focus on key priorities such as the nationwide implementation of 5G, fiberization as part of the Bharatnet and NHA projects, and encouraging participation in the PLI schemes to promote indigenous design and manufacturing of Telecom & Networking Products. These priorities have been fueled by the rapid digital transformation and the amplified need for high-speed data together with integration of advanced technologies such as artificial intelligence, IoT and machine learning. PWC predicts that the implementation of 5G technology will add \$1.3 trillion to the global GDP, and projects an economic impact of \$42 billion to the Indian economy by 2030. This backdrop makes us confident to kick start the new financial year on a positive note. HFCL has been tirelessly working in these transformational areas by designing relevant new technology equipment and thereby also increasing scope of its network services portfolio. These efforts will result in expansion of its addressable market and will also boost its revenue and profitability.

FY23 was a year of transformation for HFCL as we continued with several key initiatives to design 5G and various other broadband wireless products. These products include 8T8R Macro Radio Unit, Cell site Routers, 2&4 GBPS Point to point and Point to multi point UBR, Indoor and Outdoor small cells, Outdoor FWA CPE and DU/CU Aggregation Routers. All these products are scheduled to be launched during the current financial year and are expected to have huge demand opportunities globally. Launch of these products will bring in higher revenue and profitability to the Company in coming years. Recognizing Company's efforts and initiatives in designing of telecom equipment, Govt. of India has already sanctioned design linked incentive up to Rs.650 crores to the Company.

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Furthermore, the Company has entered into some crucial technology partnerships with Qualcomm, Microsoft, Wipro, for developing cutting-edge 5G products and solutions. These partnerships are boosting up Company's R&D capabilities and are also helping to develop and productionise new products at a much faster pace.

During the year, we also strategically worked towards our expansion in key global markets like United States, Europe and Middle East, with an aim to become a global player in the Optical Fiber Cable, Telecom & Networking products and system integration space. Our continued focus on creating and expanding capacities and tapping new geographies has not only led to an increase in the share of product revenue to 56% in FY

23 as compared to 43% in FY22 but has also resulted into increased share of revenue from private customers to 83% in FY23 from 68% in FY22 . We are currently operating in over 30 Countries with 80+ clients and building long -term relationships across large and fast -growing markets. For achieving higher export revenue, persistent efforts are being made by the Company by appointing employees and engaging agents and distributors in key markets like France, Germany, England, Poland, Australia, UAE, Turkey, Kenya, United States and several other Countries . All these endeavors have lead significant increase in our export revenue during FY23 to Rs.817 crores from Rs .363 crores in FY22 witnessing a growth of 125% on a Y -o-Y basis.

One of the significant developments in the quarter was our collaboration with Microsoft to launch Private 5G solutions for enterprises. Our partnership will help us offer highly scalable and rapidly deployable solutions for enterprises. We foresee that private 5G networks can offer numerous benefits to the manufacturing sector, including increased productivity, improved efficiency, and cost savings and enable enterprises in their Industry 4.0 journey. The Company is in process of developing use cases in some of these areas to offer integrated solutions to the enterprises, which will lead to competitive advantage with improved profit margins.

We are proud to share that HFCL has emerged as India's first enterprise to enable the deployment of World Broadband Alliance's Open Roaming across its entire Wi -Fi portfolio. Currently, we are working with multiple telecom operators in India and a few other Countries to deploy Open Roaming, and we have plans to scale its reach across the globe and make the most of this first mover advantage.

In Q4FY23, we signed a distribution agreement with EPS Global to expand our footprint in global markets such as North & Central America, Europe, Middle East and Africa. Through this partnership , we are tapping new markets for our products and solutions ranging from advanced indoor and outdoor Wi -Fi 6 access points to commercial and industrial switches, high -powered Gigabit PoE+ injectors, and the world's first open -source enterprise -grade Wi -Fi 7 Access Points amongst others. Further, HFCL has also signed an exclusive distribution agreement with UK's leading distributor, Purdicom Ltd to further strengthen its footprint in UK and Ireland markets.

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We have also entered into a strategic partnership with 6WIND, a leading green -tech networking software Company for optimised, sustainable and cost effective 5G solutions based on its innovative and market leading Virtual Service Router software products.

The Government of India is doing a commendable job to fast track the deployment of 5G networks and rollout of OFC network in the Country . HFCL is working to capture a larger share in the expanding OFC market, which is projected to reach a cumulative value of ~ US\$250 billion worldwide and US\$10 billion in domestic markets during FY 2023 -2028.

In order to further strengthen the supply chain and improve the profit margins, the Company is expanding its optic fiber capacity from existing 10mn fkm to 25mn fkm by Q2 of FY25. With this expanded capacity of optic fiber, the Company is expected to generate additional profitability of ~Rs.150 crores on annualised basis computed at prevailing market price vis -à-vis current cost of in -house production of optic fiber . In addition the Company is also in process of expanding its optical fiber cable production capacity from 25mn fkm to 35mn fkm. This expansion will also lead to significant increase in revenue and profitability.

The Company has also created centre for excellence for development of newer types of optical fiber cables in its manufacturing facility at Hyderabad. These new types of cables are expected

to further increase Company 's revenue from export market. The Company 's subsidiary HTL Limited has also developed Tactical optic fiber cables required by defence forces.

I also wish to update you all that the development of various 5G Radio Access Network & Transport products is progressing well and we will be launching 5 G Fixed Wireless Access CPE, 5G small cells, 2&4 GBPS point to point and point to multipoint backhaul UBR, routers of various capacities and 8T8R Macro Radio Unit during current financial year. Total addressable market (TAM) from such products worldwide is expected to be ~ 550bn USD by FY28. The Company is in process of setting up of facility for the manufacture of these products and targeting revenue of Rs.800 to Rs .1000 crores in FY24 -25 compared to Rs.138 crores achieved in FY22 -23 from existing product portfolio. These products are also eligible for PLI incentives up to Rs. 50 crores over a period of 4 -5 years as per approval received by the Company . Increase in revenue from these products which are own designed and manufactured will also lead to higher margin and profitability.

This quarter was also marked with HFCL winning some key purchase orders. As a result, our order book has grown to more than Rs.7000 Crore as compared to Rs.5300 in the same quarter last year. Some of our major wins in the quarter have been contract of Rs.283 crores from Gujarat Metro Rail Corporation Limited and Rs.575 crores from Reliance for its telecommunication business.

Let me now brief you on key performance metrics for twelve months ended March 31, 2023 and Q4FY23:
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For the twelve months ended 31st March 2023, the Company reported consolidated revenue of ₹4743 Crores as against ₹4727 Crores in March, 2022, EBITDA of ₹665 Crores as against ₹692 Crores in March, 2022, Profit before Tax of ₹430 Crores as against ₹442 Crores in March, 2022 and Profit after tax of ₹317 Crores as against ₹326 Crores in March, 2022.

- Revenue for Q4FY23 stood at ₹1433 crores as compared to ₹1086 crores in Q3FY23 and ₹1183 crores in Q4FY22 with an increase of 21.13% on YOY basis.
- EBITDA for the quarter stood at ₹168 crores as compared to ₹194 crores in Q3FY23 and ₹154 crores in Q4FY22; EBITDA margin stood at 11.74% for Q4FY23 as compared to 17.80% for Q3FY23 and it stood at 12.99% in Q4FY22.
- For Q4FY23, profit after tax stood at ₹79 crores as compared to ₹102 crores of Q3FY23 and ₹68 crores in Q4FY22; PAT margin stood at 5.49% in the quarter under consideration as compared to 9.36% in Q3FY23 and 5.76% in Q4FY22.
- Segment revenue for telecom products during the quarter stood at ₹654 crores as compared to ₹693 crores in Q3FY23 and ₹585 crores in Q4 of FY22.

While margins during quarter under review are low compared to previous and corresponding quarters due to execution of some of the low margin contracts, the overall margins for FY23 are intact despite increased input costs and supply chain disruptions followed by Russia Ukraine war and other global economic challenges. The margin at times may vary in a quarter due to the nature of contracts executed, bidding propositions etc. However, the overall EBITDA margins ranges between 14 -15%. With various strategic initiatives such as expansion of capacities, launch of indigenously designed products, continued backward and horizontal integration, investment in R&D and geographical expansion, overall margins are aimed to be increased by 4-5% in 2 -3 years' time.

The current growth being witnessed in Telecom markets world-wide brings in optimism and new opportunities. We look forward to FY 24 and beyond with great optimism as our strategic initiatives are expected to bring significant growth in revenue and profitability.

At the end, I would like to reiterate that we remain focused on our vision to become a leader in our

industry, and with all the initiatives being undertaken such as, huge impetus on R&D, backward integration, capacity expansion, geographical expansion, developing margin accretive new products, we are confident that these strategic initiatives will position us for long-term success. Our team is dedicated to delivering value to our shareholders, and we will continue to work tirelessly to achieve our goals.

Thank you once again for your keen participation. With this, I conclude my opening remarks and open the floor for the Q&A session. Thank you.

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Moderator: Thank you very much, sir. We take the first question from the line of Mr. Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian : My first question, like we are launching around 7 to 8 5G products from Q2 FY '24 to Q1 FY '25. What would be the telecom revenue share as expected to reach in FY '25? And in the last 2 quarters, Telecom Products margins are around 19%. We may expect about 20% kind of margins to do these new launches. These are my first questions.

Mahendra Nahata : As I said, the telecom and networking products revenue is targeted to reach INR800 crores to INR1,000 crores in FY '25. And this significant growth is going to come from new products which we are launching. As I've said in my opening remarks, a number of new products are going to be launched in the current financial year and they are in advanced stage of development. So once these products are launched, they are definitely going to increase revenue multiple times and it is targeted at INR800 crores to INR1,000 crores in FY '25.

And number two, as far as margin is concerned, the products are our own designed and manufactured. It's will certainly have much better margins than 19%.

Balasubramanian: Okay. Got it, sir. Sir, in Q4 FY '23, turnkey contracts witnessed margins less than 5%. Any specific reasons for that?

Mahendra Nahata : Many times Margins on EPC contracts varies quarter-on-quarter, depending on the type and part of contract executed in a particular quarter. So, what happened in this particular quarter, the EPC contracts which have been executed, the part of that was at a lower margin. So, you see lower

margin in this particular quarter. It is a bit of an aberration also, but it has happened like that. However, overall EBITDA margins in turnkey project ranges between 8% to 12%. Now with increasing share of revenue from product business, EBITDA margin on over-all basis are also increasing year-on-year and currently ranging between 14% to 15%. The margins are now planned to increase further through high level backward integration and introduction and launch of indigenously developed products on an overall basis. But turnkey margins this particular quarter it was low because of execution and sale of particular part of contract. However, the overall margins are intact and it will increase in future.

Balasubramanian: Okay got it sir. Sir on the railway side recently we got the Surat metro rail projects Phase 1. Like any further tender or projects are lined up like how we are compatible to execute on railway projects. Because nowadays railway projects are more competitive and margins are slightly lower. What is your thought process on that sir?

Mahendra Nahata: You know we have got a very prominent position in railway communication business in the Country. In a sense that not only we have executed contracts in India, but we have executed contracts in other Countries also like Mauritius, Bangladesh. So, we will continue to be in this

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business and also the margins vary from contract to contract. Yes, it is competitive but it is niche area and we should do both good revenue and profitability.

As far as Surat metro contracts, this will be executed as has been planned. And we have bid in

to

many other contracts also, different metro you know where metro extensions are coming up or new metro lines are coming up. We have bid into the contracts and we are confident that we should be able to get more orders. As you know Kanpur and Agra metro, we have got direct orders and they are already getting executed by us. And similarly, we are working on various other metro contracts where we expect reasonably good order position.

Balasubramanian: Sir on the margin side on railway projects like how the margins are?

Mahendra Nahata: It is something like turnkey contracts only. Only problem in the railway projects is that revenue comes late as you know in a sense that telecom is the last thing to be done. And the contracts are awarded when the metro is planned, then you know civil work is done, electrical work is done and all kind of things are done. Then you know this telecom business comes up. So, you know it is not that you got the order and it will be getting executed in one year. It will take 3, 4, 5 years to get it executed because the civil work and all that in the metro takes time. So, margins are like the turnkey contracts average margin.

Balasubramanian: Okay, got it sir. Sir on the capex side....

Moderator: Sir, may we request to join the question queue sir as we have multiple participants.

Balasubramanian: Yes, thank you so much sir. I will come back to you. Thank you.

Mahendra Nahata: So, thank you Mr. Balasubramanian.

Moderator: Thank you sir. We take the next question from the line of Mr. Jay from KSA Securities. Please go-ahead sir.

Jay: Thanks for the opportunity, sir. I wanted to understand how do you see the global OFC market and what will be the likely impact on the Company's performance going forward.

Mahendra Nahata: Can you repeat the question, I missed few words.

Jay: Right sir. So actually, I wanted to understand how do you see the global OFC market and what is the likely impact on the Company's performance going forward. We have increased that exposure from 7% to around 17% the revenue mix. So, any color you give on the OFC segment of the global market?

Mahendra Nahata: Yes, I can tell you. Look the one thing which has happened in the global OFC market, particularly after pandemic, this demand of high speed data has grown and work from home culture even after the end of pandemic has so widely spread that there is a huge need of data in

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every home. Subsidies are being given by many Countries to have high speed data availability at every office, every home where it is not there or either the less speed data is available. For example, in U.S. They have announced subsidy of U.S. \$61 billion to connect homes over fiber optic cables. \$61 billion just to connect homes on the fiber optic cables.

Now these kind of numbers for fiber optic cable connectivity to homes and offices has increased the demand of fiber optic cable worldwide coupled with the implementation of high-speed wireless networks like 5G for example. Some other networks like 6G will come in future. So, demand of optical fiber cable has increased quite a bit and it is expected that it will keep on

increasing every year . The current consumption is about 600 million fiber kilometers. It is expected to reach 750 million fiber kilometers in three years' time frame globally. Similarly, demand in India has also picked up because of large -scale implementation of 5G as well as FT TH network, majorly being done by Reliance Jio, so the demand has picked up. So globally there is an increase in demand in fiber optic cables. So, what HFCL is doing is this case. One, we are increasing our capacity from 25 million fiber kilometers to 35 million fiber kilometers per annum for fiber optic cable and for the fiber itself from 10 million fiber kilometers to 25 million fiber kilometers. Both of these are under

progress at this point of time. For optical fiber, once you produce such high capacity of fiber, Company will be making additional profit because I am going by the current data, the current rate difference between own manufactured fiber and the fiber which is bought from outside, the difference is of INR100. So once they produce additional 15 million, they will benefit INR150 crores to the Company on every year basis. So, demand of optical fiber cable worldwide has picked up significantly and the Company is increasing the capacity to meet demands of its customers. Now coming to exports, what you asked, we have grown our exports consistently every year.

Jay: Right. So, my second question would be, are you taking any...

Mahendra Nahata: Yes, sorry, I am in the US at the moment and somehow the lines are malfunctioning. So anyway, so what I am saying is that with the increase in demand of optical fiber cable worldwide, we have taken effective steps to meet the demand of our customers.

Our exports have increased by 125% in the last financial year, which was INR8 17 crores of export. We are targeting the fiber optic cable export itself between INR1, 200 crores to INR1,500 crores in the current financial year, which is the FY '23-'24. And these exports are going to increase further in the next financial year with the export of networking and telecom products we propose to start, which we are bringing in the market and manufacturing in the current financial year progressively. So optical fiber cable, good proposition, good opportunity and the Company is making out, good profits from this opportunity and increasing its revenue also.

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Moderator: Thank you, sir . We take the next question from the line of Mr. Jigar Valia from Ohm Group. Please go ahead, sir.

Jigar Valia: Yes, thanks for this opportunity. Just a follow up to the discussion that you're doing. So, it basically you're not seeing any recessions, etc ., across markets like Europe, U.K., may be U.S. to some extent . I mean, you're looking at exports to be a little robust only for current year as well as next year.

Mahendra Nahata: Look, I don't foresee any recession as such. There may be demand stagnation for some time, stagnation in a sense that if you are selling, worldwide demand is 50 million fiber kilometer per month, it may remain 50 million, it may not be 60 million in a particular month. You know, the demand of 600 million which is there will continue. However, capacities have increased worldwide. No doubt about that. Capacity have increased because the demand has increased, every manufacturer has increased capacity.

But now issue in export is who is able to get the market share. So, what HFCL is targeting to get the market share , you know, we are minuscule to the whole worldwide market. So, we don't see any problem in reaching to our targets of, INR1, 200 to INR1,500 crores in the current financial year because we have gone into the additional markets. In those Countries , we are operating through our salespeople, our own employees or agents . We have increased the numbers. Most significantly, we are working on United States at this moment. U.S. had a different kind of cable requirement which we have developed.

And this year, we expect some significant revenue to come from the United States. So, in our case, we are increasing the geographical expansion and within Countries going to more customers. And major markets like U.S. which we had not entered into till last financial year , we are now entering into those markets. So, I don't foresee any reason to see that we will not be able to meet our target. Like last year, we were able to do more than our target , I think this year also, we will definitely be able to meet our target.

Jigar Valia: So fair to assume that exports can be more than 20% or 25% of the overall revenue going ahead.

Mahendra Nahata: You know, when I say that about INR1, 200 crores to INR1,500 crores, yes, it can be around that number. I would not commit on exact 25% or 27% or 22%. But yes, it would be around that number.

Jigar Valia: If you can give some perspective with regards to margins in export markets or basic or overall, with the increasing the optic fiber capacity. So how should one look at incremental EBITDA or

overall margins playing out in next year?

Mahendra Nahata: In terms of net margins, net margins on optical fiber cable export on overall basis, it may vary from contract to contract, but overall basis 10% should be the number you should take into

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account for calculation of margins on exports on overall basis. Net margins about 10% you can assume.

Jigar Valia: Okay. And at an EBITDA level, it would, or it depends on contract or would it be kind of any different from the domestic business?

Mahendra Nahata: Look, again, as I said, depends from contract to contract, sometimes the contract is giving you less margin, sometimes more, but inherently export margins are a bit higher than the domestic margins...

Jigar Valia: Working capital cycle for exports would be...

Mahendra Nahata: You know, generally the payments from the customers are 90 days.

Jigar Valia: Got it. So last question from my side. Would we be free cash flow positive this year or when can

Mahendra Nahata: I definitely expect that this year we should be free cash flow positive. Only, issue I would like to raise is that we have been incurring capex also. Expansion in fiber, fiber optic cable, R&D investments. So these are targeted for long term growth. So even if we are not cash flow positive in a particular year, the point is, we are making substantial investment for future growth. And what we have seen, whatever investments are being done now are bringing in results.

You know, a lot of R&D investment has been done, which is bringing in new products in the current year. And this will bring in additional revenue and profitability. Fiber, for example, as I told you, that we are increasing capacity by 15 million, which would cost us around INR300 crores. So that is expected to bring in INR150 crores of profit every year because of price difference between prevailing market price and cost of own produced fiber. So, I would not be that much concerned about this year's cash flow positivity because these investments are going to be made, but they are going to bring in long-term profitability in the Company in a very near future.

Moderator: Thank you. We take the next question from the line of Mr. Saral Seth from Indsec Securities & Finance Limited. Please go ahead, sir.

Saral Seth: Yes, sir. Thanks for the opportunity and congratulations for a good set of results. So, my first question is how Company is likely to achieve higher revenue with initiatives taken through its R&D procedures. So, I want to understand how R&D is going to play an important role for increasing our revenue?

Mahendra Nahata: Look what I'm just saying, that this R&D is going to play a most important role in increasing the revenue as well as profitability. You have to understand that there are two ways you can bring in new products. Either you can have a collaboration with somebody or you design your own products. So, if you design your own product, inherently they have higher profitability and you are not restricted to a particular market, you can sell it anywhere.

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So, what we have done in our R&D is designing a good number of telecom and networking products, which as I said, one is led by Wi-Fi and UWB kind of equipment second is 5G related equipment. And some of the equipment which can be used in both the cases. Now with this kind of R&D infrastructure where we have got our own

R&D for telecom equipment and networking

products in Bangalore and Delhi. Also, we have partnerships for R&D, we have given contracts to companies like Wipro, VVDN, Capgemini, those kind of companies. New products are coming at a faster pace. Now what is happening with this, these products once they come in, not only we will be able to meet the demand of operators in India, but we will also be able to meet the demand of operators abroad. We have already started quoting for these products to different operators. So, as I said, what we are expecting, these R&D related products will bring in additional revenue of roughly over INR800 to INR1,000 crores in the financial year 25 itself. And if you see, compared with the current revenue from these products, it is only INR138 crores. So, with the launch of new products, I am talking about, revenue is going to increase significantly and because these are our own designed products, inherently they have a higher margin. Our profitability will also increase significantly. So, this is a very transformational step which the Company has taken in designing these telecom products locally because this will give us higher margins and on the top of it, there is a PLI incentive given by government of India, sanctioned to us for INR650 crores.

All the se are going to be added into the margin of the Company . Moreover, second thing what we are doing is that R&D is not limited to telecom and networking products only. It is the cables also, in fiber optic cables also we are doing a lot of R&D. We have got o ur R&D center for this in Hyderabad and also at the same point of time, R&D people in US , who are helping us to design various new kind of cables which are required in the export market. So, with these design of new kind of cables with new construction, we are able to get higher market share in the fiber optic cable market. So, R&D is playing a significant role in increasing revenue and profitability both.

Saral Seth: Sir, when we say that we are procur ing products from our partners like Wipro, Capgemini , are we paying any royal ty to do them or how is this accounted for sir?

Mahendra Nahata: These are contracts R&D, where one or two cases we may be paying small royalties, but this is our own IPR, they ar e designing for us. We have given them contracts to design the products for us and transfer the design and IPR completely to us. Our own team is totally involved in designing those products with those R&D products.

Saral Seth: Understood sir. Sir, you have given a good color on the margin, but I want to understand what could be the blended FY '24 margin outlook and what steps are we taking to sustain the current profitability level which has seen a huge incre ase over the last couple of years.

Mahendra Nahata: Look you know, steps we have taken, as I said in my presentation , very important steps to increase our revenue and profitability both. And I will describe these four and five steps which are really

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transformational steps and we need to underst and clearly that these steps which we have taken are positively going to impac t the working of the Company . Now what are these steps? One, what we thought of the strateg y of the Company ? One, high impetus on R&D, design own products, increase revenue from them and they will bring in more profitability and higher addressable market. So bigger market opportunity, higher profitability, increased revenue from the product s we have explained in detail in earlier question. Second step we have taken, increase our revenue from private operators.

As you have seen we have gone to 83% now in our revenue from private operators which used to be less than 30% few years back and is 83% now. Government revenue is only 17%. Third

what we have done, increased our revenue from products than the EPC contracts. What we have seen this year, revenue from pro ducts is almost about 56% -57% which used to be much lower than that couple of years ago. Fourth what we have said is that, we need to increase our exports. So exports this year has increased from INR360 crores to INR8 17 crores which has increased 125% year-on-year basis. And then capacity expansion including higher backward integration. Now fiber capacity is being increased by 15 million that will bring in additional profitability of INR150 crores as expected from the difference in the current market prices Vis a Vis own manufactured fiber cost and the increase in cable capacity .

So, these steps, export increase, market size increase, our own products , higher value creation products , going to more to the private operators and going more to the products than the EPC contracts. All these are bringing in higher revenue and profitability and will make it sustainable for long term for the Company in terms of increasing revenue and profitability both.

Saral Seth: Sir, can you share your capacity utilization on a blended basis for the quarter and the full year?

Mahendra Nahata: Capacity utilization in fiber optic cable is almost 100%, all our factories are working 24x7.

Saral Seth: Okay sir, I will fall back in queue. Thank you.

Moderator : Thank you sir. We'll take the next question from the line of Mr. Sahil Sanghvi from Monarch Network Capital. Please go ahead, sir.

Sahil Sanghvi: Thank you for the opportunity. And good ambitions for a very good business plan ahead. Sir, I have mainly two questions. First, y ou have an order book of INR7,000 crores. Can you split it in how much is product -based orders and EPC orders? And also, geography, export and...

Mahendra Nahata: One thing I would like to make clear. The product orders are received on a regular basis. They are not like EPC contracts where you receive an EPC contract of INR2,000 crores and that is executed over five years' time frame. Those EPC contracts and those orders are of different kinds. But when you come to a product order, they are received on a reg ular basis. Like for example, fiber optic cable. You keep on receiving orders, INR60 crores, INR80 crores, INR40 crores, INR30 crores, INR100 crores. You keep on receiving orders like that. Whereas the orders

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for EPC contracts come in bulk. So, orders woul d not reflect the correct position. But in terms

of order book right now , I would say, about 90% orders are of EPC contracts, 10% would go into product contracts.

Sahil Sanghvi: Right sir. And this product -based order proportion will keep on increasing, right? I mean, once we next year we launch...

Mahendra Nahata: Yes, this will increase. This will definitely increase because of increased number of products which are being inducted. And also at the same time, increase in capacity. But let me tell you one more thing. In terms of revenue, as you see, the position is reversed. Product based revenue is 56%. So that is the difference I want to talk about. That, orders does not represent real revenue. The orders of EPC contracts have bulk orders coming at one point of time. Product orders are coming in large number with small quantities. So that's how you see that difference.

Sahil Sanghvi: Right sir. And what would be the export domestic mix over here?

Mahendra Nahata: Export and domestic mix, our export has been about 17% of the revenue. 83% has been domestic. Last year it was 7% and 93%. It is now 17% and 83%. But we are targeting to reach to 25% in the current financial year, around 25%.

Sahil Sanghvi: Right sir. And my second question would be, it's at the margin sort of trajectory that you make in these telecom products. What could that be? I mean, I understand it differs product -to-product, but what r

ange can we expect for these telecom products?

Mahendra Nahata: You know, it differs from product -to-product, you're right. Because some products which are highly competitive and number of manufacturers are more, but demand is high, so the margin is less. So generally, it will vary. Generally, the net margins will vary between 15% to 20%, generally.

Sahil Sanghvi: 15% to 20% is the net margin number?

Mahendra Nahata: Net margin.

Sahil Sanghvi: And EBITDA would be, sir, any idea?

Mahendra Nahata: EBITDA could be around, I think, 25% - 30%

Sahil Sanghvi: Okay. That's all from my side, sir. All the best. Thank you, sir.

Mahendra Nahata: Thank you.

Mod erator: Thank you, sir. We take the next question from the line of Mr. Hemang Kotadia from Anvil.

Please go ahead, sir.

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Hemang Kotadia: Yes, sir. Congratulations for the good set of numbers. Sir, I just wanted to ask, when will the defence product revenue contribution will rise significantly in which year, actually, where we will see many...

Mahendra Nahata: You know, defence, as I've said in the last conference call also, it's a market where a lot of perseverance is required. What we are doing, working on various products, which includes electronic fuses, which includes upgradation of BMP2, which includes night vision sights, which includes software defined radio, these kinds of products. But I don't expect any significant revenue coming from those in FY '23-'24. I expect revenue to start showing up from FY '24-'25. But when it shows up, it is going to be highly sustainable because as it is difficult for us to enter into the market, it is going to be difficult for others to enter into the market.

Now, what are the products which we have gone ahead with , Night vision sights which is for rifles and light machine guns which we have designed ourselves. And with 12-micron technology, the core has also been designed by us. First time any Company in India would have designed 12-micron core. And worldwide also not many Companies have designed 12-micron core. So, we are now going into the next version, we are going to be working on 8-micron core also. But that is a part. So, this 12-micron core based night vision device, it is already quoted in tenders. We have already participated in tenders.

And I expect to get some orders in the current year, which you would start fulfilling in the current year. So, some small revenue may come up on these contracts . But the higher revenue, I expect starting from the next financial year only. You know, it is long term. It takes long time for testing trials, all kind of things. So, night vision devices, upgradation of BMP2, fuses, all takes time. So, we have to invest money, but finally the return would come and it would be sustainable on long term .

Hemang Kotadia: Right. So, what is the annual demand from the like Indian defence industries for this kind of product in numbers actually?

Mahendra Nahata: I do not have current numbers right now, but although the defence budget is of INR2,50,000 crores, they are spending about 40% on capital acquisition. So, you can easily say INR1 lakh crores -plus is being spent by government of India in acquisition of arms every year. Now, the government wants , increased production of this arms and ammunition indigenously.

And there is a huge, huge impetus on that and which is resulting in increased domestic production and domestic acquisition of these arms. So, though we are a late entry, but whoever

are there in the market, they are having increases in revenue and that would be in our case also in the future because we have entered late, because the products are coming up. So, demand opportunity is huge and government is now saying, produce indigenously. So indigenous demand would go very high, which is good for us.

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Hemang Kotadia: So, is it possible that we can achieve like a INR1, 500 crores of turnover from defence product in like next, let's say next five years annually ?

Mahendra Nahata: It is very difficult to commit like that. But yes, I can say that opportunity is good. And we can definitely target, target INR800 crores to INR1 ,000 crores of revenue in next four years to five years. It all depends upon how the contracts are finalized. But yes, four years to five years, we can definitely target because we have done huge amount of work in defence electronics. So, we can definitely target that.

One of the products we have already started bringing in the market, the radars . We have already designed and brought into the market where customer presentations are being done for the surveillance radars for border and critical infrastructure protection for short range, medium range, long range radars. All three have been developed and designed by us, which are high end technology radars, than radars which are already in the market.

Hemang Kotadia: Yes. That's great. If we achieve INR1,000 crores numbers over four years.

Mahendra Nahata: So, we definitely can target.

Hemang Kotadia: Right. So, my next question, because coming year is the election year for India. So how, gung - ho, you're about your EPC and basically order book side of the business where we can have a large contracts getting...

Mahendra Nahata: I don't see election having much impact on these numbers. These EPC contracts are customer demand base. Private operators are not impacted at all. They would give contract as they require.

Yes, government contracts sometimes are at an increased pace one year before elections because government would like to show the completion of more projects when the election comes, it is natural for any government, state or central government. So yes, that may lead to some increased award of contracts. But yes, I don't see any major upheaval like that.

Hemang Kotadia: Okay. So, my last question for FY '25, what kind of console revenue vision what we are aiming for actually as a Company level?

Mahendra Nahata: You know, the INR4,743 crores revenue which we have achieved in the current financial year. We are definitely aiming for an increase of about 15% to 20%. Definitely, I mean, this increase is because of the increased capacity and bringing in new products . So, 15% to 20% aim is there, of course.

Hemang Kotadia: Okay, sir. Fair enough. Thank you very much and all the best.

Moderator : Thank you, sir. We take the next question from the line of Mr. Rakesh Roy from Omkara Capital. Please go ahead, sir.

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Rakesh Roy: Hi, sir. My first question regarding the defence business, sir. Sir, how much margin we are making in defence business?

Mahendra Nahata: So, look, you know, Rakesh, as I said, we have not started making revenue in the defence business. So, there is no question of margin right now. So once the defence business starts and revenue starts incurring, yes, I expect something like, 15% net margin to come from this business because this is so difficult to enter in, entry barriers are so high. So at least you would make 15% margin in the defence business when the revenue starts coming up.

Rakesh Roy: Okay, sir. Sir, are we looking any joint venture with any foreign player to bring in new technology in India?

Mahendra Nahata: No, right now, we are not looking at any of such joint venture. You know, discussions keep going on with number of companies and these are going on at this point of time. But these are not at a serious level where I can say that we are bringing in this or that. Our emphasis is to develop products indigenously. So that even if you have a small number of products, maybe revenue is less but your profitability is high. So that's the way we are working.

Rakesh R

oy: Okay. So, in defence business and defence product, we would directly bid to government or we get order from the other like a BEL or like this one?

Mahendra Nahata: So, mostly we have directly bid to army for this kind of contract , not BEL and all that. Yes, couple of orders have come on a turnkey, which some other PSU has gotten, we got orders from

them on a pre-agreed terms and conditions. Like this RailTel, we have got a contract for one of the Air Force networks for about INR300 crores, which is under execution. But yes, other equipment, like thermal weapon sights and all that, we have bid directly.

Rakesh Roy: Okay, sir, thank you so much.

Moderator: Thank you. We'll take the next question from the line of Mr. Balasubramanian from Arihant Capital. Please go ahead, sir.

Balasubramanian: Thank you so much for taking my question again, sir. Sir, on the balance sheet side, operational buyers, credit and supplier credit, credit has increased to INR14 crores to INR168 crores in FY '23. Could you please share more details in that balance sheet item?

V R Jain: So, Balasubramanian, V.R Jain this side. This is a normal business transaction and facilities being offered by these commercial banks. So, what happens in some cases, wherever we open sight LCs, bank on their own have a scheme to give us a credit of 60 days or 90 days. That is covered under the supplier credit, and that is being shown separately in the balance sheet. These dues are against LCs only but being shown separately.

Balasubramanian: Okay, got it, sir. Thank you. That is all from my side.

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Moderator: Thank you, sir. We'll take the next question from the line of Mr. Deepesh Sancheti from Maanya Finance. Please go ahead, sir.

Deepesh Sancheti: My first question was actually regarding the anti-dumping duty. Have we applied to the government for any anti-dumping duty for optical fibers? Because today on a few of the business channels, there was a flash that there might be an anti-dumping duty and the companies have applied for anti-dumping duty on optical fibers.

Mahendra Nahata: We are neutral to this. We have not applied. We are neutral to this because our own fiber optic capacity for production of fiber is going up. So, if the duty is more, we are protected. We have no problem. So, what has been recommended by the Commerce Ministry to Finance Ministry is yet to be accepted and finalized, but yes, it has been recommended by the Commerce Ministry. So, we are quite neutral to this because we produce so much of fiber by ourselves. And even if the duty is there, it is not impacting us. Moreover, the important point is that there is no anti-dumping duty on the fiber which is used for export of cable. If I manufacture some cable for exports, there is no anti-dumping duty there. So, when we are importing fiber, a lot of it is for exports only.

So, we would not be impacted by that either. Domestic market, we produce enough fiber to address our domestic customers. So, we would be rather protected than being harmed in any way. And with our increasing capacity, we have a further protection. But the problem would be to smaller players. Smaller players who are not producing their own fiber, they would have a lot of a problem because they will have to pay higher price and their competitiveness will be a little lower. So, I really do not support this anti-dumping duty because people should be competitive enough to face competition. I really do not support, but as a Company, we are not impacted.

Deepesh Sancheti: Okay. So -- but if there is any anti-dumping duty, it will be beneficial for our Company since we are integrated in all terms?

Mahendra Nahata: I'm neutral to that. And ultimately, it will be beneficial.

Deepesh Sancheti: Ultimately it will be beneficial. Can you tell me, can you share the number of how much has

been recommended by the Commerce Ministry?

Mahendra Nahata: You know, notification came just yesterday only. It is different from Company-to-Company and Country-to-Country. But China, for an example, most of the fiber is coming. Some of the countries are \$0.50 per kilometre, which should amount to about INR40-45. Some of them are little higher, some of them are little lower.

Deepesh Sancheti: Okay. As a percentage-wise, how much is it?

Mahendra Nahata: And if you take the price of fiber as \$4 on average, it would be about 11-12%.

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Deepesh Sancheti: 11%, 12%, Okay. And sir, my second question, the last one is actually, if you can give us a revenue mix product-wise for this quarter or for this year?

Mahendra Nahata: You know, revenue mix, if you look at revenue mix for the products, or you are talking about overall basis?

Deepesh Sancheti: No. Overall basis, as in how much revenues optical cables has done, how much has the product?

Mahendra Nahata: I can tell you, on a consolidated basis, 56% of revenue has come from products, 44% from turnkey. Now, if you go to the products itself, 87% has come from optical fiber cable, rest is

coming from other areas.

Deepesh Sancheti: Okay. And this is set to increase in the coming years?

Mahendra Nahata: Yes, you know, two things are going to happen. One, the revenue from other products, telecom and networking product is going to increase significantly. So overall revenue from fiber optic cable will increase, but percentage may go down. Like for example, our optical fiber cable revenue has been INR2,300 crores in this last financial year, which was INR1,787 crores in the year before that, and maybe INR1,200 crores year before that. So INR1,200 crores, INR1,723 crores, INR2,300 crores. These kinds of numbers, it is increasing.

Current year, we are targeting INR2,800 crores. Number will increase, but the INR138 crores of revenue from products, which I mentioned, in two years' time it will go to INR800 crores to INR1,000 crores. So, percentage in cable may decline, but overall revenue from cable will keep on increasing and networking products will increase.

Deepesh Sancheti: And from the current order book, what is the, how much is the percentage of order book in optical fiber s? As INR7,500 crores order book, how much is the optical fiber s percentage?

V R Jain : It is 10% of the total order book currently. So, in case of optical fiber cable s, we have running order book, so we keep receiving orders regularly and those are executed.

Mahendra Nahata: Yes, that's what I said in the beginning, in products, orders keep on coming in small quantities and they keep on being executed. So that is not going to reflect you, the percentage of revenue on overall basis, but yes, orders are there and they keep on coming on regular basis.

Deepesh Sancheti: Right, thank you so much sir, thank you.

Moderator : Thank you sir. We take the next question from the line of Mr. Hardik Vyas from Economic Times. Please go ahead, sir.

Hardik Vyas: Hi Sir, I had a couple of questions. The first one is, you guided that roughly INR5,000 crores of EPC order book we have. So, I hope that they are not low margin orders as we saw in the current quarter, less than 5% margin and they would be of the normal margin kind, 8% to 12% margin.

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Mahendra Nahata: Yes, definitely Hardik, we have maintained on overall basis this margin as it is and this was an aberration that particular contract we executed was low margin in the current last quarter. I can assure you, on overall basis the margins are going to be totally intact and in future they are going to grow only because we are not taking contracts which are low margin now.

Hardik Vyas: Okay, so the other question is sir, what is the idea on OFC pricing, have the prices again

one

up because of the demand increasing in the US and world over or the pricing remains more or less the same?

Mahendra Nahata: So, the prices have gone up a bit. I will tell you, the fiber realization per fiber kilometre has been higher. Quarter 1 of the last financial year, it was about INR1,100 per fiber kilometre for the cable. Now in the quarter 4, we have achieved a number of INR1,234 per fiber kilometre. Now, it does not mean that everybody would have achieved that. It all depends on the mix of the products and how much you have exported, how much you have given to the private operators, how much you have sold in the export market, but generally, yes, it has gone up by let us say 10% or so. Which is significant number, 10% is very significant.

Hardik Vyas: Yes, sir my last question is, what is our status on 5G products, the contribution is limited as we speak right now, but how execution is likely to pan out over the next six to eight quarters because a lot of products we are going to introduce in the market in the coming year and the next?

Mahendra Nahata: As I said, 5G products are being brought up by the Company. So, in another two months, it will start coming one-by-one in the market. So, I would say that you will see the products being in market in next two to three months. Field trial and all that are being done by the operators and orders are being placed. Orders will start getting executed probably in quarter 3 of the current financial year. So, after they start getting executed in quarter 3, it will continue on overall basis for many quarters to come. Absolutely. Then they are going to be upgraded, there is going to be new demand from different other Countries, different operators. It is going to be increased every quarter.

Hardik Vyas: So, this is for the products are 5G, EPC as well, because operators would also be wanting us to do some EPC contracts with them.

Mahendra Nahata: So, the products are products, many operators give you contracts -installation commission included. That is not really EPC. That is contract -selling products including installation commission.

Hardik Vyas: Okay. So, from third quarter of this year onwards...

Mahendra Nahata: Yes, we expect the revenues start coming up.

Hardik Vyas: Okay. Thank you so much and all the best.

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Mahendra Nahata: I think operator now we will take one or two questions more because it is already quite a lot of time.

Moderator : Thank you, sir. Ladies and gentlemen, due to time constrain t, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Thank you, and over to you, sir.

Mahendra Nahata: Thank you very much to all of you for having patience and listening to the results of the Company for financial year ended 2023 and Q4 of 2023. And giving me the time and opportunity to explain you, what steps Company has taken to sustain revenue or not on ly sustain but increase revenue and profitability significantly in coming years and what step Company has taken . I really enjoyed the questions and I'm sure answers I have given must have satisfied your queries, which you had. And thank you very much once again for your time for being on the call. Thank you very much.

Moderator : Thank you, sir. Ladies and gentlemen, you may directly connect to the Company for any further questions. On behalf of ICIC I Securit ies, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

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RE: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the “SEBI Listing Regulations”).

Subject: Transcript of Conference Call on the Unaudited Financial Results of the Company for the 1st Quarter ended June 30, 2023, of the Financial Year 2023- 24.

Dear Sir(s)/ Madam,

This is further to our earlier announcement dated July 20, 2023.

In terms of Regulation 30 read with Para A of Part A of Schedule III to the SEBI Listing Regulations, we hereby submit Transcript of the Conference Call held on July 27, 2023, on the Unaudited Financial Results of the Company for the 1st Quarter ended on June 30, 2023, of the Financial Year 2023 -24, which were considered and approved by the Board of Directors of the Company, at its meeting held on July 26, 2023.

This aforesaid Transcript will also be available on the Company's website at <https://www.hfcl.com/>.

You are requested to take the above information on records and disseminate the same on your respective websites.

Thanking you.
Yours faithfully,
For HFCL Limited

(Manoj Baid)
Senior Vice -President (Corporate) &
Company Secretary

Encl: Copy of Transcript.

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“HFCL Limited”
Q1 FY '24 Earnings Conference Call”
July 27, 2023

MANAGEMENT : MR. MAHENDRA NAHATA – PROMOTER &
MANAGING DIRECTOR

MR. VIJAY RAJ JAIN – CHIEF FINANCIAL OFFICER
MR. MANOJ BAID – COMPANY SECRETARY
MR. AMIT AGARWAL – HEAD INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to HFCL Limited Q1FY'24 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an HFCL Limited
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operator by pressing star and then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit from ICICI Securities. Thank you, and over to you, sir.

Mohit: Hi. Thanks, and good afternoon to all the participants. I am Mohit from ICICI Securities. I would like to thank management for providing this opportunity to host this Earnings Call. From the management side, we have Mr. Mahendra Nahata, Promoter and Managing Director; Mr. V R Jain, CFO; Mr. Manoj Baid, Company Secretary; and Mr. Amit Agarwal, Head, Investor Relations.

Without further delay, I now hand over call to Mr. Nahata, for the opening remarks. Thanks, and over to you, sir.

Mahendra Nahata: Good afternoon Ladies and Gentlemen and welcome to HFCL's earnings call for Q1'FY24.

I truly appreciate and express my gratitude for making it to HFCL's earnings call for the first quarter of FY24. I trust that you got a chance to go through our financial results, press release and investor presentation, which are available on the Company's website and the stock exchanges.

The recent study by International Monetary Fund predicts decline in global growth by approximately 2.5% in 2023 due to ongoing effects of the Russia -Ukraine war but India continues to stand out as a promising

destination for businesses and investors looking for growth in the years ahead. This optimism is fueled by India's strong domestic market, government initiatives, and attractive investment opportunities.

Despite the challenging and dynamic global macroeconomic environment, the opportunity landscape for manufacturers in the telecom and technology industry has grown manifold and looks promising ahead. As per Deloitte -CII report, Indian telecom industry will grow by US\$12.5 billion every three years with the advent of 5G. This growth will be further fueled with the implementation of FTTH and other upcoming technologies and initiatives like BharatNet. With the increased adoption of digital technologies, 5G rollouts, and the growing demand for high-speed connectivity driving innovation and investment in the sector, India will soon be among one of the top 5G ecosystems in the entire world. 5G rollout in key global economies including India, FTTH along with the national priorities like development of homegrown products under PLI scheme, fiberisation under BharatNet are fueling massive opportunities for players like us. The launch of Bharat 6G Alliance further solidifies India's position as one of the world's top leaders in 5G ecosystems and we aim to be at the front -line, contributing to 6G technology and fostering the growth of the Indian telecom sector.

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HFCL has been able to sustain its growth momentum with its strategic initiatives focusing on margin accretive products, shift in revenue mix from projects to products, backward and horizontal integration, capacity expansion, research & development, tapping new geographies and widening customer base.

During Q1FY24, we have significantly increased revenues from international business to ₹ 176.23 crores witnessing a growth of 156% on a Y -o-Y basis. The share of Product revenue has gone up to 67% in Q1FY24 as compared to 59% in same quarter last year. Export and Product revenue CAGR for last 3 years has been 88.02% & 46.04% respectively. All these initiatives have led impressive increase in EBITDA margin to 16.04% in Q1 FY24 as compared to 12.35% in Q1 FY23. With Company's focus on development of indigenously designed products with own IPRs and emphasis on export sales, we expect EBITDA margins to improve continuously.

We have begun this new financial year with the unveiling of an enhanced corporate strategy and establishing valuable brand partnerships. HFCL has entered into a significant partnership with India's largest defense PSU - Bharat Electronics Limited, wherein both the organisations will collaborate as partners and indigenously develop and deploy emerging technologies and

technical solutions to address the requirements of Defence, Telecom and Railway sectors. As part of this strategic MoU, HFCL and BEL will actively seek out business opportunities by leveraging their specific domain expertise, technological strengths, and established market presence to bolster the nation's defense capabilities, as well as support the expansion of telecommunications infrastructure and other critical emerging sectors. BEL and HFCL will consider various options, such as Transfer of Technology and joint production of mutually identified products and solutions to address the requirements of Defence, Telecom and Railway sectors and thus further contribute to the government's 'Atmanirbhar Bharat' initiative.

We are currently serving our WiFi Access points and unlicensed band radios to over 35 direct customers in India along with many indirect ones through channel partners. These products also integrate new-age technologies like artificial intelligence and Internet of Things to address emerging opportunities in the industry. Our aim is to be among the top five Wi-Fi Access Point and Unlicensed Band Radio players in the world over the next three years. For outdoor Wi-Fi Access

s Points, HFCL has a market share of 20-25%, and for point-to-point unlicensed band radio, we have about 30% market share in India.

We believe that in terms of technological advancement, Wi-Fi 7, which has already been designed by us is going to be one of the revolutionary solution for indoor coverages, especially the enterprise, and for high-end applications like virtual reality, education, or at places with a lot of concurrent users which require enhanced capacities.

The Company is developing a number of products for 5G networks like, next generation 5G Fixed Wireless Access, Cloud-Based Network Management Systems, 5G Radio Access Network, 5G Transport, 5G Fixed Wireless Access Customer premise equipment, Management

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& Orchestration solution for 5G Autonomous Network Operations, which are expected to start being commercially available in the current financial year.

Total addressable market from such products worldwide is expected to be ~ 600bn USD by FY30. The Company is in process of setting up of facility for the manufacture of these products and targeting revenue of Rs. 800 to Rs 1000 crores in FY24-25 compared to Rs.138 crores achieved in FY22-23 from existing product portfolio. These products are also eligible for PLI incentives upto Rs.652 crores over a period of 4-5 years as per approval received by the Company. Increase in revenue from these products which are own designed and manufactured will also lead to higher margin and profitability.

I also wish to update that expansion of Optic Fibre manufacturing capacities from 10 mn fkm to 33.90 mn fkm is progressing well and shall be operational as planned. With this expanded capacity of optic fibre, the Company is expected to generate additional profitability of ~Rs.150 crores on annualized basis computed at prevailing market price vis-à-vis current cost of in-house production of optic fibre. In addition the Company is also in process of expanding its optical fibre cable production capacity from 25mn fkm to 35mn fkm. This expansion will also lead to significant increase in revenue and profitability. The capacity will be added in a phased manner, with the completion targeted by FY 24-25.

This quarter was also marked with HFCL winning some key purchase orders. Some of our major wins in the quarter have been various contracts worth Rs.411.51 crores from one of the leading telecom operators and Rs.80.90 crores from Delhi Metro Rail Corporation Limited in addition to various other orders from domestic and overseas customers. The current order book now stands at Rs.6,585 crores.

I am pleased to share that during Q1FY'24, CARE has upgraded the credit rating of your Company to A1 from A2+ for short term bank facilities and has also reaffirmed the rating for long term facilities as A with stable outlook.

I am also happy to share that our strategy to increase our revenue from products is well on track and during the quarter under review the revenue split between product vs projects stands at 67% and 33% from 56% vs 44% in FY'23 which used to be only 22% from products in FY'20.

The benefit from shift in revenue from projects to product is quite eminent in the margin improvements.

Secondly, with our focus to capitalise on wide global opportunities and boost revenue from international operations, we are actively developing new product portfolios as per international standards, appointing employees, engaging agents and distributors in key international markets. As a testament to our global leadership, we have secured various order wins from top European telcos for supply of different types of fibre optic cables. Catering to 80+ clients in 40+ countries, we have witnessed a sharp increase in our international business revenues to Rs. 176 crores in Q1FY24, achieving an impressive growth of 156% year on year. During the quarter,

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we also showcased and marked our presence at key global events including Mobile World Congress 2023 in Barcelona, Africa's largest tech sourcing event - GITEX AFRICA 2023 in Morocco, Asia's largest ICT stage CommunicAsia 2023 in Singapore, ANGA COM in Germany and FTTH council Europe 2023.

Last year, the Government of India had issued the guidelines for every telecom equipment to undergo mandatory testing and certification before being sold and used for network deployment. Our foresight and significant investment in our state-of-the-art NABL certified equipment testing lab for telecom products in Bangalore is well positioned to aid the government and telcos to fast-track Mandatory Testing and Certification of Telecommunication Equipment. HFCL's testing labs are equipped to meet rigorous global evaluation parameters to ensure secure and high-quality equipment deployment, thus enabling growth of domestic telecommunication industry.

In pursuit of staying at the forefront of innovation and next-generation technological capabilities, HFCL has secured approval for its 5 patents filed for 5G Radio Access Network products. In addition, we have also filed 12 more patent applications. Let me now brief you on key performance metrics of Q1FY24.

- Revenue for Q1FY24 stood at Rs. 995.19 Crores as compared Rs. 1,051.02 crores in Q1FY23
- EBITDA for the quarter stood at Rs. 159.62 Crores as compared to Rs. 129.76 Crores in Q1FY23; EBITDA margin stands at 16.04% for Q1FY24 as compared to 12.35% in Q1FY23;
- For Q1FY24, profit after tax stands at Rs. 75.56 Crores as compared to Rs. 53.10 Crores in Q1FY23; PAT margin stands at 7.59% in Q1FY24 as compared to 5.05 % in Q1FY23

- Segment revenue for telecom products during the quarter stood at Rs. 662 Crores (67 % of Q1FY24 revenue) as compared to ■Rs.620 Crores (59% of Q1FY23 revenue)

To conclude, I would like to reiterate that with our strategic initiatives of expansion of capacities, geographical expansion, strong focus on R&D, continued backward and horizontal integration, developing margin accretive new products will further add to our revenues and profitability in the coming years. Our team is dedicated to delivering value to our shareholders, and we will continue to work tirelessly to achieve our goals.

Thank you once again for your keen participation. With this, I conclude my opening remarks and open the floor for the Q&A session. Thank you.

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Moderator: Thank you very much. We'll take the first question from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Sir, my first question is regarding the turnkey segment. The overall revenue has declined because of turnkey segment whether that trend will continue in upcoming quarters also. And I just want to understand any seasonality for these turnkey contracts and the margins also is lower than 2%. Any specific reasons for that?

Mahendra Nahata: Look, first of all, and on an overall year basis, it will continue. Quarter-to-quarter, there will be some variation because of various reasons, depending on which contract is getting executed and all that, but on an overall basis, the trend will continue. As you may recollect Mr.

Balasubramanian, that I have been saying from the beginning that we want to increase our revenue from products, decrease our revenue from projects. And that trend, you can see. And that has also increased our margins and profitability.

So I expect this trend to continue on an overall yearly basis. But yes, there may be some variations in quarter-to-quarter depending upon season and depending upon which contract is getting executed at that particular point of time. So our strategy of increasing our revenue from products have really well paid off, and that is very evident from the increase in margins, as you can see in the results.

Balasubramanian: Ok

ay, sir. Sir, my second question is on the telecom product side, our shares stood at around 67%, which is highest in the last couple of quarters. Like whether it is sustainable above 70% in upcoming years and the margin side also, it's been quite sustainable above 19% in the last 3 quarters. Could you please guide for the margin side also, that would be really helpful.

Mahendra Nahata: Look, what I expect, again, as I said, there may be quarter-to-quarter variations. So on overall basis, something like 65% or so we would always have share of products, some percentages may vary. But more or less, 2/3, 1/3 kind of distribution will continue. But again, one more point I would like to make clear that we are only taking those projects where cash flow is good. If the cash flow is not good, we will not take any such project, even if it has got higher

margin because cash flow has to be given due importance.

Because if higher margin is there, but the cash flow is bad, no point in taking such projects.

That is why you see a decline in the revenue from projects. We intentionally did not take many of the projects, where either the profitability was low and cash flow was also bad or both were not good. So we are very conscious of taking projects now and we take only those projects with good cash flows.

Balasubramanian: Sir, on the margin side for telecom products like...

Mahendra Nahata: Margin side of telecom products, I believe the margin would continue more or less on the same range.

Again, as I said, quarter -to-quarter, some variation could be there because of sometimes

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the raw material costs going up or down in many such cases. But more or less on a year -to-year basis, this will continue like it.

Balasubramanian: Got it, sir. Sir, in last AGM, like we made a resolution for fundraising. Any update on that?

Mahendra Nahata: We are still in consideration of that. As soon as there is any final decision taken, we'll update you.

Balasubramanian: Okay. Sir, okay. Got it. Sir, on the capex side, like you are doing capex for OF and OFC side. Could you please share more details about the progress in executions, capex spending and the funding mix that would be really helpful.

Mahendra Nahata: Look, capex, major capex is happening on optical fiber expansion. And that expansion is in progress. Second capex is for the optical fiber cable, where also capacity is being enhanced and it is at various stages. Now in optical fiber from the current capacity of about 11 million to 12 million fiber kilometre per year, we are expanding into 33 million in 2 stages. First stage will be completed earlier and the second stage would be about 6 or 8 months later.

Now this would lead to 33 million fiber kilometre of fiber production within the Company, which will take care of its own requirement. And most of it is to be used for our own consumption and would definitely increase the profitability because of the cost difference

between what you produce and what you buy. Second is, of course, optical fiber cable, where the capacity is getting enhanced at various stages in all the three factories.

And mostly, it is directed towards products which we really need for exports because there are specific requirements for different kind of cables for exports. And we are enhancing our capacity in those areas because our whole overall policy and strategy, if you look at the company is to one, increase revenue from products, decrease from projects.

And second, of course, is to increase exports. So 95% of the market is outside India. India is only 5% of the market. So it is important to look at the 95% of the market. And as we have demonstrated, our export has improved multifold, something like 86% CAGR of last 3 years, which is a very important number and a very appreciable number that team has done.

So continuing on that strategy, we are

increasing our production capacity of optical fiber cable

with the kind of cables, which will be mostly used in the export market. So those both are in progress. And moreover, another kind of capex we incur on the R&D in terms of creation of

new products, mostly on the equipment side and some in the cable side also. But on the equipment side, as we said, we are continuously working on new 5G products, latest state of the art 5G product, which would start coming into production and commercial offerings during the current financial year, one by one, they would start coming in.

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And also, of course, our Wi-Fi access points and unlicensed and backhaul radios, which are already being sold commercially and continuously new orders are being received and being shipped to different customers, more than 35 direct customers in India, and there will be so many through channel partners.

We would certainly start export of these products in large quantities and already the Company is making efforts for that. So when we talk of increase in exports, a large portion would come from a telecom equipment also. And another capex, which is happening is, of course, we will be creating a new facility for manufacturing telecom equipments by ourselves.

It would not be a large expenditure. But yes, there would be some because we need to take advantage of the INR 652 crores of PLI which has been sanctioned to us. So this all capacity expansions will add into increase of the profitability and revenue of the Company both.

Moderator: We take the next question from the line of Mr. Ritik Chopra from Buoyant Capital.

Ritik Chopra: I have 2 questions. One on the raw material prices, how the raw material prices in this quarter and going forward?

Mahendra Nahata: To answer to your first question, Mr. Chopra, what I heard, raw material prices for fiber optic

cable has come down considerably, whether it is plastic raw materials or fiber. The fiber, which is a major raw material, the prices which used to be something like INR 450 per fiber kilometre, if you convert dollars into rupee, have now come to about INR 360, INR 370 per kilometre.

So what used to be INR 440, INR 450 has come down to INR 360, INR 370. And there has been some 10%, 15% decline of the raw material prices of other products also like HDPE and all that. So that have been taken. In fiber, it has come down a little bit more than 10%, 15%, maybe you can say 20%. Other raw material 10% to 15% reduction has been there. So generally, prices have gone down.

Ritik Chopra: All right. And what are the end product realisation in the domestic market and the export market?

Mahendra Nahata: If you talk of fiber optic cable, cable roughly, we are looking at depending upon which kind of cable, which kind of a customer, it's all varied. But on an average, the realization per fiber kilometre is around INR 1,300. I'm not talking of cable because cable has different types.

So I'm just talking on an average per fiber kilometre of cable is around INR 1,300, which used to be about INR 1,230 in the previous quarter. If you compare with the first quarter of last year, it used to be about INR 1,100. From the last year, INR 1,100, it has gone up to about INR 1,300. But again, don't see a general trend because it again depends on the mix of products who are the customers. So it all depends upon that. But generally, yes, there has been some increase.

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Ritik Chopra: Okay. So the prices are same in the domestic market and the export market? Or are there a marginal difference between that?

Mahendra Nahata: So trend is same in the domestic and international market. Trend is same.

Ritik Chopra: All right. So one last question. What are the utilization level?

Mahendra Nahata: Utilization level in terms of factory percentage last quarter,

generally, we had about 86%

utilization. But again, please, this is again a bit of a technical issue. When I say total capacity 100%, let us say, it is calculated on the basis of a particular type of cable being manufactured throughout the year. That is the way you calculate. But it never happens because customers place different orders for different kind of cables, different counts and all that.

So capacity utilization varies between what kind of cable you are manufacturing for the year, which kind of what percentage, what lengths all that kind of things. So if you look at that

perspective, that a percentage of installed capacity, which is calculated under there's a one particular kind of cable for the year, which never happens practically. But if you look at it from another angle, it is running, yes, it is 100%. Factory has been running 24/7 throughout the year for the quarter.

Moderator: We'll take the next question from the line of Mr. Saral Dilip Seth from Indsec Securities.

Saral Seth: Congratulations for decent margins amid these global challenges. And I believe we've been maintaining our margin expansion guidance over last so many quarters, which has now been bearing fruits led by product mix. So sir, I want to understand what is really triggering this margin expansion? Is it a mix of better product and reduced project revenue? Mahendra

Nahata: Look, major reason is, of course, that we have reduced our revenue from projects and constantly trying to improve our revenue from product. And if you look into the current quarter only, the margin from the projects is quite low, which is abnormal in this particular

quarter, this is an aberration. And I will explain reason also. The product margin has improved, maybe small part is due to raw material costs also, but it is more for the margin - accretive products which we are selling.

Now the point is when I say that it is an aberration that this particular quarter, the margin from projects has been even lower than normally what it should be. The reason is being that our

NFS network for spectrum projects, which we are implementing for the army, those expenses are always there because these are manpower expenses.

But a lot of about INR 100 crores - INR 150 crores billing could not take place due to acceptance testing still remain incomplete, not because of us, but because of integration of the network, which has to be done with the equipment to be supplied by some other vendors. That vendor could not complete its supply, that's why our final integration did not get completed with the network of that other vendor.

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As a result of that, acceptance testing could not happen and we could not bill. So that entire expense for that is manpower has been booked into expense. So that has resulted in a bit of an aberration. Otherwise, there would have been this margin could have been even better, even

better. But this small aberration is there. Otherwise, there could have been additional revenue and profitability both coming into this quarter's P&L. But this aberration happened, unfortunately. Nothing to do with us, but some other vendor.

Saral Seth: Sir, what would be our margin guidance for the full year?

Mahendra Nahata: Well, I won't give you any guidance as such. But yes, I expect that as I said, quarter -to-quarter, there may be some change. Otherwise, we expect to continue the margin at a same level or may be sometimes better also.

Saral Seth: All right, sir. Sir, my second question is our order book is very strong of INR 6,600 crores, which translates to 1.5 years of revenue visibility. Can you give some guidance on the order book? Will we maintain similar levels? Or do we see a very strong increase in order book led by exports?

Mahendra Nahata: If you look at the equipment business, orders keep on coming. In a project business, large orders come in 1

by 1, and go. Product business doesn't happen like that. Some INR100 crores order will come, that will be supplied; some other INR 80 crores order will come, that would be supplied. So orders keep on coming, and they keep on being supplied. Projects orders come in a large number, large quantity in a single order.

So what I expect, the current order book what you have will at least continue, there is scope for some improvement also because we are expecting some larger orders. We are expecting, I'm not sure when would it come, but we are definitely expecting next couple of months from larger orders to come, and that will see increase in order book also. But I'm not worried about order book because further orders keep on coming at regular intervals.

Saral Seth: That was helpful. Sir, my final question is, how do we see defence as in the overall mix, it has been increasing gradually, sir?

Mahendra Nahata: No. Defence revenue, particularly defence communication projects we are implementing, as I said, has gone down in this quarter. And it has gone down particularly because I explained a little while ago, the integration could not be completed by the other vendors. The other vendor has not completed its network. That's why the revenue has gone down. So this quarter, it has been considerably lower. But next quarter, we expect it to improve.

Saral Seth: Understood. But as an overall strategic mix, how do you see defence shaping up over the next 2 years?

Mahendra Nahata: Yes, it will improve. It will improve, particularly from different products, it will improve.

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Moderator: The next question is from the line of Mr. Neeraj Kumar Jain from N Kumar and Company.

Neeraj Jain: Two questions here. First of all, our capital employed for Turkey projects is around INR2,900 crores. So what is the rationale for this much of capital for Turkey projects?

Mahendra Nahata: I missed you, Neeraj. Can you repeat your question once again?

Neeraj Jain: Sir, we have the capital employed around INR 2,900 crores in Turkey projects. So what is the rationale for this? When the revenue is very low compared to the product side?

Mahendra Nahata: Yes, I tell you. This is basically is on receivables; Second, retention money, which I said would be receivable on completion of the project, which is at least 10% of the overall revenue, which is the retention money, which is to be paid only when the project is completed. Project completion depends upon in this particular case where the large amount of money is due on the other vendors. The other vendors are still not able to complete this project. So we are not able to integrate.

Third is the WIP, which is still there because the project is under implementation and unbilled revenues also there, we have completed our work, but again, not billed it because of the acceptance testing not happening and all that. That has put together INR 2,900 crores or so that amount of money which is there in stuck in the projects, which is receivables, WIP advances to other vendors etc. Those are the issues, unbilled revenue and retention money of 10%, which is quite a hefty amount, quite a hefty amount because some INR 5,000 crores of work of NFS itself has been executed with the retention money still amounts to hundreds of crores. So those are the reasons. But once we expect this project to be completed in this financial year itself, I think. A lot of you will find receivable will go down as well as this total investment in this project business, which is because of reduction in WIP, advances, receivable and retention money coming in, this investment, what is there in the projects will completely go down.

Neeraj Jain: Okay. Okay. Sir, second sir, my second question is regarding the product side. If you compare quarter -to-quarter, there is not very far betterment in sale of product side. It is

INR 620 crores

in the June quarter '22 and around INR 660 crores in Q'23.

Mahendra Nahata: Look, it is going to improve. Once these 5G products, which I've been talking about starts coming in production and the newer version of this UBR and Wi-Fi comes into production,

which has started coming in production. In fact, the newer version of unlicensed radio has already started coming in production.

And also this Wi-Fi, 5G equipment getting completed in design may be another 3 months or so, we will start seeing revenue of products getting improved. And also with the increased capacity of fiber optic cable, this will further add into this increase in revenue. So you will find quarter-on-quarter, there may be some variation quarter-on-quarter. But overall, year-to-year basis, you'll find product revenue getting increased.

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Moderator: The next question is from the line of Divya Daga from Vijit Global Securities.

Divya Daga: I have one question that is, can you provide me the order book for exports?

Mahendra Nahata: Export order book could be something like INR 250 crores or so. But as I said, export orders keep on coming, they keep on coming and keep on getting supplied. But I don't have exact number. It should be around between INR 200 crores, INR 250 crores at this point of time. But orders keep on coming, keep on getting supplied.

Divya Daga: Okay. Okay. Then I have a second question. So my question is after product execution or capital expansion we are planning for FY'24, FY'25, there will be any new expansion for sure. So we will be focusing on the margin expansion as well or the margin will be consistent around 19% to 20%?

Mahendra Nahata: Look, margin, as I said, I expect to continue around this percentage. There may be quarter-to-quarter variation and there could be a slight improvement also with more and more products coming in. But yes, more or less, it should continue around the same percentage, but the revenue will keep on improving. So overall number, overall margin, you'll see an improvement. Percentage would be around or maybe some slight improvement could be there with more products.

Moderator: We'll take the next question from the line of Mr. Aman Vij from Astute Investment Management.

Aman Vij: My first question is on the telecom 5G products. If you can talk about what are the revenue you are expecting for this year and as well as next year? And the margins would be similar to the other products of 18%, 20% or where the margins can be higher?

Mahendra Nahata: Look, what I am expecting that in the current financial year, this should be about INR 400 crores, between INR 350 crores to INR 400 crores, something around that. Next financial year with the 5G products coming in, I expect it to be between INR 800 crores to INR 1,000 crores. And margin would be around the same 20% or so as we have got in the current quarter, it should be around the same. But revenue would increase sharply in the next financial year, it should be around INR 800 crores to INR 1,000 crores.

Aman Vij: My question was on the 5G product only, not the overall products number you have already shared, INR 800 crores to INR 1,000 crores for next year. I was talking about 5G, 5G products for this year.

Mahendra Nahata: When I say INR 800 crores to INR 1,000 crores, out of which, I would say, if it is INR 1,000 crores, 70% would be 5G products.

Aman Vij: Okay. And for this year, FY'24?

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Mahendra Nahata: FY'24, INR 350 crores to INR 400 crores, most of it would be non-5G products which are Wi-Fi, UBR etc. But this is again a misnomer. I will again tell you why. Because a lot of these products, UBR Wi-Fi I'm talking, are used as a part of 5G network also. They may not be called a 5G product. But like, for example, our UBR, Unlicensed Band Backhaul Radio, is being

used for the backhauling of 5G traffic. So you can call it a 5G product because it's being used for backhauling 5G traffic.

So if you take that as a 5G product because it's a part of 5G network. So then out of INR 350 crores, probably INR 200 crores plus would be coming from 5G. So there is no sharp distinction as such, black and white what is 5G and what is non-5G. Like telephone handset would be a different. And there are many handset which are 4G or 5G also. But UBR kind of a product, it can be 4G, it can be the same product and be 5G also where it will be used for backhauling the 5G traffic also. So there is no black-and-white distinction.

But some sense if you said INR 400 crores would have if I say UBR is a 5G product because it is being used for 5G backhauling, then 200 crores comes in the current financial year. Next year, 70%, 75% would be from 5G related products. But again, that black and white distinction would never be there, but router as an example, which we are developing. Can we use for 5G? It can be used for non-5G also. So whether you call it a 5G product or not, it depends upon

what application is being used, but the product is same.

Aman Vij: Sure sir, thanks for the detail explanation. My next set of questions is on the defence portfolio.

So I wanted an update on the 3 segments individually. So I believe we are into optical segments and you have talked about optical products like B MP upgrade and night vision. What is the status as of now? Then you can talk about ammunition fuses? And finally, on the software -defined radio. If you can give the current update and when can we see some revenues or the tenders coming in?

Mahendra Nahata: Look, as I said, revenue from defence product is not expected this year. You may start getting revenue from the next year. I'm not taking into account any revenue from this. Coming to the different products, software -defined radios under development, it will still take at least 6 months' time before the radio is completely developed at least 6 months' time, it is going to take, but the requirement is very, very large, thousands and thousands of radio would be required. So 6 months or 1 month, 2 months here or there would not matter because the requirement is going to last for 15 years. Apart from local requirement, there will be large requirement from outside India as well.

Number two, the BMP upgrade. I'm very happy to tell you, user trials happened that got finished last week only, and we completely succeeded in our user trial. We have deployed our equipment at the BMP, which we fitted with our modernized version. It has gone through the trial, different night day, all kind of trials it has gone through, and it has successfully passed. And now of course, we wait for the tender to come up once the trial for other manufacturers

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are also done, then the RFP will come maybe another 2 to 3 months RFPs will come, a major RFP for upgradation of hundreds and hundreds of BMPs.

So since we have gone through the trial and we have passed in that, I'm very sure that we should be competitive. But anyway, the tender is a tender and one would know when it comes up.

In terms of night vision devices, there was one tender, which we had participated where trials took place, but there have been some, what we call it, variation in the trial process in terms of how Army did the trial as a result of which all the suppliers have given I will not say protest, but they've given their viewpoint that they should not have been done in this particular manner.

Now Army is considering retrial for everybody. And I'm expecting some sort of a communication to the receipt in the next 15 days or so, where the retrial of that happens where the core itself has been developed by us. So I am expecting that about 15 days or so it is expected to happen. In terms of fuse, in the first trials, there has been some

issue with all the

Indian manufacturers with the fuse, all the Indian manufacturers. So now the new tenders are going to come up, we will participate in that. And those smaller issues we have resolved and the new tender we will be participating.

Aman Vij: Sorry, sir, I believe something on the fuse side was supposed to happen in this quarter. So that there's no update on that part.

Mahendra Nahata: As I said, trial happened with all Indian manufacturers, there were 1 or 2 issues where they could not comply with 1 or 2 issues, not major issues. So we have improved that. Now new tenders are coming, we will be participating in that.

Aman Vij: So this will be this year, sir, new tenders?

Mahendra Nahata: Yes, tenders are expected to be in this year. Tenders are expected, but revenue will not happen this year.

Aman Vij: Okay. So tender for all the 3, B MP upgrade, night vision and fuses are all expected this year?

Mahendra Nahata: Night vision is already there. It's only the retrial has to happen. But fuse and B MP, both are expected this year.

Aman Vij: Okay. Okay. And this will be in a few INR 100 crores, sir, tender size?

Mahendra Nahata: I can't say... Yes, it should be a few hundred crores, of course, of course.

Moderator: We take the next question from the line of Ms. Payal Lad from Progressive Shares.

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Payal Lad: Just one question, like if you could just give some sort of detailed explanation in terms of the MOU that is being signed with BEL, how is it going to pan out for HFCL over a span of 2 years in terms of scaling on your defence, telecom or the railway sector?

Mahendra Nahata: Look, Payal, this is a kind of a strategic MOU we have signed with them. And the real implementation of this MOU is to start now. And basically, what we are looking at, BEL is very strong in defence. So some of the products which we are developing, which BEL may not be doing by itself, we will offer to them. Some of the products they have, and they want us to

manufacture that and may be for export market or may be for indigenous also if they do agree, we will do.

And similar kind of situation would happen for telecom, where we are stronger than BEL in telecom. We will help and support them. So I can't say what kind of a number it would lead to. It's too early to say that what kind of a number it would lead to. But we believe that this should be beneficial for both organizations. But what kind of numbers and all that, since we recently signed MOU, we are still working on the modalities that how to go ahead in the different product areas and all that. So may be a couple of months later, we will be able to give you a much clearer idea that what it can lead to.

Payal Lad: Okay. And one last question. It's mentioned in your press release that even you are anticipating a Wi-Fi 7 via the Qualcomm collaboration to be commercially available this financial year. So what sort of revenue or margin improvement do you see from this particular domain?

Mahendra Nahata: Look, Wi-Fi 7 is improvement in the technology. We had Wi-Fi 5, then Wi-Fi 6, now Wi-Fi 7. It is higher speed, higher throughput. So margin level would continue to be same. So what would happen? Wi-Fi 5 goes out, Wi-Fi 6 comes in. Wi-Fi 6 and Wi-Fi 7 continue for some time together, Wi-Fi 6 goes out, Wi-Fi 7 comes in. So it would have some increase in the revenue, but margins will continue to be same.

Margins will not be different. But one thing you must understand, we are the only company in India now as far as my understanding goes, who has been able to develop Wi-Fi 7 access points. It is already developed. Why it is not commercially available? Because the component costs are still high. So if I compare between Wi-Fi 6 and Wi-Fi 7, the Wi-Fi 7 is much costlier. So customer may not accept that kind of a price at this point of time, even though throughput is

higher. So we are waiting for the component cost to come down, then only we'll be able to offer it to the customers. The development is complete. We are just waiting for the component costs to come down. As more people go for Wi-Fi 7 worldwide, component costs will automatically come down. So we are waiting for that to happen.

Payal Lad: And what that number could be possibly? Like, if you said that it's higher as compared to Wi-Fi 6, if you could quantify that?

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Mahendra Nahata: I can't quantify that number that how much it will sell. The product is yet to be offered in the market. Let it be offered, then we'll tell you.

Moderator: We take the next question from the line of Deepesh Sancheti from Maanya Finance.

Deepesh Sancheti: What is the guidance looking forward in FY '24 and '25, what is the vision of the company? As I heard that the company did not participate in a few projects because the cash flow wasn't great. So what are we looking at going ahead. I mean what should we see that the management is looking at?

Mahendra Nahata: Look, as I said, I cannot give you a number guidance. Only thing I can tell you that management strategy is to increase revenue from products, reduce from the project, does not mean that we do, not do projects. We will do projects which are good in margin and good in cash flow. That is a basic strategy, number one. Number two is the increase in exports. That is a second thing.

Now project which we did not participate are the ones which we didn't see our profitability or - which are the EPC kind of projects which we thought that the cash flow may not be good.

We did not participate in that. So there is a general guidance I can give you. But yes, I definitely see growth in revenue or but at least the growth in profitability. Revenue growth or not, that's not my major issue. My major issue is profitability of the Company should grow.

Even if the same revenue, profitability is much higher, I'm happy with that.

Deepesh Sancheti: Sir, going ahead, as I mean, as long-term investors, we should look at the profits of the company going ahead, that the cash positions and the margins and the profits will go I mean, will be higher. We should not look at the revenue growth to that kind of an extent. Is that what you want to mention?

Mahendra Nahata: No, no, no. I never said that. I'm saying growth in profit is more important. For example whether you need a 20% growth in revenue or 20% growth in profit or higher growth in revenue and lower growth in profit. My take is that profit growth is more important than revenue growth. But both are interlinked. Beyond a point, profit percentage cannot grow. If I'm making a say 20% margin, it cannot become 30% because there is not a monopoly market.

That's a competitive market.

So revenue also has to grow. But you should take only those orders where profits are there.

One should not be blind after revenue and take any and any order which may not have good cash flow or good profitability.

So what I am saying is profitability is more important, but

revenue is also important because you cannot grow profit more than a certain percentage in the competitive market and worldwide is a competitive market. But you should take only those orders where profitability is as per your requirement, as per your projection on what you deem

to have reasonable profitability in the company.

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Where the orders are there, where the profitability is very low, there are some orders I have left, I've not even touched, where the profitability was not there why should I do that? So therefore, what I'm saying is, both are important. But only those orders you should take where the profitability is there.

Deepesh Sancheti: Right. Just one last question, sir, what is the product mix will be in this year for telecom, fo

r

defence and for railways? And going ahead for the next 2 years, because I'm only talking about the long-term vision of the company. But what is the ideal order mix which we want going ahead so we can have a better margin, better profit and whether -- an ideal situation which you say.

Mahendra Nahata: Ideal situation would be 70% or so, now it's a few percentage here and there would always be there, revenue coming from product. Rest of the revenue coming from projects which are cash flow good and reasonably profitable projects. That will be the most ideal situation. In terms of percentage of product revenue in telecom, defence, railways, I would say if I take product revenue as 100, probably 70% should come from telecom and rest 30% come from mix of defence and railways.

Deepesh Sancheti: And right now, what is the --

Moderator: Sorry to interrupt you, Mr. Deepesh. May we request you to join the question queue, Sir. We have several participants waiting for their turn. The next question from the line of Mr. Saket Kapoor from Kapoor & Company.

Saket Kapoor: Sir, firstly, if you could explain, give the number for this other than this INR150 crores Indian Army project, what are the other contracts in which the milestones are awaited? And you spoke about some receivables, which we'll be receiving in the third quarter.

Mahendra Nahata: I'm not able to hear you clearly.

Saket Kapoor: Okay, sir. I just come again. Now you can hear me?

Mahendra Nahata: Yes, go ahead.

Saket Kapoor: Yes, sir. Sir, you spoke about this INR 150 crores revenue from the Indian Army contract, which we were unable to book because of some milestone pending from their end. Other than this INR150 crores, I think some BSNL milestones are also pending. So what is the receivable from the BSNL end as of now?

Mahendra Nahata: Look, this about INR 150 crores. I'm not very precise on the number, about INR 150 crores revenue could not be booked because of those milestones not getting completed, which has nothing to do with us because it is because of BSNL or other vendors of Army and BSNL and all that. So that is the one which is incomplete. Money due on this particular contract, which is still receivable is about INR 800 crores.

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Saket Kapoor: From BSNL?

Mahendra Nahata: Order is through BSNL, but money comes from the Consolidated Fund of India.

Saket Kapoor: Okay. So INR 800 crores is due from this contract?

Mahendra Nahata: Yes.

Saket Kapoor: And INR150 crores of revenue is due. So we will be booking INR 150 crores of revenue on account of this contract during the second quarter?

Mahendra Nahata: I don't know. This all depends upon other vendor is able to do his part of the work.

Saket Kapoor: Okay, sir. And sir, on the order book part, sir, what is the O&M component of the order book of INR6,000 crores?

Mahendra Nahata: I think it should be around INR 1500 crores around INR 1500 crores.

Saket Kapoor: So INR4,500 crores is the current order book in terms of the EPC as well as --

Mahendra Nahata: INR5000 crores, Saket Kapoor: Okay, INR5,000 crores. Sir, last point on a not a hypothetical, but elaborate answer. Sir, all the key players, whether you -- whether HFCL or Sterlite, everybody is moving away from this EPC part of the story, wherein the --

Mahendra Nahata: Say that again, moving away from?

Saket Kapoor: The EPC part of the story, this project part of the story, everybody is focusing on the optical part and also on the product part. So when the major players are not taking up contracts, how do you think they will be laying off the networks going ahead, especially from the government front, when the major players are hesitant in taking up the key taking the projects going ahead?

Mahendra Nahata: Look, it's for the government to decide. I think they have to improve their terms of p

ayments for the contract and start distinguishing between larger players and smaller players. What happens is that once you allow small, big all players to participate in one particular tender, smaller players tend to quote very very low prices. And larger would definitely not be interested in such kind of contracts where because of such kind of I would not use that word, but non-economically gainful quotation, larger players will not quote.

So the government has to start differentiating between larger and smaller players and have the eligibility condition set up accordingly so that larger players do come in and stay, unless they earn a reasonable margin, they would not come in. So certain areas it has happened. But in BSNL case, in telecom, I have not seen it happening. That's why they don't find participation of the larger players. So if they want to improve their performance in terms of quality of the network and all that, they have to start distinguishing.

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And a good example is Bharat Net. In the Phase 1 and 2, they did not distinguish. And as a result, contracts went to very small players and the network quality is very, very bad, very bad quality of network. So government has to start working on this and really look at what kind of players they want and what kind of network quality they want.

Moderator: Sorry to interrupt you Mr. Kapoor, may we request you to join the question.

Saket Kapoor: Yes, ma'am, I will join the queue and sir, I hope for your good health. I heard you were not doing well.

Mahendra Nahata: I am very well. Don't worry, I am very well.

Moderator: The next question is from the line of Mr. Hardik Vyas from Economic Times.

Hardik Vyas: Sir, I had a couple of questions. The first one is how much money have we invested in Wi-Fi 5 sorry, not Wi-Fi 5, 5G products from where we are going to get about INR 800 crores, INR1,000 crores the next year?

Mahendra Nahata: Look, right now, the money is being spent in R&D. And we would have spent anywhere between INR125 crores to INR 150 crores of R&D and the products will start coming up now.

So R&D is very, very expensive. The license fee has to be paid. Qualcomm itself licenses is USD4 million. And you need a Qualcomm license in 5G, is just one example. Similar such kind of license fees, royalties and manpower costs, equipment costs, test equipment costs,

infrastructure costs, all are there. So about INR 150 crores also has already been invested. And one will see products start coming out from the current year.

Hardik Vyas: Okay. So I'm asking about R&D expenses for the facility that is going to come up for the products of 5G, that money, how much of that money are we investing is what am I asking.

Mahendra Nahata: That would not be much. That would not as much. Reason I tell you, part we want to do ourselves, part we want to get manufactured on contract basis. So assembly of PCBs and all that component assemblies that we will get on a contract basis. But we would be doing the testing, final testing and integration. So that investment could be something like INR 70 crores, INR80 crores, not much. It will be that range only.

Hardik Vyas: Okay. And the same thing would also apply to other products like Wi-Fi 5, Wi-Fi 6 and then --

Mahendra Nahata: It would apply to other products, other telecom products also, absolutely.

Hardik Vyas: Okay. So it will not be much of the investment on our side.

Mahendra Nahata: So it will be 70 -80 crore capex, a large portion would be done by contract manufacturing.

And that's the trend worldwide. Worldwide, it is being that way. If you look at Apple, for example, famous, phones are manufactured by Flextronics and different kind of companies,

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they do it rather than Apple manufacturing by itself because the contract manufacturers have

their

own strengths, own sourcing capabilities, manufacturing capabilities. So one would use that and that turns out to be cheaper than doing it yourself.

Hardik Vyas: Okay. So capacity will not be a constraint ever. We'll be having more contract manufacturers if we have more demand for such products?

Mahendra Nahata: Yes, definitely, there are so many contract manufacturers now, Flextronics and whatever, so many names I can keep on taking.

Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Mahendra Nahata: Thank you, ladies and gentlemen, for being part of this investor call, the earning call of HFCL for Q1. As I said, we would continue to work on our well-defined and well thought of and well

being implemented strategy of increasing our revenue from products, increasing our revenue from exports and taking on those EPC contracts where cash flow profitability is good.

So you would see in future also the Company in making good margins and growth in revenue from products as well as from export segment, where we are taking definitive steps to have our

own IPR, our own products and increase our presence in the international market, going to more countries, either by our own

people or by agents and distributors.

So this strategy is going to continue. And I believe the strategy has paid dividends. It has increased the profitability of the Company. With new products coming in, revenue going up, you will see the revenue and profitability both going up. And worldwide telecom market is in good shape. With the market being in good shape and our strategy of increasing products and product revenue and export will play us well to see good growth coming up in the Company in the future. So creating better and higher value for the stakeholders. Thank you very much.

Moderator: Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2023

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RE: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015 (the “SEBI Listing Regulations”).

Subject: Transcript of Conference Call on the Un -audited Financial Results of the Company for the 2nd Quarter and Half Year ended September 30, 2023, of the Financial Year 2023- 24.

Dear Sir(s)/ Madam,

This is further to our earlier announcement dated October 13 , 2023 .

In terms of Regulation 30 read with Para A of Part A of Schedule III to the SEBI Listing Regulations, we hereby submit Transcript of the Conference Call held on October 20, 2023, on the Un -audited Financial Results of the Company for the 2

nd Quarter and Half Year ended on September 30, 2023, of the Financial Year 2023 -24, which were considered and approved by the Board of Directors of the Company, at its meeting held on October 19 , 2023.

This aforesaid Transcript will also be available on the Co mpany's website at <https://www.hfcl.com/> .

You are requested to take the above information on records and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,
For HFCL Limited

(Manoj Baid)
President & Company Secretary

Encl: Copy of Transcript.

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“HFCL Limited
Q2 FY2024 Earnings Conference Call ”

October 20 , 2023

A
NALYST : MR. ARUN BAID – ICICI SECURITIES LIMITED

MANAGEMENT : MR. MAHENDRA NAHATA – PROMOTER & MANAGING
DIRECTOR
MR. VIJAY RAJ JAIN – CHIEF FINANCIAL OFFICER
MR. MANOJ BAID – COMPANY SECRETARY
MR. AMIT AGARWAL – HEAD INVESTOR RELATIONS

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Page 2 of 22 Moderator : Ladies and gentlemen, good day, and welcome to the Q2 FY 2024 Results Conference Call of HFCL hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. From the management team, we have with us Mr. Mahendra Nahata, Promoter and Managing Director; Mr. V R Jain, CFO; Mr. Manoj Baid, Company Secretary; Mr. Amit Agarwal, Head, IR. I now hand the conference over to Mr. Mahendra Nahata. Thank you, and over to you, sir.

Mahendra Nahata : Good afternoon Ladies and Gentlemen and welcome to HFCL's earnings call for the second quarter and half year of FY24.

I would like to express my sincere appreciation and gratitude for joining us today. I am sure that you got a chance to go through our financial results, press release and investor presentation, which are available on the website of the Company and also on the website of stock exchanges.

The outlook for the global economy still remains somewhat uncertain, marked by varying macroeconomic conditions across different regions. Uncertainty is also triggered by the recent global conflicts. Despite that the International Monetary Fund (IMF) has upped India's economic growth forecast to 6.3 percent for the current fiscal FY24 primarily due to Indian economy's robust growth prospects. India's digital transformation is makin

g a

significant difference in creating a new model of economic growth. India has offered its indigenously developed 5G technology to other countries and has also demonstrated its Digital Public Infrastructure to the world. The Country is now well positioned to take on bigger challenges with the Bharat 6G stack that holds immense promise given India's technological expertise in the field.

India's technological progress in the telecom sector has positioned it as an attractive global investment and manufacturing destination. In just one year after the 5G rollout started, India has emerged as one of the top three 5G ecosystems in the world. The growing demand for high-speed 5G connectivity, fuelled by government initiatives like BharatNet, implementation of FTTH, PLI scheme and anti-dumping duty on optical fiber cables will not only foster indigenous manufacturing but also open up promising avenues for growth.

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Page 3 of 22 In addition, the telecom industry is also taking significant steps to create roadmap for 6G. This was evident with the recent signing of MoU between Bharat 6G Alliance and Next G Alliance at the G20 Summit. This collaboration is poised to foster innovation in the dynamic telecom landscape and deepen public-private cooperation.

Against the backdrop of digital transformation and building of a robust 5G network infrastructure, we are expecting strong demand in near future for fiberisation both in India and globally. This expected strong demand is fuelled by increased government thrust on fiberisation, FTTH, rise in data centres, adoption of cloud computing, IoT, investing in 5G capex and telecom infrastructure across key global markets including India, US, UK, France, Germany, Middle East and other countries. In India, products under PLI scheme and fiberisation under BharatNet and FTTH projects by private operators will result in good opportunities for players like us.

The government in United States has also unveiled 'the BEAD vision' (Broadband Equity, Access and Deployment (BEAD) programme of USD 43 billion), which is intended to extend last-mile coverage across the US. Under this and such other programmes, subsidies equivalent to USD 61 billion is expected to be disbursed for fiberisation across United States. On the other hand, EU Countries including Germany, Italy, France and Austria are also seeing massive capex besides funds allocated by the UK Government recently to

accelerate 5G innovation and to put all UK households in reach of fiber to the premises by 2033 as part of its Project Gigabit.

HFCL has carved out a distinct space in the telecom industry by continuing on its strategic priorities of expanding Optical Fiber and Optical Fiber Cable capacities along with key initiatives to design 5G networking solutions and various other broadband wireless products. These products include the revolutionary 864-fiber count intermittent bonded ribbon cable, 5G fixed wireless access customer premise equipment, cloud-based network management systems, 5G radio access network, 5G transport products, along with high capacity unlicensed band radios and WiFi - 7 access points. We plan to launch some of these key products during the current financial year and we are confident that the launch of these products will further contribute to higher revenue and profitability in coming years.

During the quarter under review, we launched our revolutionary 864-fiber count intermittently bonded ribbon cable in the UK. The IBR Cables enable easy installation of higher fiber counts in small diameter ducts, especially useful in congested areas with very limited space. We also unveiled our new high-fiber density flat ribbon cable at the Fiber Connect 2023 event, held in the United States. The strong market reception highlights the
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Page 4 of 22 significance of our innovative cables, reaff

irming HFCL as a leading provider of pioneering solutions that consistently address the evolving needs of our valued customers.

Further, Fiber Reinforced Plastic Rod & Impregnated Glass Fiber Reinforcement, manufactured at HFCL's Hosur Plant have been accredited with Registration, Evaluation, Authorisation, and Restriction of Chemicals Compliant (REACH), which permits the sale of these cable reinforcement products in countries across the European Union.

HFCL is actively pursuing business opportunities by leveraging its domain expertise, technological strengths and established market presence to enhance the nation's defence capabilities. I am proud to inform you that our Aerospace & Defence division in HTL Limited, a subsidiary, secured a prestigious order from a prominent Defence Public Sector Unit for the supply of 18 different types of cable assemblies that provide Interface and Interconnection between sub systems of Identification of Friend- or-Foe radar systems. We have also successfully cleared the User Trial Readiness Review for the BMP 2 Armament Upgrade Project, under MAKE II, of the Indian Army, underscoring our commitment to meeting the defense sector's requirements and contributing to the nation's self-reliance.

In Q2 FY24, our Optical Fiber manufacturing plant at Hyderabad achieved a run rate of 12 Million fiber km through sustainable improvements in efficiency, product quality and capacity building. It has established the best Overall Equipment Effectiveness performance and also resulted in an increased 10% throughput.

I also wish to update that expansion of Optic Fiber manufacturing capacities from 10 mn fkm to 33.90 mn fkm is progressing well and shall be operational as planned. In addition, the Company is also in process of expanding its optical fiber cable production capacity from 25mn fkm to 35mn fkm. This expansion will also lead to significant increase in revenue and profitability. The capacity will be added in a phased manner, with the completion targeted by FY 24-25.

During this quarter, we also witnessed softening in demand of OFC and telecom networking products from the telcos, resulting into decline in product revenue both on Quarter on Quarter and Year on -Year basis. The temporary decline can be attributed to an inventory build-up with major operators, resulting in an overall reduction in revenue in absolute terms as well as lower sales realisation per kilometre of fiber.

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Page 5 of 22 Aside, the overall demand across US has slowed down as BEAD funding got delayed which took a hit on the capex by the telcos and now it is expected to start by July -August next year. In China, less orders were released by China mobile. In India, also situation was not much different. The BharatNet tender got delayed and incessant rains during the monsoon seasonal so impacted the overall demand by the Indian telcos. This has resulted in decline in demand of Optical Fiber Cables worldwide for sometime

During the quarter under review, we were able to win some significant orders from our customers. As a result, we closed Q2FY24 with an order book exceeding INR 7000 crore.

HFCL also successfully raised INR 352 crores through QIP during this quarter. The QIP has received an overwhelming response from institutional investors. I extend my heartfelt gratitude to all the investors for their unwavering support and trust in HFCL's long-term growth strategy.

The proceeds from the QIP are primarily being used to fund capital expenditures for the expansion of our optic fiber and optic fiber cable capacity, support expenditures related to Research and Development initiatives, including the acquisition of technologies, facilitate the repayment/prepayment of short-term borrowings and fulfill working capital requirements.

Let me now brief you on the key performance metrics of Q2FY24.

● Revenue for Q2F

Y24 stood at INR 1111.49 Crores as compared to INR 995.19 Crores in Q1FY24 and INR 1173.47 crores in Q2FY23

● EBITDA for the quarter stood at INR 149.77 Crores as compared to INR 159.62 Crores in Q1FY24 and INR 174.60 Crores in Q2FY23; EBITDA margin stands at 13.47% for Q2FY24 as compared to 16.04% for Q1FY24 and it stood at 14.88% in Q2FY23;

● Profit after tax for Q2FY24 stands at INR 70.17 Crores as compared to INR 75.56 Crores of Q1FY24 and INR 84.31 Crores in Q2FY23; PAT margin stands at 6.31% in Q2FY24 as compared to 7.59% in Q1FY24 and 7.18% in Q2FY23

● Segment revenue for telecom products during the quarter stood at INR 473.81 Crores (43 % of Q2FY24 revenue) as compared to INR 662.43 Crores 67% of Q1FY24 revenue and INR 671.04 Crores (57% of revenue in Q2FY23).

● Revenue for H1FY24 stood at INR 2,106.68 Crores as compared to INR 2,224.48 Crores in H1FY23;

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Page 6 of 22 ● EBITDA for H1FY24 stood at INR 309.39 Crores as compared to INR 304.35

Crores in H1FY23; EBITDA margin stands at 14.69% for H1FY24 as compared to 13.68% for H1FY23;

● Profit after tax for H1FY24 stands at INR 145.73 Crores as compared to INR 137.40 Crores in H1FY23; PAT margin stands at 6.92% in H1FY24 as compared to 6.18% in H1FY23

● Segment revenue for telecom products during the H1FY24 stood at INR 1136.24 Crores (54 % of H1FY24 revenue) as compared to INR 1291.14 Crores (58% of H1FY23 revenue).

The growth in key global telecom markets and burgeoning opportunities in India fuel our optimism. To conclude, I would like to reiterate that with our strategic focus on capacity expansion, geographical expansion, shift in revenue mix from projects to products, backward and horizontal integration, strong R&D commitment and developing margin accretive new products have begun to yield results and we are confident that our strategy will continue to enhance our revenues and profitability in the coming years. With an unyielding focus on delivering value to our shareholders, our team is determined to pursue our goals relentlessly.

We are excited about our participation in the upcoming India Mobile Congress from 27 to 29 October, 2023. We look forward to unveiling various key futuristic products that are set to play a crucial role in the telecom industry and revolutionise the 5G expansion movement in India.

Thank you once again for your keen participation. With this, I conclude my opening remarks and open the floor for the Q&A session. Thank you.

Moderator : Thank you very much, Sir. We will now begin the question and answer session. The first question is from the line of Balasubramanian from Arihant Capital. Please proceed.

Balasubramanian: Good evening Sir. Thanks so much for taking my question. My first question, on the financial side intangible asset under development has increased from INR 98 Crores to INR

299 Crores from FY2023 to H1 FY2024. Could you please clarify on the same like what kind of development we have?

Mahendra Nahata : No, look all these expenses, what you see the increase in the R&D expenses, the license fee paid, R&D expenditure incurred and that would be amortized once the products are launched. They would be amortized over a period of time. The R&D is an expensive effort

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Page 7 of 22 and we are incurring these expenses, as different products are being undertaken for R&D which have been mentioned all the time. These totally relate to R&D expenditure and also the equipment which we buy for the software licenses and all that we get for developing various equipment.

Balasubramanian: Sir, the segmental revenue mix reflects in Q2 FY2024. So like how do you understand on segmental revenue mix and margins going forward?

Mahendra Nahata : As you would have noticed, in the current quarter, the product revenue has gone down a bit and that has happened because of the decrease

demand of optic fibre cable, which I

explained in detail in my opening remarks. It went down quite suddenly, quite unexpectedly and for various reasons, in India because of monsoon reasons and operators not expanding

their network that fast in monsoon, in different other countries like US for delay in the

subsidy programs and accumulation of inventory with the operators because people earlier thought that supply would be quite delayed. People had accumulated inventory all that led

to decrease in the revenue of optic fiber cable in the last quarter and I am expecting this to

continue little bit in the current quarter also and then expect it to improve again with all this

programs coming back. Overall optic fiber cable demand is going to be remaining good,

exceedingly well because of FTTH, 5G, BharatNet in India and various other subsidy

programs being launched by various governments worldwide, including the developed countries to make fiber reach to every home. Overall demand is going to remain very good,

but this has been temporary phenomenon. So going forward if you ask me in segmented

revenue it is going to become better and better and our objective is to reach to 70-30

product and project revenue whereas 30% of the project revenue would be from the good cash flow kind of projects and

products revenue out of the 70% maximum would be out of

the products to be developed by us or are being developed by us. Some of the products

which we have developed are already launched in the market and are getting good traction

like Wi-Fi access points, like unlicensed band radios, we have a very good traction in the

market. So going forward, I would say the objective of the company is to reach to a 70-30

kind of a revenue mix. However, for current quarter, which result I am presenting to you, in

the current quarter the mix might be little different because of the current situation of optic

fiber cable I have explained to you. However, in Q4 FY24, increased demand of cable and

some of the new which we are trying to launch, if we launch in the fourth quarter of the

financial year that revenue will also kick in, but definitely if you go to Q1 of the next

financial year, this would have a dramatic change because all the products would have been

launched. Cable demand would be improved, so that would put less stress on the cash flow

and also increase the revenue and profitability. Moreover by that time a lot of revenue

which is unrealized still from the one of the major project which is network for spectrum

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Page 8 of 22 Indian Army project. A large part of that revenue would have also been realized. So that will further improve the cash flow of the company to a very good extent.

Balasubramanian: Got it Sir. My next final question on that export market side like we are aware some inventory buildup with major Telcos in U.S. market. How do we anticipate demand and

supply environment not only U.S., the overall global market because our revenue export

share was 17% in FY2023 right now we have seen little bit dip to 14.4%. So like how do

we understand the global markets because of inventory buildup, it is a problem with the

U.S. market only or how do we understand on the overall markets.

Mahendra Nahata : Look, the problem is in U.S. I tell you. Before few months, not few months and I would

say two or three quarters back US was in a situation where the delivery was four to six

months. Unfortunately, at that time our focus was seeking approval, we have not started

exporting. We were preparing ourselves. Now what has happened because the increase in

capacity in US and also late start of those programs which I mentioned about operators had

already built up inventory believing that this delivery time is going to be continuing four to

six months they accumulated stock by taking increased delivery from suppliers So when

these programs got delayed

d, naturally the output, the installation of optic fiber cable did

not take that kind of a speed which it was expected as a result of which there was a buildup

of the inventory with the operators Simultaneously supplies which had increased keeping in

view the demand would increase and the supply had increased. So this has resulted in two

fold impacts that the inventory buildup is there and very quick, which is expected to ease out as I said next four to six months or even maybe less than that this is expected to ease

out, good thing which has also happened of the total requirement in U.S. market more than

60% products we have already got approved by the Telco India and other approving agencies,

which itself is a big thing because in the US market cable requirement is completely different in terms of construction and material you use other than Indian and European market. So those approvals have been taken, once the demand picks up we expect reasonable amount of opportunities for us. We have already started appointing distributors, agents. We have already got our own employees also in U.S. market. We are totally ready to take advantage of this market once the demand picks up. But anyway we have already started selling, we have done some selling in U.S. market. I do not have the exact number in

my hand, but yes, I think something like \$8 or \$10 million, \$7 or \$8 million of sales has already happened in the US market.

Balasubramanian: Thank you, Sir. I will come back in queue.

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Page 9 of 22 Moderator : Thank you. The next question is from the line of Sahil Sanghvi from Monarch Network Capital. Please go ahead.

Sahil Sanghvi : Good evening, Sir. Just two questions. One, so, now talking about the second-half, can we still expect a low single digit growth this year or should we expect a flattish number on the revenue side for this year?

Mahendra Nahata : I would not like to give any future guidance or predictions but I am sure with the demand picking up in next two quarters there should be reasonable growth in our revenue which we had anticipated, this particular quarter the revenue growth was there but because of the reduced sales from the products, margin took a hit compared from the quarter one. Once the product sale improves the margin are also going to improve. So though the revenue has grown, but if you compare it to the last year, it is not really revenue has gone down, but it is more or less the profitability has gone down. So I expect that next two quarters we should expect the demand should pick up, and if the demand picks up our revenue and profitability both will grow.

Sahil Sanghvi : My second question is all these new products that we are launching, would you be able to give a number as to what kind of incremental revenue can we expect may be by next year?

Mahendra Nahata : The new products which we are launching which number of times I have mentioned, I am expecting that there should be at least an increase in revenue of about INR 800 to INR 1000 Crores coming up from this on a very pessimistic basis. It could be more because some of the products we are launching, the demand is huge, huge demand opportunity is there, but at least INR 800 to INR 1000 Crores minimum I expect that kind of a revenue to come up from these products.

Sahil Sanghvi : This was in FY2025 or would be over two, three years

Mahendra Nahata : No, I am talking of FY2025. I am quite confident of that, because all these products I am talking about would be launched before the expiry of this financial year and maybe a little bit earlier than that, one-by-one and by the next financial year we would be totally be in the market including the export market to sell these products. So once that happens and the demand of these products to have billions of dollars So there is absolutely no lack of confidence in us to get this kind of revenue.

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Sahil Sanghvi : Thank you so much and all the best.

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Page 10 of 22 Moderator : Thank you. The next question is from the line of Saral from Indsec. Please go ahead.

Saral : Hi, Sir. Thanks for the opportunity. What would be our blended capacity utilizations, if you could give a sense?

Mahendra Nahata : Would you repeat your question once again.

Saral : My question pertains to our capacity utilizations for the first half.

Mahendra Nahata : Look the capacity utilization, the fiber optic is low, as I have said, the market has slowed down. So, it has gone down by roughly by 1/3rd or so. As you have seen, the product sale has gone down by 1/3rd. So capacity utilization has gone down almost in tandem. It had little bit more than that because inventory which was there has also been part of the sales numbers So but around that it has gone down the capacity utilization, but once the demand improves it will go up again very easy to increase that, this is very modular.

Saral : You highlighted that our margins have fallen because of the weak product mix. The product revenue has fallen. Any other reason apart from this or this is the only reason?

Mahendra Nahata : Major reason is this only. But there has been decrease in the price of fiber also because once you have a decrease in demand, consequently there will be some decrease in the price also.

So the realization of fiber optic cable per fiber kilometer has gone down by about INR 100 per fiber kilometer. So that extent from decrease in demand, but let me tell you these are very temporary phenomena in the market, market cannot always remain in sky high and every time the demand is very, very high. There are temporary things which come in the

market this is one of them and I am quite confident this would come back to its normal level very, very soon and this will also improve once our demand improves and also at the same point of time capacity utilization will also improve and all that would be reflected in the P&L of the Company.

Saral : So Sir, what should be the margin trajectory because it has been volatile over last three, four quarters So just wanted to get a sense where can we be lined up in FY2024? If you could give a directional guidance.

Mahendra Nahata : It is not proper for me to give guidance, but yes, I can say with the increase in the product revenue, margin trajectory would also become better and average out. We average out for last six quarters, it would be around that.

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Page 11 of 22 Saral : Can you share some outlook for exports? How is it shaping up? We have seen very good traction over last 3-4 years But going ahead, how do we see that going?

Mahendra Nahata : Look, I am very bullish about that. I am very, very bullish about that. We have taken various steps to increase exports for optic fibre cable as well as equipment. I think we would have contacted in last two months more than 200 to 250 different customers across the world about our optic fibre cable and now starting to build them from SGO level to L1, L2, L3 level, when L4 used to make a final sale. So these are the kind of customers we are now contacting apart from the customers we are selling because the new customers we are contacting by dedicated team and we receive replies from many and then we start taking the next steps and all that and we have got approval from as I said in Telcordia from the US market which is approving agency technically we have got approval from various other world renowned operators for our optic fibre cable. I have a very promising outlook optic cable sales in the export market and of course I expect it to pick up in the next couple of months. As far as the equipment are concerned, I am very bullish because the market of equipment is far, far larger than the optic fibre cable market. Of course equipment are also

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quite a lot, but the equipment which we are manufacturing, we are designing a view to manufacturing. There also demand is billions of dollars What I am talking about INR 800-1000 Crores. So we have already started making in that direction, effort in that direction also to start writing to the operators these are the products which are going to come out of our manufacturing in next few months. These are the specifications and we are already looking at that yes, we are getting good response from operators and once the products come out and we give it for testing I am sure that this INR 800 or 1000 Crores of revenue would be absolutely seen as nothing. In fact we have already sent one of our product samples for testing to a very large US operator and they have already gone through the first level of testing and they expressed complete satisfaction with our product. I do not say that has resulted in any demand immediately, but getting a satisfactory report from such a large operator itself is a good thing, this is for the 5G product, another 5G product is getting tested in another operator's lab in India. There also we have got a satisfactory report. So product revenue from exports and also cable revenue from exports, I am very bullish about because of the efforts we have taken because the customer base we are creating and in terms of products. Good efficient products at a price which is very competitive we have developed. So I am sure this will all result in good export revenue in the next year and years beyond that.

Saral : Sure. I will fall back in queue. Thank you.

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Page 12 of 22 Moderator : Thank you so much. The next question is from the line of Darshit from Robo Capital. Please go ahead, Sir.

Darshit : Thank you for taking my question. So although you have partly answered my question, but I just request that if you can just not a proper guidance, but just give a view of the medium -

term, say two to three years down the line about margins, revenue or any kind of key drivers you think?

Mahendra Nahata : Thanks for your question. I would not give a guidance, but what I can say the re is strategy which we have got in the Company two three fold. One, increasing our revenue from products and that is happening with increasing the capacity of fiber optic cable manufacturing capacity, fiber manufacturing capacity, backward integration which aid us in cost reduction. Two, product designed by ourselves, which is resulting in number of products which can be sold in export market and also reducing our revenue from project and increasing from products, all this if you look at combined way, you would find that revenue are expected to go up as well as profitability is also expected to go up in next 2-3 years mid-term as you are talking about, reason is simple. One, better profitability, lower cash requirement, and this will see an interest burden and also at the same time, increased

capacity would mean that you would be able to export to more customer and more countries on which we are believing upon heavily, because if export is good, then that is where the 90% of the demand lies. So with the more number of customers we expect increase in the revenue. So that is where we are putting up a lot of effort apart from our customers in India, of course, because India is our home market where customers like Jio and Airtel, we hope the Vodafone also revive, we hope. The BSNL is coming up with a lot of incentives from

the government, programs like BharatNet are coming up and that has a budgeted outflow of INR 140000 Crores for next 10 years including maintenance out of which INR 40000

Crores is Cap ex in next three years and we expect to get reasonably good orders out of that because we should be one of the more qualified parties. So in 2, 3 years timeframe, I expect future should be good.

Darshit : Great to hear that and I just missed on

the thing you said about products already approved in the US markets. What was the number?

Mahendra Nahata : That, I talked about the optic fibre cable and that was roughly the estimate that constitutes about 60% of the demand on the cable markets of the US.

Darshit : Thank you so much.

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Page 13 of 22 Moderator : Thank you. The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead, Sir.

Aman Vij : Good evening, Sir. My first question is on the defense side and then on the product side.

Mahendra Nahata : Aman your questions are always on defense side.

Aman Vij : Yes, I have a question on product side also sir. On the defense side, if you can give an update last call you talked about some potential tenders in BMP upgrade and fuses as well, and on the SDR and night vision. If you can update on all the three, four products.

Mahendra Nahata : Yes, on the BMP upgrade UTRR for our upgrade has already happened, UTRR is readiness time and I am very happy to inform that we have already gone through that UTRR. Some of them have failed and I do not want to name who have failed because it is not my job to name the competitors who have failed and now I think the last phase of trial is going on for the remaining companies and I think they are finishing the trial within this month and whoever passes through they will get the RFP and the tender to participate and we have already passed through that trial and we are happy to inform you. In terms of SDR which is under development is still not fully developed. We have done more or less 50%, 60% of the development. There were some issues where we got stuck in terms of technical part of it which is particularly the radio frequency part which we have now got a solution and resolved so result in a sense that theoretically result, the practically when we put it through

as the equipment we would know, but now we know the solution. So then the SDR would be developed sometime mid of next year and will be submitted to Army. But it is a long-term project, demand of SDR would continue for decades to come, more than a decade to come. So there is no problem for us even if it has got delayed by six months or so and in R&D nothing new, very, very complicated product. So there is a delay of six months or so. That is fine, that has received in demand for couple of decades. So we have no issue with that. New tender is yet to come. We are hearing that new tender would come. Whenever it comes we will participate. But we have already approached Indian Army for trial even without a tender because there is a procedure by which they try by themselves. If you submit even without the tender and they certify it for the military use, once they certify for military use, then whenever a tender comes, you do not even have to go for a discussion trial a gain in many cases, many cases you may have to, many cases you may not. In terms of defense we have participated in another tender which is yet to be opened which is for tactical optic fibre cable which was I think about 7000 kilometers about few days back, about 10 days back and that it will be opened. So once it comes, we will know the results there are only, I think there should be only three or four participants as much as I know. So

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Page 14 of 22 it has not been declared but as industry information is there, there should be about three or four participants and we are very hopeful that we should be one of the parties who would be asked to go for the reverse bidding, it is two stage bidding one is what you submit another reverse bidding happens. So we are quite hopeful of that. There is a product which you have already participated. So UTRR we are approved and waiting for RFP, tactical cable we have already participated in a tender. We are quite hopeful of that SDR development is bit delay

ed but which would come up in the mid next year, fuse we are submitting for approval to the Indian Army already written to them now waiting for the ammunition to be made available and the firing range to be made available for the artillery guns firing ranges are limited. So firing range availability, we are waiting for, electro optics, we have one tender coming up where we will participate, one tender has already come where there have been some problem with number of private companies in a particular class of firing which was represented by all. It was a technical problem that had given, not really problem with the

electro optic devices of the company. So that is under reconsideration at this point of time.

Aman Vij : Sure, Sir. That was helpful. The second question is on the product side. So earlier we had a target of around maybe INR 300 to INR 400 Crores sales for this year and INR 800 to INR 1000 Crores for next year. I believe we are still on track for next year target, but what would be the revised target for the product side for this year.

Mahendra Nahata : So this year instead of INR 300 to INR 400 we are expecting INR 250 to INR 300, about INR 250 to INR 300 because some of our products which we are already in the market for example unlicensed band radio that has got a good traction that has come, that is under supply. We got an order of 10000 links which is under supply. Then another order of 5000 links is expected very soon which we would supply. So you should assume it at about INR 250 Crores to INR 300 Crores instead of INR 300 to INR 400 Crores, but next year INR 800 to INR 1000 Crores I believe there will not be any problem in achieving that.

Aman Vij : Ok, Sir. Thank you and all the best.

Moderator : Thank you. The next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead, Sir.

Saket Kapoor : Firstly for this EPC segment part, I think somehow the Madhya Pradesh Jal Nigam we bagged an order for INR 1015 Crores. If you could give us some more details and also whether it is one of the project or package in the project if you could throw some more light.

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Page 15 of 22 Mahendra Nahata : No it is one of the project, not really a package in project, and it is expected to be completed

in two years' timeframe and work all that would start in about a month from now after Diwali let me say. As I said, our effort is to somehow come up with the technology where we can put optic fibre cable with that. In UP we are already working on that. The technological part, how to do that and how to make it robust and not something which can be damaged with the water pipeline and then various methodology whether it can be inside the pipe, outside the pipe we are working on that because there is no hurry to come up with the solution with that. We are working with the solution we worked and it could be different in different parts of the network so we are working on that. The topology of the Madhya Pradesh network is little different, but you would still work on that kind of a solution. So it is a two year thing which is to be completed and work would start in the months' time.

Saket Kapoor : As you have earlier mentioned that we will be more inclined towards the product segment and more R&D and being done there only. So how would the revenue profile look forward? I think so now with this participation in the Jal Nigam projects, What should be the likelihood and the percentage in the revenue mix?

Mahendra Nahata : Look, as I said our overall strategy is that product revenue should increase and then spending of the company in R&D, in cable, as well as your products which is telecom products and defense products also. Of course when I say 70-30 the ultimate objective about 30 bring from the projects where good cash flow projects like what we are going to do for Jio, a very good cash flow. Now at

the same point of time, there are things like for example current quarter the revenue price is low and the reasons which I have already explained, I need not go in detail again. So current year as this quarter 3 also I expect it to remain almost like that, quarter 4 is going to improve that is my expectation and Q1 onwards from the next financial year, so different scenario altogether with so many products coming in market the scenario would be completely different. So this year, it could come about 50-50 or maybe a little better than that. Next year I think I should be able to go into a 60-40 situation then leading to 70-30 situation.

Moderator : Thank you. The next question is from the line of Parth Mehta from M Cap. Please go ahead.

Parth Mehta : Sir, I just had a couple of questions. The first one is when we are going to launch these new products be it on the defense side or the 5G side, will we need any kind of Capex or investment to convert those launched products to revenues, which we are probably looking at INR 800 to INR 1000 Crores of revenues in the next financial year.

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Page 16 of 22 Mahendra Nahata : There will be some capacity required which is INR 50 to INR 60 Crores around you can say less than INR 75 Crores.

Parth Mehta : INR 75 Crores of Cape x would give us a revenue of INR 800 to INR 1000 Crores.

Mahendra Nahata : Absolutely, because a lot of money spent on R&D, there is also Cape x, it is not only machinery, we said how you design the product, that is also very, very important and I could have done without this INR 75 Crores also going for contract manufacturing when I say. But since I have to take advantage of the DLI incentive which has been sanctioned to the Company of almost INR 600 Crores, that is why we have to establish the manufacturing facility so that we can take advantage of that INR 600 Crores of sanction to get that.

Parth Mehta : My second question and the final one is after the new capacity for OFC and OF comes on stream next year, how much revenues are we looking at these prices where they have corrected in the last quarter?

Mahendra Nahata : I am looking something around INR 2800 to INR 3000 Crores which includes the optic fibre cable, fiber and also accessories which are sold together with fiber optic cable. So this is what I am looking for around INR 2800 to INR 3000 Crores.

Parth Mehta : At the expanded capacity.

Mahendra Nahata : At the expanded capacity. That would increase further, next year, it would increase further.

Parth Mehta : So next year only I am asking that how much do you think after the expansion.

Mahendra Nahata : I am talking about next year only, but then year next to that it is going to increase.

Parth Mehta : So year next to that how much will that increase from INR 3000?

Mahendra Nahata : Pardon me.

Parth Mehta : In FY2026 how much are you expecting from these.

Mahendra Nahata : I would say the another couple of INR 200 to INR 300 Crores more .

Parth Mehta : Okay. Thank you so much, sir. That is all from me.

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Page 17 of 22 Moderator : Thank you. The next question is coming from the line of Jheel Thakkar from Nirzar Securities. Please go ahead.

Jheel Thakkar : Thank you for the opportunity. Sir, I just wanted to know what is the optic fiber price and volume compared to the previous year and also I would like to know are we bidding for KAVACH.

Mahendra Nahata : Railway that is the signaling equipment, not telecom . So far no, if KAVACH has telecom part we will be definitely bidding for that. When it comes to the realization of fiber, in terms of pricing, as I said that pricing has gone down by roughly about INR 100 per fiber kilometer in terms of realization. So what was cable, I am talking of cable, what was the realization about INR 1300 per fiber kilometer equivalent cable has gone down to INR 1200.

But

when we go upon what count of fiber and all that, this is average. In terms of price of fiber per kilometer, it has gone down from Q1 to Q2. Earlier it was about INR 380 per kilometer. Now it has become around INR 355 per kilometer. That is the fiber price I am talking about.

Jheel Thakkar : So right now you can say it is about INR 1300.

Mahendra Nahata : Right now, the price of fiber cable, I am not talking of fiber. Price of cable per fiber kilometer, it is about INR 1200 – 1300 on an average. But it is again as I said, it is average for us. Somebody have a different average because somebody might have sold fiber of lower count where price would be different, higher count price would be different company to company and construction to construction for us it has gone down by INR 100.

Jheel Thakkar : And how much was this last year.

Mahendra Nahata : INR 1300 - 1500.

Jheel Thakkar : Okay. Thank you.

Moderator : Thank you. The next question is from the line of Pranay Gandhi from Green Portfolio. Please go ahead.

Pranay Gandhi : Good evening Sir. I hope you are doing good. My first question is in regards to the defense segment as we just discussed that the company is actively bidding for tenders and going for product trials as well. But I want to understand what kind of numbers are we looking at? I

understand it is difficult to comment on it before we get the tenders, but I just want to

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Page 18 of 22 understand the scale of tenders that the company participates in. Could you please give an insight on that?

Mahendra Nahata : Scale of tenders you ask me what we have participated and what we expect to participate in, let us say this current financial year would be roughly about INR 7000 to INR 10000 Crores.

Participated and expected to participate both I am putting together about INR 7000 to INR 10000 Crores. Now how much order that we will get this is anybody's guess .

Pranay Gandhi : Even if we participate at that number and I know in a real case scenario in real world it is not, I hope it happens but the company will not be able to secure all the orders. But even if

it does, is it in a position where it can deliver that number.

Mahendra Nahata : Let us not even expect to get all those numbers . So I would not say that we are in a position or not. I would be very happy even if I get 15% or 20% of that. We are very, very happy with that and that we certainly would be in a position to deliver.

Pranay Gandhi : And in next few years, do we see that number increasing in terms of our scalability?

Mahendra Nahata : Sure, because we will be increasing our product range. One more decision we have taken , in defense we are not only going to depend upon product which you design, we are going to do the transfer of technologies also taking technology from outside for our manufacturing like the BMP 2 which I talked about is nothing is manufactured by us, it is all partnerships.

But yes system integration would be done by us. So we will take more such opportunities because defense products are very complex products and goes through testing cycle which are so strict and sometimes unrealistic also let me be very frank, very unrealistic also which is not even required. But it is their prerogative. So to design the things and go through those cycles all the time for every product is not possible. It is better you take technology transfer also with proven products and increase the revenue through them also. So is it two pronged approach one is our own product. Second is ToT. So like this BMP 2 there is to transfer technology but system integration by us. We expect to do more such projects for ourselves coming up in future.

Pranay Gandhi : Thank you so much, Sir. In regards to telecom equipments, I understand you previously mentioned that market is huge, it is bigger than the optical cables at trails. So what are the products that we feed

our flagship products or the products on which we will have competitive advantage and the scope beyond FY2025 beyond INR 1000 Crores revenue mark, could you please comment on that.

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Page 19 of 22 Mahendra Nahata : Look flagship products like for example the product which we are currently doing. We launched UBR unlicensed band radio for the first it is being tried. Not only we tried is being commercially used for back hauling the 4G and 5G traffic and even the Qualcomm which is original chip supplied, they were also amazed. I had a meeting with the Qualcomm people last week only , they were very senior people. Number two and number three people had come from US. They were amazed the kind of use case we have shown here for the unlicensed band radio which they had not done anywhere else in the world, which we are able to do in India and the product is used for backhauling the 4G and 5G traffic which has not happened anywhere else in the world. We have been able to build radios which is giving multiple GBPS of backhaul traffic of 4G, 5G, so that is going to have a good demand in India and many other countries. Wi-Fi 7 which we have developed last year but now we are making a cost reduced version of that because at that time what chipset were available in the market price was so high, this was not effective for home switch. There might have new chipsets have come, we are going to rationalize that and that is going to be a flagship product. For more much more importantly the 5G wireless customer premises equipment which are development. Not under development, some of the development is already done which is under trial and a couple of other versions of that would be coming into for field trial in next one month. I expect very, very good demand coming out of that though I am not willing to give any numbers, but it can be much more than the overall turnover I have assumed from our product next year. The one product itself can be more than that, such is the high demand for those products. So, 5G related products , unlicensed band radio, Wi-Fi, routers, routers have huge demand opportunity in BharatNet. So BharatNet whenever comes up indigenously designed products and I think we and only one more company has indigenously designed products for routers So whenever this BharatNet comes demand is going to be more than a lakh of routers. So I believe there would be good demand opportunity for routers also. So these are things which I can say that very good demand opportunity is there. Now how much we will be able to take up and how much we will be able to sell is too premature to say, but yes, INR 800 to INR 1 000 Crores is nowhere, is very, very pessimistic. We can do much more than that. If my sales people are not able to do that also after products being developed, they are deserve to be sacked I do not think they are that bad. They should be able to do more than that.

Pranay Gandhi : That sounds clear and good luck with that. So I just have one request. We were trying to schedule a plan t visit or a meeting with the management. We have not been able to secure one. Who is a concerned person, I can get in touch with.

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Page 20 of 22 Mahendra Nahata : Yes, you will get in touch with Amit Agarwal our Head of Investor Relation and he would be too happy to organize your visit. If you want to visit Fiber and Cable both visit

Hyderabad. Where are you based?

Pranay Gandhi : We are based out of Gurgaon.

Mahendra Nahata : Gurgaon then visit Hyderabad or Chennai whatever you want.

Pranay Gandhi : Ok. Thank you so much, Sir, and good luck.

Moderator : Thank you. The last question is from the line of Priyansh, who is an individual investor.

Please go ahead, Sir.

Priyansh: My first question is regarding this extension of optical fiber and fiber cable. So in which month are we going to complete it,

number one. Two, what kind of additional turnover we will be generating from this?

Mahendra Nahata : This fiber manufacturing, the completion is expected going by stages, but partly it would be completed in let us say July 2024 and partly it will be completed in January 2025. It is in two stages we are doing the expansion and the stages because of delay in machine delivery. So that is going to happen, but it is going to be in two stages. In the cable manufacturing, it would be completed in the stages in financial year 2024-2025. In stages I said because of different kind of cables which we are going to be manufacturing, so deliveries are for different machines. So it is stages, we are doing 2024 -2025, it would be completed. If you compare the present revenue and the expanded revenue difference could be roughly about INR800 to INR 1000 Crores.

Priyansh: So you are saying that like additional incremental revenue will be INR 800 Crores to INR1000 Crores from the cable.

Mahendra Nahata : Yes and accessories, cable plus their accessories.

Priyansh: In a full financial year. My second question regarding this 5G equipment which we are manufacturing, so just the on a like a rough understanding how many number or how many types of equipment are we developing now and whether all the equipment will be launched within this financial year or something will go to the next financial year also, this number one and two, whether there is any impediment or hurdle which can delay this.

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Page 21 of 22 Mahendra Nahata : Look the number of equipment if you take the there are categories and there are sub categories.

But if I include sub categories, if I take just the categories, the categories would be Wi-Fi, UBR, 5G customer premise equipment, Wi-Fi, HMR, there will be a six or seven categories of communication equipment, but when include sub categories within that category it could be more than 25. So it is something like that. Now in terms of impediment, it is a research and development. R&D is always something which you cannot always succeed in the first time. Sometimes you may, sometimes you may not. There are 50% of the cases you succeed first time, 50% cases you make modification and then you succeed. So there is no impediment as such that there is something which you will not succeed at all. You will succeed. Sometimes it gets delayed and that is true with all R&D. We have seen Chandrayan mission. Chandrayan was initially a failure but then we succeeded, so some time it happens and sometimes there is delay, but finally it happens.

Priyansh: No Sir. My only point was that since we are now approaching very soon to the end of this financial year. So like during last conference all also you mentioned the same thing regarding this new product and everything. So now this idea that may be right because now we are only four, five months left, so may be the surety of launching all products like should be much more as compared to three months before that is what I am saying.

Mahendra Nahata : We are quite sure that all these products we would be launching in the current financial year there may be one or two products may be another one or two months delay but I do not expect more than that.

Priyansh: One thing you mentioned which I missed that you said that you are also developing some products which revenue which can be very huge. So if you just can kindly recap this one.

Mahendra Nahata : Yes, this is like for example 5G customer premise equipment which I talked about demand opportunity is very, very high so that one product itself can give more revenue than what I am expecting from all the products in telecommunication sector, but I am not saying that I would give but it has the potential, potential is there, but how much finally revenue comes

that depends upon the order and customers and all that, but potential in just one product

it is

there to give more than that revenue.

Priyansh: Very good Sir. Thank you so much and wish you all the best.

Moderator : Thank you. For the remaining questions the participants can get in touch with Mr. Amit Agarwal individually and now I would like to hand over the conference to Mr. Nahata for closing comments. Please go ahead, Sir.

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Page 22 of 22 Mahendra Nahata : Thank you very much and thanks a lot ladies and gentlemen for attending this earnings call

for Q2 of FY2024 . As I said this quarter in terms of product demand aberration because of lower demand of fiber optic cable, because of various reasons which we expect to improve in a couple of months in the US, Europe and India also I think there will be significant improvement. The Company has taken enough steps to increase the production capacity to supply the increased demand from its customers. Moreover, the products which we have undertaken , the design R&D for the telecom products those are also now in a very advanced stage and one -by-one they would be launched in the current financial year itself. So I expect very good revenue to come from the next financial year, not only from Indian market from export market also and there is a very, very high potential from those products for revenue to come. Moreover, programs like BharatNet which has got a total outflow of INR 140000 Crores. The Capex roughly of INR 40000 Crores, again there is a good demand opportunity for the Company there. Apart from this fiber to home being launched worldwide, 5G happening. So there is an immense demand opportunity and product led revenue which is the strategy of the Company is expected to really yield results not only in Indian market but export also , improve the revenue and improve profitability and improve cash flow. Moreover one of the projects which is for network for spectrum which had got consumed a lot of our existing cash flow because of delay in payments, well reasons not attributable to us. We expect that also to start project getting handed over to army one -by-one and even yesterday there was a discussion and one of the command, army command we are expected to hand over to the army before Diwali, another one before expiry of next month. So that revenue, the cash flow would also start kicking in and we are expecting that within this financial year all of the total INR900 Crores due from that project, at least we should be able to receive very significant portion of that money in the current financial year which would also improve the cash flow situation of the Company. So I look forward very optimistically for the time to come because of the reasons of product development , because of expected demand coming from fiber optic cables and increased revenue from products not only in telecom, but defense sector also in coming years. Thank you very much and thanks a lot again for participating in the call and wish all of you a very, very happy Navratri and very, very happy Diwali. Thank you very much.

Moderator: Thank you, Sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

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RE: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015 (the “SEBI Listing Regulations”).

Subject: Transcript of Conference Call on the Un -audited Financial Results of the Company for the 3rd Quarter and Nine Months ended December 31 , 2023, of the Financial Year 2023- 24.

Dear Sir(s)/ Madam,

This is further to our earlier announcement dated January 22, 2024 .

In terms of Regulation 30 read with Para A of Part A of Schedule III to the SEBI Listing Regulations, we hereby submit Transcript of the Conference Call held on February 02, 2024 , on the Un -audited Financial Results of the Company for the 3rd Quarter and Nine Months ended on December 31, 2023, of the Financial Year 2023 - 24, which were considered and approved by the Board of Directors of the Company, at its meeting held on February 01, 2024 .
This aforesaid Transcript will also be available on the Company's website at <https://www.hfcl.com/> .

You are requested to take the above information on records and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,
For HFCL Limited

(Manoj Baid)
President & Company Secretary

Encl: Copy of Transcript.

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“HFCL Limited
Q3 FY'24 Earnings Call”
February 02 , 2024

MANAGEMENT : MR. MAHENDRA NAHATA – PROMOTER AND
MANAGING DIRECTOR
V.R JAIN – CHIEF FINANCIAL OFFICER
MR. MANOJ BAID -- COMPANY SECRETARY
MR. AMIT AGARWAL -- HEAD, INVESTOR RELATIONS

MODERATOR : MR. MOHIT KUMAR – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '24 results conference call of HFCL Limited hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit. Please, over to you, sir.

Mohit Kumar: Yes. Hi. Good afternoon, and thank you, every one, for joining us for this call. In this call, we have Mr. Nahata, Promoter and Managing Director of the Company; Mr. V.R Jain, CFO; Mr. Manoj Baid, Company Secretary; and Mr. Amit Agarwal, Head, Investor Relations. So without further delay, I would now hand over the call to Mr. Nahata for the opening remarks and then we will open the floor for Q&A. Thanks, and over to you, sir.

Mahendra Nahata: Technical glitch at the end of the conference agency has caused this delay. I'm really sorry for that.

Good afternoon Ladies and Gentlemen and welcome to HFCL's earnings call for the third quarter and nine months ended December 31, 2023 of FY24.

I truly appreciate and express my gratitude for making it to today's earnings call of the Company. I am sure that you got a chance to go through our financial results, press release and investor presentation, which are available on the website of the Company and also on the website of stock exchanges.

To begin with, I would like to express immense satisfaction in witnessing the resilience of the Indian economy. The India growth story remains intact despite a subdued global growth outlook.

Global economy is set for weakest half-decade performance in 30 years, said the World Bank in a recent report and warned that global growth in 2024 is set to slow for a third year in a row. Amidst this, India growth story is promising and the World Bank sees India retaining the fastest-growing major economy title. It forecasts a growth rate of 6.4% in FY25 accelerating to 6.5% in FY26.

India has witnessed an extraordinary decade making significant progress on innovation led by technological advancement. India's telecom market is now the second largest in the world. Our telecom industry is currently valued at USD 48.61 billion and is expected to reach USD 76.16 billion by 2029, growing at a CAGR of 9.40% during the forecast period of 2024-2029.

India's Digital Public Infrastructure is testimony to its technological progress and we are well poised to become a global leader in Information and Communication technology (ICT) and becoming a global digital powerhouse.

The ongoing digital revolution and investments in building a robust 5G network make us optimistic about the significant upswing in the demand for fiberization, both in India and globally. This heightened demand is further fueled by an increased governmental focus on fiberization including BharatNet project, the expansion of Fiber to the Home networks, the proliferation of data centers, widespread adoption of cloud computing, the rise of Internet of

Things, investments in 5G capex and the continuous improvement of telecom infrastructure in key global markets, i.e., India, the United States, the United Kingdom, France, Germany, Middle East and other nations.

From being an 'importer of telecom technology', India has taken a significant leap in developing technologies indigenously. KPMG estimates that three technologies, 5G/6G, Satellite

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Communication and Semiconductors, collectively will add \$240 billion to the Indian economy in the next five years and add 1.6% to India's GDP by FY28

Government initiatives like BharatNet, implementation of FTTH, PLI scheme

and growing

demand for high-speed 5G connectivity will further foster indigenous manufacturing as a result of which India is fast becoming an attractive global investment and manufacturing destination.

As our Company aggressively moves towards a product-centric approach, we embark on a

transformative journey aimed at amplifying our global footprint and solidifying our position as an industry leader. With a strategic shift away from project-centric endeavors, we are proud to unveil an array of innovative telecom products tailored to meet the diverse needs of both domestic and international markets. This strategic evolution underscores our unwavering commitment to product excellence and customer satisfaction, indicating a new era of sustainable growth and expansion. By harnessing cutting-edge technology and leveraging our deep-rooted industry expertise, we are poised to captivate global audiences with solutions that transcend geographical boundaries and redefine the benchmarks of excellence. Embracing an export-focused strategy, we are primed to unlock untapped opportunities, forge strategic partnerships and establish a formidable presence in key markets worldwide.

Fuelled by sharp focus on Innovation, HFCL unveiled a comprehensive suite of next-gen connectivity and 5G backhauling products like Fixed Wireless Access Equipment, MPLS Routers, Point to Point Unlicensed Band Radio and Unified Cloud Network Management System during the India Mobile Congress 2023 for both, India and international markets. We also launched 1728 high Fiber Intermittently Bonded Ribbon Cable, promising high-speed data transmission, expansion of FTTH connectivity and addressing the demands of hyper-scale data centers at India Mobile Congress. As per ANAROCK -Binswanger, 45 new data centres covering 13 million sq. ft are expected to come up in India by the end of 2025. HFCL is well positioned to capture the growing impetus from data centres with the launch of its 1728 high-fiber IBR Cable.

Besides launching the above telecom and communication products in Q3, HFCL is poised to transform its impact in the defence sector as well, HFCL through its 90% owned subsidiary, Raddef Private Limited, a R&D enterprise specialising in cutting edge radars and RF solutions, has designed a range of Surveillance Radars catered to meet diverse operational needs. These radars employ Frequency Modulated Continuous Wave technology offering numerous advantages over other radar technologies, including high accuracy, low power consumption, light weight and resistance to interference. HFCL is also actively engaged in the development of a state-of-the-art Drone Detection Radar, poised to be an important component of modern drone detection systems. HFCL's ongoing cutting-edge research and development initiatives extend to a diverse range of radar technologies. These include Doppler Weather Radars, Threat Emulators, LTE-based Passive Radars, Fog and Foliage Penetration Radars, Coastal Surveillance Radars, Avalanche Detection Radars, Altimeters, and more.

HFCL received an Advance Purchase Order aggregating to INR 1,127 Crores to transform the Optical Transport Network infrastructure across BSNL's Pan India network. Within the dynamic landscape of India's technological evolution, HFCL stands unequivocally at the forefront of innovation and progress. The order aimed at revolutionizing BSNL's Optical Transport Network is a testament to our unwavering commitment to advancing the nation's technological prowess. Our comprehensive network upgrade will not only address the heightened demands of Enterprise and FTTH/Broadband services but strategically positions BSNL for the seamless launch of 4G services and the anticipation of 5G services.

Another significant achievement is the receipt of INR 623 Crore order during the current quarter from a leading Telecom Service Provider for 5G Telecom Networking Equipment. This is first

such large order for 5G networking equipment placed on any Indian company by any telecom service provider. This strategic win is a testament to HFCL's vision of designing and manufacturing high technology telecom equipment in India. The newly secured purchase order
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underscores HFCL's commitment to providing cutting-edge solutions tailored to the unique needs of the telecom landscape. Moreover, with enormous export market potential, these indigenously developed products are in line with the country's "Make in India for a Global Stage" vision. HFCL with its strategy is rightly positioned to not only bolster revenue but also enhance profitability leading to increased returns for the shareholders.

In recognition of our superior quality products, HFCL secured product orders exceeding INR 1700 crores from its customers in the last few months. With these new orders, the current order book of the Company as on 31st December, 2023 stands at INR 7678 crore.

HTL Limited, a subsidiary of the Company has secured an order from a Defense PSU for the supply of Fiber Optic Expanded Beam Plug Cable Assembly. This assembly is utilized in the 3D Central Acquisition Radar, a medium-range, high-resolution surveillance radar designed to detect and simultaneously track multiple targets in hostile environments.

HTL has already established itself as a Go-To wiring harness supplier for a leading OEM, which is the largest supplier of logistics vehicles to the Indian Army. HTL's Wire Harnesses are all set to be deployed in the popular high mobility and specialized truck vehicles of the OEM that cater to the diverse needs of personnel and logistics across the armed forces.

HTL also secured an order from one of India's leading vehicle manufacturers for wire harnesses. This order encompasses 1282 BS VI diesel buses intended for a significant state transport corporation.

Our Hyderabad Optical Fiber Plant clinched the "Silver Certificate of Merit" for manufacturing excellence in Frost & Sullivan's India Manufacturing Excellence Awards 2023, alongside the "Certificate of Appreciation for Good Practices in Digital Systems" at the 2nd FICCI Industry 4.0 Award Ceremony.

The Automotive team at HTL won the 'Gold Award' at Quality Circle Forum of India in the 9th Convention on Quality Concepts held recently.

Our recent order wins are clearly a testament that our strategy of moving from projects to margin accretive products, launching new products, reaching out to new customers and new geographies is paying off well and will bolster our position even further in 2024.

The expansion of Optic Fiber manufacturing capacities is progressing well and shall be operational as planned. In addition, the Company is also in process of expanding its optical fiber cable production capacity from 25mn fkm to 35mn fkm. This expansion will also lead to significant increase in revenue and profitability. The capacity will be added in a phased manner, with the completion targeted by FY 24- 25.

Let me now brief you on the key performance metrics of Q3FY24.

- Revenue for Q3FY24 stood at INR 1032.31 Crores as compared to INR 1111.49 Crores in Q2FY24 and INR 1085.84 crores in Q3FY23
- EBITDA for the quarter stood at INR 163.45 Crores as compared to INR 149.77 Crores in Q2FY24 and INR 193.33 Crores in Q3FY23; EBITDA margin stands at 15.83% for Q3FY24 as compared to 13.47% for Q2FY24 and it stood at 17.80% in Q3FY23
- Profit after tax for Q3FY24 stands at INR 82.43 Crores as compared to INR 70.17 Crores of Q2FY24 and INR 101.62 Crores in Q3FY23; PAT margin stands at 7.99% in Q3FY24 as compared to 6.31% in Q2FY24 and 9.36% in Q3FY23
- Segment revenue for telecom products during the quarter stood at INR 363.83 Crores (35.24% of Q3FY24 revenue) as compared to INR 473.81 Crores (42.63% of Q2FY24 revenue)

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During this quarter, our product revenue declined QoQ and YoY, due to the continued softening in demand of Optical Fiber Cable. This temporary decline is in line with the worldwide trend seen in the last quarter and it can be attributed to inventory build-up with major operators, resulting in an overall reduction in revenue in absolute terms as well as lower sales realisation per kilometre of fiber. The revenue of all major manufacturer of Optical Fiber Cable has declined worldwide.

We are optimistic that demand will be restored from next quarter onwards in both India and key global markets. Furthermore, we are confident that our continued efforts in designing and developing innovative and robust optical fibre cables for international markets, along with the introduction of new 5G telecom networking equipment, will further yield results in coming quarters. These efforts are expected to provide impetus to both revenue growth and profitability along with the potential to increase our margins.

To conclude, 2024 is poised to be transformative year for HFCL. We can confidently affirm that our strategic focus on new products, global expansion, focus on building both capacities and capabilities, backward and horizontal integration has begun to yield positive results. Our commitment to strengthening market share and technology leadership position remains steadfast as we continue to invest in innovation for both cost and performance benefits.

Thank you once again for your keen participation. With this, I conclude my opening remarks and open the floor for the Q&A session. Thank you.

Ladies and gentlemen, thank you once again for your keen participation. With this, I conclude my opening remarks and open the floor for question-and-answer session. Thank you very much.

Moderator: The first question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian: My first question regarding 5G capex side. One of the Indian telco talked about the 5G capex is peaked out in this year. On the global level also, 5G capex are coming down. Like what's your view on overall demand environment on 5G? This is my first question.

Mahendra Nahata: So let me answer the first question. Yes. Thanks, Mr. Balasubramanian. 5G, when you said capex has peaked out, it has to be seen with respect to the application. 5G networks will again

start growing. In the initial stage, the 5G networks have been put on. Now the 5G network will grow as new applications come in.

But we find that one of the new applications that has come is a fixed wireless access is to the mobility. So we started increasing in the capex in that area. So as the applications for 5G grow related to IoT and other areas, medical, education, industry 4.0, you will find that 5G networks will again get expanded.

Expansion will again take place. So mobility is not the only thing, which will drive 5G growth, it will be the applications, which will drive the 5G growth. So you find the new applications coming, the growth pattern is restarting in the 5G. It's a temporary decrease, not kind of a decrease on a permanent basis. Once the application is coming, it will start increasing again.

Balasubramanian: Okay, sir. Sir, as per our channel checks indicated, like still the majority of the inventories are with global telcos and distributor levels. Like are we getting repetitive orders and new orders from the telcos levels? And what's your view on this inventory issue like when the things are expected to shut out?

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Mahendra Nahata: I think you are talking about fiber optic cable, but you did not mention, we understand that possibly, you are talking about fiber optic cable.

Balasubramanian: Yes, sir.

Mahendra Nahata: It is true. But there has been an inventory built up with the telcos as well as distributors. As a result of which you will

find sale of fiber optic cable has slowed down, which I said in my opening remarks also, not only us but worldwide. What had happened a year ago in U.S. market, for example, delivery of fiber optic cable becomes 7 to 10 months.

As a result of which, telcos around the world and there was a situation in many other places, telcos around the world had bought lot of cable anticipating that demand would be so high that cable availability would be low.

So they have lot of stock so is the situation with distributors. But as it happened, Chinese demand was less than what was expected. And as a result of which, there was inventory build up in China, which was going into the market worldwide.

So that, including the inventory accumulated with the operators, led to the – temporary lull in the demand. So we expect U.S. market is started looking up again. European market, we believe will start looking up again in the next 1 or 2 quarters. U.S. market, particularly with the government funding, which has been done to access the inaccessible areas of fiber is going to pick up very significantly in the next couple of quarters.

So you're right, this inventory build up, there is lull in the demand and that you will find in our results also that fiber optic cable sales has gone down drastically in the current quarter and in the last quarter also. But this is all expected to again come back to the normal levels in the next couple of quarters.

Balasubramanian: Got it, sir. Sir, right now, we are in the progress of new products on 5G. Like right now, you mentioned about the new applications are coming up. Like when the benefits are expected to realize on this new product side?

Mahendra Nahata: Look, we have already started realizing those benefits. As I said, again, in my opening remarks that an order of IN 623 crores has been received for 5G networking product by HFCL. Now

Let me tell you, which I said in my opening remarks also that we are the first Indian Company to receive such a large order for 5G equipment for indigenously designed product, first Indian Company to receive such a large order for indigenously designed 5G products.

Nobody else has done so. So this speaks itself of our initiative, which we took to design equipment in India keeping in view of our Make in India initiative of the Government. And today, we are able to receive 5G orders in large quantity. And not only this, we will be exporting these products to different countries also as we are doing in fiber optic cable.

So we have done 5G fixed wireless access equipment, other networking equipment, routers for example, which are used in 4G and 5G both. But specifically, the routers which we have

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designed are going to be used in large quantity in Bharat Net, which government has already announced and draft RFP has been frozen for industry consolidation, and we expect the final tender would come out in next 2 to 3 weeks' time, which would also see a large demand of fiber optic cables as well as routers.

There is a demand of about 6 lakhs kilometers of cable, fiber optic cable, equivalent to about 20 million fiber kilometer equivalent cable and about 160,000 of routers. All these are very large opportunities for HFCL because

if these are indigenously designed products and more cost competitive.

So not only in India, but we are able to export these products also in the coming financial year. So benefit of these products which we have designed has started accruing and number of large orders are further expected for these indigenously designed products. And I'm sure that export also would be a good market opportunity for HFCL.

Balasubramanian: Got it, sir. Sir, my last question is regarding on the telecom product side. So in the last 2 quarters, we have reported single-digit margins. I just want to understand like the lower performance because of volume driven or price realization driven. And I just want to understand about the OF and OFC side realization in this quarter.

Mahendra Nahata: Basically a decrease in margin has been the lower sales for optical fiber cable because lower sale of optical fiber cable has resulted in higher cost because the fixed costs are still remaining same.

So it has been driven down by the lower sale of optical fiber cable. And these sales pick up, the margin will pick up once again. And, moreover, for the new products which we're building, 5G products and all that, their margin is reasonably good and it is expected to remain reasonably good.

Balasubramanian: Okay, sir. So on the realization side, sir, OF and OFC side, like what are the current realization in Q3? How much it changed compared to last quarter?

Mahendra Nahata: Realization in fiber optic cable, if you look at fiber, the realization are, roughly, I would say, has come down by some percentages, it has come down. Practically, if you see that per fiber kilometer realization has come down roughly almost about 20%. What used to be in Q2 about INR1,200 per fiber kilometers has come down to about INR 1,000 -some per kilometer. So about 15% to 20% decrease in the realization per kilometer is there. But that kind of some decline is there in the raw material cost also, particularly in case of fiber.

Balasubramanian: Got it, sir. On the OF side, sir, optical fiber side?

Mahendra Nahata: Optical fiber, again, as I said, the prices have come down. What used to be the prices of something like INR 350 to INR 380 per kilometer has come down to something like INR 250 to INR260 per kilometer.

Balasubramanian: Got it sir. Should I ask one more question sir or

Mahendra Nahata: I think you should give chance to others

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Balasubramanian: Ya fine sir.

Moderator: The next question is from the line of Santosh Sinha from Emkay Global. Please go ahead.

Santosh Sinha: My question is regarding the Bharat Net -III. Now government has actually, the cabinet has approved around INR 1.3 -- 1.5 trillion for Bharat Net-III project. So are there opportunities for HFCL in areas other than optical fiber and optical fiber cable? Is -- are there other products that HFCL can supply? And what can be the overall opportunity size for this -- and what are the margins that we can expect from BharatNet III projects? And yes, I will ask later the other question.

Mahendra Nahata: Mr. Sinha, thanks a lot for your good question. BharatNet is a large opportunity for everybody, all telecom companies involved. It's about INR 1.4 lakh crores, out of which, but let me be clear, out of which roughly about INR 40,000 crores to INR 50,000 crores would be capex rest would be opex, which would incur over 10 years. So it is going to a turnkey contract whoever wins. There are 16 different tenders they have carved out. It will be 16 different tenders. And maximum 4 would be given to 1 company, not more than that. And it is divided into capex as well as opex as I just mentioned.

Companies like HFCL, where are the opportunities? One, I first said we limited ourselves to capex. One, if we do EPC projects as we've been doing, still now, the payment conditions are not 100% clear because the current payment conditions are a little bit onerous on the vendors in a sense that part of the payment will be received much later with overall project execution. So all the vendors have represented that the payment condition need to be improved. So whatever draft tender has come that is undergoing some changes, and we would see the final tender coming up in the next 2 to 3 weeks' time. There's no other payment situation then.

Imagining that payment situation will improve, which I'm pretty confident of, I think the opportunity may be we don't want to go for a very large scale opportunity for EPC projects. But yes, there are

the EPC opportunities because we are trying to transform our company into product company from an EPC company, from an EPC more of EPC driven projects, we are making our company not only trying in real sense, we've done so, to a product-led company.

So one opportunity is there in the EPC business, Second opportunity is there if we win in the EPC business, and there is a continuous revenue on every year basis for O&M, operational and

maintenance, there will be an annuity revenue coming up for 10 years.

Now but the good opportunity in the equipment side also and the fiber optic cable side. As I said, there is a demand of 6 lakh kilometer of fiber optic cable in this tender for 3 years. This implementation period is 3 years. So every year, there is requirement of about 2 lakh kilometer of fiber optic cable. So that's a good opportunity for us.

Number two, then there is opportunity for selling fiber also because, let us say, somebody else wins a fiber optic cable from some other EPC players, and if he need fiber because there are not many people who manufacture fiber in India, we'll supply the fiber.

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San

tosh Sinha:

Mahendra Nahata:

Moderator:

Pranay Gandhi: The routers. Routers is a significant part of the equipment, a significant part of equipment. One of the, I feel, most significant part of the equipment required and routers are required about 160,000 plus in the quantity. Let me tell you we have designed our own router. We are now one of the 2 companies who have got indigenously designed routers required by Bharat Net, indigenously designed routers, only one of the 2 companies, we and Tejas which is Tata -owned company, they have routers and we have routers.

So I think we enjoy a significant cost advantage over our multinational friends on account of our local production as a result of which we should be able to have a good opportunity for selling routers also.

So fiber, fiber optic cable, routers, some of the other optical equipment, we have a good opportunity coming up in front of us. And I think Bharat Net should be a very significant opportunity, not only for HFCL, but all indigenous vendors who manufacture in India.

HFCL has a very significant footprint with its fiber, fiber optic cable, routers, other optical equipment. And then if you go to the next phase of Bharat Net, which is going to be implemented not by government, but which is going to be implemented by private enterprises for giving connectivity to the houses. The government is taking the network to the panchayat building or whatever.

From there on, it would be the private enterprises, which will be giving connectivity. They may be using WiFi, they may be using optical ONTs. Again, those are the areas where HFCL is present. And those will also present significant market opportunity to HFCL.

Thank you Sir for detailed answer. My last question is regarding the PLI benefit. So how much of the product of HFCL is actually eligible for PLI benefit? Is it only the optical fiber and cable or the other products also? And when is the first year from which this actually a PLI benefit will start coming from?

PLI benefit is not available on fiber optic cable. It is available on telecom equipment, and we will start receiving this from this coming financial year '24.

The next question is from the line of Pranay Gandhi from Green Portfolio. Please go ahead.

Sir can you hear me? So firstly, I would like to express my gratitude to the management, including you, Mr. Jain and Mr. Agarwal, for accommodating our request to connect with the management on a one-on-one basis in the last call. The proactive outreach from Mr. Amit after the last conference call reflects positively on the management, and it has really helped us understand the company prospects in a better way. So thank you so much. Now turning to my

questions, I would appreciate if you could provide more details on the

recent order from 5G telecom equipment secured from domestic telecom operator.

Could you elaborate on the nature of the products that the company will be supplying?

And considering the fact that the INR600 crore order is already on hand, are there any upward revision to the projected revenue of INR1,000 crores from this segment in FY '25?

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Mahendra Nahata:

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Pranay Gandhi:

Mahendra Nahata:

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Pranay Gandhi:

Mahendra Nahata: Look you know equipment is 5G networking equipment for subscriber access. So wireless equipment for subscriber access. So that's the equipment because there are certain nondisclosure agreements, so I cannot go in more detail, but it is a subscriber access equipment on wireless for broadband on 5G. And this is INR623 crores order, which has to be supplied within the

next financial year or as soon as possible, if you can do it early. If we do it early, we can certainly expect more orders from our customers.

And then this is the demand from one customer. But we would be going ahead to sell this to other customers also in India and abroad both because this equipment has a very significant demand opportunities worldwide because fixed wireless access and a broadband access has come up by a significant use case for 5G networks. So we can definitely look forward for more revenue from this equipment in the next financial year.

Now coming to INR1,000 crores or so, whatever numbers you're using, I think indigenously developed equipment, we should be able to do quite more than INR1,000 crores, which we might have projected earlier, it should be quite more than that because we are expecting more orders of reasonable size in coming weeks. We are expecting more orders including from BSNL, including from private operators. So I expect, I have no doubt that it would be significantly more than INR1,000 crores.

Okay. And so these orders would be for telecom equipment itself and not for the projects, right?

Well, this will be telecom equipment itself. I'm not talking about projects. Project is different.

This is a telecom equipment itself because why I'm saying so. One, order with INR623 crores is already there. Some large orders are in pipeline, which I should be able to receive very, very soon, very, very soon. Then, as I said a little while ago, BharatNet is coming up. BharatNet has got huge demand for routers, which are, again, we have and we have indigenously designed them, which is a very major thing. We are only 1 of the 2 companies who have designed routers in India. We and the other is the Tata TCS Company Tejas, there is nobody else. All others are international multinational companies. So there is significant demand opportunity there.

Then we have a significant demand opportunity for unlicensed band radio which are being used for enterprise connectivity, but not only that, but backhaul of the traffic of the 4G network. So that is also a good demand opportunity. In fact, BSNL came out with a large tender for that about INR200 crores for 5G, this backhaul for the unlicensed band radio.

And we have been L1 in that. So we expect that we should receive order for that also. So these are all equipment orders, which I'm talking about, and which am saying that we should definitely cross INR 1,000 crores without iota of doubt.

Perfect, sir. Sir, just an add on to this, I believe, previously, you had mentioned that regarding the UBR equipment, you had received a very strong feedback from one of the international companies. So is there any progress? I mean in terms of it getting converted to orders?

No, we are talking to quite a few companies. I would not name them, but we are talking to quite a few companies internationally and locally also. Locally, we have deployed a huge quantity of HFCL

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ranay Gandhi:

Mahendra Nahata:

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ranay Gandhi:

Moderator: this UBR we have been lowest in a large tender of BSNL also. And likewise, we are talking to a number of international companies also where I believe we will be receiving reasonably sized orders sometime in near future.

Perfect, sir. Sir, my second question pertains to the defense side of the business. Previously, you had mentioned electro optics that we had participated in one tender, and there was an upcoming tender. So if you could give a brief on that, and same goes by ammunition fuses, I believe the company had approached Indian Army for trials. Any update on that? And lastly, the SDR, which was still under development and was scheduled to be completed by mid of this year. So if you could just shed some light on all these 3 aspects.

I will go through all the defense products, which we are doing. Some are under development, some are being tried in army. Coming to one of the projects, which is recently we have participated is upgradation of BMP -2 armored fighting vehicle where fire control system and optical sites are to be upgraded. We have successfully gone through UTRR, which User Trial Readiness Review which is usual trial readiness, something like that, they call it. And now we wait for the RFP to come where we will be participating.

On SDR, which is already under development, as I told you. On the other hand, the radars, which is a recent development where we have already gone through development cycle of some of the radars and others are under development. So we expect this year to receive reasonably good quantum of orders for the radars also. On the fuse side, we have not been lucky so far. We have been asked for a retrial by Indian Army, which, I think, expected to happen in next 2 to 3 months' time.

After we go through those trials, then would be the question of orders will come. So until now, we have no orders received for fuses, but yes, this is a consumable item, this is a consumable

item and there is continuous demand for fuses. So I'm sure that once we pass through these trials in next 2 months' time, there should be demand coming up for fuses also.

So again, since all the defense orders take a lot of time, we have not included in our projections even for FY 24-25 any orders from the defense. When we do AOP, they have not been included but we expect still products like radars, products like electro optic sites should give us some revenue during FY 24-25 as well.

On the optical side, yes, we have some products under development. One of the tenders we participated there has been a little bit unlucky, unfortunately. We could not get that order. But yes, nevertheless, our site has proven very successful. So we should be able to get more orders in future. So as I said, this year, we have not included in our projections any orders from defense but we are very bullish about it, particularly this BMP -2 upgradation, then for this electro optics products then radars, we are quite bullish about that, that they should fetch us good results in the next financial year. But yes, results will start coming in FY24-25 also.

Ok Perfect sir. Thank you so much for the opportunity and all the best for future.

Thank you. The next question is from the line of Path Mehta from M Capital. Please go ahead.

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Path Mehta: Good afternoon, Sir, my first question was, what is the new products on the 5G plant that we are developing at Raddef? The R&D expenses, are they deducted on the P&L? Or how do we capitalize them?

No, Raddef, we are not doing any 5G product. Through

Raddef, we are developing radars. There

is no 5G products in Raddef. So nothing has been developed as a 5G product in Raddef.

Okay. So whatever R&D expenditure we incur at Raddef for radar...

Please repeat it, I could not follow you.

Any of the 5G R&D that we do on indigenous products that we develop, is that being capitalized on the P&L?

Yes. Yes. It is being capitalized and they are being amortized over a period of time.

Okay. Sir, my second question is whatever products that we have developed, do we need approvals for these 5G products even if we are exporting globally, will we need a blanket approval or we will need an approval from each country for making it to the P&L?

Well, look, any operator, which buys any telecom products goes through its own approval cycle. There are some countries where there are agencies, which approve the products omnibus basis for all the operators.

But most of the places, operators have their own testing facilities and they go through their own approval cycle, whether the product suites to their requirement or not. So there is no such global approval that is you get it approved from one source then it is approved for everybody, it doesn't happen that way.

It is more of an individual operator, like India for example. BSNL has got its own approval TEC.

Jio has got its own approval, their own lab is there where they put the product, so is Airtel, so is Voda, so is Idea. So every operator goes through its approval cycle where it includes lab testing as well as field trials, which is very normal.

Okay. So do we think that will happen in this financial year, and we'll see some contribution from those 5G products in the financial year 24-25?

So yes, this INR 623 crores order has been received after approval...

More on that, we are looking to see in the next...

We are looking for more such orders. There are, I think, 2, 3 places where trials are already going now.

So they are domestic or they are export orders?

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Mahendra Nahata: No. No, this INR 623 crores is the domestic, others I'm talking about are domestic as well as international.

Path Mehta: Sir, my last question is on the front of contribution from projects and contribution from products, the line has been we have been going more on the product, 70 -30 was the contribution that we were looking at. But if you look at contribution for this quarter, it has been tweaked on the other way. So more from the project side and less on the product side, apart from the fall in prices of OFC, what has gone wrong for the product side?

Mahendra Nahata: No, there's nothing gone wrong. It is because of the lower sales of OFC. As I said, optical fiber cable sale has gone down significantly in the last quarter and the current quarter as a result of which, product -led revenue has gone down. If you look at same quarter last year, it was INR 693 crores; in the current quarter, it is INR 364 crores. So with this kind of a number s. What -- just let me correct this number. So it may be wrong, just hold on a second.

Yes, this is more or less the same question, there would be some small difference will be there. But more or less, OFC sales, yes, I've given on the right numbers. Last quarter, it was -- December quarter of the last financial year, it was INR 625 crores. This year, it has been INR 295 crores. It is less than half. So this is what is getting reflected in this ratio, which was changed. And as I said, the ratio will further improve again as the demand of optical fiber cable improves and also with this large orders we have received for products this current quarter, which is about INR1,800 crores. This will also improve the ratio of products into the overall revenue because INR1,800 crores orders for products is a very significant number.

And also

the fiber optic cable demand is expected to improve. So our overall strategy for becoming a product -led company is very, very successful, very, very successful. There is -- we can't compare it, take it on a quarter -to-quarter basis because quarter -to-quarter ups and downs may happen.

On a overall basis, we are going very smoothly on that strategy. If you just exclude the optical fiber cable for temporary lull in the demand, you've seen that this quarter we've received orders worth INR1,800 crores for the products alone, INR1,800 crores for the products, which is a very, very significant thing, which includes INR 623 crores and a little bit more other products we have received orders in the quarter for indigenously designed products. So our strategy is very successful, and I'm pretty sure that with this strategy, Company's return ratios will improve significantly in coming future.

Path Mehta: Sir, are we doing any capex for these products, new products to be developed last time, I think we have said that we are doing a little out of INR100 crores, we are doing capex for developing these products.

Mahendra Nahata: Yes. There are 2 kind of capex . One is R&D. One is setting up of the facility for manufacture of products. So we are doing both. R&D is happening, which would be a continuous process in the company. And also there would be expense of about INR 80 crores to INR100 crores on setting

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Saket Kapoor :

Mahendra Nahata:

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aket Kapoor : up the facility for manufacturing of the products. So as to we can start taking benefit of PLI from the next financial year.

And this will be for all the products put together and we don't need to go for another Capex.

You are right absolutely

Okay. So it is across products.

Yes, yes.

Okay. And I expect OFC cycle to improve a couple of quarters from now .

Absolutely.

Thank you. Ladies and gentlemen in order to ensure that the management is able to address questions from all participants in the conference please limit your questions to one or two per participant. Should you have follow up questions, we would request you to re-join the queue.

The next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead. Thank you Nahataji and thank you for this opportunity. Sir, out of this order book of INR7,678 crore for Q3 ending FY '24, INR 2,051 crore is towards the operation and maintenance. So when this INR2051 will come in system and out of this balanced amount, how much is towards the OFC, especially about are we exporting optic fiber cables also, sir, if you could give that number?

Order of what you mentioned about this O&M, this is the next 7 years. Optical fiber cable, we are exporting, no doubt, last year, we had a good year of export about INR800 crores. This year, worldwide demand has slowed down. The export will also go down. But yes, we keep on receiving continuous order for exports. These are not major orders at one point of time. Orders keep on coming, and we keep on supplying. We are expected to cross INR 1,000 crores in this current financial year. But with this downturn in demand all over the world, of course, we are going to be falling short of our estimation through a large number. But as I said, from next year onward, it is expected to become better in the next 2 quarters, and it will further improve.

Sir, as you just explained in the earlier reply that both OF and the OFC prices are corrected by 20%, correct me there. And then also the demand is down. So where have the things gone wrong? I think one of the key players did mention about the demand fall from the U.S market has resulted in this percolating to the domestic Indian market. So do you think only when the d

emand from U.S. and Europe improve, then only our domestic OF and the OFC market will improve or when the Bharat Net comes into foray that is the time when things will start looking up. If you look at our operational numbers, sir, if we -- barring HFCL Limited
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Mahendra Nahata:
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Moderator: this other income component, we have done the numbers are not up to the mark. If you exclude the other income part.

Mr. Kapoor, let me explain you. Demand of fiber optic cable for Indian companies, when I say improvement will come from 2, 3 different areas. If you look at domestic, Bharat Net is going to play a major role because that's 6 lakhs kilometers of fiber optic cable, it's a large quantum. And which would be translated into more than 20 million kilometers of fiber. So which is a large quantum that is one. Second, U.S. demand is going to go up significantly in the next financial year.

I tell you why. The U.S. government has announced a large subsidy for serving unserved or low-served areas by fiber optic cable to ensure people are able to have a seamless broadband connectivity from their homes and offices. Total subsidy for the last mile, only for the last mile announced about \$61 billion and state wide division has also been announced. Disbursement of this subsidy is expected to start from middle of the current calendar year.

So once that subsidy disbursement picks up, the demand of fiber optic cable would increase significantly because this is for the broadband connectivity over fiber. So U.S. demand will start happening in the next couple of quarters itself, which is [bead and baba] and all those names are there, broadband subsidies, U.S. Government has announced.

Similarly, when -- as I said a little while ago, the stocks with the distributors and operators go down as was there in a case in the beginning of the year demand for Europe will also pick up. Demand will pick up not only because of Bharat Net, it is demand from U.S., demand from Europe, all these places, either we will pick up from the another couple of quarters or may be quarter more, depending upon country to country, place to place. But demand is certainly going to pick up in fiber optic cable in the next financial year itself.

Right, sir. So just to conclude on this point, then it is only the OF prices that has corrected led to be lowering of realization. The fresh capacity in OF has been added or the lower utilization levels for OFC worldwide has led to this decline?

This is both factors. One, the prices have come down; second the utilization has also gone down. That is why this revenue reduction of roughly about 50% is there. To some extent, prices have gone down 15% or so rest is the less demand at this point of time, which, as I said, again, next couple of quarters, we are pretty sure will start improving.

Okay. So one more question I would like to add, as you about. Sir, second question...

I am sorry to interrupt sir, may I request that you return to the question queue for follow up

question as there are other participants.

Please give the opportunity.

The next question is from the line of Rajesh Agarwal from Moneyore. Please go ahead.

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Rajesh Agarwal :

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Rajesh Agarwal : Sir, going forward, what will be our product component, the mix, how the percentage mix will change and from when? And second, the margins in telecom products are more than the optical cables is higher?

No. Look, market for telecom products is not only optical fiber cable, but it is for telecom equipment also. We have large orders for telecom equipment,

which are indigenously designed

telecom equipment also. But as I said, INR 1,800 crores orders we have already received in the last quarter for equipment.

But again, I would like to re-emphasize that we are becoming a product-led company. See this quarter was a particular aberration quarter because of a lower demand of fiber optic cable, but which is factored very quickly. From the equipment side also, we are doing significant amount of work.

And I think, I can say with a lot of pride that your Company has received the largest 5G orders, which any Indian company has received till now, INR 623 crores. Nobody else has received till now, which itself speaks of the kind of development we are doing, and I am expecting I don't know the size of the new orders, which will be there.

But yes, I'm expecting more orders to come for the equipment in near future to HFCL. So if my target is to become at least 70-30, 70% product, 30% EPC or if possible, even reduce that also, may be 75%, 25%, something like that. But with 70-30, we should definitely be able to reach at least 2/3, 1/3 we should be able to reach in the next financial year itself.

And when you will start delivering this order, sir?

We should be this particular order, I'm talking about 5G related order, our target is to start delivering from April end.

In a year's time.

I would try to do it quicker than that. I would try my best to do earlier than that.

And what would be EBITDA margins on that?

Well, EBITDA margins, I don't want my customers to know my EBITDA margins and that would be a problem for me.

But overall, the company's EBITDA margin will go up from here?

EBITDA margin will go up -- definitely go up because what has pulled down the EBITDA margin is fiber optic cable reduced sales. Once that increases, EBITDA margin will definitely go up.

Okay. And what your view on the optical fiber, from when it will improve, sir?

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Mahendra Nahata:

Moderator:

Dipesh Sancheti :

Mahendra Nahata:

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Mahendra Nahata: I think, start improving from the first quarter of the next financial year, but a significant improvement in the second quarter.

The next question is from the line of Dipesh Sancheti from Myntra Finance. Please go ahead.

Just wanted to know what is the capacity utilization in optical fibers out of the 25 million

kilometers. And what gives us the confidence for the capacity expansion that we're going to do

plus-35-kilometers?

So it is about 50%, even a little less than that.

In this quarter?

Yes, this quarter, I'm talking about. Now capacity expansion is the right thing to do. If you see when we started capacity expansion, the market was really booming we didn't have any free capacity. Our factories were running 24/7 and we were not able to fulfill the demand of customers. As a result of which we expanded our capacity. But this is a cyclical thing, every 3, 4 years for some time, demand goes down and then comes up again.

You have to see the overall need of the fiber optic cable and then we have to plan capacity, not on the basis of 1 year up or 6 months down. Because if you see, as our need for broadband goes up, as the need of a data goes up, as the need for streaming video and kind of applications go up, today Netflix and Amazon Prime, all these OTT applications, you know how fast they have gone up. Without fiber optic cable, would you have been able to access Netflix at your home, would you have been able to watch live television at your home without having access to fiber optic cable? Nothing of this would have been possible. This is all becoming possible because of fiber optic cable. So as these applications grow, demand of fiber optic cable is going to keep on going immensely.

So this few month downturn because of certain factors does not

mean that it is a downturn

forever. It is only a temporary and which happens every 3, 4 years, it happens once. It has happened now, it will come up again. So increase in capacity was commensurate with this expected demand of increase in the fiber optic cable, and you would find the next couple of quarters, the demand will go up again, and this capacity utilization would again reach to the previous levels.

Since you mentioned that it is cyclical. Generally, there's downturn remains, I mean in your experience that this downturn remains for how many quarters?

There is no fixed rule for that. There's a fixed rule for that. So it will remain for how many quarters. Now this has gone down, but the U.S. demand is going to be there in the next couple of quarters. It is going to come up again. Indian demand is going to increase again, maybe next 3 quarters 2 to 3 quarters with Bharat Net happening. So normally 2 to 3 quarters is our number, I would say the demand slows down and then comes up again. There's no fixed rule for that.

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Dipesh Sancheti : Right. So what is the risk in the U.S. market as well as the Indian market, if something like for Tesla is developing a direct satellite Internet, what will be the risk to our optical fiber business?

Mahendra Nahata: No, satellite is a...

Dipesh Sancheti : Have we assessed that?

Mahendra Nahata: Yes, we have discussed that. We have understood that. Satellite is a completely different segment of market. It can never compete with fiber. What bandwidth fiber can provide, satellite can never provide, at least not in a foreseeable future that satellite would provide that kind of bandwidth.

And number two, handsets are very costly, service pricing is costly, satellite would be more used for remote areas where fiber accessibility is not there, broadband accessibility is not there, telephone accessibility is not there. So those would be the places where satellite would be used. For in terms of bandwidth, satellite will never be able to compete with the fiber optic cable. So it's not a competition, more of a complementary approach.

Dipesh Sancheti : Okay. And just last question, is Bharat Net will give more opportunities on product base, is it the product-based opportunity or a project-based opportunity?

Mahendra Nahata: It's both. It's both. It's a mixed opportunity.

Dipesh Sancheti : In what ratio?

Mahendra Nahata: At least, there are 3. One is product, one is project and third is operations and maintenance, which is going to be annuity revenue for the next 10 years. There are 3 opportunities in this.

Dipesh Sancheti : And when we are bidding for Bharat Net opportunities, we are going to look at more product based or we're going to explore in all the opportunities?

Mahendra Nahata: So we are currently working on analysing all the aspects of the tender. Let the final draft of the tenders come out, then only we will decide how are we going to do about that because final tender has not come out. It is the first draft come out for industry consultation. Many suggestions have been given. But once the final number comes out, final shape of the tender comes, we will decide at that point of time. We're evaluating, but yes, no doubt it's a good opportunity for us.

Dipesh Sancheti : Okay. And I was just going through the presentation, and it shows that domestic railway opportunities. How many orders have been received as Kavach and because that has been a buzz word for...

Mahendra Nahata: We are not in Kavach.

Dipesh Sancheti : We are not in Kavach ?

Mahendra Nahata: Part of product. We are in telecom systems for railways. So we are working on telecom. Kavach is signalling product.

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Dipesh Sancheti : And how much of the orders we've received is from the railway sectors?

Mahendra Nahata: Railwa

y order should be around INR 600-some crores, Yes, it is about INR 620 crores or something like that.

Dipesh Sancheti : Okay. I would really appreciate if you can divide the order book into how much is railways, how much is telecom, how much defense in telecom, how much it is for optical fibers? Because that will help us to understand how we're going to go...

Mahendra Nahata: I noted your suggestion, and we'll publish it in our website, definitely.

Moderator: That was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Mahendra Nahata: Thanks a lot, ladies and gentlemen, for attending this earning call for third quarter FY '24. As I have been saying that we have got 3 strategies, more number of products, more customers, and more geographies. And we are very successful at that. This quarter, though, you would see the results are a bit subdued because of fiber optic cable demand going down, and we see a worldwide factor and nothing to us, nothing in particular to us.

But if you look at the product side of it, we have received orders for INR 1,700 crores, INR 1,800 crores just for the products alone. And this effort of making company a product-led company is becoming successful, and we will remain successful and we will keep on increasing our revenue from products and more so from indigenously designed products, not only for Indian market, but for the world market. And that strategy through our R&D is proving to be very successful.

And I can assure you that this will improve not only the revenues but on the return ratios of the company also. And with the demand becoming better for fiber optic cable in near future, I expect this ratio of product to the total revenue will definitely go up, return ratios will improve.

So with the growth of Indian economy, which is really growing at a faster pace than even the world market had estimated and we are growing despite of world economy going down, thanks to the leadership of and the policies of our honorable Prime Minister Shri Narendra Modi's government, I'm sure that the telecom sector, which is already doing well will further do better and companies which are more focused on indigenized development, indigenized manufacturing, like your company, HFCL will do even better in the future. Thank you very much, gentlemen. Thanks a lot.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

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Security Code No.: HFCL

RE: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the “SEBI Listing Regulations”).

Subject: Transcript of Conference Call on the Audited Financial Results of the Company for the 4th Quarter and Financial Year ended March 31, 2024.

Dear Sir(s)/ Madam,

This is further to our earlier announcement dated April 26, 2024.

In terms of Regulation 30 read with Para A of Part A of Schedule III to the SEBI Listing Regulations, we hereby submit Transcript of the Conference Call held on May 03, 2024, on the Audited Financial Results of the Company for the 4th Quarter and Financial Year ended March 31, 2024, which were considered and approved by the Board of Directors of the Company, at its meeting held on May 03, 2024.

The aforesaid Transcript will also be available on the Company's website at <https://www.hfcl.com/>.

You are requested to take the above information on records and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,
For HFCL Limited

(Manoj Baid)
President & Company Secretary

Encl: Copy of Transcript.

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“HFCL Limited
Q4 FY'24 Earnings Conference Call”
May 03, 2024

MANAGEMENT : MR. MAHENDRA NAHATA – CHAIRMAN AND
MANAGING DIRECTOR
MR. VIJAY RAJ JAIN – CHIEF FINANCIAL OFFICER

MR. MANOJ BAID – COMPANY SECRETARY
MR. AMIT AGARWAL – HEAD INVESTOR RELATIONS

MODERATOR : MR. MOHIT LOHIA – ICICI SECURITIES LIMITED

HFCL Limited
May 03, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the HFCL Limited Q4 FY '2024 Earnings Conference Call hosted by ICICI Securities.

Before we begin, I would also like to read the disclaimer statement. Statements made during this call may be forward-looking in nature based on management's current beliefs and expectations. They must be viewed in relation to the risks that HFCL's business faces, that could cause its future results, performance, or achievements to differ significantly from what is expressed or implied by such forward-looking statements. Investors, are therefore, requested to check the information independently before making any investment or other decisions.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Lohia from ICICI Securities. Thank you. And over to you, sir.

Mohit Lohia: Yes. Hi, good evening, everyone. Thank you, Neha. Thank you for joining us today for quarter 4 FY '24 Earnings Call of HFCL Limited. First of all, I would like to thank management for giving us opportunity to host this call. From the management side, we have Mr. Mahendra Nahata, Promoter and Managing Director; Mr. Vijay Raj Jain, Chief Financial Officer; Mr. Manoj Baid, Company Secretary; and Mr. Amit Agarwal, Head of Investor Relations. So without further delay, I would now like to hand over call

to Mr. Mahendra Nahata for opening remarks. Thank you, and over to you, sir.

Mahendra Nahata: Thank you so much Mohit and thanks everybody for joining our call. Your time is very valuable. I am thankful that you all could join our quarterly call for Q4 of FY 24 as scheduled.

I am delighted to welcome you all to HFCL's earnings call for the fourth quarter and year-ended FY24. I trust that you got a chance to go through our financial results, press release and investor presentation, which are available on the website of the Company and also on the website of stock exchanges.

It is a matter of great satisfaction that despite the tough global macro environment, Indian Economy is having robust growth and India is poised to become the third-largest economy by

2027 as per the IMF, surpassing Japan and Germany.

During the Interim Budget 2024, the Union Finance Minister underscored the forthcoming five years as a period poised for unparalleled development, aligning with the vision of Vikasit

Bharat@2047 she highlighted that technology, alongside the telecom sector, will play a pivotal role in India's transformative journey.

The Indian telecom sector is undergoing a transformative change and will continue on its expansion trajectory, fueled by the liberal government policies, proactive Government

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initiatives focused on national priorities including BharatNet Phase – III Programme & PLI scheme. Government's initiative of promoting Semiconductor manufacturing in India will fuel long term growth for Telecom Sector. Hyper scaling of data centers, increased smartphone usage, strong customer demand for high-speed internet connectivity and 5G network expansion will further fuel the growth of Telecom Sector. The economic impact of 5G to India's GDP

could reach up to USD 450 billion by 2040, according to Deloitte's Technology, Media, and Telecommunications (TMT) Predictions report 2023.

FY24 has indeed proven to be a pivotal year for HFCL. Our strategic investments in Research and Development have yielded significant returns, resulting in the introduction of a comprehensive range of 5G connectivity solutions and products tailored specifically for telcos and enterprises, both in India and across global markets. Led by innovation, in FY24, HFCL successfully launched the first Made-in-India 5G Fixed Wireless Access (FWA) Customer Premises Equipment (CPE) portfolio, 1 Gbps Unlicensed Band Radio, IP/MPLS Routers, and introduced the innovative 1728 high-fiber Intermittently Bonded Ribbon (IBR) cable. Our 5G Fixed Wireless Access equipment gives market leading performance in delivering higher throughput. We have introduced hot swappability features in our Routers making them rugged for use in Rural areas in projects like BharatNet. On overall I view the result our R&D team has achieved is a milestone showing we have talent and capability to deliver latest technology products.

We believe demand of 5G Fixed Wireless Access (FWA) Customer Premises Equipment (CPE) is at an inflection point and has become an important use case for 5G monetization both in India and globally. With 5G network rollouts continuing its dream run, monetization has been a key focus area for operators. Industry reports indicate, FWA connections worldwide are projected to increase to 330 million by the end of 2029. As the transition to 5G continues and newer technological standards gain traction, telcos are projected to invest USD 342.1 billion in their networks in 2027 alone, as per PWC report.

Every country has different type of specifications for FWA CPE. Our Company has been able to develop different types of variants of FWA CPE, and is uniquely positioned to manufacture and supply both for India and international markets. HFCL has already received order for 6 lac units of this equipment.

One of the landmark success story of HFCL's R&D effort

has been Design and Manufacture of Point to Point Unlicensed Band Radio. We have achieved record market share for this product in India. More than 5 lakhs of these Radios have already been supplied by HFCL and are working to the full satisfaction of Telecom Operators for Network backhaul and enterprise connectivity. HFCL is not only the largest supplier of these Radios in India but also can be counted amongst the leading suppliers around the Globe. We are continuously receiving strong feedback from our customers for its low power consumption and zero spectrum cost. It is also worthwhile to mention that through its R&D and collaborative efforts, HFCL has created full solution of Enterprise Networking Products. These products include WiFi Access Points, Routers, Switches, Backhaul Radio and Network Management System.

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Having established its name in Telecom Service Provider's market, HFCL with its enterprise product range is now aggressively moving into Enterprise Market of Telecom Networking Products. Distributors and channel partners are being appointed throughout the country to reach to wide spectrum of Enterprise Customers both in Government and Private Sector. Opening of this new customer segment will provide higher sustainability to revenue. With the introduction of new products and markets, our revenue from Telecom Equipment Segment is expected to rise substantially. We expect the revenue from this segment during FY 25 will reach to approximately Rs.2000 Crores from Rs.150 Crores of FY 24.

Driving growth through innovation is fundamental trend in Digital Economy. These trends are bringing very large opportunities for innovation and growth not only for HFCL but for the entire ecosystem.

The optical fiber cable market remains a significant opportunity both in India and globally, driven by high speed internet penetration, 5G network expansion, growth in data centers, Bharat Net Phase III, demand for FTTH and global opportunity in key markets propelled by government policies. Development and manufacture of 1728 fiber based Optical Fiber Cable will open new market opportunity for sale to Hyper Scale Data Centres. In alignment with our strategy of expanding capacities and geographical access, HFCL has announced the setting up of an optical fiber cable manufacturing plant in Poland to address the increasing Optical Fiber Cable demand in European markets. Mirroring the trends in the Indian OFC market, the European countries are also on a significant digitization drive as national priority. Committed to meet this growing demand and contribute to Europe's digital future, HFCL has committed

an initial investment of up to Euro 15.9 million (INR 144 crores) for its Poland optical fiber cable manufacturing plant with an initial capacity of 3.25 million fiber km which is further scalable to 7 million fiber km capacity.

Our Fiber and Fiber Optic Cable manufacturing facilities are producing world class cable and fiber. Our Fiber manufacturing plant has set new standards of productivity.

One of the most anticipated opportunities on the horizon is the government's ambitious Bharat Net Phase III project under which BSNL has already floated approximately Rs.60,000 crore tender for capex to be incurred in next 3 years followed by additional O&M opportunity worth approximately Rs.40,000 crore over a period of 10 years. BSNL's Bharat Net Phase III project tender presents a huge opportunity to HFCL as it will strengthen the demand for optical fiber cables, telecom networking products, system integration services, and annuity revenue through O&M all of which are in alignment with HFCL's core strength. HFCL is uniquely positioned to offer end-to-end solutions that meet Bharat Net's stringent requirements. We foresee good prospects for us given our vertically and horizontally integrated manufacturing capabilities in

optical fiber cables, its accessories, telecom equipment, and SMPS through one of the group company coupled with vast experience of laying more than 2 lac Kms Optical Fiber Cable for various telecom operators. We are optimistically looking forward to securing a substantial pie of this opportunity.

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Export of products is going to be our cornerstone for increasing revenue. HFCL is already exporting its manufactured fiber optic cable to more than 40 countries. With its own designed Network Connectivity Solutions including 5G Networking Solutions, HFCL is now poised to start export of these products to a number of countries. Capability to customise the products to customer's requirement and also low cost base provides positive outlook for HFCL. With the release of every new version of software tuned to customer's requirement we improve product performance.

I think these opportunities are just the tip of iceberg and there are far more opportunities to come. We are confident of durability of demand drivers of Industry and our capability to take advantage of same for increasing our Sales and Market share.

Driven by the vision to fortify national security and contribute to India's defence sector, HFCL envisions significant opportunity for itself in Defence Sector with innovation and tie up with leading international companies. India accounts for 3.7% of global military spending, making it the third highest military spender in the world after the U.S. and China. This presents a significant market opportunity to HFCL.

In alignment with the Government's Make in India policy, HFCL has already developed Electronic Fuses, High Capacity Radio Relay and Thermal Weapon Sights all of which have good demand in Indian and International market. HFCL at its 90% owned subsidiary Raddef

has developed state-of-the-art Ground Surveillance Radars which is an important component of modern surveillance systems. This Radar designed by Raddef is a vast improvement in technology over the current generation of Radars being used in India. Our ongoing R&D

initiatives extend to a diverse range of radar technologies including development of Drone Detection Radar, Doppler Weather Radars, LTE-based Passive Radars, Fog and Foliage Penetration Radars, Coastal Surveillance Radars and Avalanche Detection Radars.

We have also successfully cleared the User Trial Readiness Review for the BMP 2 Armament Upgrade Project of the Indian Army further demonstrating our commitment to meeting the defense sector's requirements. This will lead to more opportunities and prospects for HFCL in defence sector.

We are also exploring opportunities for development of more products in defence sector and we are confident that we will be able to further grow and contribute to India's defence sector with our own development and new alliances. I am of strong belief that in the current year we will have good growth in Defence Sector and it will achieve escape velocity.

During FY24, the Company added an incremental order book of ~INR 3725 Crores comprising of products orders worth more than ~INR 1500 Crores and System Integration orders worth ~INR 2225 Crores.

Our Products business has secured a purchase order of INR 623 crores for the supply of indigenously manufactured 5G networking equipment. This is first such large order for 5G networking equipment placed on any Indian company by any telecom service provider. This strategic win is a testimony of HFCL's vision of designing and manufacturing high technology

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telecom equipment in India. HFCL has been investing in building portfolio of 5G networking equipment which transforms telcos' access, transport and last-mile networking requirements.

HFCL also secured a purchase order worth INR 141 Crore from BSNL to supply indigenously designed and developed Unlicens

ed Band Radios in 5Ghz frequency band with 1GBPS capacity. This land mark deal aims to build their 4G network infrastructure, ensuring cost efficiency by minimizing equipment expenses and eliminating hefty spectrum usage charges. This significant win solidifies HFCL's position as a leader in indigenous 4G and 5G backhauling solutions.

SI order book comes from prestigious order valued at INR 1,127 Crores from Bharat Sanchar Nigam Limited to transform the Optical Transport Network infrastructure across BSNL's Pan

India network and position the telco for the future in anticipation of its 5G services.

HFCL also secured INR 1,015 crores order from Madhya Pradesh Jal Nigam which encompassed System Integration services including provision for laying of optical fiber cables on critical and important routes. Further, having had a strong track record in deploying communication networks for various railway projects globally and domestically, HFCL also secured INR 80.92 crores order from Delhi Metro Rail Corporation. These substantial wins underscore HFCL's sustained momentum and solidify its position as a trailblazer in advanced communication technology solutions.

Our order book now stands at INR 7685 crs as of 31st March 2024 as compared to INR 7010 crs last year. I must tell you that behind these numbers is relentless work by the entire team for development of new features and product innovation. We are very structured in our approach to business. The Product and Sales teams are working closely than ever. We remain incredibly focussed on Sales and growth of Market Share.

Further HTL Limited, one of our subsidiary company has successfully secured various prestigious orders in its wire harness business during FY24 with its focus on Automotive, Aerospace and Defense space. As you may be aware that this segment is a low capex and high - revenue generating segment, we strongly believe that this wire harness business can grow manifold in the years to come.

Given that HFCL had received an approval to avail incentive participation in production-linked incentive scheme, the Company will start receiving PLI benefits in the current fiscal year on production of Telecom and networking products.

Let me now brief you on the key performance metrics

- For the twelve months ended 31st March 2024, the Company reported consolidated revenue of ■ 4465 Crores as against ■ 4743 Crores in FY 2023, EBITDA of ■ 682 Crores as against ■ 666 Crores in FY 2023, Profit before Tax of ■ 454 Crores as against ■ 431 Crores in FY 2023 and Profit after tax of ■ 338 Crores as against ■ 318 Crores in FY 2023.

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- Revenue for Q4FY24 stood at INR 1326 Crores as compared to INR 1032 Crores in Q3FY24 and INR 1433 crores in Q4FY23

- EBITDA for the quarter stood at INR 209 Crores as compared to INR 163 Crores in Q3FY24 and INR 168 Crores in Q3FY23; EBITDA margin stands at 15.78% for Q4FY24 as compared to 15.83% for Q3FY24 and 11.74% in Q4FY23

- Profit before tax for Q4FY24 stands at INR 149 Crores as compared to INR 108 Crores of Q3FY24 and INR 109 Crores in Q4FY23; PAT margin stands at 11.27% in Q4FY24 as compared to 10.45% in Q3FY24 and 7.60% in Q4FY23

- For Q4FY24, profit after tax stands at INR 109 Crores as compared to INR 82 Crores of Q3FY24 and INR 79 Crores in Q4FY23; PAT margin stands at 8.25% in Q4FY24 as compared to 7.99% in Q3FY24 and 5.49% in Q4FY23

- Segment revenue for telecom products during the quarter stood at INR 362 Crores (27.33 % of Q4FY24 revenue) as compared to INR 364 Crores (35.24% of Q4FY23 revenue)

FY 23 -24 has witnessed slight decline in YoY revenue due to the softening in demand of Optical Fiber Cables. This temporary decline is in line with the worldwide trend. It is attributed to inventory built-up with major operators, resulting in an overall reduction in revenue in absolute terms.

Our growth is driven by t

three independent drivers which all are working together. These are robust investments in research and development, backward integration with capacity expansion and expanding national and international presence. With these growth engines we have been able to significantly improve on revenue mix; product mix; geographical presence and customer mix ensuring sustainable growth in times to come. We remain confident of opportunities ahead and execution of our long term strategy.

We are confident that OFC demand will be restored from Q2 FY 25 onwards in both India and key global markets.

Furthermore, we are confident that our continued efforts in designing and developing innovative and geography specific optical fiber cables for international markets, along with the introduction of new 5G telecom networking equipment and defence products, will further yield results in coming quarters. These efforts are expected to provide impetus to both revenue growth and profitability along with the potential to increase our margins. Our outlook is very bright and we look forward to a very strong year ahead.

Thank you once again for your keen participation. With this, I conclude my opening remarks and open the floor for the Q&A session. Thank you.

Moderator: The first question is from the line of Parth Mehta, an individual investor.

Parth Mehta: Sir, I have a couple of questions. The first one is, this time, we have executed services turnkey contracts worth from INR990 crores. So I wanted you to shed some light on that as in we have done better on services margins front as compared to products? And is it the way forward? Or is it a one-off kind?

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Mahendra Nahata: Look, we have executed INR964 crores of services in the current quarter and margins have also been good. These margins, I cannot give you a definitive answer that this trend would continue or there will be reduction because it all depends on contract to contract. Sometimes contracts are there, which are of high margin, high profitability. Sometimes they are of lower margin and lower profitability. So there cannot be any definitive answer to this but yes, we look for reasonable margins to continue in our contracts and we are not taking contracts, which are with a lower margin.

Parth Mehta: Okay. So is this anything to do with the orders that we have got from BSNL worth INR1,100-odd crores? Is it execution on that front or?

Mahendra Nahata: No. Execution of that order would be in the current year. That execution has not even started significantly.

Parth Mehta: Okay, that would start in this quarter, June quarter? Or it will take some more time?

Mahendra Nahata: Starting in the current quarter, in the June quarter.

Parth Mehta: Okay. And the mix of products and services would remain 70-30 going forward whenever as and when the optic fiber cycle turns?

Mahendra Nahata: I think this year, there will be very transformative change. One of the important factor, which is going to happen, as I said in my opening remarks, last year, the revenue from telecom products were only about INR150 crores. So this year, we are expecting revenue of INR2,000 crores from the telecom products. So that INR150 crores reaching to INR2,000 crores.

Parth Mehta: Is that INR2,000 crores including OFC or?

Mahendra Nahata: No, without OFC, that's why I used telecom products. Now, OFC also, we are expecting revival of market this year globally and India also, most of globally, and we expect a revenue again more than INR2,000 crores in the current financial year from optical fiber cable

business. So there is a potential of product business reaching to INR4,000 crores plus in the current financial year. Which would mean that our revenue would consist of more than two third of the product driven and less than one third of project driven. And this trend is expected to continue in the

future.

If you recall that I have always been saying that our effort is always to develop the product business, not as much the project business. Last year was an aberration because of lower

demand of fiber optic cable and new products had not been sent to market, there were undergoing test trials and all that. With the new telecom products, which have been designed by us already in the market now and also fiber optic cable demand picking up, and both the segments will give possible revenue of INR2,000 crores each in the current year. This would be a very, very transformative change. There is almost 70% of revenue coming from product business, which is cable and the telecom products. But the important point is first time we would have such a high revenue coming from telecom products.

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Parth Mehta: Okay. So my last question is, have we executed anything from Madhya Pradesh Jal Nigam

order that we have received?

Mahendra Nahata: A very small portion, probably about INR50 crores, little less than INR50 crores.

Parth Mehta: And the BSNL order that you have INR1,100 crores order, that is mix of products and services, right?

Mahendra Nahata: Yes, it's mix of products and services.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Sir, my first question regarding, like we have seen a lot of strong tower additions by one of tower infra players, so majorly led by rural expansion and 5G rollout. And so what kind of demand and business opportunities we have in this tower rollout? And please share like, what kind of business share we have from telecom player Jio, Airtel, Vodafone and BSNL?

Mahendra Nahata: Look, tower rollout companies like Indus or these companies do not represent any major demand opportunity for us because tower is more like construction of towers, which we don't do so much and also not so much of fiber optics cable and all that. So that does not represent any great demand opportunity for us tower per se., but when you ask about telcos, who are themselves building towers, like Jio, for example. There will be demand opportunity for us because they connect all their towers with fiber optic cables or wireless, both these areas, we are present and we supply equipment to telecom operators, whether it is fiber optical cable or backhaul radios.

There really the demand opportunity come for us because typically tower operators do not provide transmission, neither fiber nor wireless. They just provide a tower and the equipment are fitted by operators. So our segment is the telcos, not the tower operators. So if there is a increase in towers with telcos, there is strong demand opportunity for us, and where we will continue to receive such orders.

Balasubramanian: Okay, sir. Sir, on the press release, like you've mentioned, inventory built up will clear from Q3 FY '25 onwards, so what is the triggers are there to clear those inventories on operators levels? Especially you can share what kind of environment in Europe, U.S. and China and other markets?

Mahendra Nahata: Look, inventory would get cleared up with this increase in demand of fiber optic cable. With this demand increasing, this inventory will automatically get cleared -up.

Balasubramanian: Sir, on the price levels for optical fibers and optical fiber cables. Earlier, we have mentioned in the call optical fiber is around INR250 per kilometre .

Mahendra Nahata: No. INR 250 was the fiber not cable.

Balasubramanian: Yes, fibers and OFCs is around 950 level. So what is the price range right now? And are we see any improvement?

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Mahendra Nahata: This fiber price remains around the same INR250, INR260 per kilometre , almost. You can say that INR250 to INR275, depending upon who is the manufacturer and how good is quality and all

I that. And as far as cable is concerned, it is around INR1,000 . Some will have a little bit more, some would have a little bit less. But it is around INR 1,000 per fiber kilometre of cable.

Balasubramanian: Okay. Sir, on that Poland plant, you mentioned it's around 15.9 million, it's a n euro or dollar terms?

Mahendra Nahata: Euro.

Balasubramanian: Euro terms. Okay. So sir, in this 3.2 million fiber kilometer capacity, what kind of peak revenue potential in those plant?

Mahendra Nahata: About INR350 crores.

Balasubramanian: INR350 crores. And this scaling up of to 7.5 million, when it's expected sir, with 3.2 million and 7.5 million, any timeline?

Mahendra Nahata: I could not understand your question. Be a little clear when you speak to us.

Balasubramanian: Sir, like execution time line for those capacity completion.

Mahendra Nahata: Yes. So 3.25 million capacity, we are targeting to start manufacturing from April of next financial year.

Balasubramanian: Okay, sir. Sir, and the overall, we have seen that when we can expect this large order inflows from new telecom products and the defense side?

Mahendra Nahata: We already have significant order book for our new telecom equipment products. Of the INR2,000 crores revenue I'm expecting, we have more than INR1,500 worth of order already in our hands, more than that, about INR1,700 crores. So expectation of INR 2,000 crores of revenue from this telecom equipment product is not a problem at all.

In fact, we will be much higher than INR 2,000 crores which I'm not projecting but when you have INR 1,700 crores of worth of order in hand a whole year is there, 11 months of the year are still left. You can definitely expect more orders which would be executed in the current year itself.

So there's already a robust order book. And I expect as we start supplying of some equipment

like fixed wireless access equipment as mentioned of INR 600 crores order, I expect more orders to come. And also export is a good potential for these equipment. They're also reasonably good export orders. So order book is already there, but we will as we supply we keep on getting more orders.

Balasubramanian: Got it. Got it. Sir, under balance sheet we have seen capital work in progress around INR 154 crores and how much capex we have spent in this financial year and how much we are planning for '25 and '26?

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Mahendra Nahata: So we have already spent about INR 140 crores of capex in this financial year. And total capex expected in the next year 2 years is about INR 900 crores.

Balasubramanian: Okay. Got it, sir. One last question any plans to enter in interconnect cable?

Moderator: Sorry to interrupt sir. I request you to come back for a follow-up question.

Balasubramanian: Thank you.

Moderator: The next question is from the line of Himanshu Jain from Tiger Assets. Please go ahead.

Himanshu Jain: Am I audible, sir?

Mahendra Nahata: Yes, you're audible, Himanshu perfectly audible.

Himanshu Jain: Congratulations on great set of numbers, sir. I have two questions. One what is the expected order book completion timeline and the second one being what is the expected rollout time according to you for 100% 5G rollout in India?

Mahendra Nahata: Expected timeline of order is different in different orders. There are so many orders. It's not one order. So for example, this order for fixed wireless access we expect about 5 months' timeline to complete that, about 5 months now this can be 6, this can be 4.

For BSNL order book for INR 1,100 crores we take at least 8 months to 9 months time for completion. Second, orders for this turnkey contracts we expect about a year to complete. So different timelines are there for different orders. The BSNL order for UBR we expect a timeline of 3 months to 4 months to complete. So this extends from 3 months

to 12 months in

different orders and different timeline.

And your second question was when would the 5G network deployment will get completed.

Himanshu, network deployment never gets completed, it always continues. As the subscriber increases more numbers of towers are required, more numbers of base stations are required, and more connectivity solutions are required.

So this keeps on going on and while this is going on there is a change in technology like 4G happened and then 5G has happened. Earlier 3G was there, 4G came, 4G after that 5G has come, 5G is there, now 6G will come. So this will ever continue. This is not going to change at all.

And this is good for us. Imagine there was nothing after 4G, there's only 4G. Then the demand would be much less, there would be no demand of new equipment, new technologies. So 5G has come, there is all of a sudden increase in demand of equipment, there is increase in demand of services, 6G, will come it will further increase the demand and demand for equipment and services both. So this cycle will keep on continuing forever.

Himanshu Jain: Thank you sir. That's it from my side. Best of luck for the future.

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Mahendra Nahata: Thank you.

Moderator: The next question is from the line of Siddhant Singh from Green Portfolio. Please go ahead.

Siddhant Singh: My first question is regarding your defense products? So could you provide an update on the current status of the defense products that are under development? And what we can anticipate about contributing them as a top line of our business?

Mahendra Nahata: Siddhant, let me answer your first question on products. We have electronic fuzes which are now completely ready. We have already produced 200 fuzes for trials testing in army firing ranges. We have already deposited almost INR 2 crores to buy ammunitions for trial and we are asked for firing range, it needs to be fired by Bofo rs guns and similar kind of guns.

So you need a firing range of 30 kilometers, 40 kilometers, 50 kilometers without habitation.

So we expect that to be given to us sometime either end of this month or the next month, and a test firing will happen by the Indian Army. And we see very good potential for this product in India, but more than in India in export market. And I'm not really budgeted anything in my projection for the next year or the current year, but still, though not budgeted in our Annual Operating Plan but I still see a very good future for this product for export even in the current

financial year.

As people have come to know that we are going to produce fuzes, I already started receiving inquiries for lakhs of fuzes. I'm already receiving inquiries. So there is a huge demand potential for these fuzes from export market which would be running in 100 s of crores. I'm already receiving inquiries which I am not responding back right now except general discussion.

First I want fuze to be tested and all approved which is certainly going to happen, but demand potential is very high, more outside India than in India because of the global geopolitical environment which is happening as you know very well. So I have a huge demand opportunity for fuzes in my hand number one. Number two, thermal weapon sights which is in a layman words, night vision devices for short rifles, machine guns, and rocket launchers. We have participated in a number of tenders which are undergoing trial right now. When the trials are over then, of course, tenders will be opened and we expect to receive some orders for that. Then we have radars, high-capacity radio relay. Radars, as I said in my presentation is developed by our subsidiary 90% owned subsidiary Raddef located in Bangalore. Those radars have been designed for various kind of applications because this ground surveillance radar, for example, is a real breakthrough in

technology. Currently, the radars of similar kind being used are weighing 30 kg to 35 kg. What we are designing with better features and better performance is weighing only several 7 kgs or 8 kgs, one man can lift and take it anywhere. So you can imagine the kind of technology innovation we have done.

Now the ground surveillance radars have got with different variations also, coastal surveillance radars. We are talking to many of the defense established fund for the supply of that, I cannot name them now, but we are talking. We have another radar coming up in the next 6 months
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time or so, drone detection radar. How important the drone warfare has becoming in current times whichever fight you'll see happening war happening anywhere in the world, drones are becoming the important method of attack.

Now, therefore, detecting incoming drone is a major issue. So our drone detection radar which is under development and is in final phase of software development that will again have the ability to look into 10 kilometers and 100 objects can be detected simultaneously. So that is happening.

Radio relay is another equipment which is required by army, high capacity radio relay. And with a defense we have just installed new machines in our fiber optic cable manufacturing facility in our subsidiary HTL which is going to these two machines are going to produce special type of fiber optic cable required by defense sources. If even a tank rolls over that cable nothing happens to that cable that kind of cable we will be manufacturing. We are manufacturing a special type of cable, this is called tactical fiber optic cable used by the army in the field.

So these are some of the defense products I've just mentioned. Apart from that, in our system integration business for defense services and defense electronics we've already gone through user trial readiness review by army for upgradation of armoured personnel carrier BMP -2 and we are completely successful in that.

Now tender would come we will participate, trials will happen then only we'll see the face of the order if we win. But yes, these are the opportunities ahead of us. And as I said, as much are opportunities in Indian market, India has been the third large spender of defense with about USD90 billion of spending every year.

There are huge opportunity in the export market also. So I look forward to defense business quite optimistically but I have not projected any revenue from that in the current year, but I certainly hope we will get revenue in the current year, it may not be very big because this trials and all these things are going to happen. But next year onwards, I expect defense revenue to reach to higher 3-digit numbers.

Siddhant Singh: Okay, sir. And sir, do you have a confirmation for ammunition fuzes for its delivery in next month? Sorry.

Mahendra Nahata: No, no, I didn't say next month. I said trial in next month. Not delivery.

Siddhant Singh: Okay.

Mahendra Nahata: Trials and we're ready.

Siddhant Singh: Okay, sir. And what is the average? Can you give me the average price of a fuze?

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Mahendra Nahata: That's very difficult. There are 9 different kind of fuzes, 9 different kind of prices. There is no single price and prices also vary market to market. In India it's something, in export it is something else. So but in general, I can say they are from INR5,000 to INR20,000.

Siddhant Singh: And sir my last question is that you have any plan onto.

Moderator: Sorry to interrupt you, sir. I request you to come back for follow-up questions. The next question is from the line of Rajesh Agarwal from Moneyore.

Rajesh Agarwal: Sir, when will the substantial part of telecom products or new products will come into revenue?

Mahendra Nahata: So this will start from this quarter but f

rom quarter 2 onwards, it will be a substantial part coming up.

Rajesh Agarwal: Okay. It will be optic fiber or the new products?

Mahendra Nahata: No, no, as I said little earlier, it is going to be equally divided in optical fiber and equipment both. It is going to be our estimation is that it will be INR2,000 crore s from optical fiber cable or a little more than INR2,000 crores and similarly INR2,000 crores of equipment. This is going to be very transformative this year, Rajesh. First time we'll have four digit number on equipment business in the C ompany.

Rajesh Ag arwal: And the combined margins, will combine margin goes 18% to 19%, no?

Mahendra Nahata: I am not you are talking about net margin, gross margin.

Rajesh Agarwal: Only EBITDA margins.

Mahendra Nahata: EBITDA margin would be something like, I would say, 15% or so. 15% to 17% depending upon order to order and the situation.

Rajesh Agarwal: And there was a contribution from turnkey projects also what we did in this quarter?

Mahendra Nahata: What was the question?

Rajesh Agarwal: This quarter, there's a subst antial revenue from turnkey projects. So going forward also, the turnkey projects also will contribute?

Mahendra Nahata: Yes, current year, we are looking at turnkey projects of about INR1,250 crores plus INR500 crores, about INR1,750 crores to INR2,000 cr ores.

Rajesh Agarwal: So the combined revenue for '24, '25 may be INR5,000 crores, INR 6,000 crores?

Mahendra Nahata: I would not do any forward guessing but at least I can tell you we can expect INR2,000 crores from equipment business, about same from fi be r optic cable business and again, s ame from turnkey. Within that order for INR1,700 crores are already in my hand for equipment business, cable orders keep on being receiving in small sums. It never comes to INR1,000 crores or

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INR1,200 crores or something like that. But with the revival of market INR2,000 crores plus seems to be quite certain.

And on the turnkey side,. On turnkey business, we already have orders worth of about INR1,200 crores in hand. And then the regular business of one of our customer, w hich is from last 10 years, it is coming INR500 crores every year, that should continue. So that INR2,000 crores is more or less assured. So if you count all these 2 , 2, 2, you can guess the number yourself .

Rajesh Agarwal: Sir, what is the reason you're s o bullish on the optical fiber side but the traction has not been coming for the last 1 or 2 years?

Mahendra Nahata: No 1 or 2 year, only one year. Last to last year was very good, revenue's of INR2,400 crores.

This year, what happened, in anticipation tha t the demand would be very high, the operators and distributors have accumulated stocks and demand did not go up that high for geopolitical reason, overall recession and all that. As a result of that operators as well as distributors had a lot of stock with them. So that reduced the demand in the current year with a lower consumption and stocking, and it reduced the demand.

Now that traction has started coming back again. In US demand has already increased. If you have seen a statement by Corning pretty re cently 2, 3 days ago, they are also seeing the same thing, and we are also looking at the same thing in the global market. And in India, demand would be very substantially increased, which is BharatNet, which is going to be announced in the next 1 or 2 wee ks.

Tender is already there, clarification started to be given. And I think another month or 45 days' time tender has to be submitted. So that would be huge demand opportunity in terms of fiber optic cable for Indian companies.

Rajesh Agarwal: So I was reading recently article by the telecom minister. He was saying there are a lot of companies because we don't want to import telecom equipment 's. So a lot of companies which have come under the PLI scheme wi

Il buy from them. So when I understood Tejas, whether the products are the same or not, they got a lot of patented products and if you see this quarter, how Tejas has completely turn around the y bagged lot of orders. So same thing can happen with us also?

Mahendra Nahata: They've orders, Tejas is Tata company and the major order is from BSNL for 4G networking equipment, which is good, they have done good. And have also got good order as I said. It's a reasonably good opportunity for all of us. And if the minister statement is right and that is good for Indian companies, from India only, so good for Indian company like us.

Rajesh Agarwal: Sir, how is the bidding pipeline?

Mahendra Nahata: So bidding pipeline is good. The BharatNet alone would be INR 60,000 crores.

Rajesh Agarwal: Okay. So that tender already is opened?

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Mahendra Nahata: No. That is to be submitted, I believe, in about 45 days' time, then it will get open. And finalization of that is expected in some time in August.

Rajesh Agarwal: So can we see the R&D facilities or no? Can we visit the R&D facilities?

Mahendra Nahata: Yes, it is Bangalore, you can certainly visit with the prior appointment.

Rajesh Agarwal: Okay, sir. And sir so this time, the presentation was very good. It was short and very crisp.

Mahendra Nahata: Visit our factory if you're going to the Hyderabad factory where we produce fiber and cable both with a prior appointment you will be most welcomed to visit that also.

Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital.

Darshil Jhaveri: Okay. A lot of my questions have been answered. But just wanted to ask something about our capex and our debt. So currently, we're expecting INR900 crores Capex in the next 2 years. So what will be our debt level? How are we planning to fund it currently? So could you just give some colour on that?

Mahendra Nahata: My CFO, Mr. V R Jain would answer that.

Vijay Jain: The capex plan is around INR900 crores during this financial year and part will go to the next financial year. And this entire capex will be funded by internal accruals and some equity raise, which we have already done and the money is lying with us and part debt. So debt equity ratio, which is currently 0.24, it will remain in the same range. I mean, 0.24 to maybe 0.27, and max it will be 0.30, not more than that.

Darshil Jhaveri: Okay. So sir, after the -- so when can we maybe see debt reduction because interest cost is also a substantial cost...

Mahendra Nahata: Our debt is already very low. You know, 0.28 is no big debt itself, you know.

Vijay Jain: So mainly, it is working capital debt, which is required for various project execution and all that. And most part of that is in the form of LCs and bank guarantees. So the finance charge includes the charges of BGs and LCs as well. It is not entirely the interest cost.

Moderator: The next question is from the line of Sanjeev Damani from SKD Consulting.

Sanjeev Damani: My two questions are, one is regarding our debtors that is INR2,200 crores, so almost it is coming to 50% of our sales. So if you are going for INR7,000 crores sales, then will our outstanding be and debtors will be as high as 50% and what is...

Mahendra Nahata: No, I tell you why. So debtors are when we do turnkey projects. And when you are rightly saying that next year revenue, we are forecasting INR4,000 crores coming from cable and Telecom products, which are not having that large period for recovery. So they may be more like, 60 to 90 days, maximum 90 days. So it will not be in a level what you are just saying, it would be much lower than that.

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Sanjeev Damani: And soon we will be recovering all this whatever is outstanding? Will we be getting it cleared by this quarter end?

Mahendra Nahata: Say that again, I missed your question.

Sanjeev Damani: Will we be able to realize most of the money by this quarter end of our debtors?

Mahendra Nahata: Not this quarter end, it will be coming up in phases, the major part is on NFS, network for spectrum which we are executing for Indian Army. So part of that would be about take, I would say, more than a year or so after completion of the project. And rest of the debtors, we will keep on realizing as we go by in time. Some are 60 days, some are 90 days, so something like that.

Sanjeev Damani: Second question is regarding making my understanding better about the fact that our minister sir have said that we are introducing 6G also very soon. And all this will be and is being manufactured within India. So can I take it this way that HFCL is the only supplier of all these

telecom exchanges and facilities of...

Mahendra Nahata: No, we are not the only supplier. We are one of the supplier for telecom equipment. So we are not the only supplier. Nobody can be only supplier, number one.

Sanjeev Damani: On a listed place, sir, only you are listed who are supplying all these equipment and exchanges and all these things?

Mahendra Nahata: No, Mr. Sanjeev, Tejas is there, we are there. There are a number of companies who are there but yes we're number one.

Sanjeev Damani: But we are also equipped to completely supply the ex change and facilities to BharatNet?

Mahendra Nahata: There is nothing called exchange these days , that time is gone when you call core and access and that kind of a transport that kind of a network, but we are supplying not the whole network but a part of the network. We are more on the access side and the transmission side, not on the core side. Core we don't have core, and no Indian company has core rather. So we are having access and transmission. And that there are other companies also who are doing the same business access and transmission. But at the same point of time, to answer your 6G question, 6G development and effort have started, really, if you see to become commercial, it is at least 4 or 5 years away.

Sanjeev Damani: Okay. Thank you very much for the understanding and time given, sir. And all the best.

Mahendra Nahata: My pleasure, sir. My pleasure.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Sir, when we look at the order books split up, we find as a breakup in your presentation, INR 475 crores is the network services, INR 890 crores is the product and INR 2,037 crores is HFCL Limited
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the O&M. So under this network services, there is a combination of both turnkey and the product ?

Mahendra Nahata: Yes. For example, this INR 1,100 crores of orders for BSNL for equipment has been clubbed into that what you are seeing INR 4,700 crores. It is more a product less of services but it has been clubbed into that because it improves some part of services.

Saket Kapoor: Okay. So the turnkey order book, the core turnkey order book is how much, sir?

Mahendra Nahata: Core turnkey order book would be something like out of INR 7,000 crores should be something about INR 4,000 crores plus something like INR 4,000 crores plus.

Saket Kapoor: I didn't get you sir. I'm talking about only the turnkey project, Trunkey project can, it can be a product ?

Mahendra Nahata: Only turnkey portion of the project, that's what you're saying?

Saket Kapoor: Yes.

Mahendra Nahata: Yes. So that should be same.

Saket Kapoor: That is INR 4,000 crores?

Mahendra Nahata: So, turnkey portion is services portion of the project, should be around 4000 crores.

Saket Kapoor: I think I'm getting mistaken on that front. But I take it offline from Jain, sir. On the O&M part INR 2,037 crores, how that will start accruing the same? And how much have you b

ooked for

this financial year?

Mahendra Nahata: If we take about 7 years, Mr. Saket, 7 years.

Saket Kapoor: Right. And from the next year itself , we will start or when will this start taking in?

Mahendra Nahata: They started already. Some of it already started. It will continue through this year also.

Saket Kapoor: Okay. Jain sir, I have a question on this other intangible asset and intangible assets under development. If you could just explain to us what are these two line items? There's a significant increase in intangible assets under development from INR 200 crores to INR 315 crores and other tangible assets have risen from INR 18 crores to INR 118 crores. So what are these? Are they related to R&D? How are we going to benefit? This is a large sum of money?

Vijay Jain: Saket, we are developing a lot of products as part of telecom and defence. So whenever any product is ready for launch or it has been launched, so that part of the R&D spent is capitalized and remaining is shown intangible under development. Once it is commercialized and capitalized, then it is amortized over a period of 5 years.

Saket Kapoor: Right, sir. And lastly, sir, on this the successful IPO for Vodafone. Does this give the impetus to the entire ecosystem and a new capex cycle can be envisaged going ahead that the confidence that the investing community has on the Vodafone?

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Mahendra Nahata: A very good question. And in fact, I missed to talk about it in my opening remarks. This definitely gives very good impetus to instrument manufacturers in India. So with the new operator, not a new operator, old operator getting active now in the equipment business, which was not active earlier because of the money issue and all that. With the IPO and today's news item that INR 18,000 crores, they are going to raise from banks, which makes it almost INR 40,000 crores of capex by them, it is really good. With that kind of capex new demand would be generated for fiber optic cable, equipment and everything. And some share will be available to us also, of course. So we are really happy about it. With the revival of VI as well as revival of the BSNL and continued growth of and Jio and Airtel.

Saket Kapoor: Right. And do you have any dues from them?

Mahendra Nahata: No, They are very minor dues maybe from regular supplies we do, but there is no over dues.

Saket Kapoor: And on closing, sir, Exicom public issue was also a grand success and HFCL holds a minority stake in Exicom. So what's the road map ahead? And what are the synergies with Exicom, the other listed company for the HFCL group?

Mahendra Nahata: Road map as far as investment is concerned, that is there. But there is synergy definitely. Synergies, they also produce apart from EV chargers, they produce critical telecom power supply equipment. So wherever we have customers for critical power supply equipment and turnkey service, you can source certainly from Exicom and that would give us more competitive and more complete product range.

Saket Kapoor: Jain, sir. Then the INR 120 crores income tax has been paid for this year. So does this include for this year also or prior period also? And what is our current tax rate?

Mahendra Nahata: No, income tax is charged year-on-year. So part the regular tax and part is shown as part of deferred tax, current and deferred tax. It is segregated in two parts.

Saket Kapoor: Sir, I am telling from cash flow. In cash flow, you have shown a payment of 120 crores.

Vijay Jain: In cash flow?

Saket Kapoor: Under cash flow, income tax paid is mentioned as INR 120 crores.

Vijay Jain: So, this is our TDS tax which is deducted.

Saket Kapoor: Okay, sir. We will keep both of them together. Okay, got the point. Thank you, Nahata ji. This is one of the very transformative call from HFCL whereas we have infused lot of confidence among

the investing community in your remarks in terms of this product sales and again, OFC then the turnkey project, and then the entire ecosystem getting charged up. So we hope for a transformation and exponential growth next year, and we hope as in future reality test.

Mahendra Nahata: There are 3 things in revenue. One is equipment business becoming very robust, INR 2,000 crores is expected and INR 1,700 crore orders are already there, INR 2,000 crores plus an optical fiber cable and defense business, don't forget. Though I have not put anything in the HFCL Limited

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estimated revenue but defense business has a huge opportunity coming up in a sense that fuses, for example, so much of demand.

If I start production today, I'll be booked for one year. That's the kind of demand coming up for fuses. Even before I have got it tested, the demand of lakhs of fuses in front of me. So defense business has also got very high potential, including this, then the upgradation of BMP-2, again, a very huge potential. So defense business also is very huge potential and that will be a very transformative change for HFCL apart from equipment business.

Saket Kapoor: Right, sir. Thank you for and we hope to see things on ground improving drastically, dramatically rather.

Mahendra Nahata: Thank you. Mr. Kapoor. And this would be the last question, operator, I can take Saket

Kapoor: Thank you, sir. And all the best to the team. Namaskar, sir. Thank you.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr.

Mahendra Nahata for closing comments.

Mahendra Nahata: Well, gentlemen, some of the questions would remain not answered as I can see. So kindly send emails to us for your questions and we would be very glad to answer, to our Investor Relations Officer, Mr. Amit Agarwal, he will be very glad to answer those questions.

But as a concluding remark, I would say that we are looking forward to this current year with a lot of optimism and lot of growth in our revenue in equipment business as I said, from INR 150 crores to INR 2,000 crores, which will coupled with fiber optic cable together, the growth in product business itself will be substantial, reaching to roughly about INR 4,000 crores, that is what is the best expectation of the management is on the basis of order book and as well as the kind of orders we are expecting to receive in fiber optic cable.

Moreover order for turnkey Projects are also in hand for INR 1,250 crores or so, and more orders, such are expected. So my expectation of INR 2,000 crores of orders from that part of business is also quite robust expectation, not based on estimation but based on realistic

expectation. So we look forward to the current year with a lot of robustness and expectation of good revenue coming up.

And our R&D efforts are certainly going to throw in more number of products in defense as well as the telecom sector. That would be -- this kind of R&D and development of products would be really an impetus for our long-term strategy for keeping on increasing revenue through products and not so much from services. So we are very optimistic about growth with the growth of telecom sector, growth in the defense sector, and the export al so, we are very optimistic for the future. Thank you very much, gentlemen.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

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RE: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015 (the “SEBI Listing Regulations”).

Subject: Transcript of Conference Call on the Un-audited Financial Results of the Company for the 1st Quarter ended June 30 , 2024, of the Financial Year 2024- 25.

Dear Sir(s)/ Madam,

This is further to our earlier announcement dated July 19 , 2024 .

In terms of Regulation 30 read with Para A of Part A of Schedule III to the SEBI Listing Regulations, we hereby submit Transcript of the Conference Call held on July 25, 2024 , on the Un-audited Financial Results of the Company for the 1st Quarter ended June 30, 2024 of the Financial Year 2024 -25, which were considered and approved by the Board of Directors of the Company, at its meeting held on July 24 , 2024 .

The aforesaid Transcript will also be available on the Company's website at <https://www.hfcl.com/> .

You are requested to take the above information on records and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,
For HFCL Limited

(Manoj Baid)
President & Company Secretary

Encl: Copy of Transcript.

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“HFCL Limited
Q1 FY '25 Earnings Conference Call”
July 25, 2024

MANAGEMENT : MR. MAHENDRA NAHATA – PROMOTER AND
MANAGING DIRECTOR
MR. VIJAY RAJ JAIN – CHIEF FINANCIAL OFFICER
MR. MANOJ BAID – COMPANY SECRETARY
MR. AMIT AGARWAL – HEAD, INVESTOR RELATIONS

ANALYST : MR. MOHIT LOHIA – ICICI SECURITIES LIMITED

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July 25, 2024

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Mod erator : Ladies and gentlemen, good day and welcome to Q1 FY '25 Results Conference Call of HFCL Limited hosted by ICICI Securities. Before we begin, I will also like to read th e disclaimer statement. Statements made during this call may be forward -looking in nature based on management's current beliefs and expectations. They must be viewed in relation to the risk that HFCL's business faces that could cause its future results, pe rformance or achievements to differ significantly from what is expressed or implied by such forward-looking statements. Investors are therefore requested to check the information independently before making any investment or other decisions.

As a reminde r, all the participant's lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Lohia. Thank you, and over to you, sir.

Mohit Lohia : Yes. Hi, good afternoon, everyone. Thank you, Sumit, and thank you for joi ning us today for Q1 FY '25 Earnings Call of HFCL Limited. First of all, I would like to thank management for giving us opportunity to host this call. From the management side, we have Mr. Mahendra Nahata, Promoter and Managing Director; Mr. Vijay Raj Jain , Chief Financial Officer; Mr. Manoj Baid, Company Secretary; and Mr. Amit Agarwal, Head of Investor Relations. So without further delay, I would now hand over the call to Mr.

Mahendra Nahata for opening
remarks. T hank you, and over to you, sir .

Mahendra Nahata : Thanks, Mohit, and Good evening Ladies and Gentlemen.

I am delighted to welcome you all to HFCL's earnings call for the first quarter of FY25. I trust that you got a chance to go through our financial results, press release and earnings presentati on, which are available on the website of the Company and also on the website of stock exchanges.

For achieving the vision of Viksit Bharat by 2047, Technology and the telecom sector are poised to play a vital role. The growing demand for reliable high speed internet connectivity, increasing smartphone adoption , 5G network expansion, hyper -scaling of data centers, advancements in Artificial Intelligence, Machine Learning, promises large opportunities both in domestic and global markets.. Implementation of FTTH globally, BharatNet phase-III, and the PLI scheme, alongside initiatives of promoting semiconductor manufacturing in India will fuel long term growth and encourage indigenous manufacturing.

In last few years, HFCL has relentlessly focused on R&D and innovation. The Company has entered into strategic partnerships with global tech giants and also invested in enhancing capacities & capabilities, thereby, making your company future ready.

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Our comprehensive, new cutting -edge products such as the first In dian IPR owned and Made - in-India 5G Fixed Wireless Access Customer Premises Equipment, Unlicensed Band Backhaul Radios, Switches, IP/MPLS Routers, open -source Wi -Fi 7 Access Points, new generation defence products such as Electronics Fuzes, Thermal Weapon Sights for Assault Rifles, Light Machine Guns and Rocket Launchers, Ground and coastal Surveillance Radars for various range and applications, Ti Cores for Thermal Sights, next generation optical fiber and optical fiber cables among others, will drive sus tainable and profitable growth. We strongly believe that our investment in R&D leading to innovative telecom and defence products coupled with global expansion will reap dividends in near future.

Having ended FY24 at a pivotal note, we have commenced the current fiscal with a significant positive decision from European Commission. In a landmark verdict on 14th June, 2024, the European Commission has decided not to impose anti-dumping duty on optical fiber cables manufactured by HFCL and its subsidiary HTL, whereas provisional anti-dumping duty has already been imposed on all other Indian Optical Fiber Cable Manufacturers. This significant verdict by European Commission places HFCL in a formidable position to tap growth opportunities in European market and this also speaks of the fair business practices by HFCL. The demand for our designed communication equipment has also shown strong growth. We are witnessing strong demand for 5G Fixed Wireless Access Customer Premises Equipment which presents an important use case for enhanced revenue from 5G networks. HFCL has developed various Made-in-India Fixed Wireless Access Customer Premises Equipment variants to meet diverse country-specific needs, positioning it to supply both to domestic and international markets. HFCL has already received an order worth Rs.623 crores of this equipment.

HFCL has made remarkable advancements in wireless technology by designing new generation Point to Point Unlicensed Band Backhaul Radios. HFCL has developed radios that can transmit data much faster than traditional methods in unlicensed frequencies, reaching speeds of up to 2 Gbps already, with plans to hit 4 Gbps soon. These systems can maintain speed over distances ranging from 10 kilometers to 20 kilometers. HFCL's UBRs are also more affordable compared to competing technologies like E-band radios and traditional microwave radios, making them a product of choice for telecom operators for backhauling their traffic of 4G and 5

G networks. These radios are also being used extensively for highly reliable enterprise connectivity. Our UBRs have tackled the challenge of interference in unlicensed bands with smart algorithms that cancel out noise, ensuring that mobile calls and data stay clear even in noisy wireless environments. Apart from being of lower cost, our UBRs also save significant spectrum cost for telecom operators by operating over long distances at significantly high data rates in unlicensed bands.

HFCL has become the largest supplier of UBRs in India and one of the prominent global suppliers, having delivered over 500,000 units globally. HFCL now dominates over 70% of the UBR market in India. Major private telecom companies have already installed over 100,000 radios in just last one year itself to handle their 5G network traffic. BSNL has also placed order with HFCL Limited
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for 30,000 of these radios on HFCL to backhaul their 4G network traffic. The BSNL radios are currently under installation.

With HFCL's innovations in UBRs, the telecom operators, are able to provide high-speed, reliable wireless connectivity at lower capex and opex. HFCL expects large opportunities from this product in near future. HFCL is now also developing Point to Multipoint UBRs which will have even higher market opportunity globally.

With the introduction of new products and markets, our revenue from Telecom Equipment Segment is expected to rise substantially. We expect the revenue from this segment during FY25 to reach approximately Rs.2000 crores from just Rs.143 crores in FY24. I am happy to

share that during first quarter itself the Company has already achieved a revenue of INR 401 crores from the sale of telecom and networking products.

As the transition to 5G continues and newer technological standards gain traction, global telcos are projected to invest USD 342 billion in their networks in 2027 alone, according to a PWC report. This kind of large capex will support HFCL's effort to get high revenue.

In addition to the continued focus on its traditional telcos market, HFCL has also put strong focus on enterprise market. A dedicated sales organisation has been created to serve enterprise customers which includes banks, hospitality industry, educational institutions and other bulk consumers of such equipments. As part of our strategy to deeply engage with both these segments i.e., telcos and enterprises, we are constantly working to add new products and cutting edge technologies to our existing portfolio of products with rigorous R&D initiatives.

On the defence side, India's defence exports have reached an all-time high at Rs.21,083 crores in FY24. Our Honourable Prime Minister, declared his intent of making India a net-exporter of defence products over next five years. The increasing defence budget and focus on indigenisation is creating significant opportunities for Indian companies like HFCL.

HFCL is intensively working on development of defence products for domestic and global markets. We have introduced a comprehensive range of defence products both for domestic and

global markets. The domestic market size alone for HFCL's current products is expected to be in excess of USD 35 billion in next six to seven years.

Our comprehensive defence portfolio of products includes different types of Electronic Fuzes, Thermal Weapon Sights, Ti Cores for Thermal Sights, Ground and coastal Surveillance Radars for various range and applications, High capacity radio relay, among others.

Our Electronic fuzes, for artillery ammunition have already undergone extensive trials and testing. HFCL has already started receiving enquiries from several countries and discussions are underway for export of these fuzes. We are confident to build sizeable order book of export for electronic fuzes during the current fiscal year.

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HFCL has also participated in tenders for thermal weapon sights for Assault Rifles with its indigenously developed products. These products are currently in various stages of trials. Enquiries have also been received from international market for these products. We are also pleased to share that enquiries have also been received for development of technologically highly advanced components of defence equipment related sub-systems from globally renowned companies. This shows confidence of such companies in our capability to develop advanced technologies. Quotations have already been submitted against these enquiries.

HFCL, through its subsidiary, Raddef Private Limited, has been at the forefront of designing and developing a range of cutting-edge surveillance radars to meet diverse operational needs. Raddef specializes in development of advanced radars and RF solutions. It has developed ground and coastal surveillance radars using Frequency Modulated Continuous Wave technology. This technology offers numerous advantages, including high accuracy, low power consumption, less weight and resistance interference, making our radars highly reliable and efficient.

Our surveillance radars have undergone extensive trials. We have participated in the RFP issued by ISRO for their coastal surveillance radar requirements. Recently, senior officials from Indian Navy visited our R&D facility in Bangalore and expressed their appreciation for the progress we have made in development of coastal surveillance radars. This acknowledgement itself is a testament to the quality and reliability of our technology. Our Ground Surveillance Radars are also under trial by the Army, Paramilitary forces and Border Security Force. Our Drone detection Radar is also in advanced stage of development. Its field trial is expected to start by the end of Q2 of FY25.

As already informed, HFCL has Successfully cleared the User Trial Readiness Review for the Armament Upgradation Project of the Indian Army's BMP -2 Infantry Combat Vehicles. The RFP of this project is expected soon.

The wire harness business unit of HTL, a subsidiary company, has been consistently performing well by supplying Power Distribution Units, Auxiliary Power Supply Units and Wire Harness Assemblies for various defence programs like Fighter Aircrafts, Battle Tanks, Armoured Personnel Carriers, Missile Launchers, Towed Gun Systems, Military Radar Systems and Military Communication Systems.

Fiber, Optical fiber and Optical fiber cable business remains substantial and important part of Company's business. Presently, Global optical fiber cable market is going through a relatively slowdown phase. Geopolitical situation throughout the world and its impact on important

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aspects of business i.e. cost of raising capital, cost of logistics, large inventory built with operators and delay in major government funded programs have resulted in this temporary slowdown. Global operators have delayed their plans of expansion waiting for the situation to get better. It is expected that globally Optical Fiber Cable market will start witnessing growth again from the last quarter of financial year 2024-25.

HFCL has taken steps to offset this slowdown by increasing its business and market share from

Passive Connectivity Solutions for optical fiber cable networks. This is a global market opportunity worth USD 6-8 billion. Explosion of data centers around the world will further contribute to expansion of this market. HFCL is concentrating its resources to increase its penetration in Passive Connectivity Solutions market both for telcos and data centre segments. HFCL expects revenue of Rs.250 crores in Passive Connectivity Solution business in the current financial year showing substantial increase from last financial year's revenue of only Rs.66 crores from this segment. Looking at its growth

potential, HFCL expects to grow this business to Rs.750 crores in next 2-3 years. HFCL has also channelized its R&D resources to develop several types of new optical fiber cables including tactical cable for defence requirements. These initiatives coupled with upcoming BharatNet Phase III Project will lead to substantial market opportunity for HFCL.

BharatNet is one of the most anticipated opportunity under which Government has already floated approximately Rs.60,000 crores tender for capex to be incurred in next 3 years followed by additional O&M opportunity worth approximately Rs.40,000 crores over a period of 10 years. The entire funding of this project is being provided by the Government of India from Universal Service Obligation Fund. The Bharat Net Phase III Project tender presents a huge opportunity to HFCL as it will strengthen the demand for optical fiber cables, telecom and networking products, system integration services, and annuity revenue through O&M all of which are in alignment with HFCL's core strengths. HFCL is uniquely positioned to offer end-to-end solutions that meet Bharat Net's stringent requirements. We foresee good prospects for us given our vertically and horizontally integrated manufacturing capabilities in optical fiber cables, its accessories, telecom equipment, and SMPS through one of the group company coupled with vast experience of laying more than 2 lakh Kilometers Optical Fiber Cable for various telecom operators. We are optimistically looking forward to securing a substantial pie of this opportunity.

In order to optimize operational efficiencies, better utilize resources, and to focus more on passive connectivity solutions, HTL Limited, a subsidiary company, has decided to discontinue the manufacturing of Polymer compounds which are now available from large Indian and international manufacturers at relatively lower prices.

We also plan to integrate Artificial Intelligence to our Telecom and Networking products which will enhance the experience for network service providers as well as end users. The AI powered equipment will help build resilient network for people worldwide in all kinds of
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deployments. We believe that AI based networking will provide more reliability and security to the end users.

Our total order book now stands at ~ INR 6776 crores as on Q1 of FY25. While our order book has been stable, revenue mix has favourably changed towards products business. The revenue from Private customers and International Business stands at 51% and 9.82% respectively.

HFCL is eligible to avail production linked incentive (PLI) for telecom and networking products. We expect to start receiving PLI benefits from the current fiscal year on production of these products.

Our Company is focused on ESG initiatives, and is deeply committed to fostering workplace diversity and inclusion through various initiatives, fostering an equitable and inclusive environment.

Let me now brief you on the key performance metrics of Q1 FY25:

- Revenue for Q1FY25 stood at INR 1158 crores as compared to INR 1326 crores in Q4FY24 and INR 995 crores in Q1FY24
- EBITDA for the quarter stood at INR 185 crores as compared to INR 209 crores in Q4FY24 and INR 160 crores in Q1FY24; EBITDA margin stands at 16.00% for Q1FY25 as compared to 15.78% for Q4FY24 and it stood at 16.04% in Q1FY24;
- For Q1FY25, profit after tax stands at INR 111 crores as compared to INR 109 crores of Q4FY24 and INR 76 crores in Q1FY24; PAT margin stands at 9.55% in Q1FY25 as compared to 8.25% in Q4FY24 and 7.59% in Q1FY24
- Segment revenue for telecom products during the quarter stood at 61.42% as compared to 27.33% in Q4 FY24 and 66.56% in Q1 FY24.

As I have mentioned, the demand of Optical Fiber Cables is in temporary slowdown phase which has impacted our revenues

from Optical Fiber Cable business in FY24 and

also in Q1 of

FY25. We anticipate that Optical Fiber Cables demand will be restored from Q3/Q4 FY25 onwards, both in India and key global markets. However, I am happy to share that with our diversified product portfolio in telecom, Optical Fiber Cable, and passive connectivity solutions, the Company has been able to sustain and grow its performance. We are confident that our focussed efforts in increasing our product portfolio in telecom, Optical Fiber Cable, passive connectivity solutions & defence products, along with capacity expansion, backward integration, expansion of customer base, and entering new geographies, are set to drive revenue growth, margin expansion and optimum usage of working capital resources. We are upbeat about tapping opportunities ahead and look forward to a strong year with great optimism.

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Thank you once again for your keen participation. With this, I conclude my opening remarks and open the floor for the Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian: Good evening, sir. Thank you for taking my question. First question, HFCL has decided to discontinue the manufacturing of polymer compounds. So what is the revenue and margin in that business? And what kind of impact we can see for these discontinuations?

Mahendra Nahata: Yes. First of all, there was no revenue from polymer compound. It was being used internally as a backward integration for manufacture of optical fiber cable. So it was remaining within the Company. So there was no revenue. The reason we have discontinued manufacturing, so worldwide, the major refineries like Borealis or Reliance and all such refineries, they have increased their production of this component and they are manufacturing huge quantities. So their cost of production is much lower. And what we are now seeing that these compounds are available at a lower price from these refineries rather than we manufacturing ourselves.

The price difference has gone roughly about INR6 per kg. If you buy from market, they are cheaper by about INR6 per kg. So there was no point in continuing to manufacture this compound once we have ourselves being able to buy it from outside the market. That's why we have closed it. So there is no loss of revenue in this case.

Balasubramanian: Sir, like you have mentioned about electronic fuses, like which are the regions you are witnessing order inquiries for electronic fuses?

Mahendra Nahata: Yes. We have received inquiries and we are in advanced stage of discussion, mainly from European region, and we expect good results very soon.

Balasubramanian: Sir, in this army project side, like we have cleared User Trial Readiness Review. So what is the next step for this project as business opportunity?

Mahendra Nahata: Look, UTRR has been cleared up. Next step is flotation of RFP that is the tender, which is expected soon now, maybe one or two months, which is expected soon. Only five companies have been shortlisted, as I might have informed you earlier, Tata, L&T, HFCL, government's own factory, and I think one more company, I don't remember the name, but only five companies have been shortlisted. And HFCL has cleared all kind of User Trial Readiness, night firing, missile firing, gun firing. I think we have been the most successful in UTRR.

Balasubramanian: Got it, sir. Sir, the final question regarding you have mentioned that slowdown has continued on optical fiber and optical fiber cable side. So what is the realization point of view in this quarter? And any changes in the capex, what is the progress? And is there any changes in the funding mix? And you have mentioned about this Noida plant eligible for PLI. What kind of PLIs we can expect?

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Mahendra Nahata: Balasubramanian, if you ask me 10 questions in one row, then I would not be able to answer.

Balasubramanian: Okay. Got it. Sir, I'll come back in queue.

Mahendra Nahata: No, you can ask me question on optical fiber cable, but you asked 10 questions in that same question, so it is very difficult to be precise. So ask one by one.

Balasubramanian: Okay Sir

Mahendra Nahata: So first of all, we are seeing the slowdown in the optical fiber cable market. Yes, there is a slowdown globally, which I've been very transparent about and reasons also I've shared in my opening remarks. But one thing needs to be appreciated that we have taken steps to see that this slowdown does not impact our business on overall basis. One, it includes that, as I said,

passive connectivity solutions where we are increasing our revenue to INR250 crores from something like INR60 crores, INR70 crores from last year, and we expect in two to three years' time to grow to INR750 crores.

And in any case, by that time, optical fiber cable market in next two to three quarters would have picked up in any case. So this will add up to our revenue. Moreover, overall Company, as I mentioned, huge increase is there in the revenue of telecom products. From last year it's about INR140 crores. This year we will be going to INR2,000 crores. So within the various diversified product range of the Company, these ups and downs happen in different segments. But the important point is that the management has foreseen this, taken adequate steps to have such a product range that the Company's revenue is sustained and also grow. This year, for example, you will see a reasonable increase in the revenue of the Company from 25% to 30%, which has been possible despite of this slowdown in optical fiber cable business because revenue from other segments is increasing substantially.

Balasubramanian: Got it, sir. Sir, on the price realization side

Moderator: Sorry to interrupt, Balasubramanian, sir, but we request you to return to the question queue for the follow-up questions.

Balasubramanian: Sure, sir. Thank you.

Moderator: Thank you. The next question is from the line of Siddhant Singh from Green Portfolio. Please. Go ahead.

Siddhant Singh: Sir, so my first question is regarding ammunition fuzes. Like in last quarter you told us you are into the trial zone, like within a few months Indian Army will start trialing the ammunition fuzes. So what is an update regarding that?

Mahendra Nahata: Look, fuze, as I said, we are concentrating right now on the export market. And while Indian Army is expected to float some more tenders and which we will definitely participate, but export market has given us a good traction. And soon we expect to receive reasonable size

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orders from the export market. So our concentration right now is more on the export market because Indian Army's tenders will come, they will be decided, it will take time, some amount of time, but export market order booking may start much sooner.

Siddhant Singh: Okay, sir. So we can expect in this financial year itself we will start generating revenue from the ammunition fuzes from export market?

Mahendra Nahata: We will definitely start having good orders soon. Revenue, I would say that they would they may start from the first quarter of the next year because building of infrastructure and all that, we may take a little bit of time. We may be able to start at the end of this current financial year or may be in the first quarter of the next financial year. But there will be substantial revenues coming from the defense segment.

Siddhant Singh: Okay, sir. And sir, my second question is regarding like in the recent Budget allocation, BSNL has got around INR83,000 crores of allocation from Budget. So sir, as we are getting many orders from B

SNL, so what you are expecting? This huge amount of Budget will get benefited to our company? And how much order we can expect from the BSNL side for this financial year?

Mahendra Nahata: Look, I can't quantify what kind of orders we will receive, but we have good hope from BSNL. Reason being, one, government is making full effort to revive them and a good amount of budgetary support is being given to BSNL apart from their own revenues.

Moreover, with this improved financial position, BSNL's payment situation for their own tenders have improved substantially. What we earlier had a situation where payments were not coming from BSNL, now BSNL is releasing payment twice a month, which is a very much improved situation what we had experienced last year or even in the beginning of the current year.

So we have good expectations from BSNL, not only from their own requirement but from the BharatNet Phase III also, which is the tender which has been floated through BSNL where it's approximately INR60,000 crores of capex. The entire funding is coming from Government of India through USO fund, which has got a substantial amount of money already with them. So payment would not be a problem in BharatNet Phase III.

So BSNL, yes, it presents a good market opportunity and it is really beneficial to companies like us because BSNL always buy indigenously manufactured products through indigenous manufacturers. And that is a great advantage to us because with the preferential market regime where indigenous manufacturing is preferred.

And also at the same point of time, improved payment position of BSNL, I'm sure HFCL will be able to get good order book from BSNL in the current financial year and following years also. It's just not possible to quantify exactly the amount, but I am sure that market opportunity

with BSNL would be reasonable for telecom equipment as well as fiber optic cable.
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Siddhant Singh: Okay, sir. Sir, I have one last question regarding optical fiber. Sir, as we are expanding our manufacturing capacity in optical fiber, do we have any future plan to install our in-house preform plant? Like if we will have our own in-house preform plant, then our operational efficiency will increase. So do we have any plan for installing that?

Mahendra Nahata: We are under discussions for this because it involves a reasonably large capex. So we are discussing at this point of time the capacity which we should install and the capex per ton or per kg, whatever you call it, of plant which should be there to make it economically viable against the purchases. So it's a make versus buy decision, which is under evaluation at this point of a time. And whenever this evolution is completed, which we expect should be near future, one or two months, we will definitely be working on this. And if we find it economically more viable to manufacture, substantially viable to manufacture, we will definitely do that.

And moreover, it's not only economic viability, there's also the sustainability of raw material supply in the situation where the market demand goes very high, and we have seen in the past that the price of preform also goes very high, reducing the margin for the manufacturers of fiber and cable, this plant kind of a backward integration offers more sustainability also. So all these things are being under discussion very actively. And maybe in next one or two months' time we will take a final decision.

Once we reach to our expected capex per ton and also the sustainability aspect is also well understood and then we will take the final decision. But I can tell you, this is under active consideration at this point of time.

Siddhant Singh: Okay, sir. Sir, can you give any ballpark number on likely how much of capex we will need per ton, like, any ballpark number?

Mahendra Nahata: I would not really go ahead on that at this

point of time. Let us wait for next call where I would

be able to be in a better situation to tell that. Right now if I tell you any capex number, it's not good to divulge our position to our suppliers.

Moderator: Thank you, sir. The next question is from the line of Aryan Oswal from Finterest Capital. Please go ahead.

Aryan Oswal: Sir, what is the scope of margin uptake as we are anticipating the revenue to grow from INR143 crores to INR2,000 crores?

Mahendra Nahata: What was your first part of question?

Aryan Oswal: Sir, what is the scope of margin uptake as we are anticipating the revenue to grow from INR143 crores to INR2,000 crores?

Mahendra Nahata: Look, this revenue growth is from INR143 crores to INR2,000 crores in the current financial year which is majorly coming from telecom products, which we are selling to private operators

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and BSNL both. And generally, the margin, net margin is around 8% to 10%, as you know. Added to that would be some benefit from PLI also. So this will definitely result in increase in the margin with the increase of revenue. Percentage and revenue you can calculate. These are my best estimate at this point of time. So it will be increasing profitability as the net profit before tax remains around 8% to 10% and some benefit from PLI would result in this.

Aryan Oswal: Okay. Thank you sir. And sir, are there any plans or timelines in place to reduce the percentage of pledged shares in the near future?

Mahendra Nahata: Please say that again?

Aryan Oswal: Sir, are there any plans or timelines in place to reduce the percentage of pledged shares in the near future?

Mahendra Nahata: There is no pledge and there is no plan to pledge.

Aryan Oswal: Sir it is showing a 44.5 %.

Mahendra Nahata: There is a misnomer at that end we have brought in the notice of the stock exchanges and the depository also, we have given a non disposable undertaking to financial institutions as against loans taken by the Company. They are shown under pledge column. So there's no separate column for non disposable undertaking. So it is a non disposable undertaking by promoters rather than any pledge. This is a completely wrong format by the stock exchanges and depositories.

This format needs to improve and we have made several representations that this gives a completely misleading information to the shareholders that there is a pledge of shares. There is not a single share of the

HFCL which is pledged anywhere let me be very clear. This is only non disposable undertaking. There is no pledge.

Aryan Oswal: Okay. Thank you for the clarification sir. One last question from my side, sir. Sir as we have a strong order book of INR6,700 crores what is the order execution time line?

Mahendra Nahata: This is different in different orders. They range from immediate one month kind of a supply and they range for a 1 -year supply also. In most cases it is something like one month to six months for products and in the case of turnkey projects about one year to three years . And for O&M operation and maintenance that may be five to six years or maybe seven years also. So it's different. For the product and the turnkey ranges from one month to three years. For the O&M, of course, it's a continuous stream of revenue which goes from six to seven years.

Aryan Oswal: And sir, can you throw some light on the status of capacity expansion?

Mahendra Nahata: Yes, capacity expansion is continuing for fiber. In Hyderabad the plant is under construction. Civil construction has already happened. Equipment installation is under progress and for fiber optic cable also it continues in each of the plants, of course, but we are also now working on as you have seen our announcement to produce internationally also. In Poland, for example,

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where roughly about 3.5

million kilometers of fiber optic cable capacity we are looking to create. So that is a separate decision, but yes it is under progress.

Aryan Oswal: Okay sir. Thank you so much. That is all from my side.

Mahendra Nahata: Thank you.

Moderator: Thank you. The next question is from the line of Ketan Athavale from Robo Capital. Please go ahead.

Ketan Athavale: Hello sir. Thank you for the opportunity. Sir out of our total BharatNet tender of INR60,000 crores, INR65,000 crores, how much will be the OFC component, how much will be EPC component?

Mahendra Nahata: OFC component we are expecting a total it is being under some bit of a revision by government itself, but assuming certain numbers we expect about something like 10 lakh kilometers of optical fiber cable. So if you take a price of roughly about INR50,000 per kilometer so it's roughly about INR5,000 crores to INR6,000 crores of fiber optic cable opportunity . Double that amount would be EPC part of that, double or maybe a little more than that. And then there will be equipment like routers and optical equipment and all those kind of things. They would also be there.

So for cable itself I would say roughly about INR5,000 crores to INR6,000 crores. Similarly about the routers, routers and those kind of equipment would be similar numbers and then the EPC portion. And also certain equipment or products to be outsourced from other suppliers like ducts which we don't manufacture really sourcing from others, they will also have INR5,000 crores to INR6,000 crores. So INR60,000 crores is roughly divided in these kind of numbers roughly.

Ketan Athavale: And I just wanted to confirm you expect 25% to 30% revenue growth this year. Is that correct?

Mahendra Nahata: Yes. We very much expect that. That is our best estimate at this point of time looking at the products we have and the market opportunities we have, tenders we have participated and orders we expect.

Ketan Athavale: And sir can you have revenue guidance for the next two years as well so FY'26, 27?

Mahendra Nahata: So I will not give any guidance, but I can say the way we are planning our products and the way we are planning diversification into defense and those areas, our products have now shown a lot of maturity. We expect that every year we should be able to grow by some 20% to 30%.

In three years' timeframe our telecom equipment business should be around INR3,000 crores.

Similar number would be the fiber optic cables. Similar number would be the EPC business.

So this is the kind of best estimation we have looking at the market and our product portfolio and the market opportunities we see in front of us.

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Ketan Athavale: And how much margin are we targeting?

Mahendra Nahata: As generally as I said profit before tax is 8% to 10%. But now if you ask me any guidance, there is no guidance. This is our best expectation.

Ketan Athavale: And just one last thing. So what is our current capacity and how much are we expanding?

Mahendra Nahata: Current capacity for fiber is about 14 million fiber kilometers which is getting into 33.9 million. Cable was 25 million which is getting into 35 million.

Ketan Athavale: Okay sure. Thank you so much for answering my questions.

Mahendra Nahata: Thank you.

Moderator: Thank you, sir. The next question is from the line of Hardik Vyas from ET. Please go ahead.

Hardik Vyas: Good evening, sir. I had a couple of questions. The first one being sir what is the status of the two orders that we had of INR623 crores on the FWA and the second one of INR1,100 odd crores? What is the execution in this quarter?

Mahendra Nahata: What was the second question? One is the FWA. What was the second one?

Hardik Vyas: The other order that we had received of INR1,100 odd crores, what is the status of execution on that?

Mahendra Nahata: Okay. I can tell you. The FWA order

I expect the supply to start either end of this month or

may not be end of this month then August itself. The product is under final stage of some software changes as desired by the customer, some small application related changes which is being done right now. Production line has already been set up which has been approved by the customers and we expect the bulk production to start maybe another one or two weeks maybe two weeks that is our best expectation, in two weeks bulk production will be starting and we will be commencing our supplies from month of August itself.

Hardik Vyas: So some part of this quarter will see some revenue coming in from that FWA order?

Mahendra Nahata: Absolutely, we will see.

Hardik Vyas: Okay. And we have not had any execution on the FWA order in the June quarter that we have seen?

Mahendra Nahata: Say that again?

Hardik Vyas: In the June quarter we have not seen anything from the FWA coming?

Mahendra Nahata: No, nothing in June quarter. That's why I very clearly told you that we will start mass production from July end or August beginning and next two weeks' time I expect the bulk production to start.

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Hardik Vyas: Okay. And do we expect that to get over in this financial year or will it be stretched?

Mahendra Nahata: Our best effort is to supply the entire quantity before the end of the financial year so we can get more orders.

Hardik Vyas: Okay sir. And out of the INR400 crores of telecom equipment orders that we have had, could you split it up in Wi-Fi and other telecom equipment products?

Mahendra Nahata: I don't have exact split available now. If you send your query in writing I will give you the exact bifurcation of this number. But yes there are orders I can tell you which are the items we have order. Orders are for Wi-Fi access points. A lot of orders for UBR. As I said UBR has got a lot of traction. We have developed such unique applications, use cases for this UBR that all the operators are preferring it.

BSNL earlier had no plan to install UBR for backhauling their 4G traffic. But once they saw commercial benefit and reduced capex and opex, they are now demanding more UBRs and much earlier than what they had asked us to supply. Our supply program was let us say by November, they have taken those supply by June, July itself and they want more. So we can even see that there is requirement for UBR, there is requirement for optical equipment, there is requirement for Wi-Fi access points. Those all orders are there.

Hardik Vyas: Okay. Sir, my second question is on the services. We have seen healthy margins of roughly 20% range for our services orders. So is this a sustainable kind of margin or because we have booked our cost in the previous quarter?

Mahendra Nahata: No. Look, there's no booking of anything. This happens as they accrue. So this may vary depending upon contract to contract. Some cases where there is a contract with highly manpower intensive or product intensive, in some cases margin is much higher. In some cases margin is just 8% to 10%. Some cases it is 20%, 25%. Depending upon contract to contract it varies.

But on a longer term if you ask me that what's going to be the overall margin on turnkey contract I will keep it around 10%. And it may change. Sometimes it will be more, sometimes it will be less, but generally you should take it at PBT of 10%.

Hardik Vyas: Okay. And sir I think we had stopped taking any lower margin orders on the services side.

Mahendra Nahata: You are absolutely right. We don't take any lower margin orders of EPC. We have left away a number of such contracts because we are not interested in wasting our resources, manpower, trained manpower as well as working capital on contracts which are of a lower margin.

Hardik Vyas: Okay. Sir, my last question. Why are our product margins so less? I think they are in

mid -

single digits, and what happened to our consolidated numbers? I think that is because of the

optic fiber cable business being a little slow, because I think on the consol basis, we are a little less EBIT than the standalone?

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Mahendra Nahat a: Look, basically, I tell you, the lower margin in the product business, in some cases it is mostly because it happens product to product and time to time depending upon competition.

Sometimes strategically you like to take orders in the beginning of a particular product at a lower margin also because of strategic reasons.

So it differs from product to product and time to time. There is no long-term particular margin you can predict that this would be the margin. As I said, generally, you can say the 8% to 10%, and margin has been lower in OFC business definitively because of the reduced revenue and also decrease in the prices of the products globally. Because of less demand, the prices will go down. So there has been lower margin on OFC business also, which I said is a temporary phase. We expect it to improve in next two quarters.

Hardik Vyas: Okay. And are export...

Moderator: Sorry to interrupt, Mr. Hardik...

Hardik Vyas: Last one. Export thing is INR1, 500 crores revenue target this year?

Mahendra Nahat a: No, it would not happen this year because, as I said, the global demand has gone down. So it will be considerably lower. And overall revenue from fiber optic cable business is expected in India and abroad both about INR2,000 crores, what we had about INR2,800 crores 2 years back because of the lower revenue from the global market.

But as I said, we have compensated it by increasing the passive connectivity solution market, which is part of optical fiber cable business only and we have also compensated it by increasing our revenue from the equipment market substantially, so INR140 crores to INR2,000 crores.

I think the Company's working management, my product heads and business heads deserve a great appreciation for diversifying the product range, which in spite of lower revenue in OFC, because of global circumstances, one of the major product areas, still the Company will grow its revenue and profitability both in the current year.

Hardik Vyas: Okay, that's all from my side. Thank you so much.

Moderator: Thank you. The next question is from the line of Hitesh K. Patil from Krish Associates. Please go ahead.

Hitesh K. Patil: Thank you, sir for giving me opportunity to ask the question. Sir, my question is regarding that in the last month the European Union has exempted HFCL from any kind of anti-dumping duties. And HFCL is the only company from the India that has been given this exemption. So how can you capitalize on these things?

Mahendra Nahata: This is a very good question. HFCL and HTL, both companies, both are our companies only, they have been exempted from anti-dumping duty by European Commission. There was a very

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extensive inquiry from European Commission. I think hundreds of pages of documentation we had to send them.

Then their teams came down to India from European Commission sat in our factories in Hyderabad for maybe 10 days, around 7 to 10 days in HTL in Chennai, examined every piece of paper we had sent them by going into our SAP system to see that every information we have given is authentic and correct. Documents were verified, including suppliers, their invoices, and our invoices to the customers.

Finally, they came to the conclusion that HFCL has followed absolutely fair trade practices, HFCL and HTL both, and they have not dumped any material into European market, which means we have not sold at a lower price than what we are selling in our local market. And also, we have not sold below cost. And therefore, there cannot be any anti-dumping duty on us. Where

as on every other Indian manufacturer, anti-dumping duty has been imposed from 8% to 11%. So this opens possibility for us for a better competitive price to that percentages, as has been imposed on others, in the European market, in competing with our Indian competitors and also Chinese competitors who already faced a much higher anti-dumping duty in the European market.

Hitesh K. Patil: Sir, my question is still that in the monetary term, how much of the benefits can we expect from the revenue from that European Union because of this anti-dumping exemption benefit?

Mahendra Nahata: This question has two aspects. Benefit, one, comes from competition. Second, it is the market

position which is also very important, that what is the kind of consumption is there in fiber optic cable. Right now, there is a slowdown in the market on an overall basis. So it will be very difficult to tell you in a quantitative term that how much would be the benefit in the current fiscal year or the next fiscal year.

But yes, at least I can expect increase in profitability to the extent the anti-dumping duty has been imposed on others. Maybe some competitiveness, half of the percentage of that 10% or 11% goes in increased competitiveness, and half of it comes as a profitability. So it will all depend how much is the demand in a particular year, but it will result in increase in profitability and competitiveness both.

Hitesh K. Patil: Okay. And my last question is about that service PLI scheme announced by the government. Sir, how much of the money will we be getting from that PLI and from when it will be started, tentative dates or amount.

Mahendra Nahata: The total is about INR650 crores we are eligible for. We will start getting it from the current financial year itself because ours is not PLI, but DLI. It is a de sign-linked incentive, which is 1% higher than the PLI. Ours is 6% whereas others is 5% on average. So we will start getting it from this year itself.

Hitesh K. Patil: Okay. Thanks a lot, sir, for your reply, sir.

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Mahendra Nahata: Thank you.

Moderator: Thank you, sir. The next question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Yes. Namashka Nahataji and thank you for the opportunity. Sir, firstly, out of the total revenue from the telecom product of INR615 crores, what would be the contribution from OFC, sir?

Mahendra Nahata: Yes, VR, can you answer this? Where this INR615 crores number is coming up or.

Vijay Jain: Around 44% is coming from optic fiber cable and related businesses and 56% from telecom and networking products.

Saket Kapoor: So Jain sir, the lower margins are attributed because of this higher percentage or even a competitively higher percentage of OFC, that is the reason why we have

Vijay Jain: No, margins on overall basis, it looks low because there has been extremely low revenue out of this optic fiber cable business. So that has a lot of pressure on the margin. So capacity utilization is just 45%, 50% this quarter. So that is impacting the overall margin of this product segment.

Saket Kapoor: In the OFC segment, we have 45% to 50% total capacity utilization levels for the first quarter?

Vijay Jain: Yes, roughly 45%.

Mahendra Nahata: Yes, 45%, and as I said, it is because of globally the market has slowed down. And it is not only HFCL. It will be for every Indian company or every global company, this is the kind of slowdown is there. And looking at this slowdown, what we have done, as I said, one, increased our business on passive connectivity solutions, which will have multifold increase this year and multifold increase in years to come, at the same point of time, developing products for data centers and concentrating on data center market.

So what we are losing in optical fiber cable revenue can be compensated by these two areas. Optical

fiber cable revenue from telcos to be compensated from passive connectivity solutions, and data centers. But in any case, the demand for optical fiber cable from telcos is also expected to come back to its original situation within by next 2 quarters, because spending, which has gone down because of various reasons as I explained, possibly would pick up by the beginning of the calendar year '25. It is very well expected.

All over the world, it will pick up because of higher FTTH deployment, higher disbursement of Government subsidies. US alone, the Government subsidies for fiber optic cable to home is \$61 billion, which has slowed down because of the current political situation, elections and all that, which is expected to again pick up from the first quarter of the new calendar year.

So demand will pick up for fiber optic cable at this time and our revenue from that will also increase. Capacity utilization will increase, but also at the same point of time, our data center

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product revenue and passive connectivity solution revenue will also go up. So in long-term, this diversification and increase in product range is going to be highly beneficial to the Company.

Saket Kapoor: Sir, as you are harping on the point for passive connectivity solution and data center addressable market, what are our products which will be catering to these two segments sir, if

you could elaborate?

Mahendra Nahata: For passive connectivity solutions, all products which are required to install fiber optic cable, either underground or over ground, all products, except the duct. Duct we don't manufacture.

Distribution boxes, couplers, splitters, joint in boxes, all these kind of products which are required for installation of fiber optic cable, number one.

When I talk of data centers, again, this kind of installation materials which are of a different level of quality because of high-quality requirements of data centers and high capacity fiber optic cables. In telcos, you mostly require fiber optic cables starting from two fiber going up to 288 fiber mostly. Nowadays, some demand is there for higher count of fibers also for FTTH solutions by large telcos internationally. For India, mostly it is limited up to 288 fibers.

But in data centers, the demand is for more than 1,700 fiber per cable in each cable going up to 3,400, 3,800 fibers in the same cable. So these are very high technology and high count of fibers in the same cable, which we are developing. From 1,764 fiber cable we have already developed. Some 3,400 fiber cable is under development and under trial also. So these would be the equipment for data centers.

But again, as I said, this would be used by some telcos also. So telcos as well as data centers would use this. PCS connectivity solutions there will be a different grade of quality for data centers than the telcos which use for underground and over ground project.

Moderator: Sorry to interrupt, Mr. Kapoor. We request that you return to the question queue for follow-up question as there are several participants waiting for their turn. The next question is from the line of Purva Shah from Perfect Research. Please go ahead.

Purva Shah: Congratulation for the good set of numbers, sir. I just had two questions. One, looking at the numbers for the quarter, we see that the tax rates have fallen. What is the reason behind that, sir?

Mahendra Nahata: Our CFO would like to explain that. May be Mr. Vijay Jain, you can explain.

Vijay Jain: Please repeat the question

Purva Shah: Tax rate has fallen quarter-over-quarter, sir. What could be the reason behind that?

Vijay Jain: So we had some long-term carried forward losses in past. And because of this, some notional income on some of the investments which got listed recently, so we had to create that deferred tax asset. So that is why it is bit low relatively.

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Purva Shah: Okay. And my second question was about the Poland capex that we are doing. What could be the completion guideline for that?

Mahendra Nahata: Look, we are right now working on acquisition of land and all that which is in advanced stage. The total capex anticipated from that facility for about 3.5 million fiber kilometers equivalent cable is about INR 145 crores.

Purva Shah: Okay. Sir, I wanted a time line about when could that capex be actually commercialized?

Mahendra Nahata: Project, we would expect this to be commercialized in within the calendar year '25.

Purva Shah: So in about six, seven months it could be commercialized and...?

Mahendra Nahata: No, a little more than that. I would say a little more than that, nine months, something like that.

Purva Shah: Thank you, sir. All the best for the future.

Mahendra Nahata: Thank you.

Moderator: Thank you, sir. The next question is from the line of Dipesh Sancheti from Manya Finance. Please go ahead.

Dipesh Sancheti: Yes. Most of my questions have been answered but I just had a query regarding this recently what happened with Cloudstrike all over the world. Do we see an opportunity here with our networking products?

Mahendra Nahata: No. This is a different thing which happened. Unfortunately, there is no opportunity lost or opportunity gained by us because of this, because this is a failure of a cloud system, which was Microsoft, as we all know. Either there is no loss of opportunity or no gain of opportunity because of this for us. Unfortunately, which happened.

I was in U.S. I had to go to some place. Flight just didn't go. There are thousands and thousands of people in the airport. No place even to put your foot. So you had all to come back. This is one thing which tells you how good technologies are but how bad technologies

can be. One person acting in one company got down whole world on the knees. Can you imagine that? But no impact on us either way.

Dipesh Sancheti: Okay. So I had just this question. All the very best for the future. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question. I would like to hand the conference over to management for closing comments.

Mahendra Nahata: Should I give my closing comments if there are no questions?

Moderator: Yes, sir.

Mahendra Nahata: Good. So friends, I have outlined our performance of quarter one, our expectation for future.

Most important point I would again try to reemphasize to all of you that the Company is very optimistic about its growth in near term and longer term. And the basic reason of that is we
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have concentrated on developing products ourselves with our own IPRs, which results in lower cost.

Though it needs a lot of effort, a lot of hard work, but with our own IPR it's not only the lower cost, we can modify the products as required by the customer. As I just now said before a few minutes, fixed wireless access customer wanted some modifications to be done to suit their installation practices and applications, we have been able to do that. If I was taking technology from somebody else it would not have been possible to make sure of that.

Now, most important point is that we have created a diversified product portfolio within our product area not that we have gone into products which are not related to us. All are either telecom or like different electronic products. Now, in fiber optic cable business, interval slowdown, we have taken steps to go into passive connectivity solution and data centers. We have created good product range of defence products, good product range of telecom products. So with this kind of a diversified product range, we are insulated from any downtrend in any particular segment. Downtrends can happen on any of the segments at any point of time. That's

a phenomenon in every business. But the good part is that management should be able to foresee all that and take steps to broaden the product range so that any downtrend in any particular segment does not impact the overall performance of the Company and the growth keeps on happening. So those are the steps we have taken in the last couple of years and now they are showing results.

As an example, INR143 crores of revenue last year in telecom products is going to be INR2,000 crores this year. So in spite of slowdown in cable market, our revenue performance would not be impacted. So these are the steps we have taken to make sure that our growth is sustainable as well as it's rather profitability and revenue both increasing. Now another important point is the defense products. We spent a lot of efforts and money also to create a defense product portfolio, which is now showing results. I may be able to give some good news very soon in terms of acquisition of orders for defense products.

So what I'm trying to say, we look towards future of very good optimist manner because of diversified product portfolio, because of increased product range, our R&D and increase in customer base indigenously and geographically worldwide. Moreover, projects like BharatNet Phase III is also expected to give us much increased revenue in the next few years. Though that tender is yet to be bid and finalized but we expect good opportunity from that also. So good future lies for the Company as the management best expects in near future and longer term. And we will keep on our focus on R&D, development of a diversified product portfolio within our range of products so that revenue and profitability growth both are sustained. Thank you very much, friends and see you all again next quarter. Thank you very much.

Moderator: On behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Mahendra Nahata: Thank you.

Call: Oct 2024

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R

E: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the "SEBI Listing Regulations").

S

Subject: Transcript of Conference Call on the Un-audited Financial Results of the Company for the 2nd Quarter and Half Year ended September 30, 2024, of the Financial Year 2024- 25.

D

Dear Sir(s)/ Madam,

T

This is further to our earlier announcement dated October 14 and October 15, 2024.

I

In terms of Regulation 30 read with Para A of Part A of Schedule III to the SEBI Listing Regulations, we hereby submit Transcript of the Conference Call held on October 22, 2024, on the Un-audited Financial Results of the Company for the 2nd Quarter and Half Year ended September 30, 2024 of the Financial Year 2024 -25, which were considered and approved by the Board of Directors of the Company, at its meeting held on October 21, 2024.

The a

foresaid Transcript will also be available on the Company's website at <https://www.hfcl.com/>.

Y

You are requested to take the above information on records and disseminate the same on your respective websites.

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Thanking you.

Y

Yours faithfully,

For HFCL Limited

(Manoj Baid)

President & Company Secretary

E

Encl: Copy of Transcript.

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"HFCL Limited

Q2 FY '25 Earnings Conference Call"

October 22, 2024

MANAGEMENT : MR. MAHENDRA NAHATA – PROMOTER AND
MANAGING DIRECTOR

MR. VIJAY RAJ JAIN – CHIEF FINANCIAL OFFICER

MR. MANOJ BAID – COMPANY SECRETARY

MR. AMIT AGARWAL – HEAD, INVESTOR RELATIONS

ANALYST : MR. MOHIT LOHIA – ICICI SECURITIES LIMITED

HFCL Limited

October 22, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to HFCL Q2 and H1 FY '25 Earnings Conference Call hosted by ICICI Securities. Before we begin, I would also like to read the disclaimer statement. Statements made during this call may be forward-looking in nature based on management's current beliefs and expectations. They must be viewed in relation to the risk that HFCL's business faces that could cause its future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements. Investors are therefore requested to check the information independently before making any investment or other decision.

As a reminder, all the participant's lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference over to Mr. Mohit Lohia from ICICI Securities. Thank you, and over to you, sir.

Mohit Lohia: Yes. Thank you, Palak. Hi, good afternoon, everyone. Thank you for joining us today for Q2 and H1 FY '25 earnings call of HFCL Limited. First of all, I would like to thank management for providing this opportunity to host this call. From the management side, we have Mr. Mahendra Nahata, Promoter and Managing Director; Mr. Vijay Raj Jain, Chief Financial Officer; Mr. Manoj Baid, Company Secretary; and Mr. Amit Agarwal, Head of Investor Relations.

So, without further delay, I would now hand over the call to Mr. Nahata for opening remarks. Thank you, and over to you, sir.

Mahendra Nahata: Good evening Ladies and Gentlemen. I am delighted to welcome you all to HFCL's earnings call for the second quarter and half year of FY25. I trust that you got a chance to go through our financial results, press release and earnings presentation, which are available on the website of the Company and also on the website of stock exchanges.

India's digital infrastructure is advancing rapidly, in order to support the Country's accelerated development aspirations, with the deployment of 50 lakh km of optic fiber, 70% tower fiberization and village connectivity. The acceleration in 5G monetization, the initial thrust of 6G globally, Industry 4.0, hyper-scaling of data centers, increasing smart phone adoption and BharatNet Phase -III are some growth drivers of the Indian telecom industry. Artificial Intelligence and Machine Learning are reshaping the telecom industry, with GSMA estimating these to be a \$680 billion opportunity over the next 15-20 years. Additionally, implementation of Fiber-to-the-Home globally and the PLI scheme, alongside initiatives of promoting semiconductor manufacturing in India will fuel long term growth and encourage indigenous manufacturing.

We recently participated in the annual India Mobile Congress 2024 held in New Delhi, a premier exhibition in the telecom space. HFCL launched two revolutionary Unlicensed Band

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Radio products at IMC. These include the 1 Gbps Small-Form Factor UBR and the 2 Gbps Point-to-Multipoint UBR, designed to meet the growing data demands of modern networks. With over 500,000 UBR deployments across India, the UK, Europe, the Middle East, and Africa, these Made-in-India solutions deliver fiber-like speeds at a fraction of the cost of conventional wireless backhauling methods. With power efficiency and significant CAPEX and OPEX savings, our new UBRs, paired with a unified Element Management System, represent a leap forward in last-mile connectivity, reaffirming HFCL's leadership in 4G/5G wireless backhauling solutions. With an aim to continue our market leadership in this space, we

are making high technical advancements in our new range of products while offering cost effectiveness to our customers.

It gives me great pleasure to inform you that HFCL has successfully deployed one of the world's largest advanced Broadband Network Gateways with Control and User Plane Separation architecture for BSNL. This enhances network efficiency, delivering superior high-speed data for Fiber-to-the-Home and enterprise applications, significantly boosting capacity and reliability. Additionally, this deployment will serve as the Internet Gateway for the

BharatNet project, supporting 2.5 lakh Gram Panchayats. As a trusted BSNL partner, we look forward to further collaborations, with HFCL playing a key role in BharatNet Phase -III. India's defence sector holds a lucrative opportunity of \$138 billion over next decade amid the escalating demand for defence equipment, technologies and services, offering significant prospects for companies engaged in defence technology development and manufacturing. The quarter in review has been crucial for HFCL in demonstrating its defence capabilities and entering strategic partnerships with global players. One such significant development that underscores HFCL's technical prowess and commitment is that the Company has been selected to develop and supply critical sub-systems for General Atomics Aeronautical Systems Incorporated's advanced Unmanned Aircraft Systems. This partnership marks a milestone in HFCL's journey, as it becomes a key contributor to one of the world's most sophisticated unmanned aerial vehicles. Further, in line with the Atmanirbhar Bharat Abhiyaan, HFCL has indigenously designed and developed various cutting edge defence technologies including Electronic Fuzes, Ti Cores for Thermal Sights, Thermal Weapon Sights for light machine guns and assault rifles, Ground and Coastal Surveillance Radars for various range and applications, High Capacity Radio Relays, among others. The geopolitical situation, presents India with new opportunities to expand its role in the global defense industry. With strong R&D capabilities, HFCL is positioned to tap into both domestic and international defense markets. As mentioned in last call, we have successfully initiated the field trial of our several variants of radars during Q2 and expect to make it commercially available from Q4 FY25 onwards. We have also been shortlisted to participate in the tender for modernization of Infantry Combat Vehicles of Indian Army.

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The broadband industry is gearing up for 2025 and we anticipate a lot of fiber deployments. We anticipate an acceleration in FTTH demand in the USA post the elections and the new government's likely focus on Build America, Buy America and Broadband Equity, Access, and Deployment programs. To meet this rising demand, we specifically designed and developed a product line for the US market consisting of high-density single-jacket single-armor Intermittently Bonded Ribbon cables with 144- 1728 fiber, for which we bagged the ISE Innovators Award. HFCL also expanded its award-winning Nano Thin product line of loose tube microcables of 10.6mm diameter consisting of 864 fiber. With these innovative cable solutions, HFCL will cater to changing demands for network deployment driven by growth in data centers, metro networks and FTTx in North America. With the UK being another key global market for HFCL, we showcased our comprehensive range of sustainable products. These offerings will enable UK operators to connect customers more quickly, cost-effectively and sustainably. These new additions will further expand HFCL's extensive optical fiber solution portfolio, paving the way for advanced fiber infrastructure and faster broadband rollouts in the UK, targeting Building Digital UK initiative. Further, in order to meet the growing global demand and increase revenue through

expansion in international markets, HFCL B.V., a wholly owned subsidiary of HFCL Limited in the Netherlands, has established a wholly owned subsidiary company namely HFCL UK Limited in the UK. Incorporating a company in the UK, will enable the Company to cater to the demand in the UK for its products and expand its business operations overseas. This move aligns with the Company's strategy to increase revenue from export markets, augmenting its presence and fostering growth opportunities. We are targeting a significant increase in export revenue from our optic fiber segment, aiming for up to 70% of revenue to come from international markets in next three years. Additionally, we plan for 40-50% of our telecom segment revenue to be export-driven within the next three years.

The European Commission vide its verdict given on October 11, 2024 has exempted us from definitive anti-dumping duties on OFC, by which we have gained a competitive edge in the Europe. We are now focusing on expanding our fiber and telecom business in the North American market in a major way.

Apart from our cable solutions, HFCL has emerged as an end-to-end solution provider by increasing its business and market share from Passive Connectivity Solutions for optical fiber cable networks. On the back of its massive growth potential, HFCL expects to grow passive components business to INR 750 crores in next 2-3 years.

BharatNet presents a significant opportunity for us. BSNL has already floated a tender of approx ₹65,000 crore for capital expenditure over the next three years, followed by an expected additional ₹40,000 crore for operations and maintenance over 10 years. Funded by the

accessories, telecom and networking products, system integration services and O&M annuity revenue. HFCL's integrated manufacturing capabilities, extensive experience in laying over 2 lakh kilometers of optical fiber cables and end-to-end solutions, positions it well to secure a substantial share of this opportunity. HFCL has already submitted bids, with the technical evaluation in advance stage.

We expect the fiber market to revive from the first quarter of the fiscal 2025-26. We are seeing signs of recovery as more tenders and enquiries are coming up.

Our total order book now stands at ~ INR 6151 crores as on Q2 of FY25.

Let me now brief you on the key performance metrics of Q2 FY25:

- Revenue for Q2 FY25 stood at INR 1094 Crores as compared to INR 1158 Crores in Q1 FY25 and INR 1111 Crores in Q2 FY24
- EBITDA for the quarter stood at INR 172 Crores as compared to INR 185 Crores in Q1 FY25 and INR 150 Crores in Q2 FY24; EBITDA margin stands at 15.71% for Q2 FY25 as compared to 16% for Q1 FY25 and it stood at 13.47% in Q2 FY24;
- For Q2 FY25, profit after tax stands at INR 73 Crores as compared to INR 111 Crores of Q1 FY25 and INR 70 Crores in Q2 FY24; PAT margin stands at 6.71% in Q2 FY25 as compared to 9.55% in Q1 FY25 and 6.31% in Q2 FY24
- Segment revenue for telecom products during the quarter stood at 46.46 % as compared to 61.42% in Q1 FY25 and 42.63% in Q2 FY24

In conclusion, India stands at the brink of transformation with the rapid rise of Artificial Intelligence and other cutting-edge technologies. This presents a significant opportunity for organizations like ours to innovate and drive this change. We remain committed to R&D and expanding our product portfolio across telecom, defense, optical fiber cable and passive connectivity solutions to capitalize on future opportunities. Our growth will be powered by a strong order book of with robust order pipeline, execution capabilities, capacity expansion, backward integration, customer base growth and entry into new markets

—all driving revenue

growth, margin improvement and efficient use of working capital.

Thank you, for your continued support.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Chandan Mishra, an Individual Investor. Please go ahead.

Chandan Mishra : Sir my question is related to execution of order. As we have seen very less order in quarter 2 compared to last year, whereas we have large orders, that is INR 6,151 crores. First question is what is completion for this order? And secondly, sir, you have also guided for 25% to 30% for the next few years during last con-call. So, what causes this less execution in this quarter? And can we expect this to ramp up in next quarter?

Mahendra Nahata: Mr. Mishra, I could not understand your questions properly. Would you please repeat them?

Chandan Mishra: Sir, my first question is, we have order book of INR 6,151 crores, what is completion time for this sir?

Mahendra Nahata: Okay.

Chandan Mishra: And the second question is sir during last con-call, you have guided revenue growth of 25% to 30% for the next few years. So, what causes us this less execution in quarter 2? And can we expect this to ramp up in next quarter?

Mahendra Nahata: Yes, Mr. Mishra, the INR 6,151 crores order out of which roughly about INR 1,500 crores to INR 1,800 crores of order is O&M, which would continue for the next 5 or 6 years. Rest orders which are roughly about more than INR 4,000 crores have to be executed in next, let us say, 12 to 18 months' time frame.

And as far as growth is concerned, we are very sure about the overall growth of the Company. Quarter-to-quarter, it may differ because of the market situation. For example, fiber optic cable market has been very depressed worldwide since last about 3 quarters. So, you would see the Fiber Optic Cable revenue of every company in the world has gone down drastically.

So we cannot be different than the worldwide situation. So Fiber Optic Cable demand has gone down and revenue has gone down from that. But now we are seeing that the fiber optic cable market is coming up again in India and abroad. So the growth will come back into the market and the Company also. So

overall, I remain really very bullish with the growth opportunities not only from telecom, but also from defence sector, for which we have got several products which are under trial, which are getting approved one by one.

And once commercial marketing of this starts, which we expect to start from either end of this

financial year or beginning of the next financial year, that revenue will also come up. We are very confident we have a strong belief in the management, the growth of the Company would be on track, except sometimes like fiber optic cable situation comes up, where the growth of that particular segment goes down. But as I said, this is also coming back now. And from the next quarter onwards, we see a Fiber Optic Cable market is going to come back to the better situation than what it is now.

Chandan Mishra: Sir, in the last conference call, you have guided for 25% to 30% growth in revenue, is that excluding from...

Mahendra Nahata: In 3 years' time frame, we should reach to something like INR 10,000 crores of revenue. I quite believe that we should be able to do that. As far as the current year is concerned, we are on track of our revenue projection except in Fiber Optic Cable business which helps in the downtrend which was not expected to that level of downtrend in the Fiber Optic Cable market by any company in the world. So as I said, we cannot be different than the other companies in the world. But again, this market is now improving. So as far as our growth is concerned, except Fiber Optic Cable

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market, which is the market situation worldwide, we are on track to reach to the numbers

which we have thought of.

Chandan Mishra: Sir, that means this year will be like subdued revenue due to optical cable slowdown?

Mahendra Nahata: No, I am not saying it would be subdued. In the case of Optical Fiber Cable it may be subdued. Rest, we are not saying it is going to be subdued.

Moderator: The next question is from the line of Manish Ostwal from Nirmal Bang Securities Private Limited.

Manish Ostwal: My question on both the BharatNet and BSNL opportunity in the domestic market as well as the international market, you said in your initial remarks the inquiry and pipeline is very, very strong. So first, what is the size of opportunity both with respect to BSNL as well as BharatNet for us in the next 2 to 3 years? And how much order visibility we have on the domestic market?

And secondly, international side, we have a lot of capability built over the time. And now when we can see a meaningful order inflow for us to have a sizable revenue from international market at a consolidated level?

Mahendra Nahata: Mr. Ostwal, thank you very much. Very good question. Fiber optic cable market up to last year, it was doing very well. Then all of a sudden because people have built up the stocks, operators and everybody and offtake could not take place as much as expected. So finishing of stock was what was going on.

Now what has happened, we have started seeing that the stocks have gone and new opportunities have come up and the operators are coming up with the new tenders, new inquiries. Now as far as opportunity size is concerned, BharatNet itself presents an opportunity of roughly about the present tender. And then some more tenders are to come from the different state governments, which are implementing the BharatNet Phase III by themselves rather than through BSNL. Total demand, I expect is about going to be 20 lakh fiber kilometers.

Now more or less, you multiply it by INR 1,000 per fiber kilometre. So that is going to be the opportunity for Fiber Optic Cable in the next 3 years, just BharatNet alone.

Apart from that, for the private operators, I see other opportunity on a yearly basis of roughly about, I would say, INR 700 crores to INR 800 crores of private operators' opportunity in the Indian market itself. So, this is as far as Indian market opportunities is concerned.

Now coming to international market opportunities. Total market opportunity, I'm excluding China from this because China will build its own demand, and it doesn't come out. The total market opportunity is roughly about 350 million fiber kilometers, which had gone down by some 20% - 30% last year, which is going to come back to roughly about 350 million fiber kilometers.

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So that's going to be the opportunity for the international market. Again, roughly you multiply it by INR 1,000 per kilometre of fiber, that's going to be the total market opportunity for fiber optic cable. As far as HFCL is concerned, we are concentrating, one, on Indian market where we have almost 50% market share.

And with BharatNet coming and the private operators revising their fiber optic cable requirement, I believe that should be a strong next year should be a strong year for us in the fiber optic cable business, which this year was not so strong first 2 quarters because of less demand worldwide.

As far as international market is concerned, our concentration is in European market where we have got good opportunity because we have not been imposed countervailing duty as others have been, Chinese suppliers have been. So, we have a competitive edge. And now we are concentrating quite a lot on the US market also.

The US market is also coming up with a very big demand for Fiber to the Home. The government incentives being given. We are concentrating quite a bit on the US market. So, what we see there

at starting from the fourth quarter of this financial year, this market of fiber optic cable would pick up significantly and will come back more or less to the old levels which it was.

Manish Ostwal: Okay. Secondly, sir, on the margin side, since you indicated the product revenue will increase over the medium term. So current margin, which is H1 number is 15.86%, so where do you see the medium-term margin settle down or even for the full year FY'25, what is our guidance on the margin side?

Mahendra Nahata: I think, Manish, your voice was muffled in between. I just -- please say -- what did you say? Margin what? Voice was the muffled, can you just bring microphone near to you?

Manish Ostwal: Yes, yes. So, my question, sir, in the H1 FY'25, we have reported an EBITDA margin of 15.86%. My question is since we are increasing our revenue from product side over the medium term, so that will have an impact on the margin. So where will the margins settle down over the medium term, that is the medium-term question. And the short-term question is, for this particular financial year, what is the margin guidance at a consolidated level?

Mahendra Nahata: Look, I believe that the margin in short term is concerned, I think it should remain same as it was there in the first 2 quarters. It should not change much. On the medium term, again, as the product revenue increases, as we have been trying to increase the product revenue, margin should remain -- become a little bit better, a little bit better only.

And another point, the backward integration, which we are doing, expanding our capacity in fiber that should also help us in increasing our margin. Right now, we buy a lot of fiber from outside. Once you do backward integration project which is under implementation is complete, that should also help us in enhancing our margins.

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Manish Ostwal: And I believe we have submitted bids in BharatNet. So, when those bids will be out there, any timeline or any indication?

Mahendra Nahata: Sir, those bids are being evaluated. And as I understand, as much as we understand from what is happening, they are in advanced stage of technical evaluation. Technical evaluation, what again, this is government, I can only express what I understand or what my best of my opinion is, technical evaluation should get completed mid of November, sometime mid of November, looks like.

It may get delayed by a few days here, there because the government processes we all understand. And bids should be opened thereafter. And if all going well, contracts should be awarded sometimes financial evaluation will also take time, sometime beginning of next quarter.

Moderator: The next question is from the line of Akash Rampuria from Dron Capital. Please go ahead, sir.

Akash Rampuria: So, I just wanted to ask what are the signs of revival for fiber optic cable? And what is the current capacity utilization?

Mahendra Nahata: What did you say? What are the signs of revival of fiber optical business. That's what the question, Mr. Rampuria?

Akash Rampuria: Yes, yes.

Mahendra Nahata: Sign is that more inquiries are coming. More RFPs are coming from international customers. From local customers also more inquiries have come, and we have seen them giving higher projections for their requirement than what we were getting from them in the last quarter or previous quarter before that. So all that indicates once the customers are indicating that the requirement would be so much more than the last quarter. Some of my customers who did not purchase even a single fiber kilometre of fiber cable in the last quarter are now coming up with a very reasonably good demand.

So all that put together when customers come up with the projections that this is going to be our demand in the next 2 quarters or when we see that more RFPs or tenders coming from the international

customers, that shows that the requirements are there, which was not happening for the last two quarters, such kind of demand opportunities or tenders or RFPs were not there, have started coming, which is a very heartening sign, which means now the requirement has come up.

And when we go to the international market, talk to the various customers, everybody is saying

that, yes, we are now going to start purchasing, will start purchasing from the next quarter or quarter next to that. So those things do indicate that the demand is increasing.
Akash Rampuria: And sir, what is the current capacity utilization and what is the current price of fiber optic cable right now?

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Mahendra Nahata: Fiber Optic Cable business, the current capacity utilisation is about 45%, and which we expect to improve from the next quarter, as I said.

Akash Rampuria: What will be the estimates?

Mahendra Nahata: Well, I cannot say that how much improvement would be there exactly, but I think this 45% should easily go up to 80% or so, or may be more also possibly, but I can't commit to that. But as I see, it has to be something like that, 80%, at least, may be more.

Akash Rampuria: And what is the price of fiber optic cable and how do we see it going forward?

Mahendra Nahata: Fiber optic cable, I can talk to you about the price. In terms of fiber kilometre, kind of a price per fiber kilometre, it is at the moment, the realization is about INR 900 per fiber per kilometre. To be precise, INR 890 per fiber kilometre.

Moderator: The next question is from the line of Jinesh Shah from RSPN Ventures. Please go ahead, sir.

Jinesh Shah: So, my first question would be regarding the capex. Actually, the company was trying to planning for to do capex of approximately INR 900 crores in the couple of years...

Mahendra Nahata: Your voice is very loud, and it is echoing. Speak little slowly.

Jinesh Shah: Yes, yes, sure. So, my first question was that company was planning to do capex of approximately INR 900 crores in next couple of years, right? In order to build the new capacity in Poland on extension of OFC. So, this fund is majorly via debt, right? So I just wanted to understand like...

Mahendra Nahata: Mr. Shah your voice is completely unclear. We just can't understand A, B, C, D of this. operator, can you see how the voice can be made better? It's completely very much echoing.

Jinesh Shah: Is it okay now?

Mahendra Nahata: It is now okay.

Jinesh Shah: Okay. So, my first question was that the company was planning to do capex of INR 900 crores in next 2 years, I guess. So and majorly, it was funded via debt, right? So is company planning to do much more borrowings in like the next half of the financial year? Because I can see that in September balance sheet as well, the borrowings have been increased significantly. And also, if you can share about like vague idea about the repayments schedule so that in order to reduce working capital pressure on working capital cycle in near future?

Vijay Raj Jain: So capex, which we have planned everything stands tied up by way of equity, debt and internal accruals. So our debt equity ratio is likely to remain in this range of 0.25 to 0.30. There is not going to be much borrowings. It's quite comfortable.

Jinesh Shah: Okay. So, whatever you might have like raised debt in this first half of the financial year, so that is likely to remain stagnant, right?

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Vijay Raj Jain: Yes. So, there are repayment also. If there are fresh borrowings, there are repayment also happening. So, it is likely to remain in the same range. And the entire capex is being funded by way of equity, which we have raised in the past and then some internal accruals and also by way of debt.

Jinesh Shah: Okay. Fine. And so okay, my second question would be

regarding the BharatNet Phase III

project, which is for which the budget is approximately INR 65,000 crores. So I just wanted the breakup of allocation of the funds like what amount of funds would be in OFC, equipment, EPC services, so that it sums up to almost INR 60,000 crores, INR 65,000 crores?

Mahendra Nahata: So this INR 65,000 crores is the total cost of the capex. Now how much would be cable and how much would be that? I would suspect cable and cable-related activities, when I say 15 lakh fiber kilometers would be roughly you can say about INR 5,000 crores would be roughly about cable and INR 5,000- plus crores to the cable and cable related activities and then equipment would be there and services like road digging, those kind of services would be another INR 5,000 crore, INR 7,000 crore, then duct will be there on the similar numbers, equipment would be there around INR 8,000 crore to INR 10,000 crores. This is the way it would be divided. I don't have the exact numbers, but more or less, I'm saying.

Jinesh Shah: Okay. Fine. But still it doesn't sum up to like 60,000. That is like a huge number if I go with that but I'm saying that it still doesn't add up to INR 65,000 crores...

Mahendra Nahata: It doesn't add up to INR 65,000 crores, doesn't add up. So there are a number of other services. I've just given you, more or less, this is going to be the requirement. But I have to make exact calculations, 15 lakh fiber

kilometers multiplied by 1,000, how much it is?

Jinesh Shah: Out of that if you can say what would be the TAM of HFCL in this overall project?

Mahendra Nahata: HFCL's expected market share out of INR 65,000 crores?

Jinesh Shah: Yes. You can say that or opportunity, you can say.

Mahendra Nahata: Our opportunity comes from 2 directions. One, the places where we have participated directly in the 5 different sectors, we are participating directly. Second, what we expect as orders for equipment and cable from other winners, not only what we get from directly, but other winners who are going to win, they are also going to buy our fiber optic cable, routers and UBR and those kind of equipment.

So, as I have said, we are more or less expecting somewhere between INR 5,000 to INR 8,000 crores, that is my best estimate at this point of time. I cannot commit to that because we don't know how the tenders open up or who wins, but reasonably we are expecting INR 5,000 crores to INR 8,000 crores of opportunity for HFCL.

Jinesh Shah: Okay, fine. And one more question from my side that if you can just state that till now what all the projects that we have already bid for? And also, if you can mention the winning ratio of HFCL at this point of time?

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Mahendra Nahata: We have been bidding various projects, and we are winning quite a lot. For example, BSNL, whatever projects we have bid, I think more than 50%, 60%, we have won. We have won BNG, we have won OTN, we have won UBR, so quite a good success rate is there.

Jinesh Shah: Can you quantify the overall amount if you have that number?

Mahendra Nahata: Overall amount of BSNL has been about INR 800 crores has been for OTN, and UBR was roughly about INR 200 some crores, and this one has been about INR 40 crores. So BSNL has been roughly about INR 1,000 crores plus.

And private operators, there is no bid as such. These are all negotiations, which take place, so wherever negotiations are there, which are our established customers, we are taking 100% of them, more or less. Internationally, yes, it's winning ratio could be something like 20%, 30%

Jinesh Shah: Okay. Fair enough. And also, just you mentioned in the opening commentary that you are like participating in the BEAD program that is in US, right? I've heard that the states have now like started with subgrant process in order and they are likely to submit the final proposal by this year

itself. Can you just take even like estimate about like what what is the status of HFCL in it, like...

Mahendra Nahata: The purchase has not yet started. Look, there are two kind of opportunities in US. One is BEAD and one is non-BEAD. BEAD is going to be roughly about 30% of the opportunity. Rest 70% is not BEAD. Not everything is going to be under BEAD and BABA and all that. So, the market opportunities come from overall spread of FTTH in USA.

So non-BEAD also is a very big opportunity. BEAD program purchase has not yet started, as you're rightly saying. But apart from BEAD, operators have been their own work also for many, many areas in fiber optic cables. So non-BEAD opportunities, we have already started receiving inquiries. We are already participating in that. So it's not only BEAD, non-BEAD opportunities are also quite large.

Jinesh Shah: Okay. So I can conclude that the BEAD program, you have just submitted the proposal, but it's not yet out and...

Mahendra Nahata: No, we have not submitted any proposals because there are no inquiries as yet.

Jinesh Shah: No worries. Okay.

Mahendra Nahata: I never said that we have submitted any proposal. We just said that, that kind of demand would come up.

Moderator: The next question is from the line of Hardik Vyas from Economic Times. Please go ahead, sir.

Hardik Vyas : Sir, I had a couple of questions. Out of the total product revenue that we have recorded this quarter, I wanted to split between...

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Moderator: Sorry to interrupt, sir. Mr. Vyas, please use handsets to ask question.

Hardik Vyas : Sir, can you split the contribution of revenues from the telecom products and OFCs for the quarter?

Mahendra Nahata: It's roughly about 50-50. Hardik Vyas : Okay. And as guidance is roughly INR 2,000 crores for telecom products for the current financial year, are we on track to do that because...

Mahendra Nahata: Yes, we should be able to do that. There shouldn't be any problem.

Hardik Vyas : Okay. So, the guidance for the OFC business has been lower, but the Telco business remains the same?

Mahendra Nahata: Telco business remains almost there. But OFC world market has gone down significantly. So we are part of the world market, can't change that. So, it's not any guidance. That was our expectation, but the market demand has not picked up as we thought it would pick up, so as a

result of that, OFC revenue has gone down considerably. But as I said, I expect this market to pick up from next quarter.

That is our best expectation in India and internationally, both. In India, once the BharatNet tender is awarded by the end of this financial year, may be quarter next to that, it should pick up more significantly. But otherwise, also market is expected to pick up from next quarter.

Hardik Vyas : Okay. Is the execution of Madhya Pradesh and Uttar Pradesh Jal Nigam is a part of the turnkey revenues this year, this quarter or are we expecting...

Mahendra Nahata: No, it is a part of it. It's the overall consolidated...

Hardik Vyas : How much time do we see till we finish those 2 orders?

Mahendra Nahata: I think Uttar Pradesh should be finished by end of March, and the other one should go into the mid of next year.

Hardik Vyas : Okay. And sir, do we see any new orders from the service business...

Mahendra Nahata: No, no. Service business -- BharatNet is going to be a large order when it comes.

Hardik Vyas : Okay. That you said in the last quarter...

Mahendra Nahata: Yes. Sir, you are in Economic Times, the government orders, you can only give your best expectations. So our best expectation should come up in the next quarter. But government is government, the time may take more or less.

Moderator: The next question is from the line of Sukant Garg from Equile Research Private Limited.

Please go ahead, sir.

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Sukant Garg : Sir, my question is majorly regarding the top customers. So what is the revenue concentration between the top three or top four customers, could you please provide that ?

Mahendra Nahata: Top 3 or 4 customers would account for, I think, sir, about more than 60% of revenue.

Sukant Garg : And that revenue is from both the Telecom and Optic Fiber Cable or it's majorly from the Telecom sector?

Mahendra Nahata: Telecom and Optical Fiber Cable. Yes.

Moderator: The next question is from the line of Nikhil Purohit, Fident Asset Management. Please go ahead, sir.

Nikhil Purohit : Yes. Sir, I wanted to ask that does the business face any seasonality as such, such as H2 being stronger than H1 or anything like that?

Mahendra Nahata: Sir, repeat your question, your voice is again, I think...

Nikhil Purohit: So, does the business face any seasonality as such, H2 being stronger than H1?

Mahendra Nahata: Seasonality is always there in Q2. If you see the history, more or less every time you find Q2

has a seasonality because of rains. Because of rains, what happens as it is fiber optic cable demand has been lower, but on account of rains it becomes even lower because the installation and commissioning work of fiber optic cable does not happen at that speed because of rains, water logging and all that.

So, there is a seasonality element in the EPC business, turnkey business and which also impacts the fiber optic cable business also. So, as the fiber optic cable market was down, coupled with the seasonality, this happened even to a greater extent. So Q2, generally, you expect seasonality because of rains. That's the more or less, my experience last 20 years, I've been watching that maybe barring in between a couple of years, some variations have been there.

But more or less, seasonality is there in quarter 2. And if you look at international markets, some of the countries where you have very, very heavy snowfall, you will find the months of

December, January, February, there would be less implementation of the network resources because of very high snowfall.

Nikhil Purohit: Understood. Understood. I have two more questions. So can you give the bifurcation for revenue within the product set.

Moderator: Sorry to interrupt, sir, may we request that you return to the question queue for follow-up questions, as there are several participants waiting for their turn. The next question is from the line of Kriti Tripathi from NVS Brokerage.

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Kriti Tripathi : Yes. Myself Kriti. So my question was that for the Q2, the profit is around INR 73 crores and the EPS is around INR 0.52 on face value of INR 1. Also the top line of the company is growing, the profitability is very reasonable. And even if I make arithmetic estimation based on that, the full year EPS is coming around to be INR 2 or INR 2.5. So given the current price and the PE is going around 55x to 60x. And even the correction is there, this is the condition. So what is the investor seeing the appreciation in the value? This is what I wanted to ask.

Mahendra Nahata: Well, whether the appreciation of the stock market would be there or not, share price, I can't

comment on that. These are not for the management to comment.

Kriti Tripathi: Yes, but at least like EPS figure, how the company is planning improve on the profitability part and how the management is seeing that this investor returns can be rewarded to investors.

Management: So, this EPS will certainly improve with the increasing revenue as we have planned and have a vision that our revenue should be INR 10,000 crores in 3 years' time. So definitely profitability will improve and EPS will also improve. So whatever endeavours we are taking now for capability buildup or this capacity buildup convert into revenue and this performance from next financial year onwards.

Mahendra Nahata: K

riti, we can only comment about the performance. About the investor return, market, these are not the issues which we can comment.

Moderator: The next question is from the line of Akash Rampuria from Dron Capital. Please go ahead, sir.

Akash Rampuria: When can we expect the revenue coming in from electric fuses in the defence business?

Mahendra Nahata: Yes. These are under trial at the moment. And I sincerely believe that from the next year onwards, this revenue would start coming up. There are lot of inquiries, a huge number of inquiries are there for this electronic fuses. There are a number of inquiries. So this trial should get completed and then we believe that I expect reasonably good amount of revenue from that.

Akash Rampuria: How big is the market currently?

Mahendra Nahata: Market currently, I don't have an estimation of the world market with the geopolitical situation being what it is. But the number of inquiries we are receiving market should be in lakhs of fuses. It should be in lakhs of fuses. We have inquiries worth few lakhs, few lakhs of fuses not rupees.

Moderator: The next question is from the line of Shubham Sethi from Logical Investing. Please go ahead, sir.

Shubham Sethi: Sir, my question is regarding the INR 2,000 crores of telecom and network product basically guidance that was given. So how much is the order book for the networking products? And are we on track to achieve that INR 2,000 crores?

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Mahendra Nahata: I'll tell you one thing. Right now, the order book would be something like, I think, INR 800 crores or INR 900 crores, current order book should be there. But telecom products like any equipment or like UBR or Wi-Fi or fiber optic cable, you keep on receiving orders. Not that you always have orders in your hand of a huge quantum, but yes, right now, the orders should be something in the range of about INR 800 to INR 900 crores or...

Shubham Sethi: Okay, sir. Are we on track for INR 2,000 crore?

Mahendra Nahata: Out of that, part of the revenue has already happened. INR 800 crores, INR 900 crores are pending order in our hands.

Shubham Sethi: Okay. So sir, overall, I think, how is the traction for our products in the market?

Mahendra Nahata: Traction is good. For example, 5G products like fixed wireless access, the UBR there's good traction. Good traction. Traction has no problem.

Moderator: The next question is from the line of Saket Kapoor from Kapoor Co. Please go ahead, sir. As there is no response, we'll go in from next question. The next question is from the line of Keval Navin Doshi from OMG. Please go ahead, sir.

Keval Navin Doshi: Okay. Since our focus is now getting more on products, can you just give some idea about in the next 3 years, which would be the top three or four products on which you would be focusing on, whether it is in Telecom or whether it is defence, all the factors put together?

Mahendra Nahata: Look, both. Telecom as well as defence. In Telecom, if you look 5G has got good demand attraction at this point of time. Out of the INR 900 crore order of the telecom equipment I talked about, there's only 1 equipment before which we have INR 600 crores order, which is 5G equipment. And we expect to receive more such orders.

And again, as we move forward, technology keeps on improving. So we are continuously improving our technologies and unlicensed band radio, I talked about, we have supplied 5 lakhs radios in the country. It started with 300 mbps, megabit per second capacity. Today, we are doing 2 gigabit per second capacity, 6x, 7x enhancement of the capacity.

Then earlier we were doing point to point, now we are working on point to multipoint radios.

So, focus is always there on Telecom products, including Fiber Optic Cable also is a part of Telecom, only improving the size of cable, number of fibers, thickness of ca

ble, thickness of

fiber, all those kind of things are improving. So definitely, Telecom has been our core business and focus on telecom is going to be there.

But simultaneously we are focusing a lot on the defence products also by building our own IPR and also working on participation or collaboration with foreign companies also in the defence electronic field, both areas we are working. And that is also our focus area to build up

our revenue from defence electronics.

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Keval Navin Doshi: Okay. So roughly, sir, –if you have to break up in your mind, would you say that out of the turnover from products, 50% could be Defence, 50% could be Telecom products?

Mahendra Nahata: Yes, I would say should be 2:1; 2 from Telecom, 1 from defence, something like that in some time frame. But these ratios can keep on changing, sir, depending on market situation and all that.

Keval Navin Doshi: Right. And sir, how competitive is our pricing compared to. . .

Mahendra Nahata: Pricing is competitive. Unless you have competitive prices, you are not going to get orders.

Keval Navin Doshi: Do we have some advantage because of Make in India for the Telecom products?

Mahendra Nahata: Yes, definitely because of Make in India you have advantage because once you're manufacturing in India, your cost is low, your ability to design the products as for the requirement of the customer is there, your delivery is quick. So those advantages are definitely there.

But a number of other companies are also manufacturing in India. We are not the only one.

And another benefit is the PL I, performance linked incentive that has been announced by the Government of India, we're recipient of that also. So that is another advantage.

Keval Navin Doshi: And our product would qualify?

Mahendra Nahata: Yes, yes. Sure, sure. It has already been approved.

Moderator: The next question is from the line of Manoj Dhuria from Dhuria Asset Management. Please go ahead, sir. The next question is from the line of Tushar Pandey, from Individual Investor.

Please go ahead, sir.

Tushar Pandey : Last time around in the con-call, you mentioned it was not a formal guidance, but you mentioned that you kind of expect 25% to 30% revenue growth in this year. So sir, can we still see or if you would like to tweak that guidance?

Mahendra Nahata: It was not a guidance, estimation what we had at that point of a time. And that was hardly predicated upon our revenue in Fiber Optic Cable becoming about INR 2,000 crores. What we see, Fiber Optic Cable market having been not so good. Rather, it has been very sluggish in the current financial year, that revenue probably will come down. It will not be INR 2,000 crores.

Rest all the estimations are more or less on track. Except Fiber Optic Cable, I think we are on track to achieve our numbers.

Tushar Pandey: Sir, why I asked this is because you had already mentioned that OFCs was facing a lot of headwinds because of the oversupply. So wouldn't this be already accounted for in the expectations that you mentioned that 25% to 30% is achievable ?

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Mahendra Nahata: AOP of the current financial year that was not the situation there. We had so much orders, we were overflowing with the orders and the capacity utilization were almost 100%. So we had not taken this into account, which happened all of a sudden, the demand went down and there were hardly any inquiries. So if we had known that then we would have taken that in account. So at that time, estimation was based upon what was the best situation what we could foresee.

Tushar Pandey: Okay, sir. And the second question is, you mentioned that you had already developed...Sir, last time around, you mentioned that you had already developed 1,764 fibers in 1 optical fiber cable. And you were planning to develop 3,400 fibers in 1 op

tic fiber cable. So sir, how is that planning out?

Mahendra Nahata: So 1,764 is already there. We are now starting to market that. The second one, development is going on, which is quite complex. 3,000 fibers in 1 cable and keeping the diameter low, so that's quite complex, but we are doing it. I think it will take a couple of 2 to 3 months more to finalize that.

Tushar Pandey: There are competitors in 3,400 fibers?

Mahendra Nahata: Yes, there would be competitors, absolutely. There would be at least 10 manufactures in the world who would be doing that.

Tushar Pandey: Indian competitors I was talking about.

Mahendra Nahata: India, I think there would be only Sterlite. I don't believe there is anybody more than that. Maybe Birla, VTL could be there. I'm not aware but Sterlite is there.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead, sir.

Saket Kapoor : Sir, when we look at our first half performance, there is the increase in the interest cost outgo and also the employee cost that is not commensurate with the increase in the revenue. So if you could give us some color how are things shaping up with respect to these 2 line items?

And secondly, about the BharatNet part of the story, I think so it is taking longer than what anticipated or according to you, things are in line, and we can expect the awarding of orders by

this quarter and then a clear picture would emerge, sir...

Mahendra Nahata: Look, Saketji, BharatNet has taken longer than expectations, definitely. Because tender was to come I think, 2 to 3 months before when it came. And if it had come at that point of time, it could have been possibly decided by now, possibly.

A tender came late. So that process of evaluation is going on, which is going on a reasonably good speed, looking at the government processes and all that, it is going on a reasonably good speed.

And I believe that again, my estimation, again, you never know, government may delay, government may do faster, you don't know really. But in my opinion, they should be able to

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award the contract in the first quarter of the next calendar year, last quarter of this financial year, industry should be able to see the orders. But the government being government, one has to wait. One cannot be definitive of the times.

Saket Kapoor : It is also the urgency of the issue, sir. Whether, how important it is to get things done and get the order rewarded. That is also...

Mahendra Nahata: Look, I can tell you. Urgency on the one fact, the Prime Minister himself has announced the program from Red Fort on the Independence Day that itself tells you that how important the program is. If the Prime Minister announces from the Red Fort on the Independence Day that will connect all the villages by fiber optic cable, it's an important project.

If Prime Minister announces twice. – And it is part of that what government says, Pragati revenue, Pragati programs, which are reviewed by Prime Minister's office very periodically, it is part of that also, I believe. So it is important. And anyway connecting villages by fiber optic cable is not an issue only in India, it's worldwide. So India is taken a good lead in that.

It's quite an important program. And more important fact, I tell you. Money is available. If money is not available, then it becomes a low priority. Money comes from USO fund. USO fund is already having money for implementation of this program. And every year, more money comes in by the virtue of revenue share by the Operators, which is compulsorily given

into USO fund. So, money is not a constraint and Prime Minister himself has announced it.

So, the importance is there, definitely on these 2, 3 facts you can understand.

Saket Kapoor : Right. And on the employee cost and the finance costs, they are trending higher, sir. And they are not c

ommensurate to the revenue growth...

Vijay Raj Jain Saketji, there is hardly any variation in employee costs. It was INR 88.70 crores in last quarter, which is INR 89.45 crores in the current quarter. And similarly, the finance cost is also, it was INR 42.31 crore in the last quarter, which is INR 44.88 crore in this quarter. So there can be some variation because of some LCs getting opened or some bank guarantees. So, this is a small variation.

Saket Kapoor : Sir, I'm looking at the first half, sir. When we look at the first half, first half to first half, INR 87 crore is this year's finance cost. That was INR 71 crore last year and similarly, for the employee cost, instead of 173, it is 178. So, I was referring to the entire first half in terms of the finance cost rising up...

Vijay Raj Jain If you compare it to the last year, that debt profile was completely different, which has changed from last second half of the last financial year. If you compare Q3, Q4, Q1 of the preceding quarters, it is in alignment.

And secondly, see, we are building up the organization for the next journey. So, a lot of new hirings are there in various divisions. Mainly, Defence or Telecom, Optic Fiber Cable, some international markets. So, there will be some variations, which will convert into revenue in coming quarters.

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Saket Kapoor : Sir, can you comment on O&M that who booked O&M in the first half? Yes, ma'am.

Vijay Raj Jain : Revenue of O&M is not much, maybe INR 30 crores, INR 40 crores-or-so. O&M revenue will start from FY'27, FY'28. It will come to INR 400 crores. It will start from '27, '28. Now it is around INR 80 to INR 100 crores per year.

Saket Kapoor: INR 32 crores?

Vijay Raj Jain: INR 80- INR 100 crores. First half it will be around INR 40 crores - INR 50 crores. Whole year it comes around INR 80 crores - INR 100 crores. O&M is not much.

Mahendra Nahata: But from year FY '27, it will go to INR 300 crores to INR 400 crores.

Saket Kapoor : Okay, sir. So we have to do a lot of catch-up with our earning profile now for the second half because as one of the participants did mention, there's a lot of expectation that has been built up with investors and somehow or the other because of conditions, not in our hand, that expectation is not matching with the performance. So we hope that we can walk the talk going

ahead if it improved set of earnings going ahead?

Mahendra Nahata: Like I said, except Fiber Optic Cable nowhere else we will have problems. Fiber Optic Cable market worldwide there has been recession, we cannot be away from that. We have to go with the market. Now as far as Fiber Optic Cable market is concerned, I have repeatedly said that I'm expecting it to improve from the next quarter.

So, I think we will definitely try our best whatever our investors expect from us, we are able to fulfil that. Maybe a quarter or 2 here or there can happen because of market conditions. But overall, this is -- I'm pretty sure that kind of effort the Company is doing, we will fulfil the expectations of our investors.

Moderator: The last question is from the line of Priyanshu from Frontline Capital Services. Please go ahead, sir.

Priyanshu: Sir, may I know the revenue and the profit guidance for the FY '25?

Mahendra Nahata: Well, I can't give any guidance at this point, Priyanshu. There's no guidance possible. I'm only saying that our expectation is that we should do well.

Priyanshu: Okay, sure. Thank you.

Mahendra Nahata: So, thank you very much, ladies and gentlemen. Thank you for your participation in this call of today. And I again reiterate that the Company is working very hard to see that the growth in revenue and the profitability both by doing more product-led revenue, by doing more and more in the export market, by going into different areas of Defence equipment.

An

d I hope that because of the market conditions are turning out to be better now from what we have seen in the last 2 quarters, we expect that Telecom sector and Defence sector both

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should do well in the Country and internationally and that should be impacting our Company also positively. Thank you very much. Thanks a lot.

Moderator: Ladies and gentlemen, on behalf of ICICI Securities that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

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HFCL/SEC/24 -25 February 11, 202 5

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Security Code No.: HFCL

RE: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015 (the “SEBI Listing Regulations”).

Subject: Transcr ipt of Conference Call on the Un -audited Financial Results of the Company for the 3rd Quarter and Nine Months ended December 31, 2024, of the Financial Year 2024- 25.

Dear Sir(s)/ Madam,

This is further to our earlier announcement dated January 27, 2025 .

In terms of Regulation 30 read with Para A of Part A of Schedule III to the SEBI Listing Regulations, we hereby submit Transcript of the Conference Call held on February 04, 202 5, on the Un -audited Financial Results of the Company for the 3
rde Quarter and Nine Months ended December 31, 2024 of the Financial Year 2024 -25,
which were considered and approved by the Board of Directors of the Company, at its meeting held on February 03, 202 5.

The aforesaid Transcript will also be available on the Co mpany's webs ite at <https://www.hfcl.com/> .

You are requested to take the above information on records and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,
For HFCL Limited

(Manoj Baid)
President & Company Secretary
Encl: Copy of Transcript.

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“HFCL Limited Q3 2025 Earnings Conference Call”

February 04, 2025

M
ANAGEMENT : MR. MAHENDRA NAHATA – PROMOTER AND
MANAGING DIRECTOR
MR. VIJAY RAJ JAIN – CHIEF FINANCIAL OFFICER
MR. MANOJ BAID – COMPANY SECRETARY
MR. AMIT AGARWAL – HEAD OF INVESTOR RELATIONS

ANALYST : MR. MOHIT LOHIA – ICICI SECURITIES LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to HFCL Q3 FY '25 Earnings Conference Call , hosted by ICICI Securities.

Statements made during this call may be forward-looking in nature , based on management's current beliefs and expectations. They must be viewed in relation to the risk that HFCL's business faces that could cause its future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements. Investors are therefore requested to check the information independently before making any investments or other decisions.

As a reminder, all participant lines will be in the listen-only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Lohia from ICICI Securities. Thank you, and over to you, Mr. Lohia.

Mohit Lohia : Yes. Thank you, Andrew. Hi, good afternoon, everyone. Thank you for joining us today for Q3 FY '25 earnings call of HFCL Limited. First of all, I would like to thank Management for providing us the opportunity to host the call.

From the Management side, we have Mr. Mahendra Nahata – Promoter and Managing Director; Mr. Vijay Raj Jain – Chief Financial Officer; Mr. Manoj Baid – Company Secretary; and Mr. Amit Agarwal – Head of Investor Relations.

Without further delay, I would now hand over the call to Mr. Nahata for "Opening Remarks".

Thank you, and over to you, sir.

Mahendra Nahata: Thank you, Mr. Lohia. Good evening, ladies and gentlemen.

I am delighted to welcome you all to HFCL's earnings call for the third quarter of FY25. I trust you must have had the opportunity to review our financial results, press release, and earnings presentation, which are available on our website and also on the website of stock exchanges.

The telecommunication industry is undergoing a profound transformation, driven by both technological innovation like artificial intelligence and the upcoming growth in demand for products required for data centers and optical networks. As digital adoption accelerates, countries like India are at the forefront of this global movement, spearheading initiatives that promise to shape the future of connectivity with strong emphasis on rural connectivity. India now boasts over 1.19 billion telecom subscribers, making it the second-largest telecom market globally. This is a remarkable achievement, considering that just a few decades ago, the telecom landscape was limited to major urban centers. Data usage in India has grown exponentially in the past few years. The Country has witnessed a tenfold growth in data usage since 2018, and it is projected that India will reach 350 million 5G subscribers by FY26

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Globally, the telecommunications market was valued at approximately USD 2.32 trillion in 2024 and is projected to expand to around USD 4.21 trillion by 2034, reflecting a CAGR of 6.15%. This growth will drive a surge in demand for broadband equipment, telecom networking products and fiber optic infrastructure as telecom operators work to meet the growing data demands of consumers. Hence, telecom networking products and fiber optics will play a key role in telecom, particularly as 5G networks roll out across the Country. The 5G revolution is well underway, and we are seeing telecom operators invest heavily in fiber-based backhaul

solutions to ensure that their networks are capable of handling the massive data loads that 5G delivers.

Alongside these technological advancements, governments worldwide are implementing initiatives to enhance universal connectivity. Telecom operators are making

significant strides in expanding broadband infrastructure in underserved areas, further boosting the demand. Over the past few quarters, the global optical fiber cable market had experienced a slowdown. This slowdown could be attributed to a variety of factors, including geopolitical tensions, large inventory built with the operators and delay in major government funded programs.

Despite these challenges, we remain optimistic about the future. We anticipate that demand for optical fiber and digital network solutions is gradually picking up, driven by several key catalysts including 5G acceleration, rural broadband initiatives such as BharatNet Phase III, the increasing adoption of Artificial Intelligence enabled services, hyper-scaling of data centers and the growing need for high-speed, reliable internet connectivity across smart cities, industry 4.0, and remote education networks.

At HFCL, we have been preparing ourselves for this resurgence in demand. Over the past few quarters, we have focused on enhancing our production capacities, improving operational efficiencies, and developing innovative products and solutions to cater to the evolving needs of the market. By optimizing our processes, we are better positioned to deliver high-quality products on a scale and ensure timely deliveries to our customers.

We are increasing our presence by appointing our own employees, distributors, and dealers in key global markets. Our goal is to achieve a substantial rise in export revenue from our optical fiber segment, with a significant portion of revenue coming from international markets in the coming years. Additionally, we aim for a considerable share of our telecom segment revenue to be export-driven. As we reflect on the past year, we would like to share some of the significant milestones that highlight HFCL's continued leadership in the telecom sector.

As you are aware, BSNL had floated tenders for BharatNet Phase III across 16 telecom circles, in which your Company also participated. BSNL has already announced the winners for six telecom circles, and I am pleased to inform you that your Company has successfully secured an Advance Work Order worth approximately ₹2,501.30 crores for the design, supply, construction, installation, upgradation, operation, and maintenance of the middle-mile network of BharatNet Phase III in the Punjab Telecom Circle. In addition, the Company has also secured Advance Purchase Orders worth ~INR 2,167.65 Crores from Rail Vikas Nigam Limited for supply of

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Optical Fiber Cables, Telecom Equipment & related accessories along with maintenance of the telecom equipment, for BharatNet Phase III in Uttar Pradesh (East) Telecom Circle and Uttar Pradesh (West) Telecom Circle.

These wins indicate HFCL's growing dominance in the market and its capabilities to meet the ambitious goals of BharatNet program.

In addition to securing orders worth over ₹4,650 crores under BharatNet Phase III, there is significant potential to independently supply fiber, optical fiber cable, and telecom equipment to other vendors in the remaining 13 telecom circles wherein either contracts have been awarded or are in the process of being awarded.

The BharatNet Phase III is finally set to link all 640,000 villages in India with high-speed internet. The Company is dedicated to executing this landmark project in line with the Government's vision of a 'Digital India,' aiming to bridge the digital gap, especially in rural and underserved regions.

HFCL has been an important player in the success of BharatNet, especially in Phase II, where our cutting-edge technology and effective execution led to transformative improvements in rural broadband connectivity in the states of Punjab and Jharkhand.

In the Union Budget announced recently, the Government emphasized the importance of digital connectivity by proposing high-speed internet

access for primary healthcare centers and government secondary schools across the Country. This initiative will increase the demand for broadband equipment and optical fiber cables, further accelerating broadband infrastructure development across the Country. Since these products are manufactured by your Company, it expects to get reasonable market share in this increased demand.

As you are aware that your Company had secured order worth ₹623 crores for the supply of 5G Fixed Wireless Access Customer Premises Equipment. We have already supplied over 2 lakh units, which are being successfully deployed. The demand for our indigenously designed communication equipment continues to grow strongly, reflecting our product's reliability and market acceptance.

We recently introduced two groundbreaking Unlicensed Band Radios (UBR) designed to address critical needs in modern telecom networks.

HFCL's UBRs bring significant benefits to telecom operators by addressing the challenges of high capital and operational costs. HFCL has achieved a remarkable milestone with over 350,000 successful UBR deployments. We have also made decisive progress in our Defense sector initiatives, which are aligned with our strategy for diversification. We recently inaugurated a state-of-the-art Defence Manufacturing Facility in Hosur. Our defense product programs are now in the advanced stages of trials, and we are optimistic that these will soon translate into firm orders. Furthermore, we are proud to announce prestigious orders in the defense space, including supplying Strong Tethered Fiber Optic Cables and Fiber Optic Assemblies for critical naval applications, received by our subsidiary HTL Limited. In addition, HTL has also secured orders for Power Distribution
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Units for air defense systems, as well as multiple cable assemblies for missile systems and naval applications. In addition to this, HFCL has been declared as the lowest bidder for a contract of **₹43 Crores** for supply of tactical optical fiber cables to the Indian Army.

I would further like to update all the stakeholders that the Board of Directors in its meeting held on February 21, 2024, had granted approval for a strategic expansion into Europe by way of setting up an Optical Fiber Cable manufacturing facility in Poland.

Subsequently, the European Commission vide its landmark decision on June 14, 2024 informed that HFCL is the only Indian company that has not been engaged in the dumping of OFC in European markets. As a result, while provisional anti-dumping duties were imposed on all other Indian OFC manufacturers, HFCL remains the sole Indian OFC manufacturer to have been exempted from these duties. Furthermore, the European Commission on December 16, 2024 announced the imposition of definitive anti-dumping duty on all other Indian OFC manufacturers, reaffirming HFCL's exemption.

Given this significant regulatory development, the Board in its meeting held on February 03, 2025 decided to temporarily put on hold the planned OFC manufacturing project in Poland. Instead, the Company will leverage its competitive advantage and cater to European customers directly from its manufacturing facilities in India. This strategic approach will optimize resource allocation while reinforcing the Company's presence in the European market. By utilizing existing capacities in India, the Company can efficiently meet European demand while saving **₹175 crores** in capital expenditure.

I am pleased to inform you that the Company's current order book stands at **₹10410 Crores** as compared to **₹6151 Crores** in last quarter.

In terms of our financial performance, I would like to highlight the key metrics for Q3 FY25.

- Revenue for Q3 FY25 stood at INR 1011.95 Crores as compared to 1032.31 Crores in Q3 FY24 and 1093.61 in Q2 FY25.
- EBITDA for the quarter stood at INR 171.89 Crores as compared to INR 171.82 Crores

in Q2

FY25 and INR 163.45 Crores in Q3 FY24; EBITDA margin stands at 16.99% for Q3 FY25 as compared to 15.71% for Q2 FY25 and it stood at 15.83% in Q3 FY24;

- For Q3 FY25, profit after tax stands at INR 72.58 Crores as compared to INR 73.33 Crores of Q2 FY25 and INR 82.43 Crores in Q3 FY24; PAT margin stands at 7.17% in Q3 FY25 as compared to 6.71% in Q2 FY25 and 7.99% in Q3 FY24
- Segment revenue for telecom products during the quarter stood at 58% as compared to 52% in Q2 FY25 and 35% in Q3 FY24

As we enter 2025, HFCL is focused on resilience, innovation, and collaboration to achieve remarkable milestones. We are grateful for your unwavering support and trust in our vision.

With your continued backing, we are poised to achieve even greater heights.

Thank you very much, gentlemen. Now ground is open for questions.

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Moderator: Thank you. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press "*" and 1 on the touchtone telephone. If you wish to remove yourself from the question queue, you may press "*" and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question comes from the line of Jinesh Shah from RSPN Ventures. Please go ahead.

Jinesh Shah: My first question would be, I just wanted to confirm that we got the order from BharatNet in January, right? And we had order book of INR 10,000 crores as of December. So, that is excluding the BharatNet orders. So, if I include that, it is much more than that, right? Is that understanding correct?

Mahendra Nahata: It includes BharatNet orders, definitely.

Jinesh Shah: It includes INR 10,000 crores BharatNet orders, correct?

Mahendra Nahata: Yes. All BharatNet orders are included in this figures. All orders of BharatNet, which have been currently received in order are included. And as I said , out of 16 circles , I think balance 13 have been awarded or are being awarded . Rather 3 have been awarded, 10 are yet to be awarded. So, we are working with those operators to get more orders for our equipment and fiber optic cable. So, as and when we receive those orders, we will definitely let you know. But whatever has been received is already included in this INR 10,000 crores.

Jinesh Shah: Okay. Okay. Understood. And just to add 1 more question to this. Can you share the percentage of HFCL for the order that has been received in .

Mahendra Nahata: Mr. Shah, I am not able to understand your question very clearly. So, there is a lot of noise while you're speaking. Can you repeat your question?

Jinesh Shah: Yes, sure. We received an order of INR 2,167 crores in consortium, right? So, I just wanted to understand the share of HFCL in that.

Mahendra Nahata: So, it is totally HFCL. Consortium order was INR 13,000 crores. This INR 2,400-some crores, which you're saying it is totally HFCL, 100%.

Jinesh Shah: Okay. Understand. That's clear. And my second question is can you give us a split of OFC Equipment and Telecom Product segment revenue top line?

Mahendra Nahata: Say that again?

Jinesh Shah: I wanted a split of equipments and OFC in the Telecom Products s egment revenue.

Mahendra Nahata: Mr. Shah -- operator, can you please clear his voice because his voice...

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Moderator: Mr. Shah, your voice, there's a static behind your voice.

Jinesh Shah: Okay, sir.

Moderator: Can you come a little closer to the mic and speak?

Jinesh Shah: Yes. Is it better now?

Moderator: Yes, better.

Jinesh Shah: Yes. So, I just wanted to understand the split of telecom equipments and OFC in the Telecom Product segment?

Mahendra Nahata: You are saying that total percentage of revenue in OFC and telecom vis -a-vis the total revenue, that is the question?

Jinesh Shah:

Yes, that is the question.

Mahendra Nahata: The reply is that 58% of the revenue has come from telecom products and 42% of the revenue has come from turnkey projects in this quarter.

Jinesh Shah: No, no. Just wanted to understand the split of OFC and equipment...

Mahendra Nahata: Okay. Understood. That is roughly about 50% each. Roughly about 50% each.

Jinesh Shah: Okay. Okay. Got it. And just to follow up on that, c an you just talk about the market of OFC at a macro level because we talked about that we saw an uptake in Quarter 2 or Quarter 3 , and then we should be seeing a good moment in the OFC market as well. But that is not like seen in revenue in terms of we see monetary wise. So , can you just talk about like what we should expect in the coming quarters, like when should it be normalized and it should be reflected in our P&L?

Mahendra Nahata: I understand you are talking about OFC market. It has already started showing some signs of growth with the few orders we have received internationally. In India, the growth is yet to come in a sense that orders have been received, but implementation of BharatNet is yet to start. So, growth in India is also there with BharatNet. Internationally, also market has started looking up with more number of inquiries being received and some orders also being received from foreign operators.

Particularly, demand is significantly growing from data centers because internationally, unlike India, data center, people are allowed to interconnect their data center across the cities where they require very high capacity cables. There also the demand is increasing. And we hav e started supplying to data center people also with high-capacity cables. So, it has started looking up, not to the extent where we would expect it to be.

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I believe this quarter would see some growth in demand, definitely, current quarter from the last quarter, I would say, roughly about 15% growth in demand would be there. Q1 of the next financial year would see even a better improved demand, particularly coming from data center areas and rural connectivity areas. That includes India also because BharatNet Phase-3 implementation would start. So, definitely, we can now see green shoots in the increase in the demand of optical fiber cable.

Moderator: Thank you. Mr. Shah, please rejoin the queue for more questions. A reminder to all the participants, please restrict

yourself for 2 questions.

Next question comes from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian A : Thank you so much for the opportunities. My first question, in the recent budget, Union Finance Minister has announced broadband connections for all government , secondary and primary schools, health care centers in rural areas. Like what's your view on this budget and what kind of benefits we can expect in overall I industry?

Mahendra Nahata: Good question. This is a kind of an extension of BharatNet. Once BharatNet is put to the gram panchayats , which is the current program, that the BharatNet will go up to the gram panchayats in a ring topology. Earlier, it was in a linear topology, which was not so reliable.

Now the next step is to connect the villages and within the gram panchayats, different public utility organizations like primary health care centers, schools or government institutions.

So, this additional pro gram of connecting all the schools and primary health centers, which was not announced till now, would definitely increase the demand of the connectivity equipment, which are mostly, in my opinion, to start with going to be wireless like WiFi or different other kind of equipment, which would be UBR, those kind of equipment would be used for this point - to-point or point -to-multipoint connectivity.

Fortunately, whichever equipment they use, whether they use WiFi or UBR or even fiber optics

, we have all those equipment available with us designed indigenously. So, definitely, it is going to have some increase in the demand of these equipment. And also naturally, since we have all this equipment available, we will be benefited.

Balasubramanian A: Got it, sir. Sir , and the second question regarding recently, Trump organization US have imposed lot of tariffs to Mexico, China and Canada. Right now, China has a higher capacity for OFC side, so is there any impact on U.S. tariffs? And what kind of benefits are expected to Indian companies, especially HFCL ? And how much exports like exposure we have on the U.S. side, sir?

Mahendra Nahata: Look, increase in tariff on China by U.S. market doesn't impact much as far as telecom is concerned , because U.S. does not allow impor t of equipment from China in any case. They really don't allow. So, therefore, this tariff increase on the Chinese products of 10%, which has recently HFCL Limited

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been announced, would not impact the Indian manufacturers , because as it is , they are not allowing import of Chinese.

Balasubramanian A: Got it, sir. And sir, on the optical fiber and optical fiber cable realization side, like how is the status in this quarter, sir? On the price side?

Mahendra Nahata: You're talking about the price?

Balasubramanian A: Yes, sir. Realization per fiber kilometer.

Mahendra Nahata: Yes. In terms of realization fiber per kilometer of cable, I am talking fiber per kilometer of cable, it has been about INR 840 as compared to INR 893, which was there in the last quarter and INR 1,073 which was there on 31st December 2023. So, it has come down considerably. But similarly, price of fiber has also come down.

Fiber is now INR 266 per kilometer, which was INR 291 on 30th September. And on 31st December 2023, a year ago, it was INR 329. So, as the price of cable has come down, price of fiber has also come down.

Moderator: Thank you. Mr. Balasubramanian, please rejoin the queue for more questions.

Next question comes from the line of Manoj Jethva with KSA Shares and Securities Private Limited. Please go ahead.

Manoj Jethva: This is Manoj here from KSA Securities . Many congratulations for the good set of numbers in these challenging times. Sir, my question is regarding the D efense sector, which we have come out with a new facility in Hosur. So, could you please add some colour on it, sir? And what could be the growth prospects as far as Defense opportunity is concerned with HFCL?

Mahendra Nahata: Well, as far as colour is concerned, colour of army is green ; Air Force is blue ; and Navy is white, as far as colour is concerned. But anyway, D efense, as I have always been saying, approvals and all that take a lot of time. And approval processes are pretty long. And at the same point of time, a lot of impediments. I would not tell y ou the numbers.

We have large LOI, letter of intent for supplying of electronic fuses from one of the NATO countries. Now that NATO country wanted a certificate of testing from Indian government agency, which is DRDO. We applied for testing. We got the fir ing range sanctioned by DRDO. We needed ammunition for testing. And would you believe we have been given a delivery date of 9 months for supply of ammunition , which are produced at government factories only.

As a result of that, we have not been able to te st our fuses as per the requirement of that particular country, and we have not been able to start supplying. This is a travesty that we have a large 3 - figure LOI reaching near to 4 figures. L etter of intent, subject to this testing and all that and have not been able to do so till now because of delay in supply of ammunition by government companies. So, these are some of the difficulties.

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Nevertheless, after successful testing of our radars, thermal weapon sightings, we

have started

working on receiving orders. Recently, our people had gone to some of the foreign countries, and they have received good inquiries for these products. And we expect to start building order book from coming quarter. We expect that some small orders may start from this quarter and start building a better order book from the next quarter itself.

Manoj Jethva: Sir, in the overall, say, around 1, 1.5 year, how do you see the Defense business to pan out in the total revenue-wise, EBITDA-wise or market wise?

Mahendra Nahata: I'll tell you, 3, 4 projects. 1, electronic fuses, this testing and whatever has not happened, we are trying our best to make it happen by April, May. So, once that happens and test results, which I am sure would be positive, would give rise to possible orders for those electronic fuses. Radars, we are expecting a reasonably good demand to come for radars.

Thermal weapon sights, again, small orders are being received. And some of the tenders also we have participated, which are under evaluation. Then BMP-2, as I've been informing, five companies have been shortlisted for a project, which is multi-thousand crore project and HFCL is one of them. Others are, of course, one of the government companies and L&T, Alpha Design, and all these kind of companies, Tata, which have been shortlisted.

So, we are very, very hopeful that we should be able to be a key player in that segment also. So, 1.5 years, I think, we expect to receive reasonable size of orders from all this. Revenue should also start flowing in from the next financial year. Apart from receiving orders, revenue flowing should also start. I would not like to give you a number how much it can be, but, yes, we are very hopeful that revenue will start flowing in from Defense in the next financial year.

Moderator: Mr. Jethva please rejoin the queue for more questions. Next question comes from the line of Tanuj Khiyani with Ventura. Please go ahead.

Tanuj Khiyani: Hello sir. Sir, you have guided for a Defense order worth INR 800....

Moderator: Mr. Khiyani, sorry to interrupt, your voice is breaking. Can you just come a little closer?

Tanuj Khiyani: Is it clear now?

Moderator: Yes, go ahead.

Tanuj Khiyani: Sir, you had won a defense order of Rs. 800 crores, has it come through yet.

Moderator: Mr. Khiyani, once again, sorry to interrupt, your voice is breaking.

Tanuj Khiyani: Hello. Sir, you had guided INR 800 crores Defense order, has it come through yet?

Moderator: Mr. Khiyani, I would request you to dial us back once again, because your voice is breaking. Thank you.

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Tanuj Khiyani: Sure.

Moderator: We'll take the next in line, and that is Rohan Vora from Envision Capital. Please go ahead.

Rohan Vora: Hello, sir. Thank you for the opportunity. Sir, so the first question was, as I understand, the order inflow for this quarter was around INR 5,300 crores, of which around INR 4,600 crores was pertaining to BharatNet. So, just wanted to understand what was the balance order from? What kind of products and what kind of projects are we seeing?

Mahendra Nahata: The balance was various equipment in terms of fiber optic cable, unlicensed band radios, WiFi equipment. This is a mixture of different equipment and cable from number of customers. This could be indigenous, this could be export also.

Rohan Vora: Got it. And sir, so the order book that we have today has around INR 2,500 crores of product, so what is the breakup of equipment in this?

Mahendra Nahata: Which order you're talking about?

Rohan Vora: So, our current order book as it stands is around INR 10,400 crores...

Mahendra Nahata: Okay. I'll tell you. Order would be roughly about INR 2,525 crores for equipment and INR 4,197 crores would be roughly about turnkey projects, which includes BharatNet of INR 1,400 crores, of course.

Mod

Moderator: Thank you. Mr. Vora, please rejoin the queue for more questions. Next question comes from the line of Rucheeta Kadge with IWealth. Please go ahead.

Rucheeta Kadge: Hello, sir. Very good evening. Sir, my question was on the telecom product side. So, during the year, we had told that we'll be doing around INR 2,000 crore revenue. So, currently, if I say we've done around INR 1,000 crores. So, do we expect another INR 1,000 crores by the last quarter? Or there has been some issue with it and it will come going ahead? Just wanted a little understanding of that part.

Mahendra Nahata: Good question. We definitely had expected about INR 2,000 crores or so. Until now, this has been about INR 1,000 crores or so. In the current quarter, we expect roughly about reaching to

INR 350 crores to INR 400 crores in the particular quarter, something around that. I am not 100% sure, but INR 350 crores to INR 400 crores kind of we'll reach. Now reason of the shortfall is that some of the equipment, which we were to supply earlier, that delivery got delayed because of customer readiness and customer trials and they are approving the product. A lot of times, they wanted a lot of software changes to be done suiting to their requirements, which was not expected earlier. So, that delayed the supply of roughly about INR 250 crores or so. Then demand for some of the export market, which we expected to happen, that also got delayed. So, all that delays contributed this INR 500 crores to INR 600 crores of shortfall in this particular financial year. One is customer wanted some changes. Second, there was less demand

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from export markets, because we had expected the rural networks to come up more quickly like BharatNet and all that, when we started the year, and which would have increased the supply of equipment to BharatNet project also, because there is a significant demand in BharatNet. But BharatNet also got delayed by six to nine months. So, that part of supply also could not happen. So, all these factors put together really led to unexpected slowdown in the Telecom Networking segment, which we believe this year, BharatNet would come up again. It has come up. So, increased demand would be there from BharatNet. We have significantly good products for BharatNet program routers and all that. In fact, we are one of the major recipients of the order for routers, which is one of the critical equipment of BharatNet requirement. And moreover, we expect more orders to come in from as I said, in the balance 13 circles, 3 of which have been awarded and 10 more are to be awarded and 8 more circles, where tenders are to be floated by state governments, we expect more orders to come in. So, this year should show better performance in terms of order booking. In terms of delivery, again, BharatNet particularly will depend upon how the people who receive orders, they are able to implement the BharatNet project. From export side also, we expect to have better demand this year because rural connectivity emphasis is being put on by different governments, and we are manufacturing those rural connectivity equipment. So, this year should see better prospects for telecom equipment market as well as fiber optic cable, because fiber optic cable had also considerably slowed down, as I said in opening remarks, worldwide. Every fiber optic cable company had a low revenue, compared to what they had done two years ago, and we were not the only company affected by that. And as a result, fiber optic cable also had slowed down considerably in the current financial year. Moderator: Thank you. Ms. Kadge please rejoin the queue for more questions. Next question comes from the line of Rohan Vora with Envision Capital. Please go ahead. Rohan Vora: Hello, sir. Thank you for the opportunity. So, sir, my question actually was that, as I understand, INR 2,500

crores is our order book for products. I wanted the breakup of equipment and cables between this? Mahendra Nahata: Give me a second. Yes, Out of INR 2,500 crores, INR 1,100 crores would be for fiber optic cable, and about INR 1,400 crores would be for different equipment, which includes routers for about INR 800 crores, INR 500 crores for 5G products, and rest is indigenous products. So, it is a division, answering your question, INR 1,100 crores and INR 1,400 crores. Rohan Vora: Understood, sir. Sir, and one more on this line was that over a longer period of time, we have said that we want INR 3,000 crores of revenue to come in from equipment alone. So, just a broader idea on what kind of... Mahendra Nahata: No, I never said INR 3,000 crores to come from equipment alone. When did I say that?

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Rohan Vora: So, sir, on an older call, what we said was that when we reached INR 10,000 crores of revenue, we want... Mahendra Nahata: At that point of time. Yes. At that point of time, we would... Rohan Vora: What we had said there is INR 3,000 crores would come from equipments? Mahendra Nahata: Yes, yes. Rohan Vora: So, sir, just wanted to understand what kind of equipments will drive our growth going forward... Mahendra Nahata: One is the 5G-related equipment where we already have INR 600 crores of order, which is under supply. Routers is again, which as I informed, we already have orders worth about INR 800 crores for router and we expect to receive much more orders for routers from the balance telecom circles and also the international market, then WiFi, and UBR, unlicensed band radios, because that's one of the key products which we are manufacturing. And we have already supplied and installed about 350,000 more than that across radios all over. So, that is another area we will receive reasonably good orders. And moreover, within next one or two years, we are designing more equipment, which includes in UBR right now, we are point -

to-point. Now we are trying to go for point -to-multipoint , because point -to-multipoint would be when government completes this BharatNet Phase-3, which is connecting 250,000 Gram Panchayat .

Next step would be to connect the villages where either overhead fiber optic cable would be used or they can use po int-to -multipoint unlicensed band radio also. The rural areas, interference -free spectrum is very easily available and where the government does not have to pay a license fee for spectrum even to itself. So, that would give rise to demand for point -to-mult ipoint radios

significantly. If I look at the world market, 80% of the demand is for point -to-multipoint radios, which we are not manufacturing at this point of time. We are doing only point -to-point radios.

So, that is another area where we expect good d emand to come up. So, WiFi access points, switches, routers, unlicensed band radios, 5G equipment, these are all put together, we expect that we are aspiring to reach to a INR 3,000 crores kind of revenue from national and international market when we reach to a INR 10,000 crores revenue in total.

Moderator: Thank you. Mr. Vora, please rejoin the queue for more questions. Next question comes from the line of Tanuj Khiyani with Ventura. Please go ahead.

Tanuj Khiyani : Sir, you had guided for INR 800 crores D efense order, which didn't come through. Any guidance on that? And regarding our 25% to 30% growth, are we on track to achieve for the...

Mahendra Nahata: A while ago as I said, we have received the LOI for INR 800 crores for the D efense order. But unfortu nately, we had to submit test results from the government facility. And as I just now explained how it got delayed. And now we are trying to complete it by April, May. Then we
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have to submit the test results to the potential buyer and let us see what ha

ppe ns at that point of time.

It was there, but because of ammunition supply getting delayed by government factories in India, we had no option, but to sit quiet and wait for ammunition to come. And when the ammunition comes, we test it and supply the certific ate to the foreign buyer and then order could be confirmed. But unfortunately, that hasn't happened till now.

Tanuj Khiyani : Okay, sir. And regarding the growth guidance, are we on track to achieve the 25%, 30% mark that you have guided?

Mahendra Nahata: Please say that again?

Tanuj Khiyani: Regarding the growth guidance, you had guided for 25% to 30% year -on-year growth. So, how are we going ahead with that?

Mahendra Nahata: Not really guidance. What I had said that we aspire to have a 25% to 30% growth. Definitely, we aspire that. But sometimes what happens the market like fiber optic cable market knows that worldwide, which was out of our control, and therefore, we could not reach to the required revenue, a nd we still aspire that. Yes, this kind of growt h should be there in the company, some 20%, 25% growth has to happen. But sometimes, despite of the best of the efforts, this, what we aspire, may not come through, particularly market situation, geopolitical situation , and those kind of things happen, whi ch results in the aspiration not reaching to the level we wanted it to be. So, that's the situation. But yes, we definitely aspire that kind of a growth.

And right now, looking at the current market situation and the growth in rural connectivity, BharatNet and those kind of things, I am sure that we'll be able to overcome those hurdles, which we had faced in the current first three quarters.

Moderator: Thank you. Mr. Khiyani, please rejoin the queue for more questions. Next question comes from the line of Hitesh K. Patel from K.K. Patel & Company. Please go ahead.

Hitesh K. Patel: Thanks for giving the opportunity to ask the question, sir. My question was regarding that how much of the PLI amount claim would be there from the government , and when the amount will be received, the production linked incentive?

Mahendra Nahata: PLI amount, we have still not been able to claim because as we discussed a little while ago that the amount of revenue we thought would come from telecom equipment , which will make us PLI available to us would not be fulfilled during the current financial year. So, we expect to start claiming PLI from the next financial year.

Hitesh K. Patel: And what will be the tentative amount, sir?

Mahendra Nahata: Tentative amount, I can't say at this point of time. But if at all we are able to claim, this should be around INR 40 crores to INR 50 crores.

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Hitesh K. Patel: For the entire year, sir, next?

Mahendra Nahata: Yes, for the entire year.

Hitesh K. Patel: Okay. And my other question was that, sir , you already told that in all 16 circles, BharatNet

tender was there and only 6 have been opened yet. So, when can the next 10 will be opened or will be available, who has got the tender and all the other information?

Mahendra Nahata: All have been opened. There are just 2 parts, I will tell you. 16 have been centrally done by BSNL on the instruction of DoT, funding has to come from DoT. So, funding is not an issue. Other 8 states, One has been announced in Gujarat. Others are yet to announce, which are to be implemented by state government, funded by central government. The funding, again, is not a problem.

Of the 16, which have been done centrally, all have been opened, but only 6 have been awarded. Out of 6 have been awarded, 2 are in consortium with HFC L, wherein, as I said, HFCL received orders worth about INR 2, 200-some crores from Rail Vikas Nigam Limited, who were the prime bidders.

Now in Punjab, we are the sole bidders, and we have received orders for about something like INR 2,500 crores or so order

we have received and Rail Vikas Nigam has been about INR 2,200 crores.

Now that takes 3 out of 6. Balance 3 which have been awarded, we are already in talks with them to supply our fiber optic cable and equipment like routers and unlicensed band radio, etc. And that discussion negotiation is going on. Some of them have come and seen POC that testing and all that of our routers and all that. Fiber optic cable, they know that we produce from years. So, that discussion with 3 of them is going on.

Rest 10 have still not been awarded, for two particular reasons. one, there are some high prices by some three or four of them, which are still being negotiated by BSNL with the L1 bidders, which may be out of the budget range of BSNL. And some 3, 4, 5 are stuck in some technical issues. Some technical issues are there, which exactly we are not aware of.

But I expect that these issues to get resolved for the tenders which have already been opened, which are 10, but not awarded in February or by 15th March or so, in my opinion, and that would be awarded one by one. As the issues get resolved, particularly the pricing issues, which are under negotiation may get over quickly, quicker than those technical issues where they are stuck up because of some of the technical issues.

So, by 15th March or so, I expect, rest it is government, it may happen early, it may happen little late. But yes, ultimately, it would happen. Of the remaining 8 states, which are to be done by states themselves like which includes Maharashtra, Tamil Nadu, Gujarat, Odisha, Jharkhand, Chhattisgarh. Only Gujarat has announced a tender, rest are in process, may be either couple of HFCL Limited

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months, they would also come up and announce their portion of BharatNet Phase-III. Gujarat has already announced it just two days ago. So, that is the situation.

And we expect that these 3 circles which have been awarded, 10 which are to be awarded, 8 where the tenders are to come from different states, to receive significant amount of orders because fiber optic cable and equipment, we produce most economically, and quite competitively. So, we should be able to receive reasonably good size of orders from those 10 plus 8 circles.

Right now, it has been 10 plus 3 plus 8, 21 circles. Right now, ordering for only 3 circles have happened as far as we are concerned. There's a lot more to go, a lot more to go. It is only 3 out of 24.

Moderator: Thank you. Mr. Patel, please rejoin the queue for more questions. Next question comes from the line of Aakash Goel with Tara Capital Partners. Please go ahead.

Aakash Goel: Hello.

Moderator: Mr. Goel, please go ahead.

Aakash Goel: Congratulations on a good set of results. Sir, just a few questions. I wanted to have some clarifications on the strategy. So far, have not been following the company for a long time. So, I think strategically, we have been talking about increasing our product-based revenue mix and reducing the service-based revenue. Is that correct?

Mahendra Nahata: Yes, that is right. And the current quarter, if you've seen, the mix has been quite reasonable. Current quarter it has been 58% products and 42% of turnkey, which used to be reverse earlier.

So, current quarter, we have significant progress with 58% in the product. And I think trend should continue with more orders being received in BharatNet for products.

Aakash Goel: Okay. Sir, do we have a target mix in mind here regarding the services and the product mix that we want to achieve over a period of time?

Mahendra Nahata: Target is 70-30. 70 for Products, 30 for EPC. That is the target. Again, but let me qualify it a little bit. If I receive a profitable turnkey project, I am not going to deny it. At that point of time, you may find this percentage may change a bit. But that would be on account of, depending upon if we receive a good profitable pr

object, we are not going to refuse it.

Moderator: Thank you. Mr. Goel, please rejoin the queue for more questions. . Next question comes from the line of Rishubh with Indsec . Please go ahead.

Rishubh: Sir, I wanted to understand basically the opportunities what we are seeing for our product division in the international scenario, what are the upcoming opportunities where we are targeting for the products? And currently, what kind of challenges we are seeing in securing these things?

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Also, I would like to understand, now the OFC prices are in a declining trend, so where it will stabilize? And what kind of an outlook do you foresee going ahead for the OFC cables, fibers, etc?

And the third question will be regarding the market share, how are we doing on the market share in terms of the domestic market as well as the international space?

Mahendra Nahata: Look, fiber optic cables and product, I will mix up those two questions together. For the pricing, fiber optic cable and fiber prices have been coming down pretty recently and that has been because of the lower demand, as I've been saying for fiber optic cable. That lower demand has been the result of worldwide kind of a trend, where more stock was there with the operators and less consumption was there because of delay in government-funded programs. And there was overcapacity built up in expectation of these things to happen, but did not happen, so there was consequent decline in the prices.

The average price for good quality fiber, I am not talking of a very third-grade kind of fibers where the price could even be lower. But December 31, 2024, average price for the quarter for fiber has been roughly about INR 266 per fiber kilometer, which was INR 291 a quarter back and INR 329 a year back.

So, this trend INR 266 or so, which have come up, I think this should almost at the low end, almost. There may be some more variation coming up. But with the increase in demand, which we can see now, I think may not go down further except a few rupees here or there. That is

number one. Cable prices have consequently come down as raw material price go down, the finished good price also go down. So, it is INR 840 per fiber kilometer for cable on an average, which were INR 893, three months back, INR 1,073 a year back. And again, with the fiber price if they come down a bit, this will also come down a bit.

But again, I don't expect to be a major decline happening any further now. Not a major decline.

Some decline may still be there, not a major decline, but the decline would be raw material and cable both.

Another pointer I can give you, preform, which is the raw material for fiber itself. We used to buy roughly about \$82 to \$85 a kg. Now that has come down to \$58 a kg, so preform price has come down, that is a raw material for fiber. Fiber price has come down, which is a raw material for cable.

And consequently, cable prices also come down. But I don't expect now that trend to continue to a very larger extent, it should stabilize now with some possible changes, which may happen. That is one .

As far as the international demand for products and telecom equipment are concerned, and fiber optic cable is concerned, fiber optic cable market has already started looking up. We already see better orders coming in, better inquiries coming in. We have been shortlisted by a couple of

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companies for supply. Though firm orders are yet to be received from them, but yes, LOI kind of documents have already been received, and we are in process of finalizing contracts with them.

If we are able to finalize contracts for which LOIs have already been received, there will be significant amounts of contracts to come for multiple years. So, margin is certainly looking up for fiber optic cable as well as equipment. So, we see that fiber

optic cable, which saw a major

slowdown of revenue internationally, not only HFCL, but internationally, should show much better improvement in the next financial year. We expect that it should show a good improvement in the next financial year.

Rishubh: Okay, sir. Yes. And regarding the market share, if you can give any colour on that?

Mahendra Nahata: Market share, internationally, it would be pointless to talk market share. But in the market share in India, for fiber optic cable, I would say we have our highest market share. Percentage, I would not be able to tell you right now, it's difficult to tell you percentage.

As in India, HFCL should be having the highest market share in the country. In terms of equipment, different equipment would have a different market share. For FWA CPE, fixed wireless 5G CPE, we are the only Indian producer. So, as an Indian producer, we are the only one, 100%. But rest is coming from outside India, countries like Taiwan and all that. So, if you mix up all that, then our market share could be 15% or so. But as an Indian company, our market

share is 100% , because there is nobody else producing that as an Indian company.

UBR, unlicensed band radio, which is another major product which has been designed by us, I would say, as an Indian company, we should have 90% market share in the Country for point-to-point UBRs. We should have 90% share. All operators, we have supplied point-to-point radios. To BSNL, we are supplying. To Vodafone-Idea, we are supplying. So, point-to-point radios, we have 90% market share. We haven't seen any other independent manufacturer manufacturing that in India those point-to-point UBRs.

Moderator: Thank you. Mr. Rishubh, please rejoin the queue for more questions. A reminder to all the participants, please restrict yourself to one question. Next question comes from the line of Saket Kapoor with Kapoor & Company. Please go ahead.

Saket Kapoor: Namaste Nahata Ji. And thank you for the opportunity. Sir, just a question , it is hearting to see that you guided for a higher mix of telecom product to be turnkey. But when we look at our margins, they are lower for the product segment. So, what should be penciling in going ahead? And also, sir, for the turnkey part, are there one-off any receivables pending or one-off any payments that have been included in the profitability , I am just referring to our 9-month number , rather than the Quarter 1 . And just to elaborate the same, sir, for the 9 months, we find the telecom product at INR 1,863 crores and turnkey project at INR 1,400 crores , whereas the HFCL Limited
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profitability is INR 128 crores for telecom product and INR 300 crores for turnkey. So, what explains , and what should we will be pencil ing in going ahead?

Mahendra Nahata: Look, without going into the numbers, since the capacity utilization was low, profitability has been lower. And fiber optic cable for example, capacity utilization is roughly about 50% in the current year. So , when the capacity utilization improves, definitely, the profitability is also going to improve. There's no receivables included in the profitability in that sense. Receivables and profitability are two different numbers.

So, I don't understand that part of the que stion. But as far as profitability is concerned, when the capacity utilization improves, the profitability is definitely going to improve. And particularly in fiber optic cable segment, we already see green shoots happening in this quarter itself, we

shoul d do better than the last quarter in the current quarter, which is Quarter 4 from the Quarter 3, it should do better in my opinion.

And then as the orders come in, Quarter 1 should even be better, and we have started receiving orders today itself, we have been adjudged L1 Army tender for tactical cables, which we would be supplying in this quantity for the fir

st time. Earlier we had supplied a small order for tactical cable, but now it's the first time INR 43 crores order has been received by us. And anothe r major

tender for the similar cable is coming up as we expect very soon.

And as we have won this tender, our effort would be to win their next tender also. Internationally also, we have started receiving LOIs where we have been adjudged lowest in the tender floated

by those telecom operators. And of course, once they test our cables and approve them, their supplies will be starting for a multi-year contract. But yes, LOI has been received.

I don't think there will be a problem in the testing at all , becaus e cables we have been manufacturing since many, many years, shouldn't be a problem. So, capacity , and then don't forget BharatNet, BharatNet is major part of consumption in India for the next 3 years, and our expectation is to achieve reasonable orders fro m that part also. So, that should also help us improve our capacity utilization and consequently, the profitability.

Moderator: Thank you. Mr. Kapoor, please rejoin the queue for more questions. Next question comes from the line of Hardik Vyas with ET. Please go ahead.

Hardik Vyas : Sir, I had one question. For the telecom products, we have executed about 2 lakh numbers for FWA and 3.5 lakh for UBR. So, do we have capacity to cater to the domestic market as well as export markets when the demand comes up for these telecom products? And what could be the demand look like in terms of numbers?

Mahendra Nahata: Look, Hardik, let me tell you how we manufacture these telecom products. Telecom products , essentially, we get manufactured on a contract basis. We don't manufacture them ourselves. We do the integration of those products. The PCB assembly, which is the starting point of HFCL Limited
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manufacturing is a key point where the maximum amount of CapEx and all are required, ar e manufactured on a contract basis, which is a trend worldwide.

Worldwide, everybody , all major companies get it manufactured on a contract basis by EMS houses, like you have Flextronics, you have Dixon, you have Jabil and many, many such names you would have heard, including Apple and all that, they get it manufactured from such contract

manufacturing. We also do that.

System integration is then done in our own premises. And system integration capacity, you can increase very quickly with the increase of a test equipment. You just need a test equipment and workers and increase your capability to do that system integration and final testing of equipment. So, if you have an EPC house which has less capacity, you can engage another EPC house, a contract manufacturer to manufacture your equipment, and system integration you can keep on doing at your own place. So, capacity would not be a constraint in terms of this, whether it is UBR or whether it is going to be fixed wireless access. It would not be constraint. Constraint can come in PCB assembling, but then you can go to another contract manufacturer.

Moderator: Mr. Vyas, please rejoin the queue for more questions. Next question comes from the line of Ruch eeta Kadge with iWealth. Please go ahead.

Rucheeta Kadge: My question was on the order book side, so on the product and the turnkey and the O&M. So, what is the execution cycle for the same, and currently in O&M, what is the kind of revenue that we are doing?

Mahendra Nahata: O&M, I think this quarter, the revenue was negligible. Let me just check, give me one second. So, the O&M revenue in the current year, not the quarter, would be roughly about INR 50 crores. But it will increase once the BharatNet goes into a mode of operation after implementation or our NFS project, which we are implementing, the warranty period for that ends, which is under discussion when that warranty period would end. This is the discussion is going

on at this point of a time. So, that is as far as the O&M is concerned. Is that the question or any other question from you?

Rucheeta Kadge: If we look at the turnkey order book, sir, what is the execution cycle for it? Like this INR 4,000 crores in turnkey, and INR 2,500 crores in products, by when can we execute this?

Mahendra Nahata: Yes, yes. This would be executable in three years of signing of the agreement between us and BSNL, which is in process. But our effort is to complete quicker than three years, because then we receive better revenue. But yes, contracted cycle would be three years.

Moderator: Thank you. Ms. Kadge, please rejoin the queue for more questions. Next question comes from the line of Lakshay Agarwal with GrowthSphere Ventures LLP. Please go ahead.

Lakshay Agarwal : So, thank you for taking my question. So, as you have mentioned that like in our optical fiber cable segment, we can see that in the current quarter, and the following quarter also we see some

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growth. So, I wanted to understand, is there any specific optical fiber cable which is required to cater to the data center orders which are coming in? And really, how much in terms of the contract value are these orders for?

Mahendra Nahata: There's a lot of noise.

Lakshay Agarwal: It's not from my end. I guess someone else is unmuted.

Moderator: Mr. Agarwal, it's coming from your line.

Lakshay Agarwal: It's not from my end, definitely.

Moderator: Let me just check, just hold on.

Mahendra Nahata: Mr. Agarwal, if I understand well your question was are we making any specific cable for data center. Is that true?

Lakshay Agarwal: Yes, I just wanted to understand that, is there any specific optical fiber cable, which is required for it? And in terms of the contract value, which we get from the se, from the data center...

Mahendra Nahata: As I said, we have started working on getting orders from data centers. Now different kind of data centers need different kind of cables. This all depends upon what particular customer wants. Some of the customers would need traditional loose tube kind of cables with multiple fiber.

Somebody would need about that, let's say, somewhere near 400 fiber cables, some of them 800, and some of them need 1,700. As you keep on going higher the design changes, the recent trend in IBR kind of cable, intermittently bonded ribbon cable in the lower volume of size, you are able to pack in more fibers.

So, again, it depends on what a particular customer wants. IBR cable is the most recent trend, which has started for higher volume of cables. We already manufacture IBR cables in Hyderabad, and we are increasing our capacity for IBR cables now, because, as I said, data center people are asking for more and more cable now because they are interconnecting their data centers and there high-capacity cable is required. So, we are increasing our capacity to manufacture IBR cables. We are almost more than doubling that capacity.

Moderator: Mr. Agarwal, please rejoin the queue for more questions. Last question comes from the line of Abhi Mevawala with Wise Capital. Mr. Mevawala, please go ahead with your question. Mr.

Mevawala, if you have muted your line, unmute yourself and please go ahead with your question.

Abhi Mevawala: Hello, am I audible.

Mahendra Nahata: Yes, yes.

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Abhi Mevawala: So, I have only one question. Optical fiber business is currently in a down cycle. So, when earlier the business was in good term two or three years back, so compared to that time and recent time, what are the margin impacted in terms of percentage?

Mahendra Nahata: Our margin impacted is quite significant. I think margins have gone down by almost 50%, almost 50%. prices have gone down and also capacity utilization have gone down. Margin has gone on by roughly about 50%.

Abhi Mevawala: Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will not be taking any further questions. You can connect with us individually. I would now like to hand the conference over to the Management.

Mahendra Nahata: We can have one more question. Operator, can I have one more question.

Moderator: Sure. All right. So, the next question comes from the line of Jinesh Shah with RSPN Ventures. Please go ahead.

Jinesh Shah: Yes. So, thanks for the opportunity again. So, I just had this question that we can see significant improvement in the gross margins. So, is it because of the product mix or like what is the reason behind it? I just wanted to understand that.

Mahendra Nahata: No, in turnkey, better margins can happen contract-to-contract basis. Sometimes when a contract is good and the supply portion is higher, you can have better margins, so it all depends on which portion of your contract you are executing at which point of a time. Certain portion, you have higher margins, certain portion you may not have. It really depends upon the contract to contract and phases of that contract.

Jinesh Shah: So, can we expect that it should be around like 29% to 31% or 32% maybe...

Mahendra Nahata: Not always. average it should be sometimes something coming around 15% or so on an average.

Moderator: Thank you. Mr. Shah, please rejoin the queue for more questions. one last question comes from the line of Rohan Vora with Envision Capital. Please go ahead.

Rohan Vora: Hello sir. Thank you again. So, sir, just a couple of questions. one was on the capacity expansion for fiber and cable, so when is that expected? And the second was on RAN products. So, what is your view on the market size, because it appears that the market is pretty large for that. And how do we expect to get orders in the RAN side of the telecom equipments? Thank you.

Mahendra Nahata: That capacity expansion of fiber would be completed by more or less by 31st March 2025. It is

already happening in Hyderabad, so it should be completed by 31st March or so.

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As far as RAN products, RAN products is a very broad theme. RAN could be 5G RAN. RAN could be UBR. RAN could be Wi-Fi. Radio access network is a very wide terminology. Any specific areas you are asking?

Rohan Vora: Our competitor delivered a large project for BSNL recently. So, the similar product...

Mahendra Nahata: That is for 4G RAN. That is for 4G. 4G, I don't expect any major demand to happen in future, because 5G has come. 4G, I don't foresee major demand to come up. As you are talking about BSNL project of 4G, I think worldwide 4G is more or less finished. I don't expect major orders for 4G to come any longer.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will not be taking any further questions. You can connect with us individually. I would now like to hand the conference over to the Management for closing comments.

Mahendra Nahata: Thank you. Thank you very much, ladies and gentlemen, for being with us for this investor's call for the Quarter 3 of Financial Year '25, and we look forward for your continued support. And we definitely aspire for a better growth in the coming quarter and the coming year, and we'll stay connected. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

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HFCL/SEC/2 5-26 May 30, 202 5

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Security Code No.: HFCL

RE: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015 (the “SEBI Listing Regulations”).

Subject: Transcript of Conference Call on the Audited Financial Results of the Company for the 4th Quarter and Financial Year ended March 31, 202 5.

Dear Sir(s)/ Madam,

This is further to our earlier announcement dated May 16, 2025 .

In terms of Regulation 30 read with Para A of Part A of Schedule III to the SEBI Listing Regulations, we hereby submit Transcript of the Conference Call held on May 23, 202 5, on the Audited Financial Results of the Company for the 4th Quarter and Financial Year ended March 31, 202 5, which were considered and approved by the Board of Directors of the Company, at its meeting held on May 22, 202 5.

The aforesaid Transcript will also be available on the Co mpany's website at <https://www.hfcl.com/> .

You are requested to take the above information on records and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,
For HFCL Limited

(Manoj Baid)
President & Company Secretary

Encl: Copy of Transcript.

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“HFCL Limited
Q4 FY’25 Earnings Conference Call”
May 23 , 202 5

MANAGEMENT : MR. MAHENDRA NAHATA – PROMOTER AND
MANAGING DIRECTOR
MR. VIJAY RAJ JAIN – CHIEF FINANCIAL OFFICER
MR. MANOJ BAID – COMPANY SECRETARY
MR. AMIT AGARWAL – HEAD, INVESTOR RELATIONS

MODERATOR : MR. MOHIT LOHIA – ICICI SECURITIES LIMITED

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Moderator Operator : Ladies and gentlemen, good day, and welcome to the HFCL Q4 FY '25 Earnings Conference Call hosted by ICICI Securities Limited.

Before we begin, I would also like to read the disclaimer statement. Statements made during this call may be forward-looking in nature based on management's current beliefs and expectations. They must be viewed in relation to the risks that HFCL's business faces , that could cause its future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements. Investors are therefore requested to check the information independently before making any investment or other decisions.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Lohia from ICICI Securities Limited . Thank you, and over to you, sir.

Mohit Lohia , Moderator : Yes. Hi. Thank you, Navya, and good afternoon, everyone. Thank you for joining us today for the concluding call of HFCL Limited for financial year '25. First of all, I would like to thank management for providing us the opportunity to host the call.

From the management side, we have Mr. Mahendra Nahata, Promoter and Managing Director; Mr. Vijay Raj Jain, Chief Financial Officer; Mr. Manoj Baid, Company Secretary; and Mr. Amit Agarwal, Head of Investor Relations.

Without further delay, I would now hand over the call to Mr. Nahata for opening remarks. Thank you, and over to you, sir.

Mahendra Nahata: Good evening, ladies and gentlemen,

I welcome all of you to HFCL's earnings call for the fourth quarter and financial year ended March 31, 2025. I trust you have had the opportunity to review our financial results, press release, and earnings presentation, which are available on our website and also on the website of stock exchanges.

The global trade landscape is undergoing a dynamic transformation, driven by a resurgence of protectionist policies. The recent announcement and subsequent temporary pause on reciprocal tariffs by the U.S. have further intensified this shift. While such changes present near-term uncertainties but they also offer long-term strategic opportunities. India is responding proactively to this evolving environment by strengthening its industrial base and accelerating its transition toward an innovation-led economy. This also includes sectors like telecommunication, semiconductors to Artificial Intelligence /Machine Learning and quantum technologies, wherein India is positioning itself as a global leader. We believe HFCL is well-positioned to thrive in this evolving environment by being both future-ready and deeply rooted in innovation.

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Globally, telecom sector is growing significantly. Mobile subscriptions will exceed 8.7 billion by 2025, with over 1.8 billion 5G users. Growth is driven by high-speed networks, data centre expansion, cloud, and Artificial Intelligence. In India, by December 2024, the sector served 1.19 billion users, with wireless users at 1.06 billion fuelling digital inclusion.

India's telecom sector, backed by investments and policy support, is set to drive a \$1 trillion digital economy by 2029-30. ARPU is projected to grow by 10-12% in FY26, led by rising usage of 5G and rural data usage. These trends are generating sustained demand for fiber , telecom gear, and next-gen connectivity solutions where HFCL is strongly poised to lead.

Beyond telecom, the defence sector is fast emerging as a transformative and strategic growth engine for HFCL, offering

ing potential for high -value, long -term value creation. India's renewed emphasis on indigenizing critical defence technologies, supported by the government earmarking 75% of the defence capital procurement budget for domestic players, has opened up unprecedented opportunities for homegrown defence manufacturers.

HFCL has made decisive early investments in building a robust portfolio of advanced defence technologies, including:

- Ground Surveillance and Coastal Surveillance Radars to protect strategic locations,
- Night Vision Devices for enhanced operational effectiveness in low -visibility combat,
- Electronic Fuses that enhance safety and precision in modern munitions,
- High Capacity Radio Relay systems for real -time, high -bandwidth mission -critical communication, and
- Tactical Optical Fiber Cables, designed for rapid deployment and ruggedized use in battlefield and disaster recovery scenarios.

These products are engineered for both Indian and international defence markets, and we are already witnessing interest from India's armed forces and foreign countries. Our drone detection radar, currently under development, is expected to enter the production within the current financial year.

We recently inaugurated state of the art defence equipment manufacturing facility in Hosur, Tamil Nadu. The new facility is dedicated to producing cutting -edge defense products, including HFCL's indigenously developed Thermal Weapon Sights, Electronic Fuzes, High Capacity Radio Relay systems and Surveillance Radars tailored to meet the evolving needs of armed forces.

I further wish to inform you that to further bolster our strategic positioning, we have signed two Technology Licensing Agreements with DRDO for Compact Trans horizon Communication System for ensuring high data rate, low latency terrestrial backhaul communication system that enables connectivity in remote locations and for Multi -Mode Hand Grenade. These Agreements reinforces our commitment of delivering battlefield -ready innovations that are modular, effective, and built for modern warfare. As DRDO continues to lead India's defence R&D ecosystem, we foresee more such collaborations that will allow us to manufacture indigenous, next-generation defence products at scale.

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We have also developed tactical cables, which are used by army in battlefield environment. These are an integral part of HFCL's high -performance connectivity solutions, designed to deliver robust, secure, and reliable communication even in the most demanding and mission -critical environments. We have already received a contract of Rs. 44.36 crores from Indian Army for supply of Tactical Cable. Results from similar large tenders where we have already participated, is expected soon.

Our subsidiary HTL Ltd. has ventured into the wire harness business for Defence Sector which is a high -potential, low -capex segment with good profitability prospects. We are already executing initial orders for critical applications in various fighter jet upgrades and T -72 tanks underscoring our role in India's defence modernisation. With increasing domestic demand and export potential, wire harnesses business represent a good growth area.

Rapid evolution of Artificial Intelligence is set to drive an unprecedented surge in global data consumption. This is fuelling massive investments in hyperscale and edge data centres worldwide. As the backbone of these infrastructures, the demand for high capacity Optical Fiber Cable is growing exponentially. HFCL, with its future -ready portfolio of high -capacity data -centre -grade cables is well -positioned to capitalise on this growth in demand.

With the market momentum building rapidly, we expect a strong pipeline of orders.

After experiencing subdued demand for optical fiber cable over the past 6 –7 quarters leading to lower capacity utilization during

ring this period, we are pleased to share that our optical fiber manufacturing has now begun operating at full capacity starting Q1 FY26 as against 45% capacity utilisation during FY25. Our Optical Fiber Cable manufacturing capacity utilization was also 40% during last financial year. This will also start operating at full capacity by July 2025. With market conditions showing clear signs of recovery and new growth drivers such as 5G rollouts, data centre expansion, BharatNet Phase III execution, and rising export demand, our revenue from optic fiber cable during FY26 is expected to improve significantly. Our Passive Connectivity Solutions business for Optical Fiber Network in HTL Ltd., a subsidiary company is undergoing a strategic transformation with a sharp focus on expanding into global markets. Until now, this business was largely domestic, but starting FY26, we expect our revenue to increase from exports.

We have achieved a major milestone during FY 24 -25 by successfully developing indigenous MPLS Routers designed to support 5G backhaul, fiber broadband, and enterprise networks.

These routers are engineered to perform reliably even under stringent environmental conditions, making them suitable for both civil and defence applications. We have already secured orders worth Rs. 800 crore for this innovative new product.

HFCL achieved another significant milestone in FY24-25 by becoming the first Indian company to develop and commercially launch 5G Fixed Wireless Access Customer Premises Equipment, a critical enabler of last-mile wireless connectivity in the 5G era. In its very first year of launch itself, we have successfully despatched over 4 lakh units of this equipment, demonstrating strong market acceptance. With growing demand from telecom operators and ISPs, we expect to have

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continuous demand for such product. I am happy to inform you that during last week itself we have received another order of Rs.174 Crores for this product.

As we continue to grow, we remain firmly committed to sustainable business practices. We are proud to share that HFCL has received an ESG score of 70.9 from SES ESG Research, a strong endorsement of our efforts to integrate environmental, social, and governance principles into every aspect of our operations.

Our strategic investments in R&D, capacity expansion, strategic focus on defence, data centres and global market are now converging to create a robust platform for long-term, profitable growth.

I am pleased to report that our order book as on 31st March 2025 stands at Rs.9,967 crore, compared to INR 7,685 crore as at 31st March 2024.

Before I walk you through our financial performance for Q4 and the full year FY25, let me take a moment to set the context. FY25 was a year of both strategic advancement and transitional challenges. While our financial performance was impacted by the downturn in the optical fiber cable demand, margin pressure from newly launched telecom products and slower customer offtake in our EPC business, we remained focused on strengthening the foundations for long-term growth.

Let me now highlight our financial performance for FY25 & Q4 FY25

For the twelve months ended 31st March 2025, the Company reported consolidated revenue of **■ 4064 Crores** as against **■ 4465 Crores** in FY 2024, EBITDA of **■ 507 Crores** as against **■ 682 Crores** in FY 2024, Profit before Tax of **■ 217 Crores** as against **■ 454 Crores** in FY 2024 and Profit after tax of **■ 173 Crores** as against **■ 338 Crores** in FY 2024.

■ Revenue for Q4FY25 stood at INR 800.72 crore as compared to INR 1011.95 crore in Q3 FY25 and INR 1326.06 crore in Q4 FY24.

■ EBITDA for Q4FY25 stood at INR -22.33 crore as compared to INR 171.89 crore in Q3 FY25 and INR 209.29 crore in Q4 FY24; EBITDA margin in Q4FY25 stood at -2.79% as compared to 16.99% in Q3FY25 and 15.78% for Q4 FY24.

■ Profit After Tax

for Q4FY25 stood at INR -83.30 crore as compared to INR 72.58 crore in Q3 FY25 and INR 109.36 crore in Q4 FY24; PAT margin in Q4FY25 stood at -10.40% as compared to 7.17% in Q3FY25 and 8.25% in Q4 FY24.

■ Segment revenue from telecom products stood at 76% of total revenue in Q4 FY25 as compared to 58% in Q3FY25 and 27% in Q4 FY24.

With strong order book, demand pick-up and full capacity utilization, the Company expects growth of 25-30% in revenue of the current financial year on overall basis with major growth starting from Q2.

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Looking at the current robust order book, capacity utilization returning to full scale, strategic investments bearing fruit, and multiple global and domestic growth engines gaining momentum especially in Optical Fiber Cable, Defence, Telecom, and Data Centre connectivity solutions, we are confident of delivering a strong rebound in FY26. Our focus remains steadfast on innovation, global expansion, and sustainable value creation for all stakeholders.

Thank you for your continued support.

Operator : The first question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: My first question related to exports. Exports revenue, it's around 12% of the sales. And sir, what are the strategies in place to regain global market share, especially in Europe and the Southeast Asia? And what is the impact of reciprocal tariff imposed by U.S.? And how do we see exports side in coming years?

Mahendra Nahata: Look, definitely, export is the cornerstone of our strategy to increase revenue. If you just look at

one particular thing, minus China, if you exclude China, India would be probably 5% to 7% of the world market in telecommunication. 95% market lies outside. So if you have to grow, you have to go for exports.

Like for example, fiber optic cable, we started exports. Last year was and the year before that was subdued, because global demand has gone down. But we have been performing very well in exports. This year, again, we have started receiving good amount of orders from exports. The market has shown a big uptrend riding on the wave of hyperscale data centers where you need high fiber count cable.

For example, telcos need fiber count up to 96 fiber mostly and hyperscalers start from 864 fiber cable. So you can imagine what kind of difference it is. So with the increase in the demand outside India, particularly in North America and to Europe also, mostly because of the data centers and fiber-to-home, we are concentrating quite heavily on export in fiber optic cable, and we have started receiving orders, which are, to some extent, I would say, we did not expect in the beginning of the year but, it is much more than that.

Even to the extent that what we believe our expanded capacity of optical fiber, which we are expanding, which is almost completed the expansion by 100%, will also fall short of our requirement. We will have to still buy fiber from outside.

Simultaneously, we are now focusing on export of telecom equipment also, which again had taken some downturn, but now we are proceeding, again, created a separate organization for this telecom equipment export. And this year, we expect that we should have a reasonable performance in the telecom equipment export also.

Starting major items which will probably get exported would be Wi-Fi access points, where we are now going in for Wi-Fi 7-based access points, switches, and also at the same point of time, fixed wireless access equipment, which I discussed, followed by routers. So fiber optic cable and these are the equipment which we are concentrating on export.

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As far as fiber optic cable and passive connectivity solution attached with that are concerned, I think I'm quite sure this year, our exports will be in 4 figures.

And your second question was

what impact the reciprocal tariffs has? Now look, right now, the reciprocal tariff is at 10%. So 10% has not meant much of difference for us. It has been -- most of the cases has been equally shared between us and the customers.

But I can say, as demand from export has increased, margins have been also quite reasonable. So this 5% decrease in the prices in some cases, is not impacting much. It's not impacting much. We have to still watch for future.

Nobody is sure it will remain 10% or it will go away or but we have recommended to government from our side for optical fiber cable at least that you can have a 0 tariff for import, because nobody is going to import the fiber optic cable from U.S. But they are not doing that way. They are doing it as a basket for every product. So if it remains around 10%, maybe it goes up to 15%, I don't think we will have any significant impact on our exports.

Balasubramanian: Got it, sir. Sir, my second question related to data centers. So what's the difference between requirement from data center and TSP? And what kind of market on the global level and where we can focus in those data center areas?

Sir, why I'm asking this question, because earlier the demand is mostly related to telco capex, but data center can be the alternative for this cable requirements and other things. You have also mentioned higher hyperscale requirement for data center. This one of our competitor also mentioned about 25% of revenue from data center itself. I just want to understand your point of view on the data center side, please share your inputs?

Mahendra Nahata: Data center demand has really fuelled a very good growth in the demand of fiber optic cable. Data centers are mushrooming. Hyperscale data centers are mushrooming in all advanced countries. In India also, it has started happening, but not to that scale as it is happening in U.S. and some other countries.

And this is definitely an alternate opportunity for cable manufacturers to supply fiber optic cable. Not only fiber optic cable, we are, at the same time, doing the connectivity solutions, which are required within the data center, the passive connectivity solutions as they required in telcos, they are required in data centers also. And but the quality and the type is completely different.

So we are working on that also, so that not only we export cable, but also passive connectivity solutions. So definitely, no doubt that data center has emerged as a good demand opportunity for fiber optic cable of higher count. Higher count means much higher prices also. And I expect this is to continue for at least next 5 years, then it will stabilize.

And the reason is simple, so much of use of artificial intelligence. Everybody is using artificial intelligence these days. All means data. More data means more storage, more cloud, more

requirement , more capacity required. So all hyperscale data centers are coming up, which one could not have imagined a few months back till the time AI came. So this is a great alternate market opportunity, which has opened up.

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Operator : We take the next question from the line of Vaidik from Monarch Network Capital Limited.

Vaidik : I have two questions. Firstly, on the telecom side, I just wanted to know your views about the demand of FWA in India and in the international markets as well. And are we manufacturing FWA for India or for India only or for other countries as well?

Mahendra Nahata: Okay. Good. Fixed wireless access equipment is being in India and many other countries quite extensively. We are manufacturing for India and now the new designs which we are doing is for international market also. And I will tell you the difference.

For India, of course, fixed wireless access would have a continuously good demand, because this provides optical fiber kind of a broadband connectivity over wireless. Taking fi

ber to home

takes time. But on wireless, you can provide it on an immediate basis. Though the difference is it consumes spectrum, which is costly, but in case of fiber, the laying down cost is very high. So operator has to choose which one to use.

And all India n operator s are using fixed wireless access equipment very heavily. And we have supplied, as I mentioned, almost by now 0.5 million of that or maybe more than 0.5 million of that and received a new order of 200,000 also, about INR173 crores. And we expect to receive more such orders in the current financial year.

Now for the export market, again, the difference is the particular spectrum you use for providing fixed wireless access. Different countries use different spectrum, different type of fixed wireless equipment. India, we are using outdoor equipment. But in foreign countries, the advanced countries, mostly they use indoor equipment, and a different spectrum also. So now the next generation of equipment, which we are designing and the pilot production i s already on rather . And some of the cases, samples also have been submitted to the customers for testing in their network, where the frequency band is, again, the same which is being used in those countries. And it is indoor version, not outdoor.

And in c ase of indoor version, what additionally you have to do integrate with the Wi -Fi. Within outdoor version, Wi -Fi is inside the house, because outdoor WiFi will not work. So WiFi has to be included in the fixed wireless equipment itself.

It has to be integrated within the fixed wireless equipment. So those versions are also ready. And I think this year would be here, we should be able to start exporting this FWA equipment for different other countries also.

Vaidik : Okay, sir. And sir, the next question is on the defense side. So I just wanted to know what is our outlook on the demand for defense product in India? And what role are we playing in the defense sector?

Mahendra Nahata: Look, outlook, I don't have to tell you, because this last month or this month beginning, what happened across our border that itself tells you the kind of defense preparedness country needs to have to thwart the design of any enemy, whether from west or w hether from north or any place.

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Really government has, in my personal opinion, has awoken to the possibility that defense preparedness needs which is good, but it needs to be a much higher level. And that's why you read in newspaper, the emergency procurement funds are getting allotted. And it is my opinion that budget for the defense forces definitely will have to be increased if we want to increase our preparedness.

Our forces are very brave, very brave. And in fact, I will not be violating any confidentiality if I tell that even HFCL, 36 people from HFCL were present throughout the border from Uri to Udhampur, working on the NFS network for the Army, which is a dedicated network we have created to do any sort of a repair / replacement if any portion of th at network was hit by enemy forces.

And I'm also happy to tell you that we have received commendation letters from various Army units for the kind of service our people have done, various commendation letters, and you will be very pleased to hear know that the kind of language they have used praising our efforts, HFCL's efforts, there has been really I am proud of that. So coming back, the demand of defense equipment is going to be definitely very high.

And we are concentrating in a couple of areas. One, ground surveillance radars, which are going to be used for ground surveillance and also for coastal surveillance. And those have been tested by our team, and they are ready for sale now. And this year, we expect revenue to start flowing in from surveillance radars.

Second is night vision devices, which are also, again, indigenously designed like surveillance

radars.

And night vision devices, we participated in two tenders rather. One we won, one we could not. But what we won is roughly about INR45 crores. The supply of that for that would also start in Q2. And we have participated in a couple of more tenders for the same equipment, which results are still awaited. So supply for this equipment would start from Q2.

Then communication equipment, of course, which is our forte, we are working on those areas.

Then electronic fuses, which is one product. Again, HFCL is the only company which it has designed and which has its own IPR on that.

Unfortunately, we could not be part of the last tender because there were some software issues noticed in our fuse and they did not give us time to correct that, whereas we could have done it in a few days. But anyway, that's a history 3, 4 years back.

Now they have to be retried, retested. And for that, we need ammunition and ammunition is to be supplied by government directly to DRDO. And they had given us a 6 months' time, even with advanced payment to supply of that ammunition. So we paid about 4 or 5 months ago.

Now they promised that supply would be made during the beginning of the next month. And then, they would be tried by DRDO, which we allotted a range in Balasore in Odisha to try that. I'm sure this small defect has already been rectified, which is lab tested. And that would be one equipment, which is fuse for artillery guns.

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And it has a huge demand, not only in India, but worldwide. Worldwide, a huge demand opportunity for that. We keep on receiving inquiries every now and then for these kind of fuses. Every now and then we keep on receiving inquiries.

So once that tested in the month of June, we should be able to start marketing those equipment also, because unfortunate part is we cannot test it ourselves. It requires a range where you can fire these artillery guns.

Range has to be some 18, 20, 30 kilometres, and we can not fire artillery guns by ourselves. So it has to be tested by DRDO or Army itself. But with that defect, whatever the so called defect was having rectified, this is one product, which would be golden product, I can assure you.

Then, of course, -- we are designing that drone detection radar, which should be in production in the current financial year itself. Right now, it is undergoing the final phase of software integration and then the trial would start. That is another area we are working very closely.

And also, of course, now we have taken -- joined hands with DRDO, Defense Research and Development Organization also, and taken transfer -- a couple of technology transfers from them, where the ready technology is being transferred to us, and we will be manufacturing those equipment also.

One is, of course, battlefield radio equipment and another is multimode hand grenade. So this will be the first time we will be going in ammunition area. So that technology has also been approved by DRDO to be transferred to us.

And for multimode hand grenade, the trial production for approval, you have to produce 100 units and give it to them and they would try it out, has already begun in our Hosur facility, where as I said in my presentation, we have created a facility to manufacture defense equipment. So pilot production or trial production, you can say, has already started. So these are the areas we are working in defense at the moment.

Operator : We take the next question from the line of Rishabh Vasa from Indsec Securities.

Rishabh Vasa: So my question was regarding the optical fiber cable market. So how long do we expect this trend to go upwards? And what kind of revenue growth are we expecting in FY '26?

Mahendra Nahata: Look, as I said earlier in an earlier question, I think next 5 years, the trend is going to be upwards, led by U.S. because the data centers, the way they are mushrooming in U.S.

. is incredible. And

it would have followed everywhere in the world because artificial intelligence, IoT, machine learning, all these are going to happen worldwide.

You will see the progress on this computer and IT industry in the next 5 years, which you would not have seen in the last 25 years. Next 5 years is going to show you more development, more progress in this industry than what you saw in last 25 years. A major contributor to that is artificial intelligence.

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When you work on your computer, using artificial intelligence, how easy it becomes to work and how fast it becomes to work, you can understand -- you know yourself and that all means more data, because that is happening quickly. So hyperscalers are coming up worldwide, it's a mushroom growth.

So this is going to lead to major creation of demand, because of high -capacity cables required, 864 fiber, 1,728 fiber, whereas telcos have been using 96 fiber, 48 , 24 fiber. So from data center application, at least next 5 years.

But as the data center application increases, the demand for transmitting and transporting data from one city to another city, one continent to another continent, one country to another country are also going to happen rapidly, because they are complementary to each other. So there will be increased demand from telcos also.

And then, when you want to use artificial intelligence kind of high bandwidth requirement, more fiber -to-home connectivity would be required, either it is going to be fixed wireless access, like what I talked a little bit back or it would be fiber optic connectivity.

In any case, demand of fiber optic cable would again be there, either for home connection or data center applications or intercity or intercountry requirement. So at least for next 5 years, this demand is going to keep on increasing. And then, of course, you have a requirement like rural connectivity where governments want to connect all the villages like in India, BharatNet program is happening, those demands will be in addition.

Rishabh Vasa: Got it. Got it. And would it be possible to put a number on the growth for FY '26?

Mahendra Nahata: Well, growth as far as our company is concerned, again, this is a pure estimation based on our current demand and growth potential. Last year, we had a very dismal performance of fiber optic cable, because of the worldwide demand had gone down. And that was a situation with every manufacturer in the world, not only HFCL, our competitors or friends in our country or if you take big companies like Corning, Prysmian , and OFS, any company you take, they had a huge downturn in the revenue from fiber optic cable business.

Now this year, against the revenue of INR1,100 crores last year, with all humbleness, I can say, with the kind of orders we are receiving from data centers, telcos, locally, exports, I am of the opinion that we will grow by at least 100% this year as compared to last year, 100%. And this is not a guidance.

Please note, this is not a guidance. I'm giving purely this number from my present knowledge and the kind of order book we are creating. I am quite certain. I expect that this year, our revenue from fiber optic cable and associated business is going to grow by about 100%.

Operator : We take the next question from the line of Kriti Tripathi from NVS Brokerage.

Kriti Tripathi: So my first question is on the margins. As you just said that you expect a revenue growth of 25% to 30% in terms of revenue for FY '26. So how should we think about the margin trends? And

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can we expect the EBITDA and PAT margins to remain in line with the FY '25, which was around 7% for PAT?

Mahendra Nahata: Yes. In terms of percentage, I think it will remain stable around the percentage what we have in FY '25. I don't say that they would increase dra

atically or significantly. I'm not giving any such guidance, but I think it will remain steady what we have in FY '25, because this particular year, it had gone down drastically, because of low revenue. And for the reasons which I explained that why the revenue was low. But what was in FY '25, I think we should be able to maintain that.

Kriti Tripathi: Okay. So not the FY '24 figures of PAT margin, right? In FY '24, the consolidated PAT was around 7%. In FY '25, it was around 4%. So that is what we expect in the current year, right, sir?

Mahendra Nahata: No, no. What I'm saying is EBITDA margin of what was there, not in FY '25. So I'm talking of FY '24.

Kriti Tripathi: Okay. Understood.

Mahendra Nahata: Sorry, I missed out the year. This year was negative margins and all that. So for FY '24, what margins we had , we should remain stable around those margins.

Kriti Tripathi: Sure. And sir, the next question is on the capex side. So can you say like can you just what would be the capex outlay for the current year? And what would be the areas of focus of the same?

Mahendra Nahata: Look, right now, there is no major capex outlay envisaged apart from what we are already doing in optical fiber and optical fiber cable business, which has already been approved, planned and

all done.

There are two kind of capex, which is in offering in optical fiber and optical fiber cable business, which is expansion of capacity, particularly for newer kind of cables, which are required in data center and those kind of applications, which is we have already placed orders for machinery import. We have opened LCs and all that. And the total expenditure, which is going to be made is around INR138 crores.

Now the way that we are receiving demands and getting orders, my team has come back and told me we need more expansion. So we have not plan ned for that right now. And to some of my customers, I have told, I would only do more expansion if you give me a 3 -year contract. Otherwise, why should I put my money right now on the basis of current demand only. If you give me 3 years requirement, then possibly I can do more. But yes, INR138 crores is being spent on this expansion of fiber optic cable manufacturing facility over and above what we already have.

Now second area of capex, some capex could be the defense. where manufacturing facility we have already created, but certain amount of test equipment, testing, pilot production are always required. So some amount of capex will be required in defense equipm ent business also. And

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that may be not much. That may be something around INR50 crores or so. It would not be much, maybe around INR50 crores.

Moderator: Next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Sir, what's t he current scenario on the inventory levels for global operator levels? And what's the price ranges for optical fiber and optical fiber cables?

Mahendra Nahata: Look, inventories, one of the reasons why market was sluggish for 2 years, because people had built up huge inventories. So 2 years back, if you see fiber optic cable markets are booming like anything. There was no delivery available in U.S., delivery was 52 weeks. So people accumulated a lot of stock with the expectation that market would remain li ke that. But downturn in demand of China and lower demand in rest of the world and that time, data centers, hyperscalers were not there as much.

What happened, the built -up inventory consumptions took a lot of time? And that is why the fresh demand was ve ry low. Now what has happened, that inventory is no longer there. It has been consumed in the last almost 2 years. And new demand opportunity has come up like hyperscale data centers and all that and fiber -to-home and all that.

As a result of that, now t here is no such inventory left with the operators or data c

enter providers.

There's no such inventory left. And that is why you see a huge increase in the demand of fiber optic cable. And as I said, I think it will continue for at least 5 years. And this y ear, because of this kind of a demand, we expect to double our revenue from fiber optic business.

Balasubramanian: Sir, secondly, on that optical fiber and optical fiber...

Operator : Sorry to interrupt.

Mahendra Nahata: Let him continue this one.

Balasubra manian: So optical fiber and optical fiber cables pricing and...

Mahendra Nahata: Pricing, I will tell you. Yes. Fiber optic cable, the price which was coming to be around INR840 per fiber ki lometer for cable is now around INR905 fiber kilometer. The fiber price, which was around INR266 in 31st December 2024 is around INR259 right now. So very marginal difference, while cable prices have gone up a bit per fiber kilometer, fiber price has gone down a bit. But again, these ar e very marginal changes. There are not much of changes. It remains almost stable between December and March.

Operator : Next question is from the line of Giriraj Daga from Visaria Family Trust.

Giriraj Daga: So my first question is regarding the order book. So we have roughly mentioned about INR10,000 crores of order book. When I look at the presentation, we have given the breakup between network service, O&M and products, and one segment was the government and the private.

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What I would look out is that can we have the breakup between what you are mentioning between like what is the OFC, optic fiber and optic fiber cable -related order book? Second would be how much is the turnkey order book?

Mahendra Nahata: I can give you the breakup for that. The order book from telecom products, I would say, telecom products, which includes optical fiber cable, routers and everything is roughly about INR2,227

crores, out of which 50% is optical fiber cable, 50% is other telecom equipment, which includes, as I said a little while ago, INR800 crores from routers, about INR200 crores from fixed wireless access customer premise equipment, optical transport network and WiFi equipment. This is about INR2,200 crores.

Then roughly about INR4,000 crores would be from turnkey EPC solutions, EPC. EPC would be INR 4,000 crores, which includes orders which we have received from BharatNet, of course, which includes orders from Jio, which includes orders from various other projects, different, different other projects. It is about INR4,000 crores.

And we are very cautious in taking orders in EPC. Only those orders we take where we expect the payments to be made in time and not based on milestones which are not under our control, because customer may delay, but if it is milestone based, I don't get paid, which happened in NFS in our case, which I'm very unhappy about.

Though Army is praising our network so much, but at the same point of time, we are not getting paid, because of non-completion of milestones, which is not my fault, which is a fault of either BSNL or Army itself. So we are taking orders only those orders, which are under our control in milestone and where the payment is quick.

Recently, I would not name the customer, I refused an order, which could have been more than INR2,000 crores for EPC. I refused. I was not sure about payments, when would they come and when would I be able to do that cable laying, because things were under not my control. So we refused INR2,000 crores order, I refused INR2,400 crores rather. I just refused. I did not take.

Giriraj Daga: Understood. So that's like 4,000 turnkey and telecom is 2,200 -- 2,200, 2,300.

Mahendra Nahata: And O&M is roughly about it will be INR3,675 crores. Defense is INR1,000 crores. BharatNet is about INR1,600 crores and different other projects put together will be INR700 crores or INR800, which is good that such kind of order

book for O&M is very good, because then you start receiving yearly revenues, which are annuity kind of revenues and O&M profitability is a bit better than a normal profitability in your normal business, in supply. So because it's more of a service business rather than supply. So this kind of an order book for O&M is, I think I feel pretty happy about.

Giriraj Daga: Okay. O&M is like what 10 years or 15 years kind of.

Mahendra Nahata: It depends upon it starts from 7 years, goes up to 10 years.

Giriraj Daga: Okay. 7 to 10 years. Okay. And any particular reason for this quarter, very weak performance in turnkey contracts?

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Mahendra Nahata: Look, it's again, customers' dependent. Some cases, customers change sites. In some cases, they wanted to go a bit slow because of their own reasons. So it was mostly because of reasons from the customer side and some of the orders which we did not take, because of payment situation, we were not certain about. So it was major reason was that only. But this year, it should improve because BharatNet, where the payment conditions are good, we are going ahead.

And I think private telco should also increase their EPC orders, which last year was practically one fourth of what it used to be earlier, one fourth. This year, I think it should become better.

And BharatNet should also give us reasonably good revenue, which was not there at all last year.

This year, there should be some mid 3-figure revenue coming up from that also. So this year, it should become better. But again, as I said, we are very selective about EPC orders.

Giriraj Daga: Understood. In our segment reporting, we mentioned telecom products. So does like where do we account for the defense? Is it part of the telecom products only, any revenue in defense products?

Mahendra Nahata: Defense last year, you find that there were hardly any revenue from defense products. So it's not anywhere. But when we report it, we will report it separately.

Giriraj Daga: Okay. So this year, probably it's likely that we will have a separate reclassification of that.

Mahendra Nahata: Yes, definitely. As I said just now that we will be starting delivering one of the products from Q2 both products, two products, we'll be starting delivering from Q2. So definitely, it will be reported separately. In Q2, we will be starting manufacture sorry, supply of those equipment.

Giriraj Daga: Okay. My last question is on capex. You mentioned about INR138 crores. Have you placed order? Was it part of FY '25 payment? Or will it be part of FY '26, INR138 crores for...

Mahendra Nahata: Yes, this would be this year, because we have placed orders, machineries are yet to be delivered. Some advance has been paid so me 5% or so. The advance has been paid of this INR138 crores.

But rest of them, LC has been opened. And when the shipment takes place, of course, at that point of time, we'll be paying for that.

So and those are very essential equipment in a sense that, when I talk of 100% additional turnover revenue this year, those machines are part of it because those machines are for specifically new types of fiber optic cable, which are required. I hope any of you would like to

visit our factories in Hyderabad, where you can see these new machines and expansion and fiber and fiber optic cable production.

So those are the machines which are required, where the payment would be once -- apart from the advance which we have given, which is 5%. And that also we give against bank guarantee. But those are all reputed companies, bank guarantee or no bank guarantee. So those payments will be made in the current year.

Operator : We'll take the next question from the line of Deepesh Sancheti from Maanya Finance.

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Deepesh Sancheti: I want to know about how much time would this tran

sitional period you said that we are going

through a transition phase. How much time according to you would take? And when will we see the parabolic growth, which we all have been waiting for?

Mahendra Nahata: Yes. I think this transition phase we say, you can say quarter 1 maximum, this quarter. And quarter 2 will start showing much better results improvement. Quarter 3 would be even better, quarter 4 should even be better. This is all, again, I say it's not a guidance based on my best of my opinion and expectation. This transition phase should last in quarter 1, that's it. Because some of the -- many of the orders which you have received, we start delivering from quarter 2.

This higher fiber optic cable, the new machines arrives and then we start dispatching those cables. Current machines will give 100% output. Fiber is already giving 100% output. Rather fiber optic cable now, they will also give 100% output from July onwards, though it can happen from June, but let us say July. In June, it may be 80% to 90%. But the further increase in revenue would happen once these new machines for which LCs have been opened would arrive, there will be further increase in revenue with those machines.

So that's why I see the transition period. But with all this capacity utilization improving, orders for new orders for supply of fixed wireless access equipment, implementation of BharatNet project, starting supply of routers and all those kind of equipment, this all would mean that this transition period would end in this quarter.

Deepesh Sancheti: Great. And also, when you mentioned about the order book, whether it is telecom products or EPC or O&M, we will maintain a similar margin profile? I mean, will we have a similar 15 % margin on EBITDA margin on everything? Or will it be different?

Mahendra Nahata: Look, it depends from different products from different time. I cannot again say that X product will always have X, Y margin, because it becomes -- can vary customer to customer, quantity to quantity, time to time. One customer on fiber optic cable may give you 10% net margin.

Other can give you 20% net margin or the third one can give you only 5% net margin. Somebody like Reliance, for example, they will not give you more than 5%. They know the cost of every raw material and they add it together and add your 5% and give you the order. You know how they function.

Deepesh Sancheti: Absolutely.

Mahendra Nahata: So, it goes from 5% to 20% from different people, different companies to different customers. But yes, some of the customers would give low margin, but they make payment quite fast, like Reliance as an example, low margin, but quick payment. So fine, you are not worried about low margin because working capital roll over is much faster.

Deepesh Sancheti: Right. Sir, I mean, very exciting to hear about drone detection and fuses. What is the progress on drone detection? And also the fuses, you mentioned that you already paid for the artillery to the DRDO and you're expecting results by around Q2. Is that the right timeline? And what about drone detection? I mean, especially if you can throw some light on the drone detection.

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Mahendra Nahata: Let me talk on the drone detection. That is in the final stage of software integration, software, hardware integration that is happening. And lab trials are happening. I think in 2 to 3 months' time, we will take it for field trial. And once the field trial, you will find some bugs and all that always happens. So it would be iteration would be there. But in this year itself, we would start production of those drone detection radar.

Another thing which we are doing, which I did not mention in my presentation, though, is talking to a possible partner to who has a soft kill option. Soft kill means you neutralize the drone either by jamming his GPS or blocking his frequency.

That frequency which is operating, so he loses

communication with his command center, and it falls down. GPS and this both jamming can

take place.

That's why it called soft kill. It's not a gun or a bullet or a laser. It's a kill by jamming the spectrum or GPS. So we are talking to a possible partner. When we integrate which will take some time, when we integrate our radar and the soft kill option, the demand would become even better. Right now, it is radar, but there is going to be a huge demand opportunity for radar also for detecting incoming drones.

And beginning of this month, we have seen why do we need to detect the drones, how they come, hundreds and hundreds of them come. So detection becomes absolutely critical. The radar we have designed, a single radar can detect 100 drones at one single point of time. And maybe 1 centimeter length drone, which is a very micro drone that also would be detected by this radar.

Operator : Next question is from the line of Hardik Vyas from ET.

Hardik Vyas: Sir, I had a couple of questions. The first one being, what is the status on the BMP upgrades that we were thinking about in the previous quarters?

Mahendra Nahata: Yes. Look, this RFP is due on 1st July. 1st July, the RFP is due. It was due earlier in May, but they postponed it. Now it is due on 1st July. And we will definitely be participating in that. It's on 1st July. So we are waiting for date to come and to participate. As you know, five companies are shortlisted, Tata, L&T, governments' ABNL, ourselves and one of the companies, I forget the name where Adani also has got equity. I'm forgetting the name. So they are the five companies shortlisted.

And in the UT TR, the user trial, which had happened, readiness trial, where our BMP modified BMP functioned the best. Now of course, the RFP would be tender would be there where we have to participate. And who becomes L1, depending upon that order would be placed. But right now, the current date of submission of tender is 1st July.

Hardik Vyas: Okay. And sir, what would be the size of -- possible size of the order if we get it?

Mahendra Nahata: Yes. If I tell you the size, then I'm divulging my tender details.

Hardik Vyas: Okay. Not a problem. Sir, the second question is about the NATO order that we were likely to get from some export.

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Mahendra Nahata: And the problem that happened is this delay in DRDO trial, which is, I paid money 6 months back and the 70 or 80 shells of ammunition of Munitions India Limited, not DRDO. This is Munitions India Limited, a government company, has not supplied till today. I don't want to say negative about government companies, but you can imagine what I'm trying to say.

Hardik Vyas: Okay. Okay. So is it likely in the near future? Or will it take a little bit of time.

Mahendra Nahata: June. They are now promising June.

Hardik Vyas: June. Okay. And sir, my last question is for the drone detection radar and other defense products that we are developing and probably from the second quarter, we will have contribution in the revenues. What is the opportunity on the export front for these same products that we are going to sell to?

Mahendra Nahata: There is a reasonably good opportunity. For fuses, for example, I'm receiving inquiries every now and then from different countries. I received another inquiry just 3 days ago for 20,000 fuses, just 3 days ago. We are receiving inquiries from a number of countries. There's a huge opportunity for export of fuses for artillery guns, particularly 155 mm proximity fuse.

Everybody wants that. But unfortunate part is, as I mentioned, our own default in our country that you are not able to get 70 pieces of ammunition to fire, whereas military must be firing during this war, 700 pieces every minute.

Hardik Vyas: Okay. Okay, sir. And the last question is, sir, for our EPC

business that we did in FY '24, not

FY '25. So we would be replicating that those numbers for this financial year?

Mahendra Nahata: Not giving any guidance, To the best of my knowledge and order book which we have, it would be somewhere between INR1,200 crores to INR1,500 crores.

Operator : We take the next question from the line of Lakshmi Narayanan from Ksema Wealth Private Limited.

Lakshmi Narayanan: Sir, you have said you are guiding for 100% revenue growth. Could you just say from which segment would be the driver? And also, could you put a number on the same, sir?

Mahendra Nahata: Let me be very clear. I said 100% growth in fiber optic cable and associated business, not on an overall basis. That's just limited to fiber optic cable and associated like passive connectivity solutions and all that. And this is on different variety of customers, indigenous, export, data center, drop cable, normal cable and those kind of things.

Lakshmi Narayanan: Sir, as telecom products as a whole, what would be your expectation, sir, if it's possible to put a number?

Mahendra Nahata: Telecom equipment business?

Lakshmi Narayanan: Yes, telecom products as a whole.

Mahendra Nahata: Again, this is no guidance. This is just based on my current orders and expectations of orders which we have. I would again say it's something like INR1,200 crores to INR1,500 crores. I'm not giving any guidance. Don't take any of the number I've given as a guidance. These are my estimation based on my current order book and expected orders.

Operator : Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments.

Mahendra Nahata: Thank you, Navya. I thank you all of you who have come and attended this call. And I can again assure you that though the last quarter of the last year was not the same as you desired as it was a period where fiber optic cable demand was very low, same point of time, EPC operator's and the customers decided to shift size or remain quiet for some time and also macroeconomic situation around the globe.

This transition period, as I also said, should be into the best of my estimation and in the current -- during the current -- after the current quarter. And in Q2, we should start picking up revenue from defense equipment business significantly. And at the same point of time, we would also start getting revenue from new products like routers. This is a new product, but still we have got an order of INR800 crores.

So with this increase in revenue from defense, fiber optic cable, major increase in fiber optic cable, start of revenue from defense segment, then EPC revenue coming up, including from BharatNet program. And I also expect BharatNet, whatever has happened till now is not the end, state-led models of 7 or 8 states is still to come up. Once that comes up, I believe the Company should get reasonably good orders from that segment also.

Till now, what orders we have got from BharatNet is roughly about INR4,800 crores. But those are the 13 circles. And we expect more from these 13 circles, of course. But from the upcoming tenders of different states, which have not yet come, again, we expect good size of orders to come to the Company. So there would be real good rebound in FY '26. And fiber optic cable, as I said, should see 100% progress.

And as also I mentioned for other areas also. So I look forward with good optimism for financial year '26. And this every sector, company has this kind of a transitional period, because of demand situations in the sector and the worldwide demand and when you're quite dependent on exports, that kind of a situation, but it improves rapidly also, which has happened in our case, because of mushrooming of data centers and renewed demand from telecom operators.

So thank you very much. Look forward an excellent

'26. Thank you very much. Thanks to all of you.

Operator : On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Mahendra Nahata: Thank you.

Call: Aug 2025

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RE: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015 (the “SEBI Listing Regulations”).

Subject: Transcr ipt of Conference Call on the Un-audited Financial Results of the Company for the 1st Quarter ended June 30, 202 5, of the Financial Year 2025 -26.

Dear Sir(s)/ Madam,

This is further to our earlier announcement dated July 25, 2025 .

In terms of Regulation 30 read with Para A of Part A of Schedule III to the SEBI Listing Regulations, we hereby submit Transcript of the Conference Call held on July 25, 202 5, on the Un-audited Financial Results of the Company for the 1st Quarter ended June 30, 202 5, of the Financial Year 2025 -26, which were considered and approved by the Board of Directors of the Company, at its meeting held on July 25, 202 5.

The aforesaid Transcript will also be available on the Co mpany's website at <https://www.hfcl.com/> .

You are requested to take the above information on records and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,
For HFCL Limited

(Manoj Baid)
President & Company Secretary

Encl: Copy of Transcript.

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“HFCL Limited Q1 & FY ‘26 Earnings Conference
Call”
July 25, 2025

MANAGEMENT : MR. MAHENDRA NAHATA – PROMOTER AND
MANAGING DIRECTOR

MR. VIJAY RAJ JAIN – CHIEF FINANCIAL OFFICER ,

MR. MANOJ BAID – COMPANY SECRETARY

MR. AMIT AGARWAL – HEAD OF INVESTOR

RELATIONS

ANALYST : MR. MOHIT LOHIA – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the HFCL Q1 and FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes.

Statements made during this call may be forward -looking in nature based on management's current beliefs and expectations. They must be viewed in relation to risks that HFCL's business faces that could cause and future results, performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements. Investors are therefore requested to check the information independently before making any statements or decisions. Should you need assistance during this conference call, please signal an operator by pressing “*”, then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Lohia from ICICI Securities. Thank you, and over to you, sir.

Mohit Lohia : Yes. Thank you, Shruti, and good evening, everyone. Thank you for joining us today for the Q1 FY '26 call of HFCL Limited. First of all, I would like to thank Management for providing us the opportunity to host the call.

From the Management side, we Mr. Mahendra Nahata – Promoter and Managing Director , Mr. Vijay Raj Jain – Chief Financial Officer , Mr. Manoj Baid – Company Secretary , and Mr. Amit Agarwal – Head of Investor Relations.

So without further delay, I will now hand over the call to Mr. Nahata for opening remarks. Thank you, and over to you, sir.

Mahendra Nahata: Good evening, ladies and gentlemen.

I extend a warm welcome to all of you on HFCL's earnings call for the first quarter of FY26. I trust you have had the opportunity to review our financial results, press release, and investor presentation, which are available on our website and the stock exchanges.

As we step in FY26, India continues its strong momentum as a hub for digital innovation and self-reliance. The Government's push towards Artificial Intelligence, 6G readiness, and indigenous technology development is rapidly reshaping the country's telecom and defence ecosystem. The Department of Telecommunications, in collaboration with academia and industry, is laying the groundwork for AI -native 6G networks, which are poised to define the future of ultra -high-speed, intelligent connectivity. HFCL is actively contributing to this national mission by developing next-generation technologies for 6G in collaboration with premier academic institutions. These initiatives not only position India as a future -ready digital powerhouse but also reaffirm HFCL's commitment to being at the forefront of technological advancement.

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India's 5G rollout has made phenomenal progress. In just 22 months since launch, 5G services now cover over 82% of the population, with more than 4,70,000 5G sites installed. While rural 5G coverage is still in progress, India has already achieved near-universal 4G penetration across its villages. This swift infrastructure expansion is a testament to the sector's agility and commitment to digital inclusion.

Q1 FY26 marked a strong and encouraging start to the year, with healthy momentum across our key verticals —Telecom, Optical Fibre Cables, Passive Connectivity Solutions, and Defence. The emergence of hyperscale datacentres and progress in implementation of BharatNet has opened up very encouraging new business opportunities for HFCL both for optical fibre cable and passive connectivity solutions and telecom products. Modernisation of defence forces will also

lead to increase in demand for defence products.

After nearly six to seven quarters of subdued demand in our Optical Fibre Cable business, we are now witnessing a strong resur

gence in global demand. This renewed momentum, beginning in Q1 FY26, has enabled our manufacturing facilities to operate at optimal levels. The increase in business activity has translated into consistent and efficient plant operations, marking a notable improvement from the muted performance observed up to Q4 FY25. The revival in demand has led to a notable increase in revenue contribution from this segment, further strengthening our growth trajectory in the connectivity domain. Our Optical Fibre Cable business continues to remain a key growth engine for HFCL. During Q1 FY26, we secured export orders worth approximately ₹300 crores and achieved export revenues of around ₹210 crores.

This quarter also marked the onboarding of several reputed global customers, along with repeat orders reflecting strong customer satisfaction and trust in our offerings. We obtained product approvals from many leading customers, further strengthening our global footprint. Additionally, our high-value fibre products are gaining significant traction, particularly in European and Asian markets, which are known for their stringent performance standards and competitive benchmarks.

The global demand for high-capacity fibre infrastructure is entering a transformative phase, fuelled by the rapid growth of hyperscale data centres, and next-generation digital infrastructure. These applications require scalable, high fibre count optical networks. With the unprecedented increase in hyperscale datacentres, we anticipate a sharp surge in the requirement for high-count fibre cable, particularly Intermittently Bonded Ribbon (IBR) cables, over the next few years. I am pleased to share that HFCL already has strong order book for high capacity IBR cables, with a very strong pipeline of additional opportunities under discussion.

With the sharp increase in demand for high-count fibre, particularly IBR cables, we are significantly expanding our manufacturing capacity to ensure that we are well-positioned to capture a significant share of this high-growth market. To further strengthen our leadership position in advanced OFC technologies, the Board of Directors, in its meeting held on 11th July, 2025, approved the expansion of IBR cable capacity from ~1.73 million fiber kilometers per annum to ~19.01 mn fkm /per annum at our Hyderabad and Goa facilities. This will enable us to

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meet rising global demand, particularly from North America and Europe, where we already have orders from major customers. With this planned expansion, our total optical fibre cable manufacturing capacity will increase from ~25.08 million fibre kilometers to ~42.36 million fibre kilometres per annum, significantly enhancing our ability to serve both domestic and international markets. This enhancement in capacity will make HFCL one of the leading supplier of optical fibre cable internationally.

This enhancement in manufacturing capacity of IBR cables aligns with our strategy to diversify our cable portfolio and reinforce HFCL's position in high-value, high-volume international market segments. With the strong traction we are experiencing particularly from international customers, we are confident that our Optical Fibre Cable business is poised to more than double its revenue in FY26 compared to FY25. This growth reflects not only a recovery in demand, but also a structural shift in the global optical fibre landscape where HFCL is positioned well to lead. Our Passive Connectivity Solutions (PCS) are playing a pivotal role in resolving last-mile challenges faced by telecom operators. By offering integrated, ready-to-deploy solutions for urban, rural and enterprise networks, we are not only improving network efficiency and uptime but also deepening our value across the entire connectivity ecosystem.

On the Passive Connectivity Solutions front, we secured several orders across both

domestic and

international markets. As part of our long term strategy, we are committed to have significant revenue from this segment of our product portfolio.

HFCL is sharply focused on tapping into the massive opportunities emerging from the explosive growth of hyperscale data centres. Apart from high count fiber cable, we are also developing passive connectivity solutions specifically for data centers. We expect to have significant increase in revenue from passive connectivity solutions business with data centers also.

We also expanded our Cable Reinforcement Solutions globally with export orders for UV FRP Rods to the US, Belgium, UK, and Saudi Arabia, along with a repeat order for Thermal FRP Rods from an international cable manufacturer. These components are critical in ensuring the structural integrity and durability of modern fiber optic networks, especially in challenging environmental conditions.

In the telecom equipment space, we achieved a major milestone by successfully developing indigenous MPLS Routers designed to support backhaul, fiber broadband, and enterprise

networks. We are proud to be the only Indian manufacturer, aside from Tejas, to develop such routers. These next-generation routers are engineered to deliver carrier-grade performance even under harsh environmental conditions, making them well-suited for both civil including rural and Defence applications.

We have already commenced commercial deployment of routers in a domestic telecom network under real-world traffic conditions, successfully validating their capabilities. HFCL has secured orders worth ₹650 crore for routers under the BharatNet Phase III program and expects to receive

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significant additional orders as more states roll out their implementation under BharatNet program.

While the domestic market itself presents strong growth opportunities, we also see immense export potential for our routers—given the global demand for secure, scalable, and self-reliant connectivity infrastructure. This reinforces HFCL's positioning as a technology-driven company with a robust, future-ready product portfolio. Our strategy to move up the value chain by offering smarter, technology-led telecom products is showing strong results. We continue to expand our offerings across 5G, and enterprise connectivity. Recently, we secured a repeat order worth ₹175 crore for our indigenous 5G networking equipment, underscoring our 'Make in India' capabilities.

In the defence vertical, HFCL made transformative progress during the quarter. We secured a landmark contract for thermal weapon sights for AK-203 rifles. This achievement highlights our R&D maturity, manufacturing capabilities, and adherence to stringent defence quality standards. Additionally, we are declared as L1 bidder in a ₹90 crore tender for tactical cables, which are deployed by the Army in battlefield conditions. These cables are a vital part of HFCL's high-performance connectivity portfolio, designed to ensure secure, resilient, and mission-critical communication in demanding operational environments.

We also signed three Memoranda of Understanding with UAV manufacturers to co-develop next-generation unmanned aerial platforms and weaponized drones aimed at modern warfare, surveillance, and logistics applications. In parallel, we are developing a state-of-the-art drone detection radar with soft kill option, which is expected to enter the production phase within the current financial year. Lab trials of this product is currently underway, with field trials expected to start shortly. The product has already generated strong market interest, given the rising need for autonomous aerial threat management systems.

Further, our electronic fuzes for artillery guns are also scheduled to undergo live testing in August by DRDO, following the recent receipt of ammunition from Munitions

India Limited.

This marks a key milestone in our defence roadmap, with production expected to begin soon after successful trials.

We have signed two Technology Licensing Agreements with DRDO for Compact Transhorizon Communication Systems and Multi-Mode Hand Grenades—strengthening our role in providing high-performance battlefield solutions. We are also in advanced stages of securing technology transfers from DRDO for Mechatronic Fuzes, Weaponised Handheld Thermal Imagers (WHHTI), and Compact Airborne Multi Sensor Optronic Payload (CAMOP) for UAVs. We have also applied for ToTs for UAV-Launched Precision Guided Missiles (ULPGM) and Very Short Range Air Defence Missiles (VSHORADS). These developments reflect our deepening collaboration with DRDO and reaffirm our commitment to delivering scalable, indigenous, next-gen defence technologies.

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The recent geopolitical conflicts and rising global security concerns have accelerated defence modernisation efforts across the world. In India too, the Government's renewed focus on indigenisation and advanced warfare capabilities has created opportunities for companies like HFCL. With our deep R&D capabilities, cutting-edge technology solutions, and commitment to Atmanirbhar Bharat, we are strongly positioned to contribute meaningfully to India's defence modernisation journey and tap into the growing demand for defence products.

To further strengthen our brand and capabilities globally, HFCL showcased its defence portfolio at the 55th Paris Air Show the foremost aero exhibition in the world held last month. Our exhibits included Artillery Fuzes, Surveillance Radars, Thermal weapon sights, High Capacity Radio Relay systems, Tactical Communication and EWIS assemblies. The event witnessed significant engagement from global defence OEMs, delegations, and technology partners. These interactions have opened up several avenues for international collaboration and

export opportunities in coming quarters.

Driven by these wins, our order book as of June 30, 2025, stands at ₹10480 crore, compared to ₹9967 crore in the previous quarter and ₹6776 crore in Q1FY25.

Let me now highlight our financial performance for Q1FY26.

- Revenue stood at ₹871.02 crore, compared to ₹800.72 crore in Q4 FY25 and ₹1158.24 crore in Q1 FY25.
- EBITDA stood at ₹42.93 crore, compared to ₹-22.33 crore in Q4 FY25 and ₹185.37 crore in Q1 FY25.
- EBITDA margin was 4.93% in Q1 FY26, versus -2.79% in Q4 FY25 and 16.00% in Q1 FY25.
- Profit After Tax (PAT) came in at ₹-29.30 crore, compared to ₹-83.30 crore in Q4 FY25 and ₹110.65 crore in Q1 FY25.
- PAT margin stood at -3.36% in Q1 FY26, compared to -10.40% in Q4 FY25 and 9.55% in Q1 FY25.
- Telecom product segment revenue contributed 66.35% of total revenue, compared to 76.33% in Q4 FY25 and 61.42% in Q1 FY25.

Q1 FY26 has laid a solid foundation for what we believe will be a breakout year for HFCL. With robust order inflows, expanding global demand for our OFC and IBR cables, and strategic wins in defence, we are witnessing the early outcomes of our strategic shift toward high-tech, value-added solutions. Our continued investments in capacity expansion, product innovation, and global partnerships are positioning us at the forefront of next-gen connectivity and defence technology.

Looking ahead, we see clear tailwinds with accelerated execution of BharatNet, 5G densification, rising global optical fibre demand, and expanding opportunities in indigenous defence manufacturing all of which provide strong visibility and momentum. We have entered the second quarter of FY26 with renewed confidence, a healthy order book, and improving profitability.

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HFCL's fundamentals are stronger than ever, and we remain fully committed to creating long-term value for all our stakeholders.

Thank you once

again for your continued support.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian A.: Good evening, sir. Thank you so much for the opportunity. Sir my first question regarding data center. I think data center networking, total addressable market, it's more than \$1 trillion over the next four to five years' time. I just want to understand like how we differentiate ourselves in terms of data center networking compared to our competitors? Because one of our competitors already making more than 20% of revenue from data center side only, so if you could share more light on that industry side and our company capability side.

Mahendra Nahata: Thank you, Mr. Balasubramanian. World market for data centers is very, very large. Right now with the kind of hyperscalers are coming up all over the world, particularly in North America and Europe, unprecedented growth, which we could not have imagined probably six months ago. Now these data centers need different kind of products, servers and those kind of large capacity switches, which we do not manufacture. But we supply to them with high-capacity fiber optic cables and also the passive connectivity solution product portfolio, which we are building now revenue from them would start in may be another quarter from now.

So, our expectation with this growth for passive connectivity solution as well as fiber optic cable, high capacity, high fiber count is, again, long term because this growth for data center is going to continue for at least five years. So we already have secured contracts from major players and for purpose of commercial confidentiality, I cannot name them. And we are also in process of now getting our products certified for passive connectivity solutions for data centers from these customers, customers remain the same. And we expect that these PCS solution, passive connectivity solution, is also going to give us a reasonably good amount of revenue for data centers in the next financial year.

But of course, passive connectivity solution for telecom operators has already started giving us revenue. And our target for revenue from passive connectivity solutions for telcos, telecom service providers and other operators is about Rs. 450 crores in the current year. Data center would be on the top of that, whatever we do this year, but our real expectation for data center from the next year for the PCS solutions we are getting from various operators.

Balasubramanian A.: Got it, sir. Also I think we showcased drone radars and electronic fuzes at the Paris Air Show, so what is the commercialization road map, and are there any pending certifications or approvals? And secondly, we got around Rs. 90 crores defense order, especially for thermal sights and tactical cables. So like what's the realistic revenue contribution time line? Is there any

technology transfer risk with partners like DRDO?

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Mahendra Nahata: Look, revenue, as I said earlier also in my last call, revenue from defense will start in this current quarter. Thermal weapon sights, tactical cables, where we have already started supplying in fact, in Eastern Command. There was another tender which we had won and we have started supplying. This Rs. 90 crores tender which we had declared L1 order is yet to be received, should be received soon, that as soon as the order is received we will start supplying. Thermal weapon sites we will start possibly supplying within this quarter. So, there are a number of products which we will start supplying this quarter.

But yes, number of products are going to be getting approval possible in this quarter itself, which includes electronic fuzes, for which we have been waiting for a long time, because ammunition required for

or testing was not available, which are manufactured only by the government factory Munition India Limited. We paid for more than six months back, and now this ammunition has arrived for testing and testing will be conducted by DRDO in August. If the testing is successful, for which we are very hopeful because there were minor defects last time, we expect a large number of orders.

Even before approval we are receiving large inquiries for export for this product. So we have a very high expectation from electronic fuzes, of course. The drone detection radar is now included with a soft kill option, detection and soft kill option. It is almost at the end of the lab trial, and we expect that field trial would start sometime later part of the August. Once the field trials are successful, we would offer it for production, which I expect should happen in this current financial year.

Now as you have seen how drones are being used in the war this time, whether it was Operation Sindoor or whether Iran - Israel or with Israel - Hamas or Ukraine - Russia, drones are the main weapon of warfare nowadays. So equally, what you need is anti-drone systems. So the drone detection radar and also the soft kill option together with that. And as a system, when we sell it, again, we expect good demand opportunity for this, not only in India but internationally also.

Balasubramanian A.: Got it, sir. Sir, my last question, what is the current scenario of optical fiber and applicable fiber cable prices? And what's the status of inventory liquidation at global level operators?

Mahendra Nahata: What was the last point?

Balasubramanian A.: Inventory liquidation status at global level operators.

Mahendra Nahata: Okay. Now the fiber prices, the fiber prices are ranging between Rs. 240 to Rs. 250 per kilometer, depending upon which fiber and whatever you are talking. The general D fiber, what we call D fiber, which is generally in use, Rs. 240 to Rs. 250 per kilometer. The fiber cable realization prices, again, depends is between Rs. 850 to Rs. 900 per kilometer. The cable between Rs. 850 to Rs. 900 per fiber kilometer and fiber just the bare fiber, Rs. 240 to Rs. 250 per kilometer. That is the price.

Number two, the inventory levels have now significantly almost finished. That is why you see this increased demand of fiber optic cable from Telcos also. Data center operators did not have

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any inventory. So they are all doing fresh purchases. But telcos inventory is also almost finished now. So there is a renewed demand has come up from telcos. As a matter of fact, we continuously receive more and more orders from our customers, which are the telcos or supplies to telcos. So inventory levels are now gone.

Balasubramanian A.: Got it. Thank you.

Moderator: Thank you. The next question is from the line Siddhant Singh from Green Portfolio Private Limited. Please go ahead.

Siddhant Singh: Sir, first, can you bifurcate the defense order book and export order book out of total order book? Like how much is for defense and how much is for export?

Mahendra Nahata: Look, our export order book, just give me a moment, our export order book today is above Rs. 400 crores. It's roughly about Rs. 400 crores. And from defense segment, would be roughly about 12% of our total order book, which is Rs. 10,000 crores, the defense is about Rs. 1,300 crores, about give or take a couple of crores.

Siddhant Singh: Okay. And for defense, like which product is the highest contributing in order book, like for which product we are getting highest order?

Mahendra Nahata: Look, defense tactical cable is the highest portion, tactical cable followed by thermal weapon sight. And operation and maintenance contracts are also there for the NFS work which we had done for the defense. And now we expect, of course, going forward, as more and more products come in

n our product portfolio , we really believe that these will really pick up for radars and fuzes and all those kind of things in the next 3 months' time.

Siddhant Singh: Okay. And sir, like if we receive a very big order for any defense product, are we capable enough for delivery ? Like we have manufacturing capabilities to deliver a huge number of orders right now or we have to like develop a manufacturing facility?

Mahendra Nahata: We have put up a facility in Hosur for manufacturing defense products. And I think we are capable of delivering, but we foresee the possibility of orders which we can get. But again, very huge orders come all of a sudden, which I would be happy to receive. We can always increase our production facility. But anyway, for the foreseeable requirement, whatever we can get, we have production capacity in Hosur. But certain things which we want to manufacture for which we have applied for licenses. And also we have got TOT for multimode hand grenade, for example, that production will have to be done at a different production facility because those involve explosives. And for that, you require a large chunk of land and magazines and all that installed. So for that separate manufacturing facility would be required. But let us first receive the clearances for that, and then we would look at that. But yes, we are working on them, and we expect a good opportunity for ammunition s also for which we will be definitely establishing a separate production facility.

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Siddhant Singh: And like for ammunition fuzes like we will start the receiving like we will start getting revenue in FY '27 only?

Mahendra Nahata: For?

Siddhant Singh: For ammunition fuzes, when we will be able to start recognizing revenue?

Mahendra Nahata: See, look, again, let us assume that trials will be successful, which I hope August trial will be successful. If the trials of August are successful, then we can start getting revenue from the last quarter of the current financial year also for fuzes because after trials are successful , 2 or 3 months in starting production, should not take two or three months also. But definitely, if the trials are successful from the last quarter of this financial year, we should start getting revenue from fuzes. The orders are not going to be a problem, I can tell you.

Siddhant Singh: Okay, sir. And one last question is that, sir, like you right now announced that, we are going to raise Rs. 700 crores. Can you like give the breakdown like how much we are going to use as a CAPEX and where we will be going to use that? And second is that like our promoter holding is decreasing every quarter. So what is your take on that? Like whether you will be going to participate into fundraise or we are going to dilute our stake?

Mahendra Nahata: Siddhant, first of all, Rs. 700 crores was just an enabling resolution we have passed. We have still not decided when to raise, how much to raise, whether to raise. All these things are still under discussion. It's just an enabling resolution . Now whenever we decide, the use would be, of course, to tap into by increasing defense opportunities, telecommunication opportunities, optical fiber cable opportunities etc.

Moderator: Thank you. The next question is from the line of Darshil from Finterest Capital. Please go ahead.

Darshil Pandya: Yes, sir. Sir, just wanted to understand, since you are saying that the demand is back again for the fiber optical cables, when are these margins expected to be in the similar lines what we have seen in the last year, which were around 14%, 15% ? Just wanted your views on this.

Mahendra Nahata: From this quarter itself. In fact, from July which was the last month of the Q1, we started into that kind of a margin. And from this margins would continue to be of that level of roughly about 15% or so. Currently, whatever orders we are

executing, most of them are in that range of margin.

Darshil Pandya: Okay. And this margin reduction was purely due to the demand issue? Or was it something else also?

Mahendra Nahata: So really, the decrease in margin was because of low demand. Once you have low demand and the capacity utilization is lower with the manufacturers, they tend to start selling at a lower price, which is normal. It is a demand -supply equation. Now the demand has gone up considerably. As a result of that, of course, prices have also gone up and buyers are also facing a capacity constraint in sense for high -quality cables or high -technology cables. I am not seeing the demand

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has increased for run of the mill cables, which so many people manufacture. But the cables which are really high -technology cables, IBR kind, intermittently bonded cables. As an example, of 884 fiber or 728 fiber. It's not so many people are able to manufacture because they are highly critical in technology and quality. So there, the prices have gone up because the manufacturers are not so many. And at the same point of time, margins would also be better. So technologically, these are different level of products.

Darshil Pandya: Got it. So sir, given the kind of the capacity expansion also we are doing. So looking at this demand, which has obviously right now that has come up again. What is your view on these capacities that we are expanding and when these capacities will be live, will this be in this year or the next subsequent years?

Mahendra Nahata: Look, this capacity expansion is already in progress. There are a number of machines. For example, we are buying 10 machines. As an example, I am telling you. So what happens, they will come one by one being delivered. These are all coming from mostly from Austria Europe, not Australia. So they are coming one after another, one after another. So expansion is already in process, but it will be completed before the end of June 26. But it's not that the capacity expansion will start one particular day. It is already in process, because factory building is already there. Space is already there. As the machines come, we are sitting them. One machine is expected to arrive very shortly. I think maybe another two, three days or five days. So these are continuous expansion, but full would be completed by June 26. So revenue would start accruing from this expansion in the current financial year itself.

Darshil Pandya: Okay. And final question would be on the numbers front, sir. I have been hearing that we are doing a lot of things in defense with this new capacities also. And last quarter, we have given somewhere 25%, 30% guidance. Sir, where are we standing today? And what kind of numbers will we see this year?

Mahendra Nahata: I would still stand with the number which I gave that this year, our revenue is expected to be 25% to 30% higher, about 25% higher than the last financial year. And as far as defense products are concerned. Yes, some of the products got delayed like fuzes for none of our fault. This was ammunition not being supplied by a government company, which are the only producer of ammunition of that kind today. So this got delayed. Otherwise, revenue would have started accruing much sooner. In fact, we have received LOIs for our radars also, ground surveillance radars, but they are not culminating in orders, which I expect to happen pretty soon. This is for export.

Similarly for multi-mode hand grenade, which we have got a technology from DRDO, and we are in process of producing first 100 or so samples for qualification by DRDO and those are already under production. So once they are qualified, we expect to receive a large number of export orders for multimode hand grenade also. So though look, defense is a bit of a peculiar sector, things take time. But if you get in, then you get continuous

orders. Similarly, as I have been telling, we have been shortlisted for upgradation of BMP -2, which is the armored personnel carrier.
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carrier, but – [Inaudible 0:39:04.4], sorry the line got disconnected, I do not know when it got disconnected. I also do not even know. Till what time you heard?

Darshil Pandya: Sir, till the LOIs that you had received from the --

Mahendra Nahata: Yes. So we expect to receive orders also very soon. So what I was telling is defense takes time. But once it starts happening, it happens continuously. Like BMP -2 orders tender has been postponed twice. Now it is on 29th September. If that had not happened again and if we had won, we would have started seeing revenue in this year itself. So it's quite likely that once the order starts coming, then it's a continuous process.

Darshil Pandya: Correct. Got it, sir. And of the Rs. 700 crores fundraise that we have enabled, will there be something for reducing the borrowings, sir? Because right now, interest --

Mahendra Nahata: It's just an enabling resolution. And the details are being worked out. We will definitely let you know when we go to the final decision.

Darshil Pandya: Okay, no problem, sir.

Mahendra Nahata: Enabling resolution up to Rs. 700 crores, not for Rs. 700 crores.

Darshil Pandya: No problem. We will wait for your announcement, sir. Thank you so much. All the best for your subsequent quarters.

Moderator: Thank you. The next question is from the line of Aagam Shah from RSPN Ventures. Please go ahead.

Aagam Shah: Thank you for allowing me to ask questions. I just had two questions. Sorry, I joined the call a bit late, I might have missed it. So what is the capacity utilization of optic fiber?

Mahendra Nahata: In our optical fiber, we are working at 100% capacity for optical fiber. Optical fiber cable, the capacity utilization has started improving in the first quarter. Particularly May, June it really started improving. July it has further improved and now reaching to almost 100%.

Aagam Shah: Okay. Understood. Sir, last question. Just wanted a status update on Delhi NCR factory and the revenue potential from that factory? The CAPEX?

Mahendra Nahata: Say that again, I could not hear you.

Aagam Shah: Just wanted to know the progress on the Delhi NCR factory for Telco and the revenue potential from that?

Mahendra Nahata: Okay. We have already started producing. 5G FWA CPE, we produced system integrated in

there only, which was order already, we have supplied roughly about Rs. 600 crores. Another Rs. 200 crores supply would start in another may be three to four weeks. Router production has
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picked up from there and supply has started in small lots already. The bulk production would start sometime in August. We will be starting bulk products or routers from that factory. The work is already on. Production is already on.

Aagam Shah: Okay. Thank you. That's it from my side.

Moderator: Thank you. The next question is from the line of Lakshmi Narayanan from KSEMA Wealth Private Limited. Please go ahead.

Lakshmi Narayanan: Hi, sir. Sir, I just want to understand what is the contribution of optical fiber cable in our total revenue mix? And how much is it part of your order book?

Mahendra Nahata: Yes. As far as order book is concerned, of the fiber optic cable, you have to understand, they keep on coming. It never comes into a big number by once itself. It keeps on coming. You supply for Rs. 50 crores, you get another order of Rs. 50 crores on the same customer. So it comes like that. But in the total products, which we have total products, about 65% of the product revenue is from optical fiber cable.

Lakshmi Narayanan: Understood, sir. Sir, my next question is you are talking about like passive solutions for telecom and defense. Could you just expand on th

at, sir, because I am not able to get that is it like optical fiber or something else, sir?

Mahendra Nahata: What is patch-on solution, I could not understand.

Lakshmi Narayanan: Yes. Passive solutions for telecom, you are saying you guys are developing.

Mahendra Nahata: Yes. Passive connectivity solution, when you lay optical fiber cable, whether it's a data center or in a telco network, you need various materials to lay down fibers. You need jointing boxes etc.

So this passive connectivity solution is the material which does not need electricity, but are necessary for putting optical network in place like jointing boxes, the manholes, optical splitters and those kind of things.

Lakshmi Narayanan: Okay, sir. Understood. Sir, if I could squeeze one more question, sir. BharatNet, in Phase 3, how much revenue are you expecting for this financial year, sir?

Mahendra Nahata: BharatNet, particularly revenue, I would say, of the total order we have got roughly about Rs. 5,000 crores out of which 20% of that, roughly in the range of about Rs. 800 – Rs.1,000 crores.

Lakshmi Narayanan: Rs. 1,000 crores. Understood, sir.

Mahendra Nahata: It may be Rs. 800 crores, it may be Rs. 900 crores, something around that.

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Lakshmi Narayanan: Okay, sir. Sir, you are talking about the night vision thing about Rs. 45 crores, which you said like supply will start in Q2 in previous con call, sir. Is it going to happen for this quarter, sir or it has started?

Mahendra Nahata: Yes, we are trying our best that it should happen in this quarter itself. We are trying our best.

Lakshmi Narayanan: But you got approvals are done, sir?

Mahendra Nahata: They are all approval done. All approvals done and then all the order received, all approvals done.

Lakshmi Narayanan: Okay, sir. That's it from my side. Thank you, sir.

Moderator: Thank you. The next question is from the line of Deepesh Sancheti from Maanya Finance. Please go ahead.

Deepesh Sancheti: Yes, sir. Sir, just one question. What is the succession planning sir?

Mahendra Nahata: Succession planning. Sir, I am still young enough.

Deepesh Sancheti: Yes, sir, and we hope that for the next many years we see you. But just as shareholders, I just want to know about if there is any succession planning.

Mahendra Nahata: In succession planning, we want to completely professionalize the company that it would be run by professional CEOs and professional business heads. Already, company is run by business heads for different business verticals. But in future, we expect shareholders to just play the shareholders' role and company run by professional CEOs. That is the way we are planning now.

Deepesh Sancheti: Sir, none of the next generation of Nahata family are planning to join the business?

Mahendra Nahata: No, they are planning to join the business. But from the perspective of a shareholder, not as a day-to-day running of the company, that should be completely professionalized. Now we are on the mobile. So hopefully, maybe this time, it will not get disconnected. Now I am not on fixed line, but I am on mobile. Yes. Next question, please.

Deepesh Sancheti: Yes, sir. Again, on the succession planning. I just wanted to understand if the next generation is

actively part of the business or they just be part of the Board?

Mahendra Nahata: Sir, they will actively participate, of course they will actively participate. But one is day -to-day operation, what is the production, what is the production value, what is the quantity, who has been delivered, which raw material has been purchased, those should now be left to the professional CEOs. The next generation should focus more on strategy, more on the policies, more on the outside environment management, building relationship with customers, those kind of things, not to handle the day -to-day operating issues.

. That's the way it is going to be.

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Deepesh Sancheti: Right.

Mahendra Nahata: That professional CEOs to do that.

Deepesh Sancheti: Absolutely. Absolutely. And we hope to see you, sir, for a very, very long time.

Mahendra Nahata: Hopefully.

Deepesh Sancheti: Yes, sir. And if I can add just one question. When does this revenue degrowth actually end? And when will we get the true realization of the huge order book which we are having?

Mahendra Nahata: Revenue realization for the order book is continuing. Of course, I think Q2 would be better than Q1, of course, Q2 would be better. EPC revenue would go up and revenue from fiber optic cable business will also go up with some more capacity utilization happening now. So revenue realization is already there, but it is going to increase in this quarter and the quarter next even further.

Deepesh Sancheti: No, I just wanted to understand when did the revenue degrowth actually end the year -on-year revenue degrowth.

Mahendra Nahata: Because the major reason was the fiber optic cable revenue going down for last 2 years. Fiber optic cable revenue, what we expected to happen, it was 40% of that. Otherwise, the revenue would have increased. And that was not unique in our case. That happened all over the world, whether you take Corning, whether you take Prysmian and OFS, whoever you take, everybody's revenue has gone down last year.

Deepesh Sancheti: Thank you so much, sir, for the clarity. And all the very best to you.

Mahendra Nahata: Thank you.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Sir, firstly, when we look at our consolidated revenue for the telecom product, although the revenue rises, there is a revenue increase by Rs. 92 crores, the contribution to the profitability is 30%, that is Rs. 29 crores. So what goes into this telecom products specifically when we consolidate our numbers?

Mahendra Nahata: Telecom products, one is, of course, the fixed wireless access terminal, which we have produced; the unlicensed band radios, which we have produced. So these are some of the typical telecom products which produce and where we have a lower profit margin. And the profit margin, fiber optic cable, which is also part of the product revenue only, has been higher, much higher, as I said about 15% or so. But then the telecom electronic products, the margin has been lower. So this is how it is.

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Saket Kapoor: Okay. Sir, we have also seen the promoter stake also coming down over the last 2 financial years.

That is through the open market selling, especially through your entity. So what should investors read into this gradual reduction in your stake in the company. And again, we are coming with a QIP proposal. So that would again further dilute our holding going ahead. So what message that you are giving to the investing community by these frequent selling?

Mahendra Nahata: Saket, first of all, fundraising proposal is still just enabling. We are not deciding that whether we are going ahead with QIP or not. That is number one. And if you look at promoter stake, if you look at in the last few years, just do not look at one or two years. Promoter stake has gone down by 1 crore 92 lakh shares against some 47 crores of shares or shares promoters hold, which is not a very big number. And promoter also needs sometimes money for personal use including the social use, also charitable purposes and all that. So still promoter has substantial holding. Substantial holding is still there, more than 31% holding is there. And promoter always has the option to increase the holding. Earlier, we had purchased shares from open market, which were, of course, informed the stock exchange. Whenever we did that, we subscribe it to warrants also.

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If we need to be, we can do that in future also. I am not saying that we would do that or not. But if need be, we can do that also. So there is not a very substantial reduction. 1 crore 92 lakh shares

on an overall basis, if I look at the data for last six or seven years, it's not such a big number. But promoters sometimes need money for personal purposes also.

Saket Kapoor: But sir, the market cap has gone down. The investor interest is lower. And these all create depressions also for the market because it took turn from you when you up your stake at that time three years ago. And today, your stake from 35% to 31% in a span of just two quarters does speak volume, sir. This is my understanding, sir --

Mahendra Nahata: No no, market has gone down, not because of that promoter has sold shares, the share price has gone down earlier only and that has not got any relation to the market cap. I think so many companies, promoters in the country have sold their stakes. Some stakes have been sold because the promoter needs money for some personal reasons, what does he do? Where does he bring money from? I am not going to take mishandle money from the company or anything. So only and my salary is not enough to take care of some of the needs which may be there. So what do you do? You sell only your stake to get money, where else will you get money from.

Saket Kapoor: Sir, when you say that this is a breakout year for the organization in your press release, you have alluded to the fact, written it that HFCL, this will be the breakout year. What according to you is breakout year for an organization in terms of profitability or revenue, where are we eyeing that we are using this?

Mahendra Nahata: Listen to me, three, four things. One, quarter-on-quarter revenue will keep on increasing, number one. Number two, defense will start really showing revenue coming up, which we have been trying since last two, three years. But this year, now the defense has started showing revenue. Factory has been commissioned for defense products.

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More number of defense products we are adding in our portfolio, including technology transfers from DRDO and may be in future, there may be some technology transfers from some foreign partners also, may be. So all this would really mean that you have new streams of revenue would start happening. And then revenue from data centers, which was never there, has started happening in optical fiber cable. And we will build up revenue from data center for connectivity solutions also. So new revenues in defense services, new revenues in data centers, fiber optic cables, all this would make it a breakout year.

Saket Kapoor: Okay. And lastly, sir, as you mentioned that revenue will grow. So in the turnkey contract, can we expect now the losses to mitigate in the last two quarters, our PBT losses have moved up to Rs. 100 crores?

Mahendra Nahata: Yes, yes, yes. It will happen because with the increase in revenue, particularly in increasing the use of BharatNet, this is definitely going to happen.

Saket Kapoor: Okay. And as a year as a whole, what should we look, sir, for the turnkey business performance be?

Moderator: Sorry to interrupt Mr. Saket

Saket Kapoor: I am concluding, please allow me to conclude ma'am.

Mahendra Nahata: Go ahead, Mr. Saket.

Saket Kapoor: Sir what I was trying to understand is, for the year as a whole, turnkey business, that is the EPC part, how will that be shaping up and whether the bottom line will be positive or negative?

Mahendra Nahata: What I am saying Mr. Saket, overall, we can look for about 25% growth in the revenue. Overall, that is what our best estimate is that there should be 25% growth in the revenue of the company in the current financial year. Now how much it will grow in EPC, how much it will grow in defense or products? Very difficult to say. But at

least EPC will grow. And also, I can tell you, fiber optic cable business, it will grow by 100%. That is our current estimation. Last year, it was Rs. 1,200 crores. This year, we should be reaching to Rs. 2,400 crores. This is the expected revenue of fiber optic cable. And in my opinion, more than 50% of that is going to be exports.

Saket Kapoor: Okay, sir. I had just one more part on the rights issue for Exicom, sir. So we will be participating in that?

Mahendra Nahata: Exicom question, I cannot answer.

Saket Kapoor: No, HFCL is a shareholder sir. HFCL, we hold 6%. So we will be participating to the extent of our proportion to the issue?

Mahendra Nahata: No, no, we have already said that we are not participating.

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Saket Kapoor: Thank you, sir. All the best to the team, sir, going ahead. Thank you once again.

Moderator: Thank you. The next question is from the line of Nikhil Purohit from Fidant Asset Management. Please go ahead.

Nikhil Purohit: Thanks for the opportunity. Sir, my first question is, what is our Hosur defense facility utilization

right now? And what do we target by the end of this year?

Mahendra Nahata: Defense has just started, Nikhil, it just started. So I wouldn't say there is any percentage to that. So Q2, we would be producing this thermal weapon sights there. Multimode hand grenade if we get order, we will not be producing there because right now, we do not have a license for explosives. Once we get explosive license, we like to produce at a different facility, not at this place. So it is just starting. So I won't put a number at this point of time to that.

Nikhil Purohit: Okay, not for the end of the year as well, right?

Mahendra Nahata: No, not at the end of the year. Not at this point of time. But yes, maybe next quarter, I should be able to give you some number.

Nikhil Purohit: Got it. Okay. And out of the Rs. 10,000 crores, the order book executable is how much for this year?

Mahendra Nahata: This year is out of this particular Rs. 10,000 crores, particularly, I think Rs. 3,000 crores should be executable in the current year, but more number of orders are being received, which are to be executed in the current year itself, particularly fiber optic cable, for example, where you receive small orders like Rs. 40 crores, Rs. 50 crores, Rs. 30 crores, and which we keep on executing. But out of this Rs. 10,000 crores, it should be around about Rs. 3,000 crores.

Nikhil Purohit: Rs. 3,000 crores. Okay. Got it. And what is the PLI we are expecting for this year?

Mahendra Nahata: PLI, no, we are not expecting any PLI this year.

Nikhil Purohit: Okay. So, I think in quarter 3 FY '25, we had talked about some PLI of around Rs. 40 crores, Rs. 50 crores in FY '26. So this is not coming?

Mahendra Nahata: No, we thought we would receive, but we could not reach to the level of commitment we had made in terms of the revenue from indigenously manufactured products. So we really could not reach to that level. It is our mistake that we projected high numbers in the beginning, which if we had projected lower numbers, you would have got PLI, right now. There was no bar on projecting lower numbers. We thought we should be able to do more, but there was not so much of demand for indigenously manufactured telecom products and fiber optic cable is not a part of that PLI list. So it's unfortunate that we did not get any PLI. And nor do we expect anything in this current financial year.

Nikhil Purohit: Okay. And what will be the CAPEX for this year?

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Mahendra Nahata: CAPEX for this year, give me a minute, I will come back to you before we end this. Roughly, I think currently about Rs. 250 crores because about Rs. 130 crores is going in IBR cable itself and something will go on optical fiber facility and miscellaneous, roughly a

about Rs. 250 crores,
you can see in the full year.

Nikhil Purohit: Okay. Got it. Just 1 last question. So OFC, you mentioned Rs. 2,400 crores this year, up from Rs. 1,200 crores last year. Could you give you an estimate for the defense sector as well in the defense segment? What revenue are we targeting?

Mahendra Nahata: I could not give an estimate, but current estimation if you take from me, my best estimation could be leading to about Rs. 200-plus crores, Rs. 200-plus crores, something like that. Again, these are some of the head estimates I am giving you because I must answer your question, but about Rs. 200 crores, I would say.

Nikhil Purohit: Okay. And we stick to the 15% -- what's the margin guidance, sorry?

Mahendra Nahata: Margin level, it depends.

Nikhil Purohit: No, overall. Overall.

Mahendra Nahata: Overall margin level here is still fiber optic cable, I expect to be about 15%. In turnkey, it is about 6% to 8% or sometimes a little bit more in BharatNet or overall 6% to 8% is in turnkey, I would say. Those are the kind of margins. And telecom products, again, it depends product to product, time to time, situation to situation. Like last quarter, the telecom product margin was very low.

Nikhil Purohit: Okay, got it. Thank you. Those were all my questions. Thanks.

Moderator: Thank you. The next question is from the line of Abhishek from Neste Wealth LLP. Please go ahead.

Abhishek: Thank you for the opportunity. Just wanted to have your understanding on, last financial year we did a revenue of Rs. 4,064 crores, and this quarter we are at Rs. 871 crores or Rs. 869 crores, something like that. So if we assume 25% growth rate, we have to do somewhere around Rs. 4,200 crores in this nine-month period, which is approximately Rs. 1,400 crores per quarter. So are we on it?

Mahendra Nahata: Yes, we are on it. I am not saying that the Q2 would be Rs. 1,400 crores. So Q2 would definitely be better than the Q1. And every quarter, we will increase. And I am quite confident that 25% increase in the revenue would be there. Looking at the order book itself and the kind of orders we are receiving, we should be able to reach, out of the Rs. 10,000 crores, Rs. 3,000 crores should be executable in this year itself. Then there will be more orders coming up in the current

financial year. So I do not have any reason to believe that it would not increase by 25%.

Abhishek: And Q2, can we expect Q2 to be profitable or PAT positive?

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Mahendra Nahata: Well, I do not know at this point of time. It's too early to say, but revenue is going to be definitely far better. And with the increase in revenue, definitely marginal costing and overall overhead per unit of revenue goes down. So I wouldn't give you any guidance, but yes, it would be better than the current quarter.

Abhishek: Okay. And coming to the DRDO fu ze part. So if we are able to do the test and all DRDO is able to do the test and test pass, how early we can have the order flow from here? Because last time, you had mentioned that we had confirmed orders which were wanting certificate from DRDO, Rs. 800-odd crores kind of.

Mahendra Nahata: That was not for handheld grenade. That was for fu ze. We had order of Rs. 700 crores for exports. It was confirmed, but the testing could not happen, which was not our fault because ammunition was not supplied by the government. And this order had to go. Nobody would wait for us. Now we have got the ammunition. Testing is to take place in August and hope that would be successful, no reason not to be.

If that is successful, yes, plenty of orders would be there for electronic fu zes. Order is not going to be a problem. Multi-mode Hand grenade if the testing is successful, which again, I believe it should be, it's not such a complicated product and technology from DRDO. So there is a reasonably good demand, but

I do not know at this point of time, we have not gone to the market aggressively selling this product, but we have got LOI from one or two countries for buying multimode hand grenades. But once I let the testing is over, then I will come back to you.

Abhishek: Okay. And one last thing on the DRDO fu ze test part. Let's say, it does not come to the expectations of DRDO. Sir, how long we will have to again wait for the next round of ammunition?

Mahendra Nahata: Look, first of all, I do not think there is any reason this time that it will not come to the expectation of DRDO. Last time also, how many fu zes fired on, only one type of fu ze had one small problem. So there was a remark, in the (Inaudible) 1:07:17.6]. I did not want to go with that remark to the market. So I do not think there should be any problem this time in finally certifying the product. But let us assume it does not happen. So this time, ammunition deliveries would not be so late, may be two to three months' time.

Abhishek: Okay. Thank you so much. That's it from my side.

Moderator: Thank you. The next question is from the line of Kush from Analyst Asset. Please go ahead.

Khush: So out of order book of Rs. 10,000 crores, how much is from EPC?

Mahendra Nahata: I will tell you. Just give me a second. Out of that, about Rs. 6,400 crores would be for EPC.

Khush: And how much are you expecting it to convert it into the realization in this year?

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Mahendra Nahata: Look, out of the total Rs. 10,000 crores, I am saying about Rs. 3,000 crores will be converted into this year. Now out of EPC of Rs. 6,494, I would say Rs. 1,000 crores, something like Rs. 1,000-Rs.1,200 crores should be convertible.

Khush: Okay. So, which means around Rs. 1,000 crores would be from our products.

Mahendra Nahata: Out of this Rs. 10,000 crores, but there will be more orders coming in.

Khush: Okay. And sir, on the optical fiber cable, so we are already around 100% utilization. So when we are expecting to get the additional this capacity as we are doing CAPEX?

Mahendra Nahata: Look, additional capacity has already started coming in, has already started coming in. And when I say 100% capacity utilization, it has really started picked up from the month of July. As I said, rather June was better, July has even been better. And there are so many different kind of cables we produce. So not that every cable we produce to 100% of capacity. Some be less than 100% also. Again, you have to realize one more thing. I am going may be too technical. When you say 100%, there is always a variation between installed capacity and capacity which you can produce. Installed capacity people come in the same type of cable being produced continuously, which does not happen in real life because cables, customers, depending on requirement keeps on changing. So real capacity becomes roughly about 80% of the installed capacity on the single cable basis. So you have to take that 80% as 100%. From there, you have to go on. So right now, in July month, we should be reaching about 80% of that 80% because that 80% is the real capacity. And then the expansion capacity has already started happening, and it would be fully completed by June.

Khush: By March. So we are confident that we will be able to do Rs. 2,400 crores from the current capacity?

Mahendra Nahata: Absolutely confident. Fiber optic cable division with all its connectivity solutions and all put together would definitely expect it to do Rs. 2,400 crores. These are going to be the big kickers this time. Fiber optic cable is going to be double than last year. Defense production is going to start. We have got large orders from BharatNet. We have got started producing routers. We are the only second company, Indian company to do so after Tejas to produce routers indigenously. We have got orders of Rs. 650

crores for routers. So more orders are expected. We have supplied Rs. 600 crores worth of locally designed and produced 5G products, unlicensed band radios. We have supplied 0.5 million till now, not in this year, but overall 0.5 million. So all these are big kickers this time in the current financial year for our company.

Moderator: Thank you. Due to time constraint, that was the last question. Investors can directly reach out to the Investor Relations team for further questions. I would now like to hand the conference over to the management for the closing comments.

Mahendra Nahata: Thank you very much to all the investors and the participants on the call. And I really appreciate your time and effort you have made in joining our call, and thank you very much. Thanks a lot.

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Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Oct 2025

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RE: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015 (the “SEBI Listing Regulations”).

Subject: Transcript of Conference Call on the Un-audited Financial Results of the Company for the 2nd Quarter and Half Year ended September 30, 2025 , of the Financial Year 2025- 26.

Dear Sir(s)/ Madam,

This is further to our earlier announcement dated October 17, 2025 .

In terms of Regulation 30 read with Para A of Part A of Schedule III to the SEBI Listing Regulations, we hereby submit Transcript of the Conference Call held on October 17, 202 5, on the Un-audited Financial Results of the Company for the 2

nd Quarter and Half Year ended September 30, 202 5, of the Financial Year 2025 -26, which were considered and approved by the Board of Directors of the Company, at its meeting held on October 17, 202 5.

The aforesaid Transcript will also be available on the Co mpany's website at <https://www.hfcl.com/> .

You are requested to take the above information on records and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,
For HFCL Limited

(Manoj Baid)
President & Company Secretary
Encl: Copy of Transcript.

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“HFCL Limi ted
Q2 FY26 Earnings Conference Call”
October 17 , 202 5

MANAGEMENT : MR. MAHENDRA NAHATA – PROMOTER AND
MANAGING DIRECTOR

MR. VIJAY RAJ JAIN – CHIEF FINANCIAL OFFICER
MR. MANOJ BAID – COMPANY SECRETARY
MR. AMIT AGARWAL – HEAD, INVESTOR RELATIONS

ANALYST : MR. MOHIT LOHIA – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the HFCL Q2 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantee of future performance of the company and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Mohit Lohia from ICICI Securities Limited for opening remarks. Thank you, and over to you, Mohit.

Mohit Lohia : Yes. Hi, thank you, Ryan and good afternoon, everyone. Thank you for joining us today for Q2 and H1 FY '26 earnings call of HFCL Limited. First of all, I would like to thank management for providing us the opportunity to host the call. From the management side, we have Mr. Mahendra Nahata, Promoter and Managing Director; Mr. Vijay Raj Jain, Chief Financial Officer; Mr. Manoj Baid, Company Secretary; and Mr. Amit Agarwal, Head of Investor Relations.

So without further delay, I would now hand over the call to Mr. Nahata for the opening remarks. Thank you, and over to you, sir.

Mahendra Nahata : Thanks, Mohit. Good afternoon, ladies and gentlemen.

I extend a warm welcome to all of you on HFCL's earnings call for the second quarter and half year ended on September 2025. I trust you have had the opportunity to review our financial results, press release, and investor presentation, which are available on our website and the stock exchanges.

The world around us is changing at an unprecedented pace - driven by rapid advances in Artificial Intelligence, cloud computing, and digital infrastructure. Technology is no longer just an enabler; it is reshaping economies, industries, and societies. Supply chains are being redefined, and customers are demanding smarter, faster, and more sustainable solutions. Against this backdrop, HFCL is making a decisive and confident shift, moving beyond "Make in India" to "Innovate in India," creating cutting-edge products and solutions which are capable to serve both domestic and global markets. The telecom industry is at an inflection point. India continues to be one of the fastest-growing telecom markets globally, with 5G rollouts accelerating and Bharat 6G Vision 2030 shaping the roadmap for the next decade. Data traffic in India is expected to grow at a CAGR of ~22.39% over the next five years, driven by increasing smartphone usage, OTT consumption, and enterprise digitization.

After a subdued phase, the global Optical Fibre Cable (OFC) market has witnessed a strong revival, led by surging demand from hyperscalers and data center operators. The explosion of AI

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workloads and cloud applications is fuelling demand for next-generation, high-fibre-count cables, a trend that is expected to sustain for several years. This revival perfectly aligns with HFCL's strengths in design, manufacturing, and innovation, positioning us to capture larger share in the global market.

Globally, telecom operators are ramping up investments in fiber networks to cater to the increasing demand for data consumption. Our investments in enhancing the optical fiber and optical fiber cable capacities, indigenous telecom and networking products and solutions position us to benefit from this sustained wave of network modernization.

Our progress in Q2 FY26 reflects our strategic vision with ca

capacity expansion initiatives, significant defence opportunities, a robust export pipeline being built and industry-leading ESG credentials fully align with our long-term strategy.

As we discuss today's results, I will share how these initiatives, together with our broader strategy, are positioning HFCL for sustained growth and leadership in telecom, defence, and digital infrastructure.

This quarter marks a transformative milestone for HFCL as we begin the planned expansion of high fibre count Cable manufacturing capacity from 1.73 million fkm p.a. to 19.01 million fkm p.a.. This expansion has already commenced and is partially operational. It will be fully operational by June 2026.

Upon completion, HFCL's total OFC capacity will reach 42.36 million fkm per annum, positioning us among the top global OFC manufacturers. This scale advantage will not only enable HFCL to cater to rising global OFC demand but will also lead to improving cost efficiencies and market competitiveness.

HFCL continues to strengthen its global footprint. In the first half of FY26, we secured export orders exceeding INR 650 crore for supply of Optical Fiber Cables, from leading international customers, to be executed by April 2026. More export orders are in the pipeline.

These opportunities reflect the growing confidence global customers have in HFCL's technology, reliability, and execution excellence.

On the optical fibre front, our capacity expansion program is progressing extremely well. We have already achieved a capacity of 28 million fibre kilometres per annum. With all our optical fibre and cable plants now running at full capacity utilisation, we are well -positioned to cater to the surge in global demand, particularly driven by AI, cloud, and hyperscaler -led network expansions.

Our 'Eka' Optical Fibre, engineered for higher performance and reduced signal loss, is gaining rapid adoption across domestic and international customers and is expected to contribute a major share of our fibre revenues going forward.

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In the defence business, HFCL continues to build momentum across multiple fronts. Our subsidiary, HTL Limited, secured a prestigious contract worth ~₹101.82 crore from the Indian Army for the supply of Tactical Optical Fiber Cable and related accessories. This is more than a business win, it is a strategic contribution toward strengthening India's defence communications capability and underscores HFCL's expanding role in building secure, indigenous defence solution that support national security objectives.

Additionally, HFCL has secured an order of approximately ₹50 crore for Thermal Weapon Sights, with execution already underway at our Hosur facility. This marks another step forward in our commitment to indigenous defence manufacturing and reinforces our growing presence in high-impact, security -focused technologies. With multiple tenders already participated in, we expect more such significant orders to follow, further strengthening our position in India's defence electronics ecosystem.

HFCL is well positioned to capitalise into a significant opportunity in the defence electronics space. The ongoing geopolitical environment, marked by heightened global conflicts and rising defense modernisation priorities has created significant opportunities for indigenous manufacturing. Global inventories for electronic fuzes, shells, and other armaments have depleted, creating urgent and strong demand for local manufacturing. Our electronic fuzes are currently in the final stages of trials, which we expect to complete by the end of next month. Upon successful completion, which we are confident of, we will be well -positioned for large -scale production and supply to defence establishments.

In parallel, we are developing a state-of -the-art drone detection radar with a soft kill option, which is expected to enter

production within the current financial year. Lab trials are underway, and field trials are set to begin shortly. The product has already attracted strong market interest, driven by the growing need for autonomous aerial threat management systems. A landmark development during this quarter was the sanction of 1000 acre land parcel by the Government of Andhra Pradesh to set up a defence manufacturing complex. This upcoming facility will focus on the production of Artillery Ammunition Shells, Multi- Mode Hand Grenades (MMHG), and other critical defence products.

We continue to strengthen our position in India's defence ecosystem through deeper engagement and participation in large -scale indigenous programs. During the quarter, we participated in a significant bid for the upgradation of 811 BMP -2 Armoured Fighting Vehicles of the Indian Army. This program represents a key milestone in India's defence modernisation and self -reliance journey.

Our ongoing defence product developments , from electronic fuzes and radars to thermal weapon sights , coupled with the upcoming defence facility in Andhra Pradesh, will help HFCL establish a centre of excellence for defence electronics manufacturing in India, with both domestic and global opportunities.

The quarter also witnessed solid traction in India's digital connectivity programs. HFCL has been playing a critical role in the BharatNet initiative, and I am pleased to share that we have received

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additional orders for routers under the BharatNet project for the West Bengal Circle. We have participated in two additional circles this quarter. We expect meaningful order inflows from these circles, further strengthening our leadership position as a key partner in building the nation's broadband infrastructure.

Our indigenously developed telecom and networking products continue to witness strong demand across telecom, enterprise, and broadband applications, reflecting our growing relevance as a technology -driven solutions provider.

These initiatives mark HFCL's strategic shift toward high -value, technology- driven manufacturing in defence and telecom. With expanded scale, diversified product lines, and export tailwinds, HFCL is poised for sustainable and profitable growth.

Our plants continued to operate at full capacity utilization, underscoring robust demand across telecom, defence, and exports.

HFCL has taken a strategic decision to divest its entire 15.19% stake in Nivetti Systems Private Limited for ₹52.51 crore. While the transaction is currently underway, this move reflects our intent to sharpen focus on core strengths in telecom and defence. The capital redeployment will support high-growth, innovation-led initiatives aligned with our long -term vision.

HFCL continues to be a front -runner in sustainable business practices. Earlier this year, we received an ESG rating of 63 from NSE Sustainability Ratings & Analytics Ltd. I am pleased to share that this has further improved - ESG Risk Assessments and Insig hts Limited (ERAIL) has now assigned HFCL an ESG rating of 65 (Strong) and CFC Finlease Private Limited has rated us 73 in October 2025.

These achievements reflect our unwavering commitment to environmental stewardship, social responsibility, and strong governance. For HFCL, ESG is not merely a compliance exercise . it is a strategic imperative that drives innovation, operational efficiency, stakeholder trust, and long -term value creation.

Financial Performance — Q2 FY26

- Revenue: INR 1043.34 Crores (Q2 FY26) vs. INR 871.02 Crores (Q1 FY26) and INR 1093.61 Crores (Q2 FY25)
- EBITDA: INR 203.37 Crores (Q2 FY26) vs. INR 42.93 Crores (Q1 FY26) and INR 171.82Crores (Q2 FY25); EBITDA margin: 19.49% vs. 4.93% (Q1 FY26) and 15.71% (Q2 FY25)
- PAT: INR 71.92Crores (Q2 FY26) vs. INR -29.30Crores (Q1 FY26) and INR 73.33 Crores (Q2 FY25); PAT marg in: 6.89% vs. -3.36% (Q1 FY26) and 6.71% (Q2 FY25)
- Segment revenue — Telecom Products: 51.43% (Q2 FY26) vs. 66.35% (Q1 FY26) and 46.46% (Q2 FY25)

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• Order book: INR 9981 Crores (as of September 30, 2025) vs. INR 10,480 Crores (previous quarter)

These strong financial results reflect the robustness of our business. As we look ahead, HFCL's journey is clearly defined by innovation, diversification, and execution excellence.

From the revival of the global OFC market and the ramp-up of our IBR capacity, to breakthroughs in defence manufacturing and expanding export momentum, each milestone reinforces HFCL's evolution into a technology powerhouse with global footprints.

With strong foundations, expanding opportunities, and the trust of our stakeholders, we remain committed to delivering sustainable growth and long-term value, guided by our philosophy to Innovate in India, for the World and to strengthen India's technological sovereignty.

Thank you once again for your continued support.

Moderator: Thank you. The first question comes from the line of Abhishek Jain from Arihant Capital. Please go ahead.

Abhishek Jain: Thank you for taking my question. And wishing you and HFCL team on Happy Diwali. Just want to understand, sir, what will be the impact of U.S. tariffs on our business? Second question on the follow-up side, are we maintaining our 20% guidance on the revenue side for this year?

Mahendra Nahata: Abhishek, thank you very much. First of all, yes, we are maintaining that guidance of 20%, and you will see increase in revenue coming up from the current working quarter. So I'm maintaining that guidance, number one.

Number two, Abhishek, impact of U.S. tariff, this is something, - can anybody predict what is going to be tomorrow? Not even Government of India can predict what Mr. Trump will come out with something else tomorrow. But anyway, having said that, we have been able to minimise tariff impact on HFCL. I don't want to go into that detail, but we have been able to minimise through completely legal procedures.

There's nothing misdeclaration or nothing illegal about it, very legal procedures. With relevance to certain U.S. court decisions and customs ruling, we have been able to minimise a tariff impact on HFCL, that much I can say. So there is very minimal impact on HFCL's exports, which is mostly optical fiber cable to United States. It would not be proper for me to go in more detail, but I can assure you impact is minimal.

Abhishek Jain: One more just a follow-up question. Can you talk about how we are doing in defense? And what kind of strategy if you can talk about two year or three year strategy on the defense, what kind of revenues we can see on the defense side?

Mahendra Nahata: Abhishek, I see defense is going to grow very strong. Government of India has decided to strengthen our defense preparedness as we all know from the normal news items, media statements from our various leaders we see. And there is a huge emphasis on self-reliance that more and more things are to be produced locally.

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So one, there is a big growth in the defense market as a whole. And if there is a growth, then all the people who are able to produce locally with this importance of self-reliance are naturally going to grow. Of course, doing anything in defense takes a little time, a little extra time, I would say, because of the test procedures involved.

As far as HFCL is concerned, we are doing a lot of things in defense. One, communications side, yes, we have executed a very large network, and we expect to start annual maintenance contract of that, which would be about INR170 crores per year, which has already been accepted by Indian Army.

Then, our electronic fuzes have already reached the testing range. I expect that within the month of November, the testing would be completed. And I'm very sure that our fuzes will pass those tests. And I expect a very, very good demand coming up for those electronic fuzes, not only from India, but from many other countries.

Moreover radars, which we have designed, which I did not cover in my speech, those are attracting very good traction. Radars are not only used for border defense, they are going to be used for many of the critical infrastructure within India also. So we are going to give a full presentation to the Home Ministry also that how these radars are useful for not only border, where also Home Ministry is responsible to a large extent, like BSF and all that; BSF, ITBP, all come under Home Ministry, not Army alone.

And also coastal surveillance, where Navy is already trying our radar for the last 6 months. They first tried one. Now, they have put 2 more in 2 different locations. I'm not free to tell you those locations. And they are able to monitor ship movements around those areas with the connectivity to the naval headquarters. Naval headquarters, they can see the ship movements happening in those areas. Those are the kind of radars we have developed. Our drone detection radar would

also be ready very soon with the soft kill capability.

So these are equipment and some more equipment, which we are designing, like maritime detection radar. This is another equipment we have designed. Electronic fuzes, as I already told you. So all the radars, fuzes, participation in BMP -2 upgradation program, which is a multi - thousand crore program, where we are 1 of the 5 shortlisted parties.

I'm sure with number of more products, which we are talking about, including ammunition, which is going to be another area of our expansion, where we have already been allotted a 1,000-acre land parcel in Andhra Pradesh, where we propose to set up a factory for producing ammunition and several other products of defense application. And all that put together, I'm very, very confident about defense business in future.

When you come to revenue expected, next year, coming year, which is in the current year, I would say, I expect roughly about INR200- plus crores of revenue from defense. Next year, it should exceed INR500 crores. And year next to that, I'm pretty hopeful. I'm not giving any prediction or guidance, but we should reach in 4 figures. The number of products which we are having and number of new products we are developing, defense revenue should increase multi - fold in coming years.

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Abhishek Jain: Sir, what will be the margins on the defense segment?

Mahendra Nahata: Look, it depends on product to product. Generally, since defense is a market which is a bit of a difficult market, margins are better than normal communication products, I would say. So you can say 15% net margin as a general rule, I'm saying. Somewhere it could be 10%, somewhere it could be 20%. But as a general rule, I'm saying. In export, it can be as high as 20% to 25%.

Abhishek Jain: Profit margin, sir?

Mahendra Nahata: Yes, profit margin.

Abhishek Jain: Sir, last question. Sir, is there any compelling case for us, because now we are entering, working into 3 different segments; telecom product, EPC and defense, is there any compelling case for value unlocking via demerger or any other opportunity for us?

Mahendra Nahata: We have not really thought about any such thing at this point of time. If we think about it, we'll come back to you.

Moderator: The next question comes from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Sir, beyond high-count -fiber cables, what specific passive connectivity solutions products you are developing for hyperscale data centers? Recently, one of the wire and cable players mentioned nearly 8% to 9% of our total data center project cost goes for wire and cables. I just want to unde

erstand what kind of opportunity size we have, especially for data centers?

Mahendra Nahata: Yes, Mr. Bala, high -fiber -count cable is just one of them. Then, MPO cable solutions, for example, connecting rack -to-rack connectivity, those are some of the opportunities which are there. Likewise, a lot of passive connectivity solutions we are developing, not only high-fiber - count cables, which are used for long -distance connectivity, from data center to data center, but within data center connectivity solutions also we are developing at this point of time.

And the way the hyperscaling of data centers are taking place all over the world, predominantly in US, and now India is also doing a lot of work in this area. We expect that revenue from our passive connectivity solution, including that for telecom, which we expect this year to be around INR400 crores, should reach to 4 figures in the next financial year. That is our expectation, because we are developing those passive connectivity solutions for data centers also, which is taking a little time because those are very specific, very high -tech solutions.

And I think we should be able to complete those developments by January or so and start exporting those passive connectivity solutions also apart from the high-fiber count cables, which we are doing at this point in time.

Balasubramanian: Okay, sir. Sir, I think, two years back, we used to maintain nearly 19%, 20% kind of margins on telecom product side. I think right now this quarter we have reached nearly 23.7%. How do you look at telecom products margin in coming quarters for next two years to three years timeframe? And also, if you can give update on pricing trends for OF and OFC side and inventory levels on global operator side?

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Mahendra Nahata: Balasubramanian, there is a lot of noise behind you. Your voice is not clear. I can't understand what you're exactly saying.

Balasubramanian: Sorry, sir. Yes. Sir, I'll repeat again. Two years back we used to maintain nearly 19% to 20% kind of

margins for telecom product side. In this quarter, we have reached 23.7%. I think it's above earlier levels. I just want to understand what kind of margins we can expect next two years to three years' timeframe? And secondly, and if you could please update on the pricing trends on OF and OFC side and inventory levels on global operator side?

Mahendra Nahata: Margins, Mr. Balasubramanian, varies from product -to-product, customer -to-customer, time-to-time, and again, competition dependent. This quarter, our EBITDA margin has been 19.49%. In this current financial year, we expect to be around that only. Specifically, I cannot tell you what which product would get how much margin at what timeframe.

Like, for example, last quarter, fiber optic cable margin was very bad. This quarter, it has improved. So telecom products also it varies product -to-product and time -to-time. Generally, you can say net margins are centered around 10% or so generally. And EBITDA margin would remain about in any way 18% to 20% kind of a number. But I think we should be able to maintain the same number what we are seeing right now.

Amit Agarwal : Bala, we can take your questions offline. There is a lot of echo in your voice.

Balasubramanian: Okay, sir.

Moderator: We take the next question from the line of Pranav Kshatriya from Emkay Global.

Pranav Kshatriya: Hello. I got a couple of questions. Firstly, I see export share for telecom products have gone up to 26%. Can you give some color on the type of demand you are seeing? Are you seeing higher fiber count because of the data center rollout, which has sort of accelerated? Some color on the volume growth where it is coming from and how the pricing is trending. That's my first question. And second question would be the margin performance on the overall basis has been pretty good in this quarter. A

re there any upside levers or a downside risk to those numbers? These are my two questions.

Mahendra Nahata: Pranav, I can't give any color. I can tell you whatever it is, plain and simple. There's no coloring out here. So exports have increased. Definitely, it is 28%, and majorly because of fiber optic cable. And within fiber optic cable, yes, data centers are contributing a lot because that's a new market opportunity which has opened up.

But telcos are also contributing a lot. We are exporting a lot to telcos also. We have been able to get into Tier 1 telcos in Europe and America, both. Hitherto, we were not able to supply to Tier 1 operators. But now, we have got entry into Tier 1 operators also, which is a very good thing. And that will provide stability and increase in exports.

If you ask me, if I look at the current market situation of fiber optic cable and what I see happening in the next three years in terms of increase in AI usage, increase in OTT usage,

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machine-to-machine communication and all those kind of things, which are happening, particularly AI, I think the next three years to five years demand of data center or even telcos for high fiber count cable demand is going to be very, very high because data capacities are increasing immensely.

I just had one figure. United States as a single country, millions of new servers are being put every year, millions. While in India, we are talking about a lakh every year. But there, they are talking millions every year. That kind of growth in data center is happening. And we are able to capitalize on that growth. That growth doesn't mean they're supplying to data center alone. But telcos also carry data center traffic. When data center many places, data center are interlinking by themselves. Many places, they are carrying their traffic on telco networks. There the demand is coming from telcos. It is data center and telcos both, which are giving us this order book. But high fiber count cable is being used by both of them. It is a misnomer that it is only data centers. It is telcos and data center both.

In India, as the demand grows, the capacity requirement of carrying data would be to the part of telco. The telcos will be buying more fiber. So it is the kind of a situation where data center increase in data consumption is increasing the demand of fiber optic cable, maybe by telcos, maybe by data centers. That is one.

Second, the price, of course, of the fiber optic cable realization has improved from previous realization of fiber optic cable in terms of fiber per kilometre, which was roughly about INR850 per kilometre in last quarter, just the last quarter. It has gone up to about INR950 per kilometre or so. INR100 per kilometre has been increase in the realization of per kilometre of fiber for fiber optic cable. It has gone up by about INR100. That is how you see the increased EBITDA margin also.

And I'm sure this good demand trend for fiber optic cable will continue for three years to five years at least. And our strategy of increasing our capacity for fiber, which we have already taken to 28 million fiber kilometres per year, and cable, which will very soon become 45 million fiber kilometre equivalent cable per year, really has shown good results, and it is going to keep on showing better and better results for next three years to five years because of continuous increase

in demand.

And as far as the company on overall is concerned, not only this, but demand for defense products, which we are now on the verge of receiving better orders, and also, at the same point of time, government-led programs, something like BharatNet, for example, where we have already got massive orders and number of circles are still going to follow, we expect to receive reasonably good size of orders either directly by participating in the tenders or from the companies which

participate in the tenders and win the contracts from them for supply of cable and different equipment.

The future is, in my opinion, increase in demand in export, increase in demand locally. And then, at the same point of time, defense on the verge of explosion now, I would say, in the country in terms of increase in demand, we expect a very good future.

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Pranav Kshatriya: Sir, just a small follow-up here. Can you talk a little bit about how is the capacity utilization been during this quarter? I understand that you're expanding capacity. But currently, whatever capacity you have, how much is the capacity utilization?

Mahendra Nahata: 90%.

Moderator: The next question comes from the line of Bajrang Bafna from Sunidhi Securities.

Bajrang Bafna: Congratulations for a good set of numbers, sir, after a lull of last two quarters. So broadly, as per your commentary, it is very much evident that the demand for both fiber and cable is going to extrapolate because of not only telecom side, but also from the AI and the data center side.

So when we are guiding for these margins or the capacity utilization development, across the global scenario consideration, can we think of the prices of these both fibers and cables are also going to inch upwards due to this massive upsurge in demand and considering the demand-supply scenario going forward? So if you could guide on that front, it will be really appreciated, sir.

Mahendra Nahata: Bajrang, it's a good question. Prices is always a function of demand and supply. If you ask me in general that whether fiber optic cable prices is going to go up, it is a yes and no answer. Because the different kind of fiber optic cables, some have excess capacity, some have low capacity.

What we did, we foresaw this demand of high-volume fiber optic cable coming up much in advance. As a result of that, we developed those high fiber-counting cables. Up to 1,700 fiber count, we have already developed. We are on the verge of developing another cable of 3,400 count fiber optic cable. So those kind of cables, which are very difficult to produce, only a few people are able to produce, and there are more number of buyers than there is a capacity to supply, then I expect not only capacities to be filled up very quickly, but also at the same time, there could be some increase in the pricing also.

Another point I would like to say, today, there is a rush to book capacity by the buyers. We have a situation where buyers are asking us for three years' commitment to supply a particular quantity. And we are not able to give that kind of a commitment. We don't want to give that kind of a commitment because we expect better pricing to come in future.

And we being backwardly integrated to a level of supply by manufacturing fiber and different other raw material have a natural advantage of economies of scale also. So we are shying away of giving three-year commitment to the buyers. There are Tier 1 operators for data centers, as well as telcos, world's leading telcos, which are asking us three years' commitment for supplying the quantity. They want to book our capacity, which we are not willing to do at this point of time. That's the kind of a situation.

I'm sure with that kind of a demand-supply situation for a specific type of specialized cable, which is not only cable specialized, but fiber is also specialized, because when you want 1,700

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fiber cable in a particular diameter, you have to have a very good technology to pack those many fibers in small diameter. So we are able to do that.

And that limits the number of suppliers vis-à-vis demand. So that will not only book our capacity for all our expansion we are doing, maybe we will have to consider more expansion at some point of time in very soon. But at least we definitely expect, yes, you're

right, some increase in the pricing in months to come.

Bajrang Bafna: Got it, sir. And sir, just one extrapolated question. Now, we are going to go towards 45 fiber kilometres capacity next year onwards. So how do you see considering this kind of significant

surge in demand over next three years to five years, this capacity is going to be filled up? Are we going to see the 80% sort of utilization in FY '28 or...?

Mahendra Nahata: More than that. As I said, people are asking for three years' commitment of reserving the capacity. Where is a question of our fulfilling the capacity? Capacity, if I want, I can fill it immediately. We are not doing that, because right now, we are looking at the kind of demand scenario. Prices may become better. Why should I book orders for three years? So there is absolutely no issue. Absolutely no issue.

Bajrang Bafna: So just a broader thought process that if 45 we are able to utilize 80%, 85% utilization in '28, we are talking about almost assuming INR1,000 sort of realization, INR3,500 crores sort of topline and with 20% margin, this itself can give us INR700 crores plus EBITDA within two years' timeframe. Is my understanding going rightly?

Mahendra Nahata : This is your fair calculation on the basis of the current results. I would not give any such forward-looking statements, which law prohibits me from doing so.

Bajrang Bafna : I got it, sir.

Mahendra Nahata : For calculation, which is you are an intelligent person. I would only say that.

Bajrang Bafna : Got it, sir. And just, China is a factor. Always, they have done the suppressing the pricing side for the entire sector. And now, there is an emergence where U.S. or Europe, they don't want these Chinese cables to come into their uses. So how do you see that China is a factor for the overall context, global context and for our company?

Mahendra Nahata : Look, China is not a factor in many of the developed markets, Europe and U.S. Most of U.S., not at all. Europe, most of the countries don't use Chinese cable because telecom as such, they don't want to use Chinese because of geopolitical reasons, not for any other reason. But Chinese quality is always a suspect, of course, but I don't say that China cannot produce good cable. They can also. But for geopolitical reasons, they don't want to use. So I don't find China is a big threat in our current market opportunities. When we go to the markets, which are Chinese - dominated markets, at that time we will see. But right now we don't intend to do that because in our own markets where we are supplying, there is enough demand for us, where we don't have to compete with Chinese.

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Bajrang Bafna : Okay. Got it. Thank you and all the very best, sir.

Moderator: Thank you. The next question comes from the line of Hardik Vyas from ET. Please go ahead.

Hardik Vyas : Good afternoon, sir. I had a question. I wanted a breakup of 5G products in optic fiber and other 5G products?

Mahendra Nahata : No, there is nothing called 5G products in optic fiber cables. Optic fiber cables are used for 2G, 3G, 4G, 5G, 6G, for everything.

Hardik Vyas : Yes. So optic fiber cables revenue and other 5G products revenue that is the contribution that I'm looking at?

Mahendra Nahata : Okay It has been 82% and 18%, roughly about 80- 20, you can say, 80% has been optical fiber cable and 20% has been other products. The reason 5G product revenue in this quarter was low because we had a problem in supply of chipsets from one of the big chipset vendors. I don't want to name a company. We had a supply problem from them. Otherwise, it would have been higher by another 10% to 15%. Because of the chipset supply being delayed, this became a bit lower. Otherwise, it could have been much better.

Hardik Vyas : Okay. So that problem has been rectified now, and so we can have a better revenue in coming quarters, right

?

Mahendra Nahata : Yes, that problem has been rectified. We have started receiving those chipsets from last week. So this will certainly improve this quarter. As a percentage, it could improve some. But if fiber optic cable revenue further goes up, percentage may not improve that much, but the absolute amount would improve.

Hardik Vyas : Okay. Sir, my second question is pertaining to IBR cables. We are presuming that the pricing of IBR cable would be substantially higher than normal optic fiber realization of roughly INR950 to INR1,000 that we are getting in optic fiber cable. IBR would be substantially higher than that?

Mahendra Nahata : I don't say substantially, but some percentage higher it could be because it's a newer technology and machines are very costly. Not many people are able to produce it. And then, you have to have a development capability to design these kind of cables, which are very difficult to design. So when there is a demand-supply gap, where the supply is lower than the demand, prices tend to become a little high in a sense that it becomes a little higher than normal loose tube cable, where the capacity is immensely high, but the demand is not that much.

Hardik Vyas : Okay. And sir, my last question is pertaining to the PCS revenue. This year for telcos and data centers, we had put the number at INR400 each, if I'm not wrong ?

Mahendra Nahata : No. This year, we said total INR400. Next year, we said INR900 to INR1,000, both put together.

Moderator: Thank you. We take the next question from the line of Aagam from RSPN Ventures. Please go

ahead.

Aagam: Yes. I had two questions from my side. Am I audible?

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Mahendra Nahata : You are audible, but not very well. But any way, you continue.

Aagam: Yes. So are we planning to develop any facilities in the U.S. for catering to the BEAD demand?

Mahendra Nahata : Look, no, not at this point because BEAD funding itself has not started to a great extent . And even without BEAD demand, we have a very good demand coming up from U.S. So there's no reason why should we be increasing our capacity for BEAD, which itself is BEAD funding has not been to the extent in the current U.S. administration, what it was expected to be in the last regime.

What was expected this regime, that has not happened. So BEAD demand is very little. And in any case, whatever capacity we have, it is being fully used in Europe, U.S. and our other Middle East and other markets. So there's no reason for us to unnecessarily invest to cater that very little demand in U.S. for the BEAD.

Aagam: Okay. And just wanted to understand better a bit on tariffs. What is the current effective tariff rate that which is getting applicable to us? And how are we mitigating the impact of tariffs? As you said that the impact is very minimal, so what is the effective rate if not the methodology from which we are able to reduce the tariff?

Mahendra Nahata : Confidential question. I would not give you a straight reply to that of the percentages and all that. But at least I can say it is a minimal impact, and it has been mitigated by absolutely lawful way of doing the things, and impact is minimal, that much I can say. Percentages and all that, I would not go into that detail at this point of time. But yes, I don't say that there is no impact. Small impact might be there, but there is not a large impact.

Moderator: Thank you. We take the next question from the line of Nikhil Purohit from Fident Asset Management . Please go ahead.

Nikhil Purohit : Sir, what was the Hosur facility capex that we've done till now?

Mahendra Nahata : Can you repeat? I couldn't follow.

Nikhil Purohit : The capex of the Hosur facility, the defense facility?

Mahendra Nahata: Not much. It is around INR15 crores to INR20 crores.

Nikhil Purohit: Okay. And overall, what is the capex that we are planning to do there

at the max and what are the asset turns there?

Mahendra Nahata: Hosur, you are talking about?

Nikhil Purohit: Yes. Correct.

Mahendra Nahata: INR50 crores more, we expect to do that maximum.

Nikhil Purohit: Okay. And what are the asset turns in this, like the peak revenue that we can do?

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Mahendra Nahata: This all depends. One of the major program we have participated in is the BMP -2 upgradation.

If that happens, then whether that will happen or not, I don't know. This is a tender and we may win, we may lose. If that happens, then it may reach to at a peak a few thousand crores per year.

It can reach to a couple of thousand crores per year also. But yes, without that, I'm not taking that aberration into account, but yes, Hosur facility itself has a capability to give INR400 crores to INR500 crores per year.

Moderator: We take the next question from the line of Aman Vij from Astute Investment Management.

Aman Vij: Good evening, sir.

Mahendra Nahata: Good evening.

Aman Vij: My questions are on the defense side. So first on fuz e side. So on last call, you were expecting the trials to get over in August, if I believe.

Mahendra Nahata: October.

Aman Vij: So is there a trial..

Mahendra Nahata: No. October was the timeframe. I can tell you...

Aman Vij: Okay.

Mahendra Nahata: Even without going in detail, DGQA agreed for testing. The ammunition, which was to be supplied by MIL, Munitions India Limited, because they are the only producer of this kind of ammunition. One particular type of ammunition, which is a part of testing got delayed by them and that was supplied only beginning of October.

After that, supply of that particular ammunition in October, we have applied for test range to DRDO, which is in Balasore. Our fuzes have already reached Balasore, ammunition has reached Balasore. Now, we are just waiting for the quotation from DRDO for the use of that test range.

And once we receive quotation, we will make the payment and they would give us a date at which time this testing will take place.

So I think it should be done within November. It has got delayed by two months. One, delay in ammunition supply. And as a result of ammunition supply delay and there are holidays and all that, so DRDO is yet to give us quotation, which I'm expecting immediately after Diwali. Then, the November testing should be completed. But our fuzes, ammunition, everything is in Balasore, now in possession of DRDO.

Aman Vij: Sir, just adding to your point, so last time also, there was this testing and tenders, and for whatever reason, every order got to the public sector companies and not us. This time, are you seeing anything which is different? First question is that. And second is, you expect the result and orders within next two months, three months, that is very fast. So all those winter, summer trials, all these things are done.

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Mahendra Nahata: I never said two months to three months for the fuzes. Fuzes, this trial, which is happening now, this is summer, winter trial, everything. There's no further trial to be done for these fuzes. And there is a very good demand for fuzes, not only for India, but export market also.

So once the fuze trial is over, yes, I think order booking should be pretty quick, because there is no separate winter/summer trial for this. DRDO trial is the final trial, which is going to happen.

In export market, these are acceptable trials.

But after you receive orders, in every batch, testing takes place, whether by India or abroad. But our other products, which are under trial, radars and all that, we expect orders to come for that, definitely, which are already under trial for the last six months.

Aman Vij: Of course, sir. And just to finish there are these two, three players that there...

Moderator: Aman, I do apologize to

interrupt you. Your audio is not clear.

Aman Vij: Better now.

Mahendra Nahata: Aman, we can't hear you.

Aman Vij: Just a second sir. Is this better?

Mahendra Nahata: Yes.

Moderator: Yes. Please go ahead.

Aman Vij: Yes. So my question was there were two, three players apart from us who were going trial. So they how confident are you that we will be among the two, three players who will clear it? And sir, the question was also that there are a lot of tenders...

Mahendra Nahata: For the fuze of which products you're talking about.

Aman Vij: Fuze.

Mahendra Nahata: I don't know of any other player who is going for trial at this point of time. I have no idea. So I know about ourselves. We are very confident that our trial should be successful.

Moderator: We take the next question from the line of Saket Kapoor from Kapoor & Co.

Mahendra Nahata: Namaskar Kapoor Sahab.

Moderator: Saket, please unmute from your end and proceed with your questions.

Saket Kapoor: Namaskar, sir. I hope I am audible sir. I hope I am audible sir.

Mahendra Nahata: You are audible sir. You are audible.

Saket Kapoor: Namaskar Sahab. Firstly, sir, if you could just give some understanding how our turnkey business execution is progressing? And also, on the receivable front, where are we? And how is

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the contribution from O&M currently? I think so, we have a closing order book closer to INR3,000 -plus crores. So what's the contribution for the first half? And going ahead, how is O&M going to play its role?

Mahendra Nahata: So the O&M, major work is going to start from the next year. O&M is very little at this point of time. O&M contracts, major contribution will start coming from next financial year. And margin will be decent, about 20% or so margin should always be there in O&M. That's what we think. That was one of your question. What was the second question?

Saket Kapoor: Sir, for the turnkey business, what's the receivable and how should this shape up, sir? For this quarter, we did revenue of INR530 crores, and for the first half, I think so we are closer to...

Mahendra Nahata: Yes. Yes, I understand. Mr. Kapoor, let me complete. Receivable is more or less 180 days on overall basis, the working capital cycle. Working capital cycle, inventory execution, WIP receivable is about 180 days, is more or less is the working capital cycle in EPC business.

As far as EPC business is concerned, how it is going, we are addressing -- we are doing Punjab

execution for BharatNet, for example, which is doing very well. I think this is BSNL has acknowledged to me personally that they have no complaints as far as Punjab is concerned and it is doing very, very well. Then, other EPC projects, Reliance's EPC project, of course, whatever number we are doing at this point of time, they are doing very well. There is absolutely no problem. The UP Jal Nigam and those projects, yes, there are problems because of the non-payment by the state government authorities because they are not receiving fund from central government. So there is a payment problem at that end. As a result of which, execution also has slowed down. But 2 days back, Honorable Chief Minister has taken a meeting in Uttar Pradesh, and he has promised fund to be released from state government, even if funds are not received from the central government, and that we expect to be picked up once the payments are released by the state government authorities. But otherwise, Punjab, Jio's, whatever we are executing are doing very well.

Moderator: Thank you. We take the next question from the line of Abhishek Kumar Leekha, who is an Individual Investor. Please go ahead.

Abhishek Kumar Leekha : Many thanks for the opportunity. Happy Diwali to you Mr. Nahata and all the members of HFCL team. Congratulations for the good set of numbers.

I wanted to unde

rstand one thing that the

interest cost is increasing heavily. I understand there is a lot of expansion happening. But how do we plan to address the fund position and have still enough money for like the land bank of Andhra Pradesh which has been allotted. So, we have plans for expansion of those facilities as well. So how the company has the views on that?

Mahendra Nahata: Look, interest cost has increased because of expansion, capex and bit of working capital requirement having been increased. So, with all profitability happening, profits coming in, internal revenue generation, fund requirement will also come down and the receivable will also

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go down because particularly NFS, the receivables, which are still to the tune of INR400 crores is expected to be totally mitigated by the mid of next financial year.

So once that happens, working capital requirement will go down, and naturally, the interest cost will also go down. That's what we expect. But when you do the Andhra Pradesh, for example, no DPR has been prepared at this point of time. So I don't know how much investment will

happen. It is yet to be decided. But if expansion happens, interest cost goes up, but resultantly revenue will also go up and profitability will also go up. So, that should not worry us at all.

Abhishek Kumar Leekha : Okay. Okay. Fine.

Mahendra Nahata: Very low debt equity ratio, 0.35 is the debt -equity ratio. So, there's nothing to worry about.

Abhishek Kumar Leekha: The only thing was like it was like INR116 crores of interest element that was going. So majorly, profitability is going down because of the interest element. I was looking forward to how we can address this better.

Mahendra Nahata: Yes, we are addressing this.

First of all, the internal generation is happening and secondly, the receivable, which I told you about UP, NFS, the receivable will start coming now. Once the receivable comes, interest cost will automatically go down.

Moderator: Thank you. We take the next question from the line of Satya, who is an Individual Investor. Please go ahead.

Satya: Hello . Namaste, Mr. Nahata ji, the question is on the side of 5G products. There is so much traction on the optic fiber cable side. There is also a global demand. But what is the visibility in 5G products? What attraction are you seeing globally, in India, in exports?

Mahendra Nahata: See, as far as 5G products are concerned, you should also consider cable as part of 5G. Why? Data requirement has increased like 5G, data consumption has increased, fiber optic cable consumption has increased. So, 5G, cable cannot be separated out from 5G as such. But in any case, the specific products of 5G, like you take Fixed Wireless Access.

We make only one product, 5G's Fixed Wireless Access, which worldwide the demand is there. India has emerged as a country which has the highest usage of fixed wireless access. So

demand is there, but one rider I would say that prices have to come down a little bit more because at the current price and current ARPU, operator needs more EBITDA.

And with the kind of spectrum requirement is there in 5G fixed wireless access, it doesn't give a very good economic proposition to operators. So, they are also looking at prices to come down.

So I'm sure prices will come down by a few, \$20, \$30. And at that point of time, this demand will increase further.

And operators have already started looking at 6G also now. People have started looking at 6G.

When 6G is going to come, how much investment will be there, when will it happen? There will be investment in 5G. Now there is going to be a lot of expansion. It is not that it is not going to

happen.
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There is going to be expansion on 5G. And expansion is more going to be on an incremental basis. Incremental in the sense that a large p

art of the country has already been covered by operators like Jio. So, it is going on an incremental basis. Incremental demand will be good for the next 2- 3 years. But yes, operators are looking at reduction in the price also.
Satya: Right. Sir, what about UBR? UBR, we were developing this point to multi -point . What is its development status and what is its visibility now?

Mahendra Nahata: See, we have developed a small UBR point -to-multipoint . Already Seven subscribers per base station, but that is not enough. We believe that it has to be more than seven . It should be at least 20 to 30 subscribers per base station. We are already working on that concept. And the development, we believe we should be able to start in a month's timeframe so that we can link more than 20, 30 subscribers per base station. We are already at the conceptual stage. We will start the development after a month.

Moderator: Thank you. We take the next question from the line of Lakshmi Narayanan from Ksema Wealth Private Limited. Please go ahead.

Lakshmi Narayanan : Hi, sir. Thank you for the opportunity. Could you just throw some light on I BR optical and tactical fibers ? And these have like more cables specifically made. And also, could you talk about margins also, sir?

Mahendra Nahata: IBR, I have talked quite a lot. The I BR is 864, fiber , 1,728, 3,400, those are all there and which are being used by telcos and data center operators, both for long-haul connectivity. And telcos are also using for carrying more data.

Tactical cable is a different cable. This is used by defense forces. This have multiple layers of metal protection over it, metal protection and with flexibility. And they are put in the rolls of 100 meter, 200 meter each. And then a soldier can keep on walking and the cable is laid down from a roll, which he carries on his back. And this can be rolled back, and then, put into somebody else some other place.

So it is kind of a battlefield communication cable, which can be used at different places multiple times. And it is very strong. Even a tank goes above that, it will not break. So it's that kind of a cable. So that is required by defense forces. And we already won a contract, INR100 crores or so, so which would be supplied during this financial year itself.

We are also increasing our capacity. We have three machines at the point for tactical cable, which we are increasing to five . And we also want to backwardly integrate in terms of manufacturing those steel tubes also, which are required as a protection layer. So we want to go backward, buy the sheet and make that tube internally rather than buying the tube, which would give us a better competitiveness.

Moderator: Thank you. We take the next question from the line of Koushik Javar from AK Investor. Please go ahead.

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Koushik Javar : Yes. Thanks for the opportunity. Sir, I wanted to understand we are doing a lot of stuff with defense. Optical fiber, you see a long runway of growth. So where do you see? it's a longer -term question. I don't have any short -term questions. Where do you see HFCL, the things which you're planning on? I mean, there is a lot of learning curve.

For the last 5 years, we have done a lot of work in Navy, defense and EPC companies . But where do you see the next 3 to 4 years for HFCL, I mean? Can you throw some light on this? That's all.

Mahendra Nahata: I couldn't understand, Kaushik, your question. Your voice is not very clear. What is the question?

Koushik Javar : No, I'm asking, sir, as a long -term , where do you see HFCL in 3 to 4 years? In the past last 4 to 5 years, we have been into this defense, OFC. We have have good experience on Navy and technology EPC services. But where do you see from this juncture to next 3 to 5 years as HFCL?

Mahendra Nahata: Okay I will tell you . One, fiber optic cable is going to remain

a very strong area, as we have already discussed. Defense is going to be another strong area because we are coming up with a lot of new products in defense and new alliances also, which when happens, you'll come t o know. Then, of course, EPC is going to be another area where we would be working on because a large number of EPC projects like BharatNet are already there and which we are working. So these

are the three areas, major areas, if you look at, you can say. And telecom products, of course. When I say OFC, I take it as a part of product. So OFC, telecom products, defense, EPC. These are the four areas where the Company is going to be concentrating.

Koushik Javar: Okay. And one more thing I have a question on defense. When you say there are a lot of tie-ups, which are happening in the defense space. There are a lot of attraction, right? But you are saying that since we have done the R&D, and you're saying next year, INR500 crores, and the next year is INR1,000 crores. I mean, it looks like a very ambitious number, we'll be able to do. Mahendra Nahata: Mr. Koushik, I said next year INR500 crores, not INR1,000 crores. I said INR500 crores. Year next to that looks like we should be able to reach INR1,000 crores. That's not very ambitious. INR500 crores is what, nothing. Even if I win one or two tenders, it can reach to INR500 crores easily. If I win something like BMP -2, it can be multiple of INR1,000 crores. So, INR500 crores, INR1,000 crores is not big. One should be able to get it with some good effort. And when we are designing locally, please remember that local design is more competitive, more acceptable. And today's environment when country is talking of Atmanirbhar, it is much more acceptable to Army. But yes, local, when you design something, you are designing for the first time, unlike some foreign company, which is using that kind of a product since last 5 years, you are doing it the first time.

When you do for the first time, you put up for trial. It is bound to have some problems. You cannot expect some very next-generation future product design, and first instance, it tells it will work flawlessly. It doesn't happen that way anywhere in the world. So it takes some time.

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But once it is proven, then the demand is there, like our coastal surveillance radar is being used by Navy for 6 months. From one, they used 6 months, now they have put two more in trial in different working conditions. And if they are successful there, then they are going to buy more for their different usage.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we take that as the last question, and we conclude the question-and-answer session. I now hand the conference over to Mr. Mahendra Nahata for his closing comments.

Mahendra Nahata: Gentlemen, thank you very much for attending this quarter 2 earnings call of HFCL today. And I can only tell you that with this increase in data consumption in the world, hyperscalers increase multifold happening in the world, demand of fiber optic cable is mushrooming, not only in India, but much more so worldwide.

Number two, defense being another area of major growth because our honorable Prime Minister has given multiple times in his statement, they continue to be self-reliant. And our strategy of developing products locally, though it takes time, but finally, it gives very, very good results. As we have done in fiber optic cable, designed locally, and it's giving us good results.

So similarly, defense products, though designed locally, it takes time to prove it successfully because they are high technology. But when it gives results, it gives in multiples, which we have done with cables, which we are expecting to do with defense also. Same point of time, telecom products, demand is picking up. 5G, 6G, this capex will always keep on happening in telecom products.

EPC contracts, major contracts are coming anyway, BharatNet and all that. Once 6G comes in 3 to 4 years' timeframe, those demand is going to increase. So overall, I can see a very, very good future. And I still maintain that revenue growth of about 20%, which we said it could happen. It is definitely going to happen.

Profit margins, what you have seen in this current quarter, 19% or so EBITDA, I'm sure we will be able to maintain that in the next 2 quarters of the current year also. And revenue growth is quite expected with the increase in cable capacity, fiber capacity and better demand -- not only demand, but supply of telecom products.

I see the commitments given by us to the shareholders in terms of revenue and profitability, company should be able to do very, very well in the next two quarters. Thank you very much.

And for any follow-up questions, investors can reach to Mr. Amit Agarwal, our Head of Investor Relations. He would be glad to answer any further questions you have. Thank you, gentlemen.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

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RE: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015

Subject: Transcr ipt of Conference Call on the Un-audited Financial Results of the Company for the 3rd Quarter and Nine Months ended December 31, 202 5, of the Financial Year 2025- 26.

Dear Sir(s)/ Madam,

This is further to our earlier announcement dated February 03, 202 6.

In terms of Regulation 30 read with Para A of Part A of Schedule III to the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we hereby submit Transcript of the Conference Call held on February 03, 202 6, on the Un -audited Financial Results of the Company for the 3rd

Quarter and Nine Months ended December 31, 202 5, of the Financial Year 2025 -26, which were considered and approved by the Board of Directors of the Company, at its meeting held on February 03, 202 6.

The aforesaid Transcript will also be available on the Co mpany's website at <https://www.hfcl.com/> .

You are requested to take the above information on records and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,
For HFCL Limited

(Manoj Baid)
President & Company Secretary
Encl: Copy of Transcript.

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"HFCL Limi ted
Q3 FY '26 Earnings Conference Call "
February 0 3, 2026

MANAGEMENT : MR. MAHENDRA NAHATA – PROMOTER AND
MANAGING DIRECTOR
MR. VIJAY RAJ JAIN – CHIEF FINANCIAL OFFICER
MR. MANOJ BAID – COMPANY SECRETARY
MR. AMIT AGARWAL – HEAD, INVESTOR RELATIONS

MODERATOR : MR. VIKASH SINGH – ICICI SECURITIES LIMITED

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Operator: Ladies and gentlemen, good day, and welcome to the Q3 FY '26 Earnings Conference Call of HFCL hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Singh from ICICI Securities Limited. Thank you, and over to you, Mr. Singh.

Vikash Singh: Thank you, Michelle. Good afternoon, everyone. Before we begin, I would like to read the disclaimer. The statement made during this call may be forward -looking and in nature based on management's current beliefs and expectations. They must be viewed in relation to the risks that HFCL's business faces that could cause its future results, performance or achievement to differ significantly from what is expressed or implied by such forward-looking statements.

Investors are therefore requested to check the information independently before making any investment or other decisions.

From the management side, we have with us Mr. Mahendra Nahata, Promoter and Managing Director; Mr. V.R. Jain, CFO; Mr. Manoj Baid, Company Secretary; and Mr. Amit Agarwal, Head Investor Relations .

Without taking any much time, I hand over to Mr. Mahendra Nahata for his opening remarks.
Over to you, sir.

Mahendra Nahata: Thank you, Vikash. Good evening, everyone.

I extend a warm welcome to all of you on HFCL's earnings call for the third quarter and nine months ended December 2025. I trust you have had the opportunity to review our financial results, press release, and investor presentation, which are available on our website and the stock exchanges.

The quarter was characterised by a combination of near -term volatility and strong long -term structural opportunities. Globally, evolving tariff structures, trade realignments, and supply-chain recalibration led to certain logistical and execution challenges during the early part of the quarter. However, these conditions stabilised from mid -December onwards, enabling smoother dispatches and supply flows.

At the same time, the fundamental demand drivers for optical fibre cables have strengthened immensely. Rising data consumption, hyperscaler -led data centre expansion, AI -driven network upgrades, and the growing need for secure, high-capacity connectivity are driving a sustained global upcycle in optical fibre cable demand. In India, continued focus on

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fibreisation, digital public infrastructure, and defence indigenisation provides long-term visibility across HFCL's core business segments.

The optic fibre cable market has witnessed sharp increase in demand on the basis of massive increase in hyperscale data centre creation worldwide. Moreover, after a period of inventory correction and deferred capital expenditure, the global optical fibre cable industry has also witnessed a clear restoration in demand over the last few quarters from telecom operators.

Importantly, this recovery is structurally different from earlier cycles. Demand is increasingly skewed towards high-fibre -count, high -performance cables as required by hyperscale data centres. Supply for such cables remains constrained due to higher technology complexity, manufacturing precision, and scale requirements. As a result, the improving demand environment has translated into better OFC pricing and realisations, with customers placing

greater emphasis on quality, consistency, and delivery reliability. Modern hyperscale and AI - focused data centres require extremely high fibre density, ultra-low latency interconnections, and scalable designs to support

east –west traffic, storage clustering, and high- performance computing workloads.

The Union Budget 2026 has further reinforced the policy focus on strengthening India's digital and data infrastructure ecosystem. Measures such as the extended tax holiday for foreign cloud service providers who will set up data centres in India underscore the government's intent to position India as a long-term hub for cloud, data centre, and AI -led infrastructure.

Massive growth of Hyperscale Data Centers has resulted in a meaningful ramp -up in hyperscaler -led orders, multi -year demand visibility, and sustained capacity expansion plans across the optical communications ecosystem. HFCL has been preparing for this phase through sustained investments in optical fibre and optical fibre cable manufacturing, combined with focused innovation. As a result, we are today among a limited set of global players capable of delivering very high fibre -count and low latency solutions at scale.

During the quarter , we successfully developed a 3456-fibre Micro Duct IBR cable. Building on this capability, we are now in the process of developing 6912-fibre Micro Duct IBR cables , very few manufacturers globally possess the technology depth and manufacturing discipline required for such products, further strengthening HFCL's competitive positioning.

These products are well -suited for dense, space -constrained data centre environments and has already seen encouraging customer interest and traction. Based on current engagements and pipeline visibility, we are seeing continued demand momentum into the coming quarter, and we expect this trend to keep the same momentum for next few years as data centre and AI -led infrastructure deployments accelerate.

In parallel, HFCL has moved beyond cables to data centre interconnect solutions. We have initiated our Pre -Connectorised Solutions (PCS) business for data centre applications, enabling faster deployment, higher reliability, and reduced installation complexity for customers. We
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expect the PCS business to contribute ■400– 500 crore of additional revenues over FY26– FY27.

Further, we have commenced production of MPO cables, which are increasingly essential in high-density data centre and AI environments. This is a fast -growing segment, and we are expanding capacities and capabilities to scale this business meaningfully. Over the coming years, we expect MPO and related interconnect solutions to generate ■400 –500 crore of revenues, strengthening HFCL's presence across the full data centre connectivity value chain. Taken together, these capabilities position HFCL not merely as an optical fibre cable supplier, but as a comprehensive solutions provider for next -generation data centre and AI infrastructure, with visible demand momentum in the near term and a strong growth runway ahead.

Another important structural development shaping the outlook is the progress on the India - United States and India –European Union trade engagement. United States and Europe remain largest and most advanced markets for optical fibre, digital infrastructure, and secure communication networks, supported by sustained investments in fibreisation and data centres.

A more enabling trade framework has the potential to improve market access, strengthen supply-chain integration, and enhance the competitiveness of Indian manufacturers with scale and technology depth. HFCL already has a growing presence in United States and Europe, and our recent export wins reflect increasing acceptance of our high -quality, high -fibre -count solutions.

Our fibre and cable capacity expansion programs continued to progress steadily. Optical Fibre Cable capacity will rise from 30.5 mn fkm to 42.36 mn fkm by June 2026. Optical fiber capacity has already doubled from 14 mn fkm to 28 mn fkm, with the balance 6 mn fkm to be added progressively

by December 2026. These expansions enhance our ability to support rising global and domestic demand while improving operational efficiency, automation, and cost competitiveness.

With capacity expansion nearing completion and global demand conditions continuing to strengthen, we expect the Optical Fibre Cable segment to contribute meaningfully higher volumes and revenues from Q4 FY26 onwards. The combination of scale, product depth, and improving industry pricing dynamics gives us confidence that OFC will remain a key growth and value driver for the Group. Exports remained a key highlight during the quarter and continue to be a structural growth engine for HFCL. During Q3 FY26, we secured export orders aggregating approximately USD 192 million, largely driven by optical fibre cable demand from international customers.

Exports continue to gain share within the overall revenue mix. During Q3 FY26, export revenues accounted for approximately 27% of total revenues, compared to 14% in Q3 FY25, reflecting a significant structural shift in the business. Domestic revenues accounted for the balance 73%. This sharp increase in export contribution highlights HFCL's growing global

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footprint, improved acceptance among international customers, and successful execution of its export-led growth strategy.

Development of new generation of Wi-Fi and UBR telecom equipment continue to be our focus. We are also in process of completion of delivery of 8 lakh units of 5G fixed wireless access customer premises equipment. We are also in continuous process of developing more advanced versions of customer premises equipment of 5G to be sold not only in India, but worldwide.

Production and supply of IP/MPLS routers has also started in bulk across the country from quarter 3. These routers are being supplied all over India for the Government's BharatNet program. We are in constant process of developing even the high-capacity routers beyond the routers, which have already been developed now.

EPC project execution revenues remained relatively subdued during the quarter. However, it is important to highlight that while revenue recognition was slower, on-ground execution, planning, and preparatory activities remained steady and disciplined, which are expected to translate into a meaningful revenue uptick in the coming periods.

HFCL continues to progress its defence business in line with its long-term strategy and India's indigenisation priorities. During the quarter, electronic fuzes developed by the Company underwent firing trials in January 2026, with further tests expected in the coming months.

HFCL secured defence orders across radars, electronic fuzes and electro-optical systems, including thermal weapon sights, reflecting growing acceptance of our indigenous capabilities. We also entered the UAV segment with indigenously developed thermal cameras for surveillance applications, supported by a domestic contract from a leading UAV manufacturer.

Development work is progressing well across drone detection radar systems and foliage penetration radar, both of which are in advanced stages of validation. In addition, HFCL is actively working on specialised drone platforms through technology transfer initiatives, which is at an advanced stages of discussion.

Looking ahead, the radar segment is expected to emerge as an important contributor over the coming years, supported by a growing pipeline and upcoming opportunities, including the expected RFP under the BMP programme wherein HFCL is one of the 5 shortlisted party Countrywide.

Our order book as on 31st December 2025 stands at ₹11,125 crore, compared to ₹9,981 crore in Q2 FY26 and ₹10,410 crore in Q3 FY25, reflecting sustained order inflows and improved visibility.

The mix of our revenues continue to improve:

- Product revenues constituted 60% of total revenues, while pr

ject revenues accounted for 40%, compared to 51% and 49% respectively in Q2 FY26.

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- Exports contributed 27% of revenues during the quarter, up sharply from 14% in Q3 FY25, highlighting the growing global relevance of our product portfolio.

During the quarter, we successfully completed an issue of ₹550 crore through Qualified Institutions Placement. This capital raise will support capacity expansion, R&D investments, debt reduction, and funding our long-term working capital requirements, ensuring we remain well-positioned for sustainable growth.

During the quarter, HFCL received ESG ratings from multiple independent agencies, all reaffirming the strength of our sustainability practices. We also published HFCL's first Sustainability Report for FY 2024–25, providing transparent disclosures on our environmental, social, and governance performance. For us, sustainability is central to every aspect of how we operate and build long-term value. It shapes our choices on resource efficiency, guides how we engage with communities and partners, and anchors the trust we build across markets. Our ESG efforts are, therefore, integral to strengthening HFCL's competitiveness, resilience, and reputation as we grow.

Coming to our consolidated financial performance for the quarter:

- Revenue for Q3 FY26 stood at ₹1210.79 crore, compared to ₹1043.34 crore in Q2 FY26 and ₹1011.95 crore in Q3 FY25.
- EBITDA stood at ₹243.52 crore, compared to ₹203.37 crore in Q2 FY26 and ₹171.89 crore in Q3 FY25, with an EBITDA margin of 20.11%.
- Profit after tax stood at ₹102.37 crore, compared to ₹71.92 crore in Q2 FY26 and ₹72.58 crore in Q3 FY25, with a PAT margin of 8.45%
- Revenue for 9M FY26 stood at ₹3125.15 crore, compared to ₹3263.80 crore in 9M FY25.
- EBITDA stood at ₹489.82 crore in 9MFY26, compared to ₹529.08 crore in 9M FY25, with an EBITDA margin of 15.67%.
- Profit after tax stood at ₹144.99 crore in 9MFY26, compared to ₹256.56 crore in 9MFY25, with a PAT margin of 4.64 %

As we move forward, our priorities remain firmly focused on enhancing our revenue mix, expanding margins, disciplined execution, technology-led differentiation, prudent capital allocation, and the continued expansion of our global footprint. Building on the strong momentum achieved, we remain confident of sustaining this performance in the coming quarters. With these foundations in place, we believe HFCL is well positioned to deliver consistent and sustainable value for all stakeholders.

I would like to thank our employees for their dedication, our customers and partners for their trust, and our shareholders for their continued support.

Thank you.
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We will now open the floor for questions.

Operator: Thank you. The first question is from the line of Dhaval Jain from Sequent Investments.

Dhaval Jain: Firstly, congratulations on a good set of numbers. So I just needed a help with Q3 as well as nine months FY '26 data of OFC as a percentage of total revenue? And if possible, can you provide me with the similar numbers from the last financial year and along with the margins?

Mahendra Nahata: Well, OFC as a percentage of total revenue -- because I've got products at INR 722 crores and out of that, OF and OFC has roughly, it would be, I would say, of the product revenue, it is 80% and the product revenue is 60% of the total revenue. So it would say the 48% of the total revenue has been OFC.

Dhaval Jain: And this is for Q3 or nine months FY '26?

Mahendra Nahata: This is nine months. This what I told you is the 9 months.

Dhaval Jain: Okay. Sir, and what is the current margins on OFC that we have right now?

Mahendra Nahata: Current margin on OFC would depend on different kind of cable, what we manufacture, high quality -- high-capacity cable, low -capacity cable. But roughly, you

can say 10% to 12% net margin.

Dhaval Jain: Sir, can you repeat again? I just lost you on the line.

Mahendra Nahata: Roughly, it would be about 10% to 12% of margin as PBT, depending on what kind of cable we are manufacturing.

Dhaval Jain: Understood. Sir, again, on this front on the OFC, what is the current realization in this quarter that we had? Because I think last quarter, it was INR 965. So what is the current realization?

Mahendra Nahata: Current realization would be roughly about INR1,055 per fiber kilometer as against INR964, which was

there in the previous quarter. It has gone up by roughly INR100, you can say.

Dhaval Jain : Right. So we -- like it's almost a 10%, 15% of increase since the last quarter. So do we see like it going to keep on increasing further? Or what cycle are we at in terms of realization?

Mahendra Nahata: I expect it to increase further by at least another 10% or so. Looking at the demand from data centers, I expect it to increase at least 10% or even more.

Dhaval Jain : Right. And just one last question. So in terms of like the OFC, what is our share in domestic versus international markets?

Mahendra Nahata: Look, international market, I cannot say because the data I don't have available. But the domestic market, we should be -- this is, again, a very unsubstantiated figure because these are

never published by any authentic agency. But my estimation, we should be nearing roughly

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about 50%, roughly about 45%, 50%, very roughly. This is my top of the head calculation, but I shouldn't be much wrong.

Dhaval Jain : But this would be your share, right?

Mahendra Nahata: Yes, I am -- my share. I'm talking about my share.

Operator: The next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Congratulations for a good set of numbers. My first question, sir, I think we have been developed electronic fuzes. I think we got initial approval also. When can we expect final approval? And what is the total addressable market in India and global level? And which are the players got approval in India? And how much average prices per fuze?

Mahendra Nahata: You are asking too many questions in one line. I wouldn't even remember. So, I really reply one by one. As far as approval in India is concerned, there are only two companies who are manufacturing electronic fuzes from a long time under transfer of technology from foreign companies. They are not their own developed fuzes which is Bharat Electronics and ECI

Telecom, both government companies, they have a transfer of technology agreements, one Reshef from Israel and another from -- I forget the name of the company of South Africa.

So we are the one who have designed the fuze s indigenously. Test firing took place on 20th January in Balasore this year. There have been some successes and in some cases, some improvement is required in the fuze s. So we are doing that those improvements which have been required by DRDO while testing. So those improvements are being carried out and retesting of those fuzes would be done in April. And I'm quite sure in April testing, they will be completely approved.

So that is as far as the Indian manufacturers and approval are concerned . There is no indigenous design and manufacturer who have got any approval. I am sure I think we may be the first one to do that. But these are -- one must realize, fuze s are very, very critical components, which makes the ammunition blast, particularly the proximity fuze has got a small radar in it, which measures the distance between the bomb and the ground at a speed which is faster than the speed of sound.

You can imagine that what kind of criticality it has got. So it needs some more improvement, which we are doing. But I am happy that from this testing, we have learned a few things which are getting implemented in the new set of design and

d April testing should be final and approval one, it looks to me like that.

Now in terms of demand, I don't have a number for the worldwide demand. But right now, India itself, I think, requires about 0.5 million fuzes every year, India itself. And globally, if you see, the demand would be much, much higher in multiples because of the wars going around. This demand is directly proportional to the geopolitical situation.

Right now with the Russia -Ukraine war and ammunition of all European countries, United States getting or many other countries going to Russia or Ukraine, getting consumed, these

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countries need to really build up their stockpile again and supply more to the waring countries, whether it is Russia, whether Ukraine or any other place. So demand is substantial. Proximity fuze demand is substantial for 155 mm gun. That is the highest demand. It's a substantial demand. So I don't have the exact number, but demand would be multiple times more than what is required in India.

Balasubramanian: Okay, sir. Sir, a follow -up with electronic fuzes only. And what is the current average prices for fuze on the industry level?

Mahendra Nahata: Depends on which fuze, which caliber you are talking. There are different fuzes, different calibers. But just one example of a proximity fuze of 155 mm gun would currently -- in today's

market should be at least INR25,000 to INR30,000 per fuze.

Balasubramanian: Okay, sir. And what kind of capacities we are planning to build, sir, for electronic fuzes, right?

Mahendra Nahata: When our fuze s are completely approved, we would be looking at about 1 lakh fuzes per annum.

Balasubramanian: Okay, sir. We have guided 20% kind of revenue growth. We ended up nearly 20% kind of growth in Q3. I think we have to do to achieve this growth by doing nearly INR1,600 crores plus kind of revenue. Is there any deferment in export order? Is there any delay in shipments in

Q3 because of tariffs? Currently also U.S. and India that trade deal have been improved from 50% to 18%. I just want to understand how we can able to take advantage of that.

Mahendra Nahata: Look, this tariff decrease has been announced last night only, and people are doing some guess work. Some clarity is still to be achieved in terms of whether it is immediate or whether there will be some gradual. But assuming it is immediate, of course, it opens up the environment for everybody and improves the situation for all in-country manufacturers. For all -- particularly for telecom equipment, the tariff was 50%. So when it comes down to 18%, it is a substantial advantage to all telecom equipment manufacturers.

Now in terms of revenue, of course, revenue shortfall was there in the Q3, particularly on the export segment because of the tariff issue. A lot of shipments, which were made by us to United States, which are the major part of export, all those shipments were stuck at airports, all the seaports for the want of clearance because of the tariff issue because it was getting very extremely difficult at U.S. customs to determine the tariff, whether the tariff of India applies or tariff of China applies because some of the component or part into that equipment or cable has come from China.

So this was really a big, big problem. So for two months' time, it remained a big problem for everybody, not only for HFCL for everybody and many of the countries where this difference of tariff was coming. Whether a shipment is in a 25% regime or 50% regime, all these kinds of situations was there, 1.5 months, we all suffered.

And unfortunately, we had to pay a lot of demurrages also at the ports or the airports because not to our fault that shipments were not getting cleared, but because of the ambiguity in the HFCL Limited

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tariff structure, it was creating trouble, and we had to pay a lot of

demurrages also. But

anyway, that was out of our control.

That problem, as I said in the beginning, has eased out from mid-December. And now the situation has become regular and there should not be any impact going forward. And going forward, I think our revenue in this current quarter would also show some growth.

Percentage, I cannot say very clearly at this point of time. But yes, it can be somewhere around 10% to 15% or a little bit more. But more important is the profitability. You will see the profitability percentage profitability on an overall basis has increased by year -on-year basis, you see there is an increase of 41% in the profitability.

Revenue is remaining around the same, but the profitability has increased by 41%, 42%, which is a significant growth. That growth has come because of our efforts to reduce cost at the same point of time, innovation, new kind of products and because of being able to design and manufacture those products, which are not so easy to design and manufacture, very high count fiber optic cable, not so easy to design and manufacture, which we have been able to do. As a result of this, there has been a better profitability.

So a key issue which I would like to say, yes, there is some shortfall in revenue than what we expected in terms of growth, but there is a considerable increase in the profitability. Q1 of the current financial year was a loss, but now we have come into profit.

And as I can see, looking forward, just as a perception of the management from current performance, when we come to the year -end, our profit would be much better than what we did last year. It would be much better. Even if we maintain the momentum which has been there in Q3, our profit will surpass the profit of last financial year significantly.

Balasubramanian: Okay, sir. Sir, you clearly mentioned...

Operator: Mr. Balasubramanian, I'm sorry to interrupt you, sir. I request you to kindly rejoin the queue for follow -ups, please. There are others who are waiting for their turn. The next question is from the line of Bajrang Bafna from Sunidhi Securities.

Bajrang Bafna: Congratulations for a good set of numbers. Mahendraji, just would like to understand because there are multiple media articles and we are hearing from the industry sources that there is a severe shortage of raw material, which is your germanium and preform. And since we don't have those capacities with us, how the prices of these have moved and what sort of supply arrangements that we are having for this preform and the other raw materials. If you could just guide us will be helpful , sir.

Mahendra Nahata: Yes. Very good question. But we don't manufacture preform. So, germanium and all these are

required for manufacture of preform. Preform we import mostly from Japan, more than 90% we import from Japan. And whatever quantity we have contracted with Japanese manufacturers are being supplied regularly to us.

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We don't face any shortage. No shortage is being faced by us at all. They are supplying to us as they have contracted. And our capacity requirement for our fiber draw for which the preform was required is being fulfilled by Japanese manufacturers.

Yes, we are also now taking steps to move ahead in manufacturing preform. These are the step Company is working on. And we should be able to finalize our plans in very near future because with this kind of a huge capacity requirement where we require preform in such a large quantity because huge capacity of fiber and cable both, we need to have some security for some raw material also, some part of raw material also. So we are working on that plan. But right now, we don't need germanium and all those things. Our requirement of preform is filled up by our suppliers adequately.

Bajrang Bafna: And how the prices have moved, sir, in that preform?

Mahendra Nahata: Look, prices w

ill move up. Our contracts, which were there are in process at this moment of time, those prices, whatever we agreed a few months ago. But my opinion is that prices would move up significantly by at least 20%, at least 20% to 25% with the result -- as there is -- I am saying an increase in the cable price of 10%, and it will move up by another 10% or so in near future. Similar is the fiber price and similar would be the preform price. It would move up by some 20% to 25%.

Bajrang Bafna: Okay. And my second question is on the new age cables, which are required in hyperscalers and in your rollout of data centers, which is either hollow core or multicore. So how are we placed in that technology? And how do we see that the demand that we capture either in India or in U.S. or European market?

Mahendra Nahata: Very early stage of these kind of fibers. Multicore fiber, I don't foresee much of the demand happening because multicore is -- it does not reduce the transport cost. It only reduces the space required by fiber. But already there are technologies available where we are packing up to 13,000 fibers into one single cable of a small dia. So multicore fiber, I don't see so much of a high demand in future. But hollow core fiber, yes, it may catch up. It is in very early stage of development, very, very early stage of development.

We have also tied up with 2 large institutions of R&D to develop hollow core fiber for ourselves. So we are already in process of development of hollow core fiber. There's a

dedicated team which we have put forward -- put in the place in the company with certain R&D institutions to develop hollow core fiber, which we believe would catch up some attention of the hyperscalers like Microsoft bought this Lumenisity and all that. But it is still a couple of years away. But we are already taking steps to develop hollow core fiber.

Operator: The next question is from the line of Smith Gala from RSPN Ventures.

Smith Gala: A couple of to start with, I want bookkeeping questions. Sir, you mentioned previously on the call that we'll be growing 10% to 15% on revenue. Is my understanding correct that this revenue growth will be sequential? Secondly, we have seen a big uptick in the depreciation expense. So what are the levels of the run rate going forward we'll see? Or this is the run rate we should follow for the next couple of years from now?

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Mahendra Nahata: No. Your second question on depreciation. The new fiber optic plant has come into operation. So that depreciation charge on that new plant you see. So that's why the depreciation has increased . What was your first question?

Smith Gala: Sir, my first question, you mentioned on the call that we will see 10% to 15% growth. I understand this growth will be sequential growth and not year -on-year growth?

Mahendra Nahata: Yes, it will be sequential growth, of course.

Smith Gala: Next question from my side will be we are on track to expand our capacities as far as IBR cables are concerned because we have not seen any rise in capacity from first quarter. So had the expansion stopped for one quarter, there was some minor disruption or something like that?

Mahendra Nahata: No. We are fully on track to develop IBR capacity because that is the only way you can pack 3,600 or 6,900 fibers in one cable. That is the only way. And we have significantly expanded our IBR capacity, and it is continued to be getting extended. And it will keep on happening till May, June for which machinery orders are already in place and machineries are arriving one by one by one because the machines are not available altogether. There are very few

manufacturers of those machines, quality machines . Non-quality, you can buy as many which you don't want.

So they are coming one by one. That capacity is under continuous enhancement, would be completed by May, June of this

financial year , the current expected capacity. But if we find more demand coming up, which I am certain that it would come up, but fiber availability may become a constraint, but cable demand would be there. But if we are able to solve the fiber issue, we would be expanding the capacity further.

Smith Gala: Okay. One last question I'll squeeze in. Can you give me a split between the 5G products and OFC for quarter 3?

Mahendra Nahata: It's about 80- 20.

Smith Gala: Okay. So, it is 80- 20 of the 722, which we have provided?

Mahendra Nahata: Yes, yes, absolutely.

Operator: The next question is from the line of Sanjay Shah from KSA Securities Private Limited.

Sanjay Shah: Sir, thanks for giving fantastic understanding about the market demand and growth trajectory of HFCL. Sir my question was regarding our plan ned expenditure, what we need to do in 329 acres we have got at Andhra Pradesh, and which are the products are we going to develop over there? And how that commercialization of that project will start?

Mahendra Nahata: Mr. Shah, thanks a lot for your good question. First of all, the 329 acres would be eventually 1,000 acres. Balance 671 acres or so is still to be allocated by Andhra government, which they are going to allot contiguous to our land, which is under their acquisition process and all that.

That is number one. So total, it would be 1,000 acres. The plan to do is to manufacture ammunition there because ammunition needs a large space to manufacture because there

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should not be any habitation near about places, because if any unfortunate accident takes place, human life should not come in danger, in any unforeseen circumstance.

So you need a large open space by law to manufacture ammunition. So, for example, we already have taken technology for multimode hand grenade from DRDO, which has been successfully manufactured and tried by a technology provider, DRDO. And now it is under the approval of QA wing of DGQA from Army because of time frame that you can preserve this and all those kind of things, which is happening right now.

And in the next three months' time, we should be able to offer it to Army for the requirement for the demand is immense, lakhs of the grenades are required every year just for practice. Every infantry soldier or the other soldiers have to throw three grenades as a practice every year. So you can imagine kind of a lakhs of the requirement, which is there. So this is just one.

We are also exploring the possibility of manufacturing more ammunition also. More ammunition means ammunition fuze we are already in the process of development and final phase of development after the current field trial and the next field trial. So we also wish to develop the shell for 155 mm gun, which we have fuze already we are developing.

We are also working on some of the ammunition for precision- guided ammunition. One is the dumb ammunition, which you fire and it goes and falls depending upon your aim and all that. But then there are some precision -guided ammunition, which is fired and it goes with some sort of a GPS or other kind of a technology gets down to that precise area where it is intended to. So we are in discussion with some companies for doing that also. So land is predominantly for the ammunition purposes. That's why this is a large land required as per law.

Sanjay Shah: So what will be the capex required for that and how we are going to reach?

Mahendra Nahata: Too early to say that Mr. Shah, too early to say that at this point of time.

Sanjay Shah: So now sir, we have grown and we have done a lot of capex in the last few years and we have increased all the capacity on all the fronts. And now we are here to encash the advantage of that capex and make our company more profitable and utilizing all the capex. Now we need further capex of growth because we are

going for this new project.

Plus we are going for expansion of our optic fiber capacity and all. And plus the business where we require working capital inventories and all. So how do you plan to raise money? Do promoters intend to increase their stake from here at the current enterprise value, which is the lowest what we feel in the industry?

Mahendra Nahata: Look, first of all, increasing the capacity for optical fiber cable will not matter much, will not require much of the money. Of course, when we go for creation of any large -scale defence manufacturing capacity and all that, yes, that would require. Promoters have willingness to increase the stake. We have the willingness, but all depends upon shareholders' approval, regulatory clearances, it is all subject to that. So willingness is, of course, there.

Sanjay Shah: That shows great confidence, sir. Thank you very much and best of luck for your future.
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Operator: Thank you. The next question is from the line of Satya, an Individual Investor.

Satya: Nahata ji, my question was on the services side. This time, we have seen a loss of about INR11 crores on the services side. Why has that been the case? And how do you see that going forward?

Mahendra Nahata: No, these are O&M revenues. And going forward, O&M revenues is going to increase significantly. First of all, Army's O&M phases to start for the NFS, which we created, I think, next couple of months or may be by April maximum. So that would be about INR 170 crores per year .

Then the O&M phase for other equipment we have supplied, which OTN or a couple of other equipment, UBR and which we have supplied to BSNL, that O&M phase is to start. And some of the private operators, we have supplied equipment, that O&M phase is to start. So O&M revenue is going to grow significantly. In my opinion, after three years, our O&M revenue would be something around INR 450 crores to INR 500 crores per year.

Satya: Sir, my question was also on the profitability side. This time, we seem to have recorded some loss over there. So how are we expecting that to change over the future?

Mahendra Nahata: As you know, it is -- when you are in the warranty period and all that, there is expenditure, but there is no revenue. Revenue starts after the warranty period is over. So in that kind of a period, you incur loss. But when you are entering into O&M phase of the AMC , the revenue starts coming up.

Like as I said, in the Army project, we expect the revenue starts coming up from April when the AMC contract would take shape and start. So then the revenue starts coming. Right now, we are spending money, but it's not going to continue for more than a few months now.

Satya: Right. Got it. Sir, one question on the 5G equipment side. How is the traction over there on the FWA and UBR products that we have?

Mahendra Nahata: Look, UBR is good for 5G, 6G, 4G, everything. And that is, of course, we are now moving into Wi-Fi and UBR all put together, we are going to move into next generation from Wi -Fi 6 to Wi -Fi 7. That's the plan we have, and we should start the development pretty soon. As far as FWA CPE is concerned, the in-country demand of FWA CPE seems to be reducing because people are using alternate technologies based on unlicensed band, point -to-multipoint unlicensed band, which we don't do, of course, we are doing point -to-point only. But however, routers, which are again required in 4G and 5G network, both there we have got a significant traction, particularly in BharatNet because router is required in all kind of networks, whether 4G, 5G, wireline, wireless, every kind of network. There, we have seen a significant traction. We have already got orders for about 100,000 routers, which would amount to be about INR700 crores or INR 800 crores. We are in process of getting more orders. Righ

t now, even

we are not taking any orders for routers because we have a constraint of supply because of component availability and all that.

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So we don't want to trouble the customers. We first want to deliver some good quantity, then take more orders. But routers have got good traction. They have already been installed in the field. Connections are already being given to customers by the people who have bought the routers from us, which are the private parties. So that has got a good traction. For CPE, we will now start working on trying to sell it in the international market. So would be UBR and Wi -Fi systems.

Satya: Sir, a quick follow -up on the UBR, we were developing point -to-multipoint, right?

Operator: Sir, I'm sorry to interrupt sir. Sir I am sorry to interrupt you.

Satya: Just a minor follow -up, I'm sorry, just a minor follow -up. We were developing the point -to-multipoint, right, sir? W here are we in the process of that?

Mahendra Nahata: So point -to-multipoint, we have not yet started developing. We have not yet started. We are just looking at worldwide, how much is the demand. In India, there is a significant amount of demand from one operator, but other operators are not using it. Worldwide, unless we see multi-country demand, we would really hesitate to do that because just because demand of one customer in one country, we don't want to take an expensive investment like that.

On the contrary, point -to-point demand is good and the development expense is also less. It's less risky. So unless we are 100% satisfied about point -to-multipoint demand worldwide, we

would not really go into that. It's a spectrum issue. If you look at the large development in the United States or all that, operators have a much larger amount of spectrum, so they don't need unlicensed band radio. They are very happy within the license band and they can give large capacity to a large number of customers using the licensed band. So that is the difference.

Operator: We'll take the next question from the line of Rishubh Vasa from Indsec Securities and Finance Limited.

Rishubh Vasa: First of all, congratulations on a good set of numbers in 3Q FY '26. Sir, I wanted to know from an AI and a data center perspective, what are the kind of opportunities we are seeing for our products and services portfolio? What is our current position versus our closest peers? And also, what kind of benefits do we foresee from the recent favorable budget announcements? So can you just put some color so that it becomes clear for us?

Mahendra Nahata: I would not put colour, I would put the plain colour as it is, so basically, data center and hyperscaler demand is really propelling the fiber optic cable and associate industry as far as HFCL is concerned to a very next level because if you look at the telecom operators, the cable required maximum 288 fibers. We never supplied more fiber count than that to any telecom operator. Now data centers don't even look at 288. They are talking of 3,900 fiber cables, 6,800 fiber cables, that kind of a capacity. So per kilometer cost is multiple high, so revenue also would go up.

And since those kind of cables are manufactured by very few people because not everybody has the ability to design, develop and manufacture those kind of cables, which is very good for HFCL Limited

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HFCL because we are one of the company who designed, developed, have got machines to be able to manufacture those kind of cables, which has really lifted our Optical Fiber Cable business to next level.

So it has provided a very, very large opportunity for companies who have got this technological and manufacturing capacity. Moreover, we did the expansion in right time. We could foresee this demand coming up. We did our expansion. As a result of that, not only expansion but design also. As a

result of that, today, we are able to supply to these customers who are using this kind of cables all across the world. We are not supplying in India. Everything what we produce of this kind of cable is getting exported. There is so much of demand we have. And in fact, now we have to refuse orders because we don't have capacity to manufacture that kind of requirement or the demand which is coming up.

Now second opportunity, which this market has given is Passive Connectivity Solution, like MPO cables, like other Passive Connectivity Solution, which, as I said in the beginning, is going to get us at least INR 500 crores of revenue in the next financial year, at least INR 500 crores.

Our people have gone abroad, got trained on various kind of technologies, manufacture of those Passive Connectivity Solutions have come back pretty recently. And we have started receiving orders for those kinds of PCS connectivity solutions. And once we complete initial part of supply, INR400 crores to INR 500 crores looks pretty easy to achieve. So demand is there for fiber optic cable, demand is there for accessories, Passive Connectivity Solutions, which has given us very good opportunity.

Operator: The next question is from the line of Abhishek Kumar Leekha from Neste Wealth LLP.

Abhishek Kumar Leekha: Congratulations on good set of numbers. My question is on fuze test. Management was quite confident on the fuze test outcome as per last many calls. And given that fuze test took almost 18 months to rectify and meet standards, what comfort can the management provide from here on its commercialization and time lines from here on?

Mahendra Nahata: Look, Mr. Abhishek, as I said, these are quite complex products. I might be very confident, but there may be still some improvement required because assuming if fuze malfunctions, you would have heard one incident in Lebanon one that 2,000- pound bomb or some 20,000- pound bomb, whatever, the mother of all bomb what U.S. calls, they dropped, but it did not blast.

And it was just lying there. A bomb, which could have destroyed the entire locality. It just did not blast, it was lying there. Why? So the fuze did not function and bomb did not blast. So fuze is a very, very critical piece. It requires a very, very high degree of precision, particularly the proximity fuze, which is where we had some technical issue. So which is being rectified.

When something goes at a speed more than the speed of sound and it measures the distance the radar inside measures a distance between ground and the bomb. You can imagine what kind of

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precision is required. So those things are going to be a little more calibrated. So that is happening now.

I'm sure by April, May, when the next test phase of test takes place, it should be successful. But if you see our comfort, I can only say that I am quite confident that it would happen. It has taken years for companies to reach to that level of precision, but we are doing it at a much faster pace, but it needs some patience. Military products, they need very high degree of precision, particularly something like fuze, which is a small part of the bomb, but the most critical part of the bomb.

Abhishek Kumar Leekha : I understand that. The only thing was like what was worrying was like it took almost 18 months to get the next date from DRDO timelines ?

Mahendra Nahata: It was not the DRDO giving time. It was ammunition, which was not available from the MIL, the Munitions India Limited.

Abhishek Kumar Leekha : Yes, sorry on that. Yes.

Mahendra Nahata: That ammunition is available with us now. So DRDO testing is not the problem. Problem was the ammunition, which is now being available with us, it would not take that much time.

Abhishek Kumar Leekha : Okay. Can you just provide some kind of revenue visibility for '26, '27 in case of defence line of products and all?

Mahendra Nahata: Defence line of products, I think we should be something like INR 400 crores to INR 500 crores, something like INR 400 crores to INR 500 crores.

Abhishek Kumar Leekha : Next year?

Mahendra Nahata: Next year.

Abhishek Kumar Leekha : Okay.

Mahendra Nahata: Look at you must understand. It takes a lot of time to build a defence capability. Approval of product itself is a big issue. But once you get in, some product is approved, then you continue to sell it. The BMP -2 upgradation, for example. We are one of the 5 shortlisted parties. Trials will take place, the tender will happen and assuming we win, assuming. I'm not saying that we will win, assuming. Then we straight away get thousands of crores order. And consistently, we are supplying for 7, 8 years. So it takes time, but I'm sure larger tenders also will come in our way.

Abhishek Kumar Leekha : Yes. We look forward to that day when probably what is being envisaged is actually getting achieved.

Mahendra Nahata: Yes, sure.

Abhishek Kumar Leekha : Yes. And just one last squeeze. The active communication devices and the data centers and the huge cloud that is expected over the next few years because of the income tax holiday that is HFCL Limited

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being provided by the Government. What kind of opportunities that HFCL can get it from there?

Mahendra Nahata: Look, basically, when new data centers are getting created, all whatever we are supplying to data centers would be in demand in India also. Right now, we are exporting, then there will be demand in India. Right now, data centers are coming up in India. Some of the key players are putting up data centers, but still not to the level what is happening worldwide.

If you look at the United States, for example, one company just announced that they are going to spend \$150 billion in capex on data centers. Just one company. The scale is much different. But yes, with these concessions, I expect that data centers will come up in India because data generation is huge in India because of our own population and usage of mobile phones and the data generations out of that.

So there is a lot of data generation, a lot of storage and those capacities are required in India.

So when that happens, so the same product which we are exporting will be required in India also. That is increase in market size for us, and we can increase our capacity to serve our own country's requirement.

Operator: The next question is from the line of Pushkar Jain from Mili Capital.

Pushkar Jain: Congratulations on great set of numbers. I just wanted to know what is the current average realization for bare optical fiber?

Mahendra Nahata: Bare optical fiber, currently, the price would be different for different type of fibers. But I will tell you, in general -- from the point of view of comparison, what we have been doing previously, the price was about INR250 per kilometer in December.

Now this December number I'm giving you because that was the price we purchased on average price in that particular quarter. Now if you see these prices have gone up, this would be nearly about, I would say, INR300 plus.

Pushkar Jain: Okay. And do we also sell bare optical fiber or we just use it for our internal purpose?

Mahendra Nahata: We don't sell. We don't have the capacity to sell. We are rather buying bare optical fiber from other

players.

Pushkar Jain: Right, sir. And also in light with so much capacity coming on stream next year, can you give us some guidance on the numbers? How do you see it?

Mahendra Nahata: Look, I would not give a guidance. I can only give my perception and expectation because guidance would be a wrong word to use. But fiber optic cable -- but we have been looking at about INR2,400 crores of revenue from Fiber Optic Cable business this current year. Next year, I think it should be able to cross INR3,500 crores.

This is

not my guidance, but my estimation on the basis of current demand, what we have in the country and export and also at the same point of time, the Passive Connectivity Solution demand, which I expect and also the shortage in the market. That is my best -- very, I would

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say, more or less conservative expectation that we should be able to reach to INR3,500 crores in Fiber Optic Cable business in the next financial year.

Pushkar Jain: Right, sir. And on the margins, we can...

Operator: Sorry to interrupt you, sir. I will request you to kindly...

Mahendra Nahata: No, no, just I will answer him. Margins, I think it should remain around 10% PBT margin should always be there.

Pushkar Jain: Okay. On EBITDA, it will be like 18 then, somewhat in this range only?

Mahendra Nahata: Yes, EBITDA would be same range. If PBT is the same range, EBITDA would be in the same range.

Operator: The next question is from the line of Amar Ahir from Raedan Capital.

Amar Ahir : I want to ask is the optic fiber cable and optic fiber production capacities that you are adding, is that going to push? And what will be the revenues you bring in there?

Mahendra Nahata: Yes. M r., your voice is broken again and again. I could not even understand your question.

Amar Ahir : Is it okay now, sir?

Mahendra Nahata: It is right now okay, but please tell your question again.

Amar Ahir : Yes, sure. The optic fiber cable and the optic fiber production capacities that you're going to expand, when will that commence? And what revenues will that bring in?

Mahendra Nahata: No, I already said that, that production capacity enhancement is already in process. It is already happening. It is happening step by step because all machines are not delivered at the same time. So it is already in process. The cable capacity enhancement, what is the current stage we have planned, would finish by May, June this year.

And the fiber capacity expansion would finish by December this year because the machine delivery is a longer time frame. So that will finish by November, December this year. So that is as far as capacity enhancement is concerned.

And as far as the revenue is concerned, I just now said to the best of my expectation, depending on the current situation and best of my knowledge and expectation, instead of

INR2,400 crores, which we have planned for the current year, we should be able to reach INR3,400 crores to INR3,500 crores in the next financial year for the Fiber Optic Cable business.

Operator: The next question is from the line of Arun Malhotra from CapGrow Capital.

Arun Malhotra: Yes.

Operator: Mr. Malhotra, I'm sorry to interrupt you, sir. Your voice is breaking drastically.

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Arun Malhotra: Yes. So what I was saying when the outlook for the OFC business and the Defence business is so good, why are we diluting the existing shareholders? We have done equity raise in 2021, '23 and now again in '25, and our debt to equity is still quite low. So why the equity raise at such low valuations?

Mahendra Nahata: You need money for growth. Now question is, if you need money for growth, more working capital and what else you can do? You have to raise money. You have to raise money and also...

Arun Malhotra: So you can always raise debt because debt is always cheaper?

Mahendra Nahata: No, it's not necessarily that we will raise debt only. We raised debt. We have raised some debt also. We have raised equity also, both. It's a combination of both.

Arun Malhotra: Okay. Because your stake has come down from 39 to 28 in the last 3 years when the prospects of the business are the best. So, that's what my point....

Mahendra Nahata: We have diluted our stake , we have invested our own money in the Company.

Arun Malhotra: Okay. I was saying promoter shareholding. Okay. I got your point. So, the s

second point was

the percentage of the order book towards government is right now close to 70% as per the presentation. The percentage of the current revenues is only 20% because 80% is private?

Mahendra Nahata: That is right. That is right. You must understand.

Arun Malhotra: So that means the mix in the future will change?

Mahendra Nahata: No. Government -- that's what you must understand. A good question and a good observation.

Look, what happens, the government orders have come in a bunch, BharatNet, for example, which is a 3-year order, but it's a multiple thousand crores order. So when you see the order book, it looks large, but execution is in 3 to 4 years. So execution takes time.

So percentage of revenue goes down, whereas the private sector orders come in smaller numbers, INR200 crores, INR300 crores, INR100 crores, INR50 crores, and that execution is

also faster. So private sector order booking will remain always lower than the government sector, but revenue would always be higher from the private sector than the government sector.

And again, another point you should see, the O&M revenue is also in the part of the government order. So O&M revenue bunched with the order book of the current equipment and all that becomes even higher. So the current order book for the O&M itself is about INR3,000 crores. So because the O&M, it looks higher.

Operator: The next question is from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor: Namaskar, Nahata ji.

Mahendra Nahata: Sir, I was waiting for you.

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Saket Kapoor: Sir, I have been in queue since the beginning. So, the call was very exhaustive and detailed. So, sir, congratulations to all of you for that. Very detailed one. So, I have only one observation. And if Jain sir, can shed some light on that. When we look at our revenues on a consolidated basis, the revenue is at INR1,211 crores. And when we look down at the profitability, the profit from the telecom product is at INR202 crores with revenue of telecom product at INR722 crores. Jain sir?

Vijay Raj Jain: Yes, yes.

Saket Kapoor: Sir, when we look at the stand-alone numbers, the revenue of the telecom product is at INR702 crores and the profitability is at INR137 crores. So, please explain that the revenue increases by INR20 crores and our profit increases by INR70 crores. So, how should the investors understand this in consolidation? Sir, please shed some light on this.

Vijay Raj Jain: Sir, HFCL stand-alone basis, it has multiple businesses including optic fiber cable, telecom product, turnkey projects and all that. When we come to the consolidation, it is mainly HTL Limited and HFCL Inc., which is 100% subsidiary in US. So, these two companies are exclusively into Optic Fiber Cable business where the margins are also high.

So, what happens eventually, HFCL and HTL manufactures product here, cable here in India and exports to HFCL Inc. In turn, HFCL Inc. sells materials to various respective customers. So, this last quarter, December ended, a lot of inventories got stuck there. So, this revenue has not increased substantially, but the profitability has increased because of the revenue mix. So, HTL and HFCL Inc., they are 100% Optic Fiber Cable. So, that is how it is in consol basis, profitability looks much better than the stand-alone.

Saket Kapoor: Okay. So going ahead, the sales will get reflected and then at that time, the profitability will not be there. So we have booked the profitability for this quarter.

Mahendra Nahata: There will be...

Vijay Raj Jain: Profitability will be there. Profitability is booked only when the final sales takes place to the end customer.

Saket Kapoor: Okay. Better would be, sir, I'll take it offline, because I did not understand completely.

Mahendra Nahata: Because when we sell it to our own company, we don't book the

revenue or profit. It is booked when it goes to the ultimate customer. So with this unfortunate incidence of tariff and all that, these all things got stuck and that's how you see this anomaly.

Saket Kapoor: Okay, sir. Sir, can you give me the net debt number and the cost of fund currently, or our rating is due for revision?

Vijay Raj Jain: Our rating is due in May-June, but we will try and post this December quarter result, we can approach again to the rating agency.

Saket Kapoor: And what is the net debt number, sir?

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Vijay Raj Jain: Sir, it is around INR1,500 crores, including term loan, working capital facilities, some bill discounting and all that, some payment to these MSME vendors and all that. All taken together, it is INR1,500 crores.

Saket Kapoor: One more request, sir, that the level of work that we are doing currently and the type of businesses we have, we should also look at people like CRISIL or ICRA or India rating as our consultant for evaluating our credit rationale also. That's a humble suggestion from my side, if that could be looked ahead in the near future, sir.

Vijay Raj Jain: Yes, we can, we are associated with CARE for a very, very long time. So -- but we can explore all those possibilities, yes.

Operator: Ladies and gentlemen, we'll take the last question for today, which is from the line of Parth Mehta, an Individual Investor.

Parth Mehta: Sir, my only question was, could you please throw some light on the guidance for 5G businesses for the next year and on the revenue front? And defence, you have guided, but the 5G product side, the revenue guidance for the next year?

Mahendra Nahata: There are products which are used for 4G, 5G, 6G, everything. So routers, for example, that's used for everything. The UBR is used for all 4G, 5G everyone. So I would not be saying 5G products, but telecom products, I would say. So I would expect something like INR500 crores.

Parth Mehta: Okay. Okay. And sir, the services business, I understood that you said that O&M is also doing -- contributing and that is the reason why we have made losses because we are spending money at the moment. But any guidance for services business going forward as well?

Mahendra Nahata: No, no. As I said, Army alone, we should be getting INR170 crores a year. They are BNG, OTN, UBR, all this. In three years' time, we said two to three years' time, INR400 crores to INR500 crores would be our revenue from O&M.

Parth Mehta: Okay. And ex O&M and normal service business, we are not continuing with that?

Mahendra Nahata: No, we are not doing any other normal service business, except doing EPC construction and all that. But no other service business we are doing. It's the O&M.

Parth Mehta: So sir, EPC business guidance would you be able to give?

Mahendra Nahata: I would say roughly about INR1,000 crores.

Parth Mehta: INR1,000 crores a year? So that is much...

Mahendra Nahata: Next year.

Parth Mehta: Yes, yes. So that is much lesser than what we have been doing in the past, is it?

Mahendra Nahata: So past this year, we would be doing INR1,500 crores. We are intentionally not doing much of EPC because that's not the area we are much interested. We are more interested in Defence

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business, Fiber Optic Cable business, Telecom Equipment business, EPC is not our priority business. So I would have got more contracts for EPC. Even if I want today, I can get another INR1,000 crores contracts for EPC, but I'm not taking that.

Operator: As that was the last question for the day due to time constraints, investors may reach out to the Investor Relations team for any further clarifications. Ladies and gentlemen, I would now like to hand the conference over to Mr. Nahata for closing comments. Thank you, and over to you, sir.

Mahendra Nahata: T

Thank you very much, all my friends, shareholders for this earnings call of quarter 3. And I am quite sure based on the current order book and current demand scenario of the products which we manufacture and the turnkey contracts we are in process of executing that we'll continue to maintain the momentum which we have shown in Q3.

And the same momentum should continue to happen in the coming quarters also because the demand of our key products like fiber, fiber optic cable and also some of the telecom equipment like routers is very, very good. It's a very good demand, and we have got confirmed orders in hand from large players. And more orders are expected in near future and midterm and long-term future also.

So we will maintain the momentum what we have shown in the third quarter and expect that Company would be able to show even further improved performances in the coming quarters.

Thank you very much, gentlemen. Thank you for being with us today.

Operator: Thank you, members of the management. On behalf of ICICI Securities Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

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RE: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015

Subject: Transcr ipt of Conference Call on the A udited Financial Results of the Company for the 4th Quarter and Financial Year ended March 31, 2026 , of the Financial Year 202 6-27.

Dear Sir(s)/ Madam,

This is further to our earlier announcement dated April 30, 2026.

In terms of Regulation 30 read with Para A of Part A of Schedule III to the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we hereby submit Transcript of the Conference Call held on April 30, 202 6, on the A udited Financial Results of the Company for the 4th Quarter and Financial Year ended March 31, 202 6, which were considered and approved by the Board of Directors of the Company, at its meeting held on April 30, 202 6.

The aforesaid Transcript will also be available on the Co mpany's website at <https://www.hfcl.com/> .

You are requested to take the above information on records and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,
For HFCL Limited

(Manoj Baid)
President & Company Secretary
Encl: Copy of Transcript.

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"HFCL Limited
Q4 FY26 Earnings Conference Call "
April 30 , 2026

MANAGEMENT : MR. MAHENDRA NAHATA – PROMOTER AND
MANAGING DIRECTOR
MR. VIJAY RAJ JAIN – CHIEF FINANCIAL OFFICER
MR. MANOJ BAID – COMPANY SECRETARY
MR. AMIT AGARWAL – HEAD, INVESTOR RELATIONS

MODERATOR : MR. ABHISHEK JAIN – ARIHANT CAPITAL MARKETS
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the HFCL Limited Q4 FY26 Earnings Conference Call, hosted by Arihant Capital Markets Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Abhishek Jain from Arihant Capital Markets Limited.

Thank you and over to you, sir.

Abhishek Jain: Thank you, from the management side, we have Mr. Mahendra Nahata, Promoter and Managing Director ; Mr. V.R. Jain, CFO ; Mr. Manoj Baid, Company Secretary and Mr. Amit Agarwal, Head Investor Relations.

Before we begin, I would like also to read the disclaimer statement. Statements made during this call may be forward -looking in nature, based on management current beliefs and expectations. This must be viewed in relation to the risk of HFCL business basis that could cause its future results, performance, or achievements to differ significantly from what is expressed or implied by such forward-looking statement. Investors are, therefore, requested to check the information independently before making any investment decision.

So without making further delay, I'll hand over the call to the management for the opening remarks. Over to you, sir.

Mahendra Nahata: Thank you, Abhishek, and good evening, everyone, I extend a warm welcome to all of you on HFCL's earnings call for the fourth quarter and financial year ended 31st March, 2026.

I trust you have had the opportunity to review our financial results, press release, and investor presentation, which are available on our website and the stock exchanges.

This quarter and financial year mark a defining milestone for HFCL, as we delivered a never - before quarterly as well as annual performance, reflecting the strength of our strategy, improved business mix, and consistent execution across our core segments. I am pleased to share that we have successfully achieved the commitment of 20% revenue growth along with expansion in margins, underscoring the structural transformation we have undertaken over the past few years.

This performance is broad -based, supported by strong demand across optical fibre cable, telecom, defence, EPC and exports. As we move into the new financial year, backed by a robust all time high order book of Rs.21,200 crore, favourable industry tailwinds, and our continued focus on high-value products and global markets, we remain confident of sustaining this growth momentum and delivering a similar trajectory in the coming periods.

I would also like to highlight that HFCL has remained largely insulated from the current disruptions due to geopolitical situations. Our supply chain has continued to operate seamlessly without any material impact on production or dispatches.

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At the same time, we have taken strategic step towards further strengthening our manufacturing resilience with backward integration by establishment of Preform manufacturing facility. The project involves an estimated capital outlay of around ₹580 crore, which will be funded through a balanced mix of internal accruals, debt, and equity. The facility will be state of art based on latest technologies.

This initiative is not merely about backward integration; it is about strengthening HFCL's structural competitiveness. Preform will

I act as a key margin expansion lever and a long -term competitive advantage for HFCL.

The global optical fibre market is undergoing a structural transformation, driven by hyperscale

data centres, artificial intelligence workloads, and cloud infrastructure expansion. This is adding an estimated 100 to 150 million fibre kilometres of incremental demand globally, over and above traditional telecom sector requirements.

More importantly, this demand is concentrated in high fibre count, low -latency, and high-performance solutions, where supply remains constrained. As a result, we are witnessing a significant improvement in realisations for such type of cables. Our average realisations have improved significantly, and we expect this to be progressively reflected in our margins over the coming quarters.

We remain confident that this favourable pricing environment will sustain over the medium to long term. Currently, the demand momentum is being led by hyperscalers in the United States, which we expect to be followed by Europe and Asia including India, indicating a multi-year growth cycle ahead.

HFCL has strategically positioned itself to capture this opportunity through its advanced product portfolio, including high fibre count cables of up to 6,912 fibres. I am proud to inform you that these high technology cables have been designed and developed by our in-house R&D

team. In addition, we are seeing strong traction in our data centre interconnect solutions, including pre-connectorised systems, which are becoming increasingly critical for high-density

AI infrastructure deployments. We have decided to increase, on a multi-fold basis, our manufacturing capacities for data centre interconnect solutions in our subsidiary, HTL Limited. Data centre interconnect solutions are expected to contribute significantly to our performance going forward. It is expected that data centre interconnect solutions will contribute about Rs.400 crore additional revenue in FY26-27 and about Rs.800 crore in FY27 - 28.

During the period, we secured a landmark long-term global optical fiber cable supply contract valued at approximately USD 1.1 billion, equivalent to Rs. 10159 crore providing strong multi-year revenue visibility. This is probably the highest ever single contract secured by any Indian telecom company. Other multiple export and domestic orders being continuously received by us reflect sustained OFC demand traction across markets.

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The Company's order book stands at Rs.21,200 crore including export order worth Rs. 12,250 crore constituting 58% of total order book. This sound order book provides strong sustainability and growth momentum in company's revenue and profitability.

Exports continue to be a key pillar of our strategy. We are witnessing a steady increase in the share of OFC export orders and revenues, driven by growing acceptance of our products in global markets. Our strategy is clearly focused on diversifying geographies, reducing dependence on any single market or customer, and building a resilient and globally competitive business model.

Our focused export strategy has delivered strong results during the year. Today, more than 70% of our cable production is being exported. Consequently, our export revenues have increased to 41.36% in FY26, compared to 12.23% in FY25, underscoring the growing contribution of global markets to our overall business.

Over the last few years, HFCL has been steadily building

strong capabilities in the defence

sector. We have already indigenously developed and commercialised several land-based defence products, including Thermal Weapon Sights, Electronic Fuzes, high-capacity Radio Relay systems and multiple variants of Surveillance Radars. In addition, a few more defence products such as Multimode Hand Grenade, Compact Trans-horizon Communication System are currently in the pipeline.

Building on this foundation, and in line with our long-term growth strategy, the Board of Directors, at its meeting held on March 25, 2026, approved a major strategic initiative to expand and further strengthen our defence business, while also enabling HFCL to meaningfully participate in opportunities emerging in the defence aerospace segment.

The core objective of this proposed transaction is to create a focused and scalable and future ready defence and aerospace platform by consolidating complementary defence capabilities under our subsidiary, HFCL Advance Systems Private Limited.

Strategically, this allows HFCL to operate across both land defence and aerospace defence domains, creating a comprehensive and integrated portfolio. The aerospace business being acquired operates in a high-entry-barrier segment, characterised by stringent qualification requirements, high precision, long approval cycles and a limited global supplier ecosystem.

Importantly, this business comes with established capability base, certifications, long-standing customer relationships and a confirmed export-oriented order book of approximately INR 1,930 crore, providing immediate revenue visibility.

We believe that the proposed structure will sharpen execution focus, improve capital efficiency and drive sustainable growth from defence vertical.

The definitive agreements for these proposed transactions are expected to be executed on or before May 31, 2026, and the closing under such transactional documents is expected to be completed within the current calendar year.

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We are also progressing with the expansion of our defence manufacturing capabilities, including the establishment of an ammunition -focused facility in Andhra Pradesh. This facility is proposed to support a range of ammunition products such as electronic fuzes, multi -mode hand grenades, and 155 mm artillery shells. Once operational, it is expected to make a significant contribution to the Company's overall performance.

Besides, we have also established capabilities in critical areas such as wire harnesses for defence sectors, and we have been recognised by Hindustan Aeronautics Limited with the "Best Supplier Award." In addition, our technology collaborations, including technology transfers from DRDO, enable us to manufacture several products domestically that were earlier imported.

Our defence order book currently stands at approximately ₹300 crore, comprising orders across thermal weapon sights, radar systems, tactical communication cables, and wire harnesses for critical platforms. With the addition of the aerospace business being acquired, this expands to approximately ₹2230 crore, including a strong export -oriented order book of around ₹1,930 crore.

We see defence sector as our strong pillar of growth in coming years. Products for land system and as well as aerospace segments coupled with strong export base are expected to result in significant growth in our revenue in coming years.

In our telec

om and networking products segment, we continue to invest in innovation and product development aligned with emerging opportunities in 5G, private networks, and enterprise connectivity. This segment is expected to scale up progressively and contribute meaningfully to our overall growth.

We are pleased to share that we are firmly on track to expand our Optical Fibre and Optical Fibre Cable manufacturing capacities. Our current Optical Fibre capacity of 28 mn fkm is expected to increase to 33.9 mn fkm by December 2026. In parallel, our Optical Fibre Capital capacity, which has been scaling up in phases and currently stands at 34 mn fkm, is expected to reach 39 fkm by July 2026 and to reach 42.36 mn fkm by December 2026. In our EPC

business, including projects such as BharatNet, execution continues to progress in a disciplined manner. As execution accelerates, we expect this segment to contribute more meaningfully, while maintaining a sharp focus on working capital efficiency and capital discipline.

We had articulated a clear set of strategic priorities to expand our global export footprint, rebalance our customer mix towards private sector clients, and increase the share of product -led revenues over EPC with margin expansion. I am pleased to share that we have delivered decisively on each of these fronts. Our export revenues increased from 4.54% in FY21 to 41.36% in FY26, reflecting a meaningful expansion of our global footprint. At the same time, our government order book exposure reduced from 51% in FY21 to ₹37% in FY26, with a corresponding increase in private sector participation, improving the overall composition and resilience of our business. Further, the share of product revenues in our mix rose from 27% in

FY21 to 62% in FY26, underscoring our successful transition towards a more margin -accretive, product -led model. Together, these outcomes mark a significant transformation in

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our business model, positioning us on a stronger, more sustainable, and growth-oriented trajectory.

We are also witnessing gradual improvement in working capital cycles, supported by better execution discipline and a more favourable business mix.

We also remain committed to our ESG priorities. During the period, HFCL received ESG ratings from multiple independent agencies and published its first Sustainability Report, reinforcing our commitment to responsible and sustainable growth.

Importantly, during the period, the Board has approved a preferential issuance of warrants to the promoters, aggregating to approximately ₹555 crore, subject to necessary approvals. This reflects the promoters' continued confidence in the Company's long-term growth strategy and

their commitment to supporting the next phase of expansion, including preform integration, defence scaling, and augment long-term working capital resources.

Let me now quickly take you through the consolidated financial performance for FY26 and Q4FY26:

For the twelve months ended 31st March 2026, the Company reported consolidated revenue of ₹4949.27 Crores as against ₹4064.52 Crores in FY 2025, EBITDA of ₹826.75 Crores as against ₹506.75 Crores in FY 2025, Profit before Tax of ₹427.68 Crores as against ₹216.59 Crores in FY 2025 and Profit after tax of ₹329.44 Crores as against ₹173.26 Crores in FY 2025. Revenue for Q4FY26 stood at Rs.1824.12 crore as compared to Rs. 1210.79 crore in Q3 FY26 and Rs. 800.72 crore in Q4 FY25.

EBITDA for Q4FY26 stood at Rs. 336.93 crore as compared to Rs. 243.52 crore in Q3 FY26 and Rs. -22.33 crore in Q4 FY25; EBITDA margin in Q4FY26 stood at 18.47% as compared

to 20.11% in Q3FY26 and - 2.79% for Q4 FY25.

Profit After Tax for Q4FY26 stood at INR 184.45 crore as compared to INR 102.37 crore in Q3 FY26 and INR - 83.30 crore in Q4 FY25; PAT margin in Q4FY26 stood at 10.11% as compared to 8.45% in Q3FY26 and -10.40% in Q4 FY25.

Segment revenue from telecom products stood at 66% of total revenue in Q4 FY26 as compared to 57% in Q3FY26 and 74% in Q4 FY24.

As we look ahead, we believe that HFCL is entering a structurally stronger and very predictable growth phase.

We are not only experiencing a substantial expansion in our order book, but also a meaningful uplift in its business composition, reflected in a higher share of exports, long-term contracts, and a greater contribution from high-margin products.

At the same time, our strategic initiatives including backward integration into preform, expansion in defence sector, increasing global footprint, and focus on product-led growth are creating a powerful foundation for sustained margin expansion and return improvement.

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HFCL today is transitioning into a fundamentally stronger business enterprise one that is more global, more technology-driven, more diversified, and structurally more profitable.

Thank you. We will now open the floor for questions.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Aman Saifee from Stallion Asset. Please go ahead.

Aman Saifee: Thank you so much for the opportunity and congrats on a great set of numbers. Sir, I have two questions. Number one, if I look at the current trajectory, we are already having a \$1.1 billion of orders from a hyperscaler and along with a defense execution of INR600 crores lined up for next year. When I triangulate this number from the existing base of INR5,000 crores, it appears that our overall revenue could scale up to INR8,000 crores next year.

With our segment margins already at 30%, is it fair to assume that our profit next year can be north of INR800 crores, INR900 crores, even after factoring a INR100 crore s annual loss from project business?

Mahendra Nahata: Aman, I would not like to give such a guidance at this point of time. But I can definitely say that over and above the revenue we have achieved in last financial year, we should definitely be able to scale it up by 20% to 25% at least.

And well, with the increase in capacity of fiber, fiber-optic cable, defense products, there is a good possibility that we would have a good increase in the numbers. But yes, I think 20% to 25% is not something which we cannot reach to, in best of my expectation. Rest, I would not like to give guidance at this moment of time.

Aman Saifee: Yes. But sir, our telecom product PBT margin should continue -- even inch up higher with the defense execution and improved margin mix?

Mahendra Nahata: Well, we believe that 3% to 4% increase in margin on a blended basis, on an overall basis is quite expected, 3% to 4% increase.

Aman Saifee: Got it, sir. And sir, second question would be, we have constituted a strategic restructuring committee, which we believe is a very positive step. So are we demerging our project business? And if so, what is the indicative timeline for that?

Mahendra Nahata: Aman, we have constituted the committee. Committee will be working and making a decision what to merge, what to demerge. But we have done so to really every business has completely significantly different capabilities and ability of execution required. Defense requires different capability, different set of people. EPC needs a different

set of people, and fiber business needs

a different set of people. And in some cases, we receive offer from strategic partners also to partner with us.

Now, any strategic partner cannot come into such a mix of products where defense, EPC and cable and telecom all are mixed

up. So it is a good idea to consider that how this can be rationalized. And with that objective, we have considered this committee. As and when any decision is taken to merge/demerge any business, we'll definitely come back to you.

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Aman Saifee: Got it. Got it. And sir, just one last question, if I may. Has our \$1.1 billion of orders has started to execute from this quarter itself?

Mahendra Nahata: No, this is going to start from Q2. No, no, sorry, end of Q1. I'm sorry, end of Q1.

Aman Saifee: End of Q1. Got it.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Yes. Sir, just a clarification first. When you said 3% to 4% increase in EBITDA margin, that you're talking about FY27, right?

Mahendra Nahata: Yes, yes, you're right. This is expected. I'm not committing to anything. But as per the current order book, prices, raw material prices, I expect this. But tomorrow, in this geopolitical world, something else happens, you don't know, which -- morning, evening, who says what, we do not know. But that is my current expectation, based on current raw material prices and current order book, where the customer prices are known.

Deepak Poddar: Understood. And in terms of defense and data center, I think this year, you are expecting INR500 crores to INR600 crores revenue from defense, and data center, around INR400 crores. So can you throw some more light on the margin profile of this segment?

Mahendra Nahata : Look, this data center business are 2 types. One is cable, which is not included in this INR400 crores, which I mentioned. That is completely separate. Cable is different. This is the interconnect solutions, INR400 crores. It may even be higher than INR400 crores, but let's say minimum INR400 crores. In reality, it may be much higher. But I'm taking a conservative number of INR400 crores to INR500. Margin profile, as I said, blended margin profile is 20%, wherein this could be a little bit higher than others because these are going on in small batches. And with a more value-added, this could be a little bit higher. But yes, blended margin would -- instead of 16%, 17%, we have, it would increase by 3% to 4%, as expected, because of these kind of products coming in. In defense, INR600 crores, again, the margin because these are very high -value, high-precision products and mostly coming out of our proposed execution, margin could be a little bit higher, a couple of percentage higher than current rate of margins or expected rate of margins. It can be a couple of percentage higher.

Deepak Poddar : So, about 20% to 25% margin in defense?

Mahendra Nahata : Something like that.

Deepak Poddar : Okay. Okay. Understood. And on your backward integration, we are spending around INR580 crores, right? So what sort of advantage we'll get in terms of your increase in margins, or what sort of the backward integration that we are doing, so by when it is coming on stream as well?

Yes.

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Mahendra Nahata : Look, our current requirement of preform is 1,000 tons per year. Now, we are setting up this facility only about 300 tons . Now, this is just to have some sort of a control on preform availability. If preform availability goes down, then our overall production will go down, fiber production, cable production. So we want some additional control that, yes, we have adequate availability of our raw material, preform. That is why this facility is being set up. Currently 300 tons, but we have a possibility we might scale up to 500 tons

in stage 2, not now. After

300 tons is successful, we might take it up to 500 tons .

Then, second point is that, of course, it is going to be cheaper. If we do a make -versus -buy analysis, we did a lot. We did a lot of make -versus -buy analysis. And it reduces the cost roughly between 15% to 20% of preform.

Deepak Poddar : 15% to 20%. And by when it is coming?

Mahendra Nahata : Well, it will take at least 2 years.

Deepak Poddar : At least two years. Okay. And just one last thing, if I can squeeze. This INR21,000 crores order book that we have, what would be the average execution timeline?

Mahendra Nahata : Look, these are divided in two parts. Order book is divided in two parts. One is that products which are to be delivered, and second is AMC contracts. So the products which are to be delivered is about INR18,000 crores, and AMC contracts are roughly about INR3,500 crores.

INR18,000 crores is to be delivered, depending upon contract to contract, within this year to about five years, depending upon -- and this INR3,500 crores O&M contracts are 6 - to 7-year

time period.

Now, INR18,000 crores of orders is in hand we have, but we keep on receiving regular orders.

And next 5 years, I don't know how many thousands of crores of orders will be further

received. So that's why I said, we have a very sustainable growth with this kind of an order book, more orders in pipeline.

When I talk right now, thousands of crores or more orders are in

pipeline. Some of them, we are in a quandary whether we should accept or not because of the

capacity constraint. So there is a very sustainable order book we have at this point of time.

Moderator: Thank you. The next question is from the line of Rahil Dasani from MAPL. Please go ahead.

Rahil Dasani: First of all, congrats on a strong set of numbers. Starting with the capacity part, of our total

IBR capacity post expansion, which I believe is 19 million FKM, how much turnover can be

achieved from this particular 19 million and optimum utilization?

Mahendra Nahata : Look, Mr. Dasani, it's very difficult for me to break down the capacity of IBR and all that. And

that is information which is a little bit commercially confidential to share. But one thing I can

say, 100% of that capacity will be achieved whatever that capacity is. We are, in fact,

expanding that capacity. Two new machines are already under installation. A few more new

machines, we have already ordered, which would be installed within this calendar year.

Capacity will further expand, and it is 100% utilized.

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Rahil Dasani: Got it. And can we also use the facility of machines that we have for our telecom optical fiber and convert that to IBR? Does that work? Or that's not possible?

Mahendra Nahata : It can be done both ways. Some modification in machines are required from telecom IBR, which is

telecom there's no IBR in telecom. This is a flat ribbon. Telecom can also use IBR. They don't use normally. But they use --

IBR is intermittently bonded ribbon. Flat ribbon is a

different kind of ribbon. So, a flat ribbon machine can be converted into IBR with some

modification, and vice versa also, you can do it. But why would you do it vice versa? Because

IBR machines are much costlier. You would do from flat to IBR, not IBR to flat.

Rahil Dasani: Got it. Clear. Sir, coming on to our EPC business...

Moderator: Sorry for interrupting, Mr. Rahil.

Rahil Dasani: Yes, can I just ask my second question?

Mahendra Nahata : Yes, go ahead.

Rahil Dasani: Yes. Just on our EPC business, our EPC business has turned a bit loss -making in the last few

quarters. So if you can share why has that happened suddenly and how will that change? And

the second part to this question is, even with our EPC business dropping, our unbilled revenues have been increasing a lot

year -on-year, from INR300 crores to INR600 crores, and now may

be even h

igher. So why is that happening, especially since all our OFC customers are now primarily global MNCs, and our EPC business has been dropping.

Mahendra Nahata : I think it's a mix of two things. Global OFC customers and EPC are completely different. EPC

business loss was majorly due to this Army's network which we constructed, and it was

undergoing warranty period where we were incurring cost, but nothing was received from the

customer. Now, AMC contract is shortly to be signed with Army. Once we start AMC, that

would be nullified totally. Moreover, now we have started executing BharatNet kind of EPC

project, where there is profitability. As the billing starts, profitability will keep on coming.

For your second question of unbilled revenue, my CFO would answer that.

Vijay Raj Jain: So, see, it is not increasing totally in EPC contract. Part of it I mean, significant part of it is because of this OFC

supply, and because of some compliances pending. It cannot be, I mean,

we could not raise the tax invoice at the year -end. So those invoices are getting raised in April -

May, and that will convert into a significant part will get converted into formal revenue.

And we'll set off against those unbilled revenue, which we have booked in last financial year.

And EPC also, significant part will get converted into taxable revenue during the course of this

financial year. So you will see a significant change at the end of this current financial year.

Rahil Dasani: Got it. So next year, EPC business should be profitable for us?

Mahendra Nahata : Yes, because...

Vijay Raj Jain : May be second, third, fourth quarter from this financial year.

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Mahendra Nahata : Second quarter , because we expect this AMC contract with Army would be signed, and a sizable expense is coming in that contract because of warranty, which are known, nothing new.

So, that will get converted into AMC. And once it is AMC, then you will find it about INR170

crores or so AMC being received every year. So, that would nullify this loss. And with the EPC contracts of BharatNet being profitable, it would current year, we should be profitable.

Moderator: Thank you. The next question is from the line of Saurabh Jain from Sunidhi. Please go ahead.

Saurabh Jain: Congratulations for the great set of numbers. I have two questions. First, you mentioned to the previous participant that capacities are kind of fungible between telco and IBR, so is there any possibility in future for another such mega deal, following the new capacities that are going to come up by the end of this calendar year?

Mahendra Nahata : Your voice is echoing too much. I really can't understand what you said. You will have to probably take the speaker a little bit away from you and then speak.

Saurabh Jain: Okay. Sir, since you mentioned that capacities are kind of fungible between telco and IBR, so is there any possibility in future for another such mega deal, especially we have new capacities coming up by the end of this year?

Mahendra Nahata : Look, fungible not in 2 ways. Fungible technically, yes. But IBR machines are very costly machines. You would not like them to be used for telecom ribbon kind of an application because those machines are less costly machines. So you would like to have those machines separate than the IBR cable machines. So you can convert -- it's not fungible. You have to have additional equipment put into that telecom kind of ribbon equipment machine. That won't convert into IBR machine.

Now, downscaling an IBR machine to flat ribbon is not something which you would like to do.

That is converting a bigger machine into a smaller machine. That is not economically viable. So, one would not do that. So we are expanding the capacity of IBR. But as far as such mega

deal is possible or not, right now, we don't even have the capacity to really go for such a mega deal at this

point of time because we can do that.

We can do that. But we don't want to lose the opportunity of taking spot orders also because spot orders are sometimes more profitable. So we don't want to presell 100% of our capacity.

We want to keep some capacity in hand to be able to give it to our regular customers who buy regularly from us, may be in small quantities, and also to take advantage of spot market, where you get higher profitability.

So why would I book the total capacity of mine when there is a huge demand and there are opportunities of spot pricing, spot deals, which are more profitable? We have done a couple of deals like this in recent past.

Saurabh Jain: Absolutely. Sir, that brings me to my second question. Since you mentioned that, of course, you would like to keep capacities for spot orders also, so sir, January to March, we kept on hearing sharp jump in fiber prices, both standard fiber, and of course, this high-frequency, high-fiber cables also. So just wanted to understand 2 things here. How is the momentum right

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now? Is there any cooling-off happened we saw recently? And how it is going to how do you expect prices to play out in probably next 2, 3 quarters?

And secondly, we heard that \$23, \$24 were the price prevailing prices for high-fiber, high-frequency cables. But there were some articles that were talking about prices going to \$30 also in April to June quarter internationally.

Mahendra Nahata : So I'll tell you, the prices have gone up for certain type of applications where they are ready to pay any price, which is mostly for application in drones, military drones, which is happening in Russia , Ukraine and all those areas. So, that is additional demand of roughly about 50 million to 100 million kilometers has come in. But we are not supplying to those kind of war kind of requirement.

We are not at all supplying, not even a meter we have supplied. So, that is one area, where even our suppliers of preform don't want us to go in for. So we are not supplying in that area. So I hope that demand is there. It is going to continue but may not increase further. And there

is the bulk consumer side, data centers, telecom operators, there is a level to which it is economical for them to keep on buying fiber-optic cable.

So I think, right now, in my personal opinion, the prices have reached to their almost the final level. There may be a few percentage increase may be there, but there will not be any further increase in the prices in my personal opinion. That's my personal opinion, but opinions may go wrong. I've been thinking of this since last 1 month, but it keeps on going up. But really, in my personal opinion, it will not go further in a major way.

Saurabh Jain: So, sir, in your PPT, you have mentioned that we are expecting kind of 25% improvement in the realization for FY 27. So, that would be primarily because of the product mix, right?

Mahendra Nahata : Because of the product mix and because of the high-density cable and because this price raise has started from last 1 or 2 months. So when you take in the full year of these kind of prices, then naturally, it will go up on a year-to-year basis.

Saurabh Jain: Right. Sir, one last question. What would be the capex ...

Moderator: Sorry to interrupt, Mr. Saurabh.

Saurabh Jain: Just a small question. capex number for FY27 and FY28, that's it. That's all from my side.

Mahendra Nahata : Yes. total capex for FY26 would be roughly about the current FY27 could be roughly about INR600 crores, part of which has already been incurred, in fact, which includes for fiber, for optical fiber cable, defense, part of the preform business. All put together, it would be roughly about INR600 crores.

Saurabh Jain: And sir, for FY28?

Mahendra Nahata : INR350 crores.

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Moderator: Thank you. The next qu

estion is from the line of Balasubramanian from Arihant Capital.

Please go ahead.

Balasubramanian : Thank you so much for the opportunity. Congratulations for a good set of numbers. Sir, what is the strategic reason behind the defense acquisitions? And how do you look at the defense business next three to five years? And we also formed a strategic restructuring committee for evaluating business realignment. So what is your thought process on that?

Mahendra Nahata : Look, the rationale for acquisition of defense business is very simple. This company is in aerostructure business, and we did not have aerospace aerostructure business. So this really expanded our defense business in another area from land systems to aerospace. Now, aerospace is a much more difficult business to enter in from a greenfield situation because the approvals for aerostructure is very critical.

It takes years, five to seven years to get any particular component approved for aircraft because you know how critical they are for aircraft safety and all those kind of things. So this company already had approvals, certifications and export order book of almost INR2,000 crores, export order book from large international companies. So it was very much within our realm of our ability requirement to acquire this business.

I think we are fortunate to get into this aerospace business through an existing acquisition. If we had tried ourselves, it would not have been possible for next five to seven years with an order book and with certified products and with possibility to get more orders.

Balasubramanian : What is the update on electric fuze s and what are the defense products?

Mahendra Nahata : We have tested in Balasore. Some shortcomings or requirements for upgrade have been noticed, which we have to upgrade. That upgrade is going on. In a couple of months, we will give it for testing once again with all those upgrades done.

Moderator: Thank you. The next question is from the line of Tanmay from 360 . Please go ahead.

Tanmay: Congratulations on great set of numbers.

Mahendra Nahata : Tanmay, we can't hear.

Tanmay: Can you hear me now?

Mahendra Nahata : Yes.

Tanmay: Can you comment on the capacity utilization of the optical fibers, the preform prices and the end product optical fiber prices?

Mahendra Nahata : Look, as far as capacity utilization of fiber -optic optical fiber is concerned, it is 100%. We are trying to increase the production by doing various optimal innovative things that if it can increase by even 5%, 10%, that would also mean additional profitability, but that is not always possible. But it is 100% utilization. We are trying to make it 110%. So, that is one. As far as

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the preform prices are concerned, I don't have any idea what kind of preform prices are existing today.

So we are not really buying from open market. We have already contracted prices. I don't think preform are being sold in open market in that quantity because all preform producers are producing their own fibers. I don't have much idea. But probably for D fiber, preform price could be today \$140, \$150 per kg. This is my rough estimate because there is no such prices I have heard in recent past.

As far as the fiber cable price is concerned, it's very difficult. Cables are a different construction, different fiber kind, different density of fiber. So I really can't put a finger on how much is the per fiber price because earlier when I used to say price per fiber kilometer, a single type of cable was there. Loose tube cables were there, armored or unarmored. Now, there are 100 different kind of fiber -optic cables. You can't really say that this is the price of per kilometer of fiber. It could be INR1,000. It could be INR2,000. It's very difficult to put a finger

in that way. And putting an average would be very wrong.

Tanmay: Okay. And in defense, for FY 27

, can you tell us what percent of the revenue will come from defense?

Mahendra Nahata : In which year you are talking, in the current financial year?

Tanmay: Yes, FY27.

Mahendra Nahata : FY27, I think about 10%, 10% to 12%.

Tanmay: And which product specifically?

Mahendra Nahata : It would be aerospace.

Tanmay: In defense...

Mahendra Nahata : Largely aerospace and the land systems.

Tanmay: Okay. Got it. And do we see margin increases coming from the first quarter itself? Or will it be towards the quarter -- third and fourth quarter?

Mahendra Nahata : I think it would start from the first quarter itself. That is what we expect. Again, no guidance, please, expectation. This is the expectation that it should start from this quarter itself because we know the sale prices mostly of the customers, and we know the raw material prices also. Now, if something catastrophic happens in the world, which is none of our control, we can't say anything, but this is our -- best of our expectation.

Tanmay: Are we keen on demerging the defense business soon?

Mahendra Nahata : Well, I can't say demerging. We are currently trying to consolidate it under one roof, which is HFCL Advance Systems. But a restructuring committee has been formed precisely to look into such aspects, whether it is efficient to demerge the businesses into the specialized areas so that

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some strategic tie-up or even if that kind of thing is required, can be done. So really, like, this restructuring committee, which has been formed today itself, do the study and come out with its recommendations.

Moderator: Thank you. The next question is from the line of Rishubh from Indsec. Please go ahead.

Rishubh: Congratulations on a good set of results. So sir, I'm basically looking at the next three to five years for HFCL. So when we look at that kind of a vision, so what are the kind of growth rates , and the margin improvement trajectory, which we can envisage? What will be the optimum level of margins which we can achieve in the medium term? And to support this, what will be the key focus areas to drive this thing?

Any target mix if you can help us with which will be helpful because we have various dimensions to our like export versus domestic and product versus services. We have already done a lot of improvement in terms of product mix, export mix. So is there any more firepower left where we can actually see things moving? And what will be the key risks during this period of next 3 to 5 years?

Mahendra Nahata : Yes. Rishubh, in one question, you have asked 10 questions. So as I said earlier, revenue growth in this particular year, I can say, around 20%, 25%, something like that. Again, no guidance. This is just an expectation on the base of current run rate I'm talking about, we can expect. And as against the current run rate of the way the margins are accruing, we can expect some 3% to 4% expansion in the margin also. That is the way the things are at this point of time, unless something unknown happens.

As far as three to five years' revenue expectation, our aspiration is to reach to INR10,000 crores. Aspiration is to reach to INR10,000 crores. First, aspiration of INR5,000 crores, which this year, we have reached INR4,900 crores something, which is, anyway, INR5,000 crores. I hope we would have done some billing we would have done on 1st or 2nd April, we could have possibly tried to dispatch it quicker on 31st March, so INR5,000 crores number would have been there, but anyway, nevertheless. So aspiration is to reach to INR10,000 crores. And risk factors, I don't see any risk factor as such, except some geopolitical events, which is out of our control. Otherwise, I don't see any risk factor at this point of time because data center revenue is going to grow up because every day, you hear billions of dollars of data centers being announced all across the globe

. Even in India, you hear \$1 billion this company, another \$1 billion that company. It's happening on a daily basis. So I don't feel that there would be any major risk. Data centers are being announced. So, cable will be sold, connectivity solutions would be sold.

Now, geopolitical environment has turned this way in the world in recent past. Every country is going to increase the defense expenditure. So with defense expenditure increasing, our defense business becomes more secured, export and indigenous requirement also, because there is Aatmanirbharta kind of a mantra in our country or every country, increasing its

defense expenditure. So defense business is also quite on a progress path.

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Similarly, EPC business with BharatNet and all that happening in the next 3 to 4 years, it is quite secured. So I don't find any major risk involved in implementing these businesses, except any unknown political , geopolitical thing happening. Somebody closes Suez Canal tomorrow or somebody closes Panama Canal and something like that happening, somebody dropping a big bomb somewhere that get going haywire, that's not in my control. But otherwise, nothing big unforeseen is seen at this point of time.

Rishubh: And sir, what will be the optimum margins which we can see? Because we are currently at around 16%- odd. We're targeting something around 20% by next year. May or may not achieve that is another thing. But the point what I'm trying to make is that, is the margin trajectory -- like, can we aspire to have something like 25% in the next 5 years or something like that?

Mahendra Nahata : I don't...

Rishubh: Is that a possibility?

Mahendra Nahata: No, I don't say that at this moment of time. I'm just saying that, in this year, there is a possibility of 3% to 4% increase in the margin. Year next, very difficult to say. Every year, you cannot have 3% to 4% increase. That is impossible. Nobody can do it. The current year, I see there is a possibility of 3% to 4% increase.

Moderator: Thank you. The next question is from the line of Satya, an individual investor. Please go ahead.

Satya: Congratulations on a great set of numbers. Sir, I had a question on the defense products that we've been talking about, any other progress on the radar side? And on the electronic fuze s side also, we had semi -approval of sorts. Any commercialization of that, and on the BMP upgrade as well? So if you can give some color on those products?

Mahendra Nahata : No, I don't give any color. I will give you plain white truth. Color, I don't want to give. So, on BMP, we just received a letter yesterday that by 26th June, they want us to submit our upgraded sample for evaluation. So we would be doing that. We have already put our -- BMP that's given to us, we have already sent it to Babina, the firing range in Uttar Pradesh near Jhansi, which is Army firing range for armored vehicles. It's already sent there. 26th June, it would be submitted to Army for evaluation. We are 1 of the 5 shortlisted parties, of course. Fuze, as I said, it underwent trial in Balasore in DRDO range. Some upgradation is required in a couple of kind of fuze s, which is currently being done. And in another couple of months' time, it will be resubmitted for evaluation because DRDO wanted us to do some upgrades as per Army's requirement, which we are doing at this point of time.

In other defense products, yes, as I said, we are going for ammunition business. And I am happy to inform you -- and that is what is the current information, and I'm informing you on that basis. The ammunition factory which we are going to set up in Andhra Pradesh, where, as I said, earlier, 1,000 -acre land has been allotted to us.

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So Honorable Defense Minister, Rajnath Ji, and Andh ra Chief Minister, Sri. Chandrababu Naidu, will be laying foundation stone

for our factory and another factory for another company on this 15th of May, foundation stone will be laid down for these two factories, and we will start construction for ammunition factory, so -- for which, the first product is going to be Multi Mode Hand Grenade, which is a technology from DRDO.

Technology transfer has happened. DRDO has already tried this in the lab called TBRL or something of government. They have already tried the samples. It has been found successful. Ageing certificate, which is required that this would not -- this will last for three years, at least. That has also been done. So we are now, in my opinion, qualified for participating in tenders, and I expect a very, very large tender to come up in another 1 month or 1.5 months' time, where we will be participating.

There are only 3 licensees at the moment, 2 private companies, including us, and 1 government company, MIL, Munition India Limited. And 2 out of 3 will get the order of this large tender.

So let us see we are first, second or third. We don't know at this point of time. But yes, we are going to bid. And this is going to be our first product in this new factory, which we would put up after Honorable Sri. Rajnath Ji and Sri. Chandrababu Naidu lays the foundation stone on the 15th May of this year.

Satya: Great. Congratulations. Sir, second question is on the telecom products side. How is the traction over there? And we haven't spoken much about it, but what are we expecting in the next couple of years?

Mahendra Nahata : I'll tell you, telecom is a very peculiar product business. It's a very peculiar segment. Sometimes what happens, a new technology comes, then the demand all of a sudden goes up. 4G came, suddenly in India, for example, demand of INR1 lakh crores, INR2 lakh crores, something like that. Then, for some years, 4G expansion happens, and then it becomes a stable network. Only wherever there is holes or where there are more subscribers required filling the gaps are done, the demand is low.

Then comes 5G, and the demand comes up again, huge demand comes up again. Then 5G is spread out all over the country and optimum level of rollout happens, then the demand stabilizes and only filling the gap demand happens. That's the situation right now with 5G. So now, big spurt of demand will come when the 6G comes around 2029, I would say. A lot of work is going on. We are also working. So right now, the demand is kind of a demand just to filling the gaps kind of a thing. So, not a very big demand is there, either in India or anywhere else in the world. So big spurt in demand is expected in this sector in another 2 to 3 years' time frame, 3 years' time frame. But by that time, data center demand will compensate or more than compensate lower demand of telecom sector, which is a normal cycle in telecom.

Satya: So this quarter, how much did we do in the telecom products side?

Mahendra Nahata : Telecom, I don't have a separate number. Including fiber -optic cable, we did INR1,200 crores. Just a second, about INR150 crores.

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Moderator: Thank you. The next question is from the line of Ajinkya Jadhav from KRIIS Portfolio (PMS). Please go ahead.

Ajinkya Jadhav: Thanks for the opportunity. My question is regarding the 1,000-acre defense plant that we are putting in Andhra State. So like, this is a very big plant. So how much in total capex that we will be spending here, and year -wise, how it will be distributed and how it will be funded?

Mahendra Nahata : Look, we've still not planned. The foundation will be laid on 15th May. We are in the process of preparing a DPR and all that, depending upon which products in the initial stage. But if we do just a Multi Mode Hand Grenade kind of a product, which we are looking at, I think total capex would not as I said, total capex of this year is INR600 crores, out of which budgeted about INR125 cr

ores for this facility, including land and building. And next 2 years would be another INR250 crores.

Ajinkya Jadhav: Got it. And it will be like self -funded or like we have to take the debt or some partnership with other player to...

Mahendra Nahata : There's no plan of any partnership at this point of time because partnership -- equity partnership cannot be done when you are a mix of a telecom, defense and fiber -optic. That's why this restructuring committee. But it would be a mixture of internal accrual , debt and equity.

Ajinkya Jadhav: Got it. And my last question is, like in the defense, do we want to be a subsystem player or system player? Like, what will be the sequence of our products to be commercialized like, say, thermal imaging and electronic fuze ? So how will be the -- how we want to play it ourselves?

Mahendra Nahata : What do you mean by system and subsystem?

Ajinkya Jadhav: Like the final parts that we will be supplying to the defense platforms.

Mahendra Nahata : We are supplying final parts only. Thermal imaging side, for example, is a full system. The radio we are supplying is a full system. Radar we will be supplying the full system by itself. Of course, it can also be integrated with the larger system also. It can function as a system. It can be part of an integrated system also. It can work in both ways. So, some thermal weapon sight is a system by itself, but it has to work with a rifle. So I'm not -- but still it's a system. So everything can be system or a subsystem.

Ajinkya Jadhav: In terms of like electronic fuze, if you see if you are manufacturing only the fuze, then the artillery shell, and then , so that I was thinking of.

Mahendra Nahata : Yes, the fuze by itself is a system because it's an independent equipment. But again, fuze by itself is not an armament by itself. It has to be fitted into a shell. I mean, for shell -- if I do shell, not fuze , again, I'm not in the full system. So everything can be system or subsystem both.

Moderator: Thank you. The next question is from the line of Smith Gala from RSPN Ventures. Please go ahead.

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Smith Gala : Congratulations on a great set of numbers. My first question is a bit of -- germanium, which is our key raw material for our fiber business, is there a near -term worry around it regarding its supply?

Mahendra Nahata : No, no. Germanium is not a raw material for myself for a fiber business. It is raw material for preform. So if somebody who manufacture preform for him, germanium , tetrachloride is an issue and in shortage. But our suppliers of preform have not raised any such issue and that germanium , tetrachloride is creating a trouble for them. We have not heard anything from them like that. And we are receiving our supply of preform as per their commitment.

Smith Gala : Okay. And our margins for this quarter specifically dropped a bit. Was there something to do with the ongoing crisis and the war compared to the last quarter? I'm talking about sequential margins.

Mahendra Nahata : Blended margin. Like for cable, it would have gone up. Because of EPC, particularly that Army contract where we are incurring expenses and not getting revenue, which would probably start from this quarter or maybe in the worst case, the next quarter, this has shown a little bit decrease, but that's very minor. And this quarter, we believe that the margin will go up.

Moderator: Thank you. The next question is from the line of Tej as Patel from Niveshaay. Please go ahead.

Tejas Patel: Thank you so much for the opportunity and c ongrats for the results. Sir, since you said I think we are operating at full utilization since last quarter, is it right to assume the incremental growth coming from the telecom business, apart from a little improvement in volumes, is all led by price, right?

Mahendra Nahata : Well, it is all led by price, but continuous

increase in capacity. While we talk, capacity increasing, 2 new machines are getting installed. By the time we do the next call, there will be another couple of machines getting installed. So it is going on for both reasons, volume increase because of new capacity expansion taking place and also the price increase. Both are contributing to it.

Moderator: Thank you. The next question is from the line of Deepesh Sancheti from Maanya Finance. Please go ahead.

Deepesh Sancheti : I just wanted to understand what was the realization of OFCs in this quarter, average realization?

Mahendra Nahata : Average realization, I think I answered this question earlier also.

Deepesh Sancheti : You mentioned that there are different, different types of OFCs, that's why it's a bit difficult, it can...

Mahendra Nahata : Very difficult to say because there are OFCs of 7,000 fibers per cable and there is the OFC of 1 fiber per cable or 2 fibers per cable. How do I give you average realization? It is very difficult.

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Moderator: Thank you. The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri : Sir, just one small clarification. In terms our revenue growth, we are kind of staying around 20%, 25% growth. But with the data center, you're expecting around INR500 crores. And even if I see our Q4 revenue, that was also around INR1,800 crores. So are we kind of being conservative in our revenue guidance because even if I annualize our Q4 revenue, we can maybe book higher revenue for the full year, sir. So is it possible we can overperform our guidance by -- like we can do 30%, 35% revenue?

Mahendra Nahata : There weren't any guidance, see...

Darshil Jhaveri : Yes, yes, expectations. Sorry sir, expectations sir? Can we overcome the expectations?

Mahendra Nahata : No, no. It's just my estimation. First of all, that must be very clear, number one. Number two, when I say 20%, 25%, I said on the year -to-year basis, not quarter -to-quarter basis. On year -to-year basis, I expect 20% to 25% increase in the revenue. So this year, we had roughly about INR5,000 crores. So 20% could mean somewhere INR6,000 crores, 25% could mean INR6,250 crores.

So when I give a number, of course, I try to be on a conservative side. It would be good that if we can overperform. So conservatively, you should take 20%. But yes, there is a good possibility of it becoming better. But conservatively, you can estimate 20%, 25%, based on today's market condition.

Moderator: Thank you. The next question is from the line of Gautam Rajesh from Leo Capital. Please go ahead.

Gautam Rajesh: So I wanted to know what was the AIDC -linked IBR cable revenue as a percentage of optical fiber segment revenue in FY 26, Q4 FY26? And what is your outlook for it in FY 27?

Mahendra Nahata : Well, I have not got the number of this IBR and that would be a little bit of a commercially confidential information also to share revenue breakup in that way. But yes, it contributed a major part of revenue of fiber optic cable. That much I can tell you. It contributed a major part.

Gautam Rajesh: So would major be plus 50%?

Mahendra Nahata : You can say that. And what was your second question?

Gautam Rajesh: What is your outlook for this percentage to increase? To how much can this go up in the mix?

Mahendra Nahata : Well, it all depends upon kind of customers and all that. But I think it will still constitute a major part.

Gautam Rajesh: Okay. So you ideally want -- expect to maintain the plus 50% mix in your overall optical fiber cable revenue?

Mahendra Nahata : Yes, more than 50%, sure.

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Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Mahendra Nahata : Kapoor, sir why did you come in so late? I have been waiting for you.

u.

Saket Kapoor : Thank you for the opportunity. Just to harp on the point that when we look at our margins for telecom product for this quarter, they are on a revenue of INR900 crores, we have done INR360 crores. That is a 40% PBT number. For the year as a whole, INR2,930 crores, INR765 crores, that translates into 26%, 27%.

Mahendra Nahata : Let me note down what you are saying and look at my numbers. Yes, which number you are talking about?

Saket Kapoor : Sir, I'm talking about, firstly, this quarter, we posted revenue under the telecom product category at INR901 crores and profitability at INR361 crores. That translates into a margin, PBT margin of 40%. When we look at our annual number, the telecom product category posted revenue of INR2,931 crores and profitability of INR764 crores.

That is a 26% PBT margin. So once we club the turnkey business losses, the margins -- EBITDA margins are lower to the tune of 16%, 17%. Now for next year you show a 3% to 4% increase, so, if you could give us some color, for this year, we have some exceptional telecom margin products of 26%, 27%, and this will go down or your incremental of 3% to 4%, how will that play out in the category, sir?

Mahendra Nahata : There are 2 factors. One, the telecom product margins are expected to continue and may be with some improvement may be there. Second, this turnkey losses will go down, because as I said multiple times in this call that NFS has been a warranty period where we don't receive any money causes a lot of drainage in revenue, which will cease from current financial year, may be Q2 and then that loss will be evened out.

That will result in increase on blended mix of profitability. And some percentage is improved, expected to improve in the telecom also because on a -- what you see is an increase which happened more from the Q3 and Q4 of the last year. Q1 and Q2 was not that great. So this year, from Q1, it has started. If this continues in the same manner, there will be some margin improvement in the products also on an overall blended average basis and reduction in the loss of this turnkey, EPC. So all put together, I expect 3% to 4% increase.

Saket Kapoor : Correct on that front. So this 40% is one-off for this quarter for the telecom product.

Mahendra Nahata : Say that again, please?

Saket Kapoor : The 40% that we posted for this quarter at INR360 crores profitability in the telecom product on a revenue of INR900 crores. This 40% is a one-off that we have exhibited because of some product mix only?

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Vijay Raj Jain : No, no, Kapoor sir, you just have a look at the consolidated number, which is INR1,206 crores from telecom products, where the margins are 31.75% during this quarter. We have to evaluate it from the consolidated.

Saket Kapoor : Yes, sir. So 31% also, Jain, sir, 31% will hold good for the going quarters also?

Vijay Raj Jain : No. See, it depends on the product mix. We are having -- this telecom product also have some telecom product, optic fiber cable, a couple of other products also. So generally, yes.

Generally, yes.

Mahendra Nahata Generally, yes, it will hold good for the current quarter also. Generally, yes.

Saket Kapoor : If anything else, I'll take offline with Amit ji and thank you once again for the elaborate discussion and hope for sustained set of -- improved set of numbers going ahead also. All the best to the team. Thank you.

Moderator: Thank you. The next question is from the line of Raj Vyas from Bonanza Portfolio. Please go ahead.

Raj Vyas: Just wanted clarity with respect to the optical fiber, you said that you are running at 100% capacity utilization, right? And you have close to INR13,483 crores order book. So are we still taking fresh orders as well because my assumption is that if you are already running at 100% capacity and we have this kind of order book. So if you have new

orders coming in, so are they

coming into the backlog or what is the time line? Just wanted clarity on that.

Mahendra Nahata : New orders, as I said, 100% capacity utilization is there when we are supplying orders which the existing orders. We have not booked our entire capacity. We have left some capacity out for our regular customers and spot orders. So if I sell my 100% of capacity, I cannot take advantage of spot prices, which are, at this point of time, kind of a market are better than the long-term prices. So we need to take advantage of that also.

And number two, there are some companies, which are my customers, which are 10 years, 15 years. They give orders in small batches. I can't forget them, that is, this time I will not supply you. So we supply to them also, and we have reserved some quantity vacant for them also, but mostly for the spot orders. So we are taking new orders, why not? We are taking new orders, but we are very hesitant to take large new orders because unless we expand our capacity, which is happening right now, we will be very hesitant to take large new orders. But we have new orders -- INR200 crores, INR500 crores, those kinds of orders we are taking.

Moderator: Thank you. The next question is from the line of Pragyam Laddha from Omni Securities. Please go ahead.

Pragyam Laddha: Congratulations for a good set of numbers. Sir, we are seeing that preform prices are also continuously rising. Given a 20%, 25% increase in the preform prices, what compression would you see on your EBITDA margin or, say, net margin?

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Mahendra Nahata : As I said, preform price, we have long -term contracts. So for me, I don't know what is the increase in preform prices, I have no idea. But yes, preform prices may rise. And my future, when the long-term contract finishes, I don't think I will get it at the current price. But with the preform price rising, the price of cable will also rise. It's not only preform. everything happens in tandem.

Pragyam Laddha: Would we be able to pass the increase in full?

Mahendra Nahata : Full, yes. I think, yes, no doubt.

Moderator: Thank you. The next question is from the line of Tanmay from 360. Please go ahead.

Tanmay: I just want to know because the prices of helium and polymers both have been increasing sharply, what percentage of our cost of goods is from both of these things? And do we see disruption coming in because of that?

Mahendra Nahata : There's no disruption, but I think total cost of helium and polymers, all put together in our final product of cable should be around 20%. There's no disruption.

Tanmay: But considering we sell in long- term contracts, the cost of acquiring these goods must have increased by a lot, pushing our margins down or that's not a problem right now?

Mahendra Nahata : The prices have also gone up.

Tanmay: Okay. So even for the long-term contracts, you were able to adjust the prices for contracts that were signed before the price hike?

Mahendra Nahata : Look, price hike for polymer and helium has taken place in, let's say, last 1 month or so. Some contracts we've signed earlier, some have been signed later. Later, the margins may be much higher than the earlier ones. So as a mix, what you see is the margin is there. I can't calculate

by contract to contract. That's why I say spot contracts, the margins are much higher. The contracts which were signed before this price hike, maybe margin goes down by 1% or 2%. But these are long 5 -year contracts. So, 5 -year contract, the prices may again come down.

Moderator: Thank you. The next question is from the line of Naitik Mohata from Sequent Investment. Please go ahead.

Naitik Mohata: First of all, congratulations on a great set of numbers. Sir, my question is on the OFC front. So if you could throw some light on the realization for optical fiber cable. I think so in last call, we had ment

ioned that our blended realization is around INR1,055 per FKM. How would that have panned out in quarter 4? And what does it look like going forward?

Mahendra Nahata : Look, it has gone up, definitely. But again, as I said 3 times on this call, sir, I cannot put a number now because in the last few months, the type of cable has changed so much with hyperscalers and all that buying cable from 800 fiber to 7,000 fiber and telcos buying 2 fiber to 288 fiber and different kind of constructions. So I can't put a number to a per fiber cable, fiber kilometer price. That's not possible now.

So, constructions are different, technology is different, density is different. So it's very difficult to put a number to per fiber kilometer price. But yes, it has definitely gone up, yes.

Naitik Mohata: Right, sir. Understood. But -- so it would be fair to say like the prices would have moved at least by 15% to 20% for us in quarter 4?

Mahendra Nahata : More than that.

Naitik Mohata: More than that. Okay, sir. And my second question, sir, so we have I think we have repeatedly mentioned that we have a long -term contract for the preform that we acquire. So given your guidance of almost 20% EBITDA margins next year in this segment, does it also account for the increased price of this preform? And then, what is the nature of our contracts? Like do we do it for 6 months for annually? Or how are they repriced from the customer?

Mahendra Nahata : I had answered that question that it is 6 months very commercially confidential, but it has taken into account any increase in the prices, of course.

Naitik Mohata: Okay. Lastly, sir, the receivable number on our balance sheet like almost more than INR2,000 crores of receivables. So could you give a split how much of these receivables is from the EPC segment? And how much of the receivables are more than 6 months?

Mahendra Nahata : I don't have this detail as immediately available. But if you can send the question to me in writing, I can answer this. Right now, immediately, I don't have that breakup available with me.

Moderator: Thank you.

Mahendra Nahata : So I think this is enough. We have taken up all the questions. And now any further questions that can be sent to our Company Secretary or Investor Relations team , who will reply to them immediately to you, please send them in writing.

And I thank all of you who have participated in this call today and spared so much time to be with us. And I honestly thank you all very much, and I can assure you that the Company is on solid foundation, doing well. It has got a very diversified product range, all of which have excellent demand opportunities. Some have higher profitability, some have lower profitability because all the products cannot have the highest or the lowest profitability.

There is a mix always. But with a very robust order book, which includes largely from optical fiber cable, which has got a better profitability today and the demand trajectory, which you can see in data centers and all, which is going around the world and with this kind of long-term contracts with a reasonable profitability and also the defense sectors ramping up with the acquisition, giving us opportunity into aerospace sector, that will also increase revenue.

Data center interconnectivity business, which will increase our revenue significantly this year and next year. We have a very robust performance in front of us. And as I said, we expect that this year, again, we should be able to have a 20%, 25% increase in revenue and looks like that we can have a 3% to 4% increase in our profit margins also predominantly because of, one,

better realization from products; and second, our turnkey losses getting away because of this NFS contract getting converted to AMC contract very soon.

Thank you very much, gentlemen, and

I really appreciate your participation. And any questions you have, any further questions, please address us directly on our e -mail, and you will be immediately given answer. Thank you very much.

Moderator: Thank you. On behalf of Arihant Capital Markets Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2026

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RE: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015

Subject: Transcr ipt of Conference Call on the Un-audited Financial Results of the Company for the 1st Quarter ended June 30, 202 6, of the Financial Year 202 6-27.

Dear Sir(s)/ Madam,

This is further to our earlier announcement dated July 22 , 202 6.

In terms of Regulation 30 read with Para A of Part A of Schedule III to the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , we hereby submit Transcript of the Conference Call held on July 22, 202 6, on the Un-audited Financial Results of the Company for the 1st Quarter ended June 30, 202 6, of the Financial Year 2026 -27, which were considered and approved by the Board of Directors of the Company, at its meeting held on July 22, 202 6.

The aforesaid Transcript will also be available on the Co mpany's website at <https://www.hfcl.com/> .

You are requested to take the above information on records and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,
For HFCL Limited

(Manoj Baid)
President & Company Secretary

Encl: Copy of Transcript.

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"HFCL Limited
Q1 FY27 Conference Call "
July 22, 2026

MANAGEMENT : MR. MAHENDRA NAHATA – PROMOTER AND
MANAGING DIRECTOR –
MR. V. R. JAIN – CHIEF FINANCIAL OFFICER
MR. MANOJ BAID – COMPANY SECRETARY
MR. AMIT AGARWAL – HEAD, INVESTOR RELATIONS

MODERATOR : MR. ACHAL LOHADE – NUVAMA INSTITUTIONAL
EQUITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the HFCL Q1 FY27 Conference Call hosted by Nuvama Institutional Equities. Before we begin, I would like to read a disclaimer statement. Statements made during this call may be forward-looking in nature based on the management's current beliefs and expectations. This must be viewed in relation to the risks of the HFCL business basis that could cause its future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements. Investors are therefore requested to check the information independently before making any investment decision. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Achal Lohade from Nuvama Institutional Equities for the opening remarks. Thank you, and over to you, sir.

Achal Lohade: Yes. Thank you. Good afternoon, everyone. On behalf of Nuvama Institutional Equities, we are glad to host the senior management of HFCL Limited. To discuss the Q1 FY27 earnings, we have with us Mr. Mahendra Nahata, Promoter and Managing Director; Mr. V.R. Jain, CFO; Mr. Manoj Baid, Company Secretary; and Mr. Amit Agarwal, Head, Investor Relations. We'll start the

call with the opening remarks from the management and then move to Q&A. Thank you, and over to Mr. Nahata.

Mahendra Nahata: Good evening everyone,

I extend a warm welcome to all of you on HFCL's Earnings Conference Call for the First Quarter of Financial Year 2026 -27. I trust you have had the opportunity to review our financial results, Press Release and Investor Presentation, which have been uploaded on the Company's website as well as on the websites of the stock exchanges. Thank you for joining us today and for your continued interest in HFCL.

With strategic initiatives undertaken by the Company, HFCL, today, is on strong growth path. I am pleased to inform that your Company has delivered remarkable performance during the first quarter of FY27 with highest ever Quarterly Revenue, Profitability and the Order book.

We have emerged as a global player in Optical Fibre, Optical Fibre Cables and Optical Connectivity solutions, Defence & Aerospace, Telecom Products and Digital Infrastructure. Each of these businesses addresses large and rapidly expanding markets, and together they

provide HFCL with multiple avenues for sustainable and profitable growth.

We are also encouraged by the increasing confidence shown by our customers, business partners and the investment community. Over the last few quarters, several reputed domestic and global institutional investors have become shareholders of HFCL. We sincerely welcome their confidence in the Company.

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We began FY27 with clear priorities: to accelerate growth, improve profitability, strengthen our technology leadership and execute our long-term strategy with discipline. I am pleased to state that the first quarter has been an encouraging start in that direction. The quarter witnessed strong order inflows and execution across our core segments, continued improvement in profitability and sustained progress on several strategic initiatives that we believe will shape HFCL's growth over the coming years.

In our previous earnings call, we had outlined our aspiration for delivering around 20% revenue growth during FY27 supported by continued improvement in the quality and mix of revenues. Based on the progress achieved in the first quarter, healthy order inflows, favourable industry dynamics, expanding global opportunities and improving execution capabilities, we, to the best of our estimates, can raise our aspirations for FY27 to a revenue growth of 40% and above. This confidence is not based on any single order or short-term opportunity. It is supported by multiple growth platforms that are gaining momentum simultaneously and providing greater visibility to our business.

Another very important milestone during the quarter has been significant improvement in our profitability. During our previous earnings call, we had indicated our aspiration of achieving EBITDA margins of over 20% during FY27. I am pleased to share that the Company has achieved EBITDA margin of more than 23.25% in the very first quarter itself. More importantly, this reflects a structural enhancement in the quality of our business led by various initiatives taken by the Company over last few years.

A higher contribution from technology-led products, increasing exports, improved product mix, operating leverage and our continued focus on innovation are collectively driving stronger profitability. Our objective is not merely to grow revenues but to build a business that consistently delivers sustainable and profitable growth.

Our confidence is further strengthened by the quality of the orders secured during the quarter. We secured several strategically important orders across our core businesses, reinforcing HFCL's position as a trusted technology partner in Optical Connectivity and Digital Infrastructure. Consequently, our order book has strengthened to approximate

ly ₹26,665 crore, which is not only all time high but is 5 times of FY26 revenue, providing healthy revenue visibility and supporting our confidence in the growth outlook for the Company.

I am pleased to inform that the global Optical Connectivity industry has entered a new phase of growth. The emergence of Artificial Intelligence, hyperscale data centres, cloud computing and high-performance computing is creating an entirely new source of demand for advanced optical fibre infrastructure. These technologies require massive data movement at extremely high speeds, making optical fibre an indispensable part of the ecosystem. The Telecom network expansion also remains as an important driver.

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Based on order received and regular interactions with our customers we can definitely foresee demand pipeline continuing and market growing for at least for next 5 years.

In parallel, governments across the world are investing heavily in secure communication networks, strategic infrastructure and offensive capabilities creating additional demand from the defence and public infrastructure sectors. As a result, the industry today is supported by

multiple demand drivers, making the long -term outlook significantly stronger and more resilient than in earlier investment cycles.

In anticipation of the significant opportunities emerging globally, we continue to strengthen our manufacturing capabilities. The expansion of our Optical Fibre manufacturing capacity from 28 million fibre kilometres to 34 million fibre kilometres is progressing well and will be completed by December 2026.

Similarly, the expansion of our Optical Fibre Cable manufacturing capacity from 34 million fibre kilometres to 43 million fibre kilometres and expansions of Infrastructure for data centre connectivity solutions are also progressing as planned and are expected to be commissioned within the targeted timelines.

As you know that the Board has already approved for setting up of greenfield preform manufacturing facility of 300 MT per annum with a capital outlay of Rs.580 crores as high level backward integration for further strengthening our supply chain with incremental fibre manufacturing capacities. These capacity expansions have been aligned with the orders in hand and increasing global demand and will further strengthen our ability to serve customers across domestic and international markets.

The data centre interconnect ivity business has created another large opportunity for our optical connectivity segment. With the construction of hyperscale data centres demand for connectivity solutions is ever increasing. With this increase in demand, we are continuously expanding our capacities for the manufacture of interconnect products for the data centre . The manufacturing capacities including Company's subsidiary HTL Limited is being expanded by 5 times. Even in the first year of production, which is the current year, we expect a revenue of more than Rs.700 crores with a clear visibility to increase it further multiple folds in subsequent years.

I am pleased to inform that based on global opportunities and enquiries for data centre connectivity products, the Board of Directors of the Company in today's meeting has approved for an investment of Rs.215 crores for the expansion of manufacturing base for advance data centre connectivity products, including miniature multi fibre and super high density multi fibre termination assembl ies.

Let me now turn to another exciting opportunity before us: Defence and Aerospace. Over the last several years, while strengthening our leadership in optical connectivity, we have simultaneously invested in building a differentiated Defence business. These investments have

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been guided by a long -term vision because indigenous development of defence technologies require

sustained research & development, product qualification, customer validation and advanced manufacturing before meaningful commercialis ation begins.

We consciously focused on building indigenous technologies, strengthening engineering capabilities and creating specialised manufacturing infrastructure to position HFCL for long - term participation in this strategically important sector. Today, we are beginning to see the benefits of th ese investments. The business has developed a healthy product pipeline, customer engagements have expanded considerably, and we are witnessing increased interest across both domestic and international mark ets.

The proposed acquisition of aerostructure business will expand HFCL's participation in the global aerospace value chain opening doors for many more opportunities in the segment. We expect this business to generate meaningful order inflows, creating another important avenue of growth for the Company.

The addressable opportunity before us continues to grow. India is witnessing one of the largest defence modernisation programmes in its history, supported by increasing capital expenditure, accelerated indigenisation, import substitution and the Government's continued emphasis on Aatmanirbhar Bharat. At the same time, increasing geopolitical uncertainties have led many countries to strengthen defence preparedness and diversify sourcing strategies. This is creating attractive opportunities for companies with indigenous capabilities and with globally competitive technologies.

Today, HFCL's defence portfolio spans surveillance radars of different variants, electronic fuzes, thermal imaging solutions, ammunition, tactical cables, aerospace structures and with proposed acquisition and several next-generation technologies currently under development. Collectively, these businesses provide us with a strong foundation for sustainable long-term growth. At the beginning of the financial year, we had shared our aspiration of achieving approximately ₹500 crore of Revenue in Defence sector during FY27. Based on the current execution pipeline, customer engagements and order visibility, we remain firmly on track to achieve this objective.

One of the important milestones during the quarter was the groundbreaking ceremony of our upcoming Ammunition Manufacturing Complex in Andhra Pradesh, held on 15th May, 2026. We were honoured that this landmark event was graced by the Hon'ble Raksha Mantri of India and Hon'able Chief Minister of Andhra Pradesh, reflecting the strategic importance of the project and its alignment with the Government's vision of strengthening India's indigenous defence manufacturing ecosystem.

The complex is being developed to manufacture advanced ammunition systems, including electronic fuzes, Multi-Mode Hand Grenades and other specialised products designed to meet

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the evolving requirements of the Indian Armed Forces and global customers. We believe this investment will create significant opportunities for HFCL for years to come.

Products such as these, demonstrate the growing maturity of HFCL's research and development capabilities. They reflect our ability to develop differentiated technologies that solve complex operational challenges while reducing dependence on imported systems. We believe these products will continue to strengthen our competitive positioning in both domestic and international markets.

Our long-term aspiration is to build a Defence & Aerospace business which, over the coming years, has the potential to become nearly comparable in scale to HFCL's current overall business. Given the opportunities before us, the capabilities we have developed and the policy support for indigenous defence manufacturing, we remain confident that this business will emerge as one of the most important pillars of HFCL's future growth.

As HFCL continues

to evolve into a diversified technology enterprise, we are equally focused on ensuring that our organisational structure and capital allocation framework remain aligned with the scale and complexity of our businesses. As communicated earlier, our Board had constituted a Restructuring Committee to evaluate strategic alternatives aimed at simplifying the Group structure, enhancing operational efficiency and unlocking long-term shareholder value.

We are actively evaluating various alternatives and, to support this process, we have appointed Ernst & Young as our strategic advisor. The objective of this exercise is clear to ensure that our organisational structure evolves in line with the transformation of our business portfolio while enabling each business to realise its full growth potential. While it would not be appropriate to comment on specific outcomes at this stage, I would like to assure our shareholders that every decision will be guided by three fundamental principles creating long-term shareholder value, strengthening operational effectiveness and preserving financial discipline. We will continue to keep all the stakeholders appropriately informed as this process progresses.

Let me now quickly take you through the consolidated financial performance for Q1FY27:

- Revenue for Q1FY27 stood at Rs. 1914.98 crore as compared to Rs. 871.02 crore in Q1FY26 and Rs. 1824.12 crore in Q4FY26.
- EBITDA for Q1FY27 stood at Rs. 445.27 crore as compared to Rs. 42.93 crore in Q1FY26, more than 10 fold jump and Rs. 336.93 crore in Q4FY26;
- EBITDA margin in Q1FY27 stood at 23.25 % as compared to 4.93 % in Q1FY26 and 18.47 % for Q4FY26.
- Profit After Tax for Q1FY27 stood at Rs. 245.64 crore as compared to –Rs. (29.30) crore in Q1FY26 and Rs. 184.45 crore in Q4FY26;
- PAT margin in Q1FY27 stood at 12.83 % as compared to (3.36%) in Q1FY26 and 10.11 %

in Q4 FY26.

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- Segment revenue from telecom products stood at 85% of total revenue in Q1 FY27 as compared to 62% in Q1FY26 and 85% in Q4 FY26.
- Export revenue stood at Rs. 1063 crores in Q1FY27 as compared to Rs. 210 crores in Q1FY26 and Rs. 1212 crores in Q4FY26

During the quarter, the Company delivered healthy growth in revenue while continuing to improve profitability. I am particularly encouraged by the improvement in the quality of our earnings. The increasing contribution from technology -led products, exports and value -added solutions, together with disciplined execution and favourable industry dynamics, is enabling us to build a stronger and more resilient business.

Going forward, our priorities remain clear. We will continue to strengthen our global leadership in Optical Connectivity. We will continue to scale our Defence & Aerospace business into a major growth platform. We will continue to invest in innovation, advanced technologies and differentiated products. We will continue to deepen our relationships with customers across India and global markets. Above all, we will remain committed to disciplined execution, prudent capital allocation and sustainable value creation.

On behalf of the Board and the entire management team, I would like to sincerely thank our customers, employees, business partners and shareholders for their continued trust and confidence. Your support inspires us to continuously raise our own benchmarks and strive for excellence in everything we do.

Thank you once again for joining us today.

We will now be happy to take your questions.

Mod erator : Thank you. The first question comes from the line of Aman Saifee with Stallion Asset. Please go ahead.

Aman Saifee: Sir, I hope I'm audible?

Mahendra Nahata: Yes. You're very much audible, Aman.

Aman Saifee : Congrats on a great set of numbers. Sir, I just wanted to understand, we have recently announced an investment of INR215 crores, and we are already doing

a preform capex as well.

What would be our total capex for this year and next year?

Mahendra Nahata: Total capex of this year and next year, I can tell you. This year, total capex is INR640 crores, which includes part of the preform. Then 3 towers, which we are adding as increasing the manufacturing capacity of fiber from 28 million to 34 million fiber kilometers. And IBR lines, which have already been ordered and under delivery, INR60 crores.

And in our subsidiary, the data connectivity business of INR65 crores. In defence sector, INR100 crores. And today, what I announced, INR215 crores, out of which INR100 crores will be spent in this year. So total would be INR640 crores. Next year will be about INR615

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crores, out of which INR325 crores will go to preform and INR175 crores to defence , and INR115 crores balance of INR215 crores would be in data center connectivity solutions. That would be INR615 crores.

Aman Saifee: Got it. Got it, sir. That's great. And sir, my second question would be, as you mentioned that this year, you are targeting around INR500 crores of defence execution. And when I see, sir, our telecom product business, our revenues on a sequential basis are holding up really nice. And if I just annualize that number, our annualized revenue comes to around INR9,300 crores. That's a significant revenue growth versus what you are guiding as 40%. I'm just trying to understand when you're having such a large tailwind, why you're being so conservative?

Mahendra Nahata: Look, I have not gone into this calculation of INR9,000 crores or so, but I can tell you one thing. We had talked of 20% growth in revenue in the last call and looking at the business potential and all that. And now I say we'll grow at 40%, but it is always good to be conservative, no? If I promised you 1 and give you 2, you would be happy. If I promise you 2 and give you 1, then you are unhappy.

Mod erator : The next question comes from the line of Balasubramanian with Arihant Capital.

Balasubramanian: Congratulations for a good set of numbers. I think we have really did well. And sir, first question, what is that global scenario on the pricing side, especially in data center and telecom side? I think we have varieties of products like premium side, more than 1,700 fiber counts and we have 3,500, we have 6,900 counts. So, I'm trying to understand what is the pricing level for higher fiber count cables and specialized cables compared to standard 288, 432 fiber cables for telecom product side?

And I think international market, we have seen a higher realization compared to domestic market. I think recently, we have got one of that biggest export orders for data center for hyperscalers. If you could talk about overall scenarios. And earlier, the pricing range anywhere INR1,200, INR1,300 per fiber kilometer. What is the current trend on that pricing side? And if you're talking about 40% growth, whether if you could quantify how much we can expect on that realization side and how much we can expect the volume growth side?

Mahendra Nahata: Balasubramanian, you have asked so many questions in one question that's difficult to remember also what you asked. Anyway, the fiber realization price depends on various things.

There's no standard. For telcos, the fiber is different kind, A1 fiber with 250 microns. Data centers are A2 fiber with 200 microns or even less. So, price differs significantly.

So, a range I can give you, its range could be starting from \$18 per fiber kilometers to \$28 fiber kilometers. It all depends upon what fiber count, what kind of fiber size, what kind of fiber, all depends upon so many things. But I can only give you a range. There is no particular number I can tell you that this is the number. Range you can say from \$18 to \$28.

Balasubramanian: That is international market, right, sir?

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Mahendra Nahata: International market side, that's what I'm saying. It depends who is buying, what kind of fiber he is buying, how many count of fiber he's buying. So, this is all very dynamic. And again, whether they are long-term orders, short-term orders, so there are no particular fixed price I can tell you. But yes, international market, you can take a little data centers, if you're talking about, you can take somewhere between \$22 to \$26, \$28, depending again upon what kind of numbers and what kind of quantities and all that.

Telcos could be a little lower because they are different kind of a fiber. So, there's no fixed thing as such. This all varies with type of fiber, quantity, longevity and the long-term contract, all those kind of different things. But suddenly, prices have gone up quite a bit significantly in last 6 months.

Balasubramanian: Got it. Sir, my second question. On the project side, I think...

Mod erator : I'm sorry to interrupt, Balasubramanian, you're not audible. Could you please come closer to your microphone?

Balasubramanian: Sir, on the project side, earlier call, it's mentioned about the Army project that things will realize from Q2. I think we can expect INR170 crores like AMC revenue from that front. We are on the track, sir?

Mahendra Nahata: Yes, yes. We are on track. From Q2, it should be possible. It is in the final, final stage. I think another month, it should happen.

Balasubramanian: Okay. So, we can expect the loss reduction from Q2 onwards?

Mahendra Nahata: Yes. I would say Q2, mid of Q2, yes, something like that or maybe a few days here and there. These are the government things. Things can always change by the month. So, but yes, sometime mid of Q2, you can say.

Balasubramanian: Okay, sir. Sir, my last question is on the margin side. I think last 3 quarters, we are maintaining nearly 30% kind of margins for telecom products side. Right now, we are in that 80%, 85% kind of mix, whether we should assume same kind of mix the entire year? And what is the sustainability of these margins over the next 2 to 3 years?

Mahendra Nahata: Yes, I think these are sustainable because we know our raw material prices. We know our sales prices because there are long-term contracts. So, I think the margins are sustainable.

Mod erator : The next question comes from the line of Kush Tandon with Ananta Capital.

Kush Tandon : Congratulations on significantly better-than-expected results. And sir, a couple of questions that I had. The first one was, sir, in this quarter, were there any higher-margin orders? You are saying margins are sustainable at these levels. But the quarter's performance, is it sustainable going ahead, sir? Was there any onetime large execution of an order, which is not sustainable in the next quarters? Anything like that?

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Mahendra Nahata: Mr. Kush, first, let me ask you a question. You said that margins are better than expected. What did you expect?

Kush Tandon : Sir, it won't be fair on my part to answer that question, but significantly better than at least my expectations?

Mahendra Nahata: Look, I was joking. I was joking, just joking. As far as the margins are concerned, Kush, these are sustainable. There's nothing called a particular high -value or high -margin order which we have executed. These are the average orders -- average prices on the orders, which will continue possibly throughout the year. So, there is no kink up and down in any of these margins. So, it is totally sustainable.

Kush Tandon : Okay, sir. And let's say, if we take a 3 -year view on the business, this super cycle in the optical fiber for data center business. So how are you seeing a 3 -year outlook, if I may just ask on the pricing environment, the supply -demand environment?

Mahendra Nahata: Look, I will give you a 5 -year outlook. Why 3 years? 3 years is

a no -brainer. Even 5 years is

no-brainer. Contracts are now getting signed for 10 years. You would have heard that Molex had a contract with Pry smian which is given for 10 years. So, 5-year outlook, as far as I can understand, there is absolutely no -- there's not going to be any let -up in demand. Demand is going to increase. I give you the reason for that.

Right now, if you see, most of the expansion is taking place in North America. You compare India as an example. India's total capacity is, I think, 1.5 gigawatt. In 3 years, we are expecting it to become 3 gigawatt. U.S.'s current capacity is about 150 gigawatt and 3 years, it is expected to be 300 gigawatt. So, Europe, the situation is similar to India, very low growth. Southeast Asia, Middle East, very low growth.

Now growth is starting to pick up. Middle East at the moment is a different kind of environment. I would not venture into that. But minus that, they are picking up the data centers construction. India is picking up the data center construction. Europe has to pick up. They cannot be far behind U.S. They can be behind, but can't be far behind U.S.

So, world over market of data center creation is going to go up and up. And the kind of data flow, which is required, massive amount of data flow is required. Fiber optic is the only solution. There is no other solution in the world available today.

So, demand of fiber optic cable is going to increase only. U.S. will have a huge amount of demand and the places where data center construction has now started for them to reach to the level of buying fiber, they will take 1 year, 2 -year kind of a time frame. So, the demand will continue for at least 5 years and maybe more than that, maybe more than that. For 5 years, I can see a clear view that demand is not going to go down.

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Kush Tandon : And sir, if you can give a view on supply also, especially Chinese supply, which may not be going to U.S. immediately. But sir, in a 5 -year horizon, whenever there is a large supply - demand gap probably, then supplies also catch up, sir. So, any view on the supplies?

Mahendra Nahata: Look, you asked a question on China. Right now, as you know, U.S. is the largest market. Now in the U.S., China, one, they don't prefer China as I don't think there is an administrative order not to buy from China, but there is an administrative advice that administration is not in favor of buying from China.

I was with one of the customers whom I will not name, in U.S., a few weeks ago. And when we talked about the Chinese, they said, look, our administration is not in favor of our buying Chinese fiber. And these are the major hyperscalers.

Now question is, what would happen to China increase its capacity? One is, unwillingness to buy from China and higher duty on China. Today, there is a 35% duty on Chinese fiber, anything you import from China and U.S. So, in any case, the competitiveness of Chinese fiber goes down when you compare with us because of the higher amount of duty 10%, now 35%. So, supply, yes, would increase, but demand would also increase as I can see it. Now another sector of demand which has come for defence industry is fiber optic drones.

Today, there is a demand of almost 70 million to 100 million fiber kilometers of fiber for A2 type of fiber for fiber optic drones. And this demand is going to increase because till now, only those countries are buying fiber for the fiber optic drones, which are in war. But now slowly, every country is realizing that radio -controlled drones are not good. They can be controlled by jamming their frequency or such different methodologies.

So, people are using optical drones. And drones are the new fighting machines, as you know, no longer guns and all that, artillery and all that. So, drones are becoming increasingly popular. So, every country is now preparing for fiber optic d

rones. There's a huge new demand

opportunity has come up there. So, supply is going to increase.

Now China, I would not worry much as far as U.S. market is concerned, which is a major market at this point of time. Southeast Asia, yes, China would dominate. But the Middle East, Europe, we have always been competing with China in telecom market, and we'll continue to do so for the data center market also. Because our capacities are also now big enough, world-class capacities. It's not that we don't have economies of scale. We do have economies of scale, and we will be able to compete.

Kush Tandon : Okay. Sir, is the cost of production in India and the cost of production in China with the duty, is it significantly cheaper than to procure from India?

Mahendra Nahata: No, I don't procure anything from China.

Kush Tandon : No, sir. Not you, sir, your customers.

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Mahendra Nahata: No. Today, U.S., for example, many of them don't even consider procuring from China. Forget about prices.

Kush Tandon : Okay, okay.

Mahendra Nahata: But today, China is not cheaper that much, I can say. Even if somebody wants to procure, it's not cheaper.

Kush Tandon : Okay. If can just...

Moderator: I'm sorry to interrupt, Kush. I would request you to rejoin the queue for more questions. The next question comes from the line of Riken with Capri Global.

Riken: Congratulations on great set of results. Sir, I have 2 questions. First, if you could help understand both on the long the c ontracts that you have won on the optical network side, are these fixed price in nature or what kind of mechanism because your orders are like 3 years, 4 years out kind of orders. So, what kind of pricing mechanisms do they have?

And in one of your comments, you did touch upon the fact that on the raw material side also, we have kind of fixed contracts. So, if you could elaborate a little bit in terms of the kind of inflation that you are seeing on the raw material and whether that could have any impact on our margin performance?

Mahendra Nahata: Most of the long-term contracts, either raw material or the sales, have a variation clause on a yearly basis. Yearly basis, price are rediscussed. But in between, if there are large variations, then that will also be discussed. If there are large variations, which I don't anticipate. But if the yearly reset of the prices is always there, that depending on the market situation also there are reset clauses. But that opportunity has still not come because these contracts are not even year old.

So, I cannot say, but that the sales contract, there would be any reset or not. But yes, there was a reset in between when U.S. imposed 50% duty at some point of time, there were reset.

Customers paid large part of that duty. And good thing is that, that duty has been refunded and we have paid them back.

Riken: Right, right. Got it, got it. So, in terms of both on the fixed on the supply side, I mean, the raw material side or on the demand side, it would not lead to any major impact on our margins is the reading that I'm taking from here, because it would be in some form of pass-through?

Mahendra Nahata: Because I tell you, it's both sides. Sales price will increase if the raw material price increase significantly. Significantly, I'm using the word, no? If there's a 5% increase, then the customer is not going to increase 5%. It's not a moving thing. If there's a significant increase, then we will go back to the customer.

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If there's a significant decrease, customer comes back to us. The 50% example I gave you, when there is a 50% duty imposition, now I could not take a 50% duty. Customers helped me, and they were very helpful. But when the duty has been refunded, we have paid them back.

Riken: Got it, got it. Sir, that is very clear, sir. The second question which I

have is on the new pillars

of growth, which you alluded to, which is the Defence & Aerospace business. If you could give us some kind of visibility in terms of any product approvals that have been achieved in the defence business? And second, in the aerospace business by, let's say, FY28 or '29, and defence business, what kind of execution or top line do you think that we would be able to achieve in these 2 businesses, each of these businesses?

Mahendra Nahata: In '28-'29, I think this is '26-'27. '27-'28. '28-'29 in our Defence & Aerospace business, we should be crossing INR3,000 crores at least. And the year next to that, our target is INR5,000

crores. So '28, '29, we should be INR3,000 crores plus because we are right now having including one of the acquisitions which we have signed and which is in process of getting completed, acquisition process in advanced stage. Including that, we will definitely cross INR3,000 crores because in that, we are in negotiation for larger contracts, for export also. Currently, the order book for export is roughly about INR2,200 crores. We have been shortlisted for a major contract for modernization of BMP -2, and we have submitted the modernized sample also. And I would like to say that, but it's a fact that in the internal trials, our equipment has been found to be the best, what we have modernized.

But again, that is the internal trial, not the Army trial. Army trial has started from 20th. So that should be that trial should be completed in about 1.5 months. Then the winter trial and then the orders take time, but I'm quite hopeful on that. So, aerospace order, land system orders, I believe that we should 3 years' time, I've given to myself for INR5,000 crores.

Riken: Got it. So, this year, at least, we should see order inflows starting to come through in a meaningful way for both these segments?

Mahendra Nahata: Yes. I agree with you, meaningful way. For our indigenously designed products, we are now what we have done are different kind of radars and sensors, we have integrated by our C2 system, command and control system. And we are going to give demonstration to Army Northern Command sometime in the month of September for as an integrated system. And moreover, you must have heard of Home Ministry listing for securing the borders bordering Pakistan and Bangladesh through border protection system. There also the products which are designed are going to have quite significant use. So there also, they are talking of a Proof of Concept. There also, we will be working with them to work on a proof of concept, which BSF is organizing. So, all these places, we expect a reasonable amount of orders to come to us.

Riken: Got it, sir. Sir, just one last question...

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Moderator: I'm sorry to interrupt, Riken, I would request you to rejoin the queue. The next question comes from the line of Sanjay Shah with KSA Securities Private Limited.

Sanjay Shah: Nahata, first of all, highly, highly congratulations and your tone of confidence in opening remarks was excellent and the way you have put in so many efforts since last so many years are now coming to show, and we are very well placed. Sir, my question was more regarding the optic fiber cable market, which is projected to reach around 21 billion by 2033 because of this growing demand driven by hyperscale data center and surging bandwidth demands of artificial intelligence.

But what we see that there are many international players from Italy and Japan and all who are increasing capacity, like Prysmian and Corning and all. So how we look HFCL on that side after this capacity which may come up because Prysmian is spending around \$1.5 billion to double their capacity. So how what is the thought process on that, which can help us a lot to understand the growth path?

Mahendra Nahata: Sanjay, first of all, thank you

very much for your compliment. Look, we are also increasing our capacity. We are also world-class players. We started with 8 million kilometers of fiber capacity. Now today, we are going to be 34 million very soon. Cable, we started something like 10 million, 12 million. I'm talking of these recent years, not old days. Old days were much less.

So today, we are going to be 45 million. So and last 2 years or 3 years, every month, we are increasing capacity. And I don't think that this 34 million kilometer of fiber or 45 million kilometer of cable is end of it. We are constantly reviewing that. As we receive more orders, as we receive more demand, as we receive more inquiries from customers, we are constantly reviewing that.

And maybe we will have to further increase capacity. I'm not denying that. I'm not saying that we will, but this is under constant review. And if necessary, we will also increase the capacity. And no doubt that we are receiving a large number of inquiries at this point of time. As I talked, we really do not know whom to say yes or whom to say no. I'm really telling you. If I say yes to one, I have to say no to other one. So that has become the situation. So we are really keeping a very close watch. And maybe in near future, we may have to decide to increase our capacities further, which I'm not saying we have decided, but we may have to.

Sanjay Shah: That's great, sir. But how about the pricing? Because all this capacity come up when there could be a flood of supply. Is that true, what I understand?

Mahendra Nahata: Look, flood of supply, I tell you one thing. There are 2 major issues out here. One, technology. The data center operators are not buying normal fiber optic cables. For example, they are buying 7,000 fiber cables. Now how many of fiber optic cable suppliers have that kind of

number of fiber cable?

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Only very few, handful. So there India, we have 20 suppliers for fiber optic cable, but there are only 2 who can manufacture these kind of cables. My other friend may say that I do not have, but I have. So, there are only 2. So 18 do not have. So, if you look that kind of a number, there would be only very few people who have that kind of a capability to develop and supply those kind of products.

Then you have further changes in technology also coming up. It's not going to be technology is not going to remain constant. For example, multi-core fiber, hollow-core fiber, all these are coming up. We are developing hollow-core fiber. Now there are how many people in the world who are developing hollow-core fiber? So, this is also a question of technology, number one. Number two, a reputation in the market. Look, I'm a number of other people also are connected with the hyperscalers who are already supplying to them. And we will have a long-term relationship with those guys. We have signed a 5-year contracts. So, when more demand comes up, naturally, they are not going to be changing their suppliers unnecessarily just because demand has gone down. Maybe they buy less from us at that point of a time. But as I said, I don't expect demand to go down for next 5 years at least. Capacities are not going to be matching the increase in demand. Demand is still going to outstrip the capacity for 5 years, at least I can see.

Sanjay Shah: So, sir, on technology side, can we take HFCL at par with the global players?

Mahendra Nahata: Yes, absolutely. 7,000 fiber cables, we have already developed. We are now developing 14,000 fiber cable. Maybe there is a difference of 2, 3 months here and there, that can always happen, but not more than that. Hollow-core fiber, yes, Corning has already done a higher amount of work in hollow-core fiber than others. But we are also doing. By the time hollow-core fiber becomes somewhat commercial, it is right now thousands of dollars per kilometer. I

it's not even worth considering. But by the time it becomes somewhat commercial in any quantity, we would also be coming up with the hollow-core fiber. We are already in development phase with IIT Delhi for hollow-core fiber, IIT Delhi and one of the government organization in Kolkata, which already has a tower for manufacturing hollow-core kind of a fiber. We are already working on that. So, we are staying in the forefront of technology. Another point, unless we were in the forefront of technology, we'll not be receiving a \$1 billion contract kind of a thing either for the cable or for connectivity solutions. We recently received a contract worth how many? INR500 crores for another thing I must tell you, connectivity solution has also emerged as a very large market. Very large market. It's not small. It is going to be almost as near about as big as the higher length cable market. Because you need as much connectivity solutions also, and that is more value-added product. Because you buy connectors, you cut into pieces, you connectorize them and then you send them, which is all a manual process. So, there is higher value addition.

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So, it is also a very high potential market. And what your company is doing, I am increasing my capacity for connectivity products by 5x. In less than a year's time or let's say a year's time, progressively, my capacity will be 5x more than what it is today because that's a major market which is emerging now, where the size is going to be very, very, big billions of dollars worth of market. Because if you need data -- if you have data center, you need connectivity solution. And what also we have done, not only cable or cable routes and all that, we are also developing rather developed passive all kinds of for passive connectivity solutions: plastic boxes, cassette s, jointing boxes and all that.

So, we can be one-stop shop for all connectivity solutions for a data center, cable and all other products, the plastic trays and the cassettes and all that, which are required inside data centers. We'll be one-stop shop. So, it's going to be an entire set of connectivity solutions. That is another leap we have taken in this business.

Moderator: The next question comes from the line of Manik Mahajan with Balyasny Asset Management.

Manik Mahajan: Congrats on the good set of numbers. The first thing I wanted to understand was with respect to your comment on the margin and the margin guidance of 20%, you mentioned that for the...

Mahendra Nahata: Your voice -- can you just be near the microphone and say that again?

Manik Mahajan: Sure, sure. Can you hear me now better?

Mahendra Nahata: Yes.

Manik Mahajan: Okay. So, I was saying that with respect to your comment around the margins, you mentioned that the margin on the telecom business would be sustainable at 30%. So, when I think about the overall guidance of 20%, is there any seasonality we need to take in account because this quarter, you've already done about 23% of EBITDA margins?

Mahendra Nahata: Your voice is a bit echoing. Just let me give me a moment.

Manik Mahajan: Let me try to...

Mahendra Nahata: His voice is a lot of echo. So, it doesn't come out...

Manik Mahajan: Is it better? Is it better now?

Mahendra Nahata: Yes. Say that again now. Yes, Mr. Manik, go ahead.

Moderator: Manik, you're not audible.

Mahendra Nahata: Your voice is echoing, so that your voice is particular kind of echo. So it's not -- yes, try again.

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Manik Mahajan: Okay. So, I'm saying that with respect to the margins, if you can share whether we should expect some seasonality from a quarter perspective because you've already done 23% and you're guiding for 20% for the full year?

Amit Agarwal : Asking that will there be any seasonality in telecom margin or is it sustainable?

Mahendra N

ahata: So, you are saying that is there any seasonality in telecom margin or is it sustainable? Is that the question?

Manik Mahajan: Yes, because your full year guidance is 20%. And this quarter, you have already done 23%...

Mahendra Nahata: Yes, yes.

Manik Mahajan: So, I'm trying to understand why is the full year guidance lower than the quarterly guidance?

Mahendra Nahata: I understand. Look, there's no seasonality. The reason being, as I said in one of the previous questions answered, that this 23% margin is out of the normal average contracts which we are executing and which we would be executing throughout the year. These are the average contracts which more or less would remain same throughout the year.

So, there is no seasonality at all. Seasonality is not there. So this 23% margin is something minimum we would be able to protect to the best of my information at this point of time out of the orders I have, raw material cost I have.

But if there is some geopolitical situation happens and something changes, which is not in my control or your control, some people close Suez Canal and deliveries become delayed and any such thing happens, which I cannot control, I cannot say. But whatever in control of a business is, this will be having no problem.

Manik Mahajan: Got it. That's helpful. And just one more follow-up from with respect to the greenfield preform project, how does that alter the company's overall return profile and -- or the margin profile?

Mahendra Nahata: Look, the preform project would mean -- I think you asked about the preform isn't it?

Manik Mahajan: Yes, that's right. Yes, that's right.

Mahendra Nahata: The preform project is designed for the 2 perspectives. One, bring in more sustainability in the raw material supply chain because we would need a lot of preform and that lot of preform, some parts should we be able to manufacture. So that is one part of it, that it would bring in more sustainability in the supply chain.

Number two, the make versus buy analysis when you make. Make is at least, I would say, 30% cheaper, at least 30% cheaper as of today. Now situation might change 5 years down the road, I don't know. But as on today, make is 30% cheaper than buy. So raw material costs would go down for preform to that percentage.

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In the fiber, 70% cost is preform. So, 65% to 70%, you would say. So, fiber costs would go down by 18% to 20%. But when you go to cable, then cable fiber constitutes about 60%. So total -- of the total cost, roughly about 45% is you would say, is preform. So total, there would be 10% saving in raw material cost, something like 10%, 12%.

Moderator: The next question comes from the line of Nikhil Purohit with Fident Asset Management.

Nikhil Purohit: Congrats on another great set of numbers. Sir, firstly, we had some unbilled revenues at the end of quarter 4 FY26 and expected this to be billed in quarter 1. What is the update on this?

V.R. Jain: So it has been billed. It stands billed. The major amount of INR300 crores, which has been billed.

Nikhil Purohit: Okay. Great. We had also said that the INR1.1 billion order that we got from a hyperscaler would only start execution from the end of quarter 1 FY27. My question is, do we expect to

sustain this kind of revenue of INR1,900 crores that we've seen in this quarter in the coming quarters? Because H2 is generally a stronger half or is it possible to see a quarter -on-quarter decline?

Mahendra Nahata: No, there is not going to be quarter -on-quarter decline. 5% or 10% here and there, it's very difficult to predict. But generally, we should be able to maintain roughly about this kind of revenue. And profitability, I would say, also not decline. Profitability would also be remaining to the best of my estimate around -- we will not be inferior than this. Better, how much, I cannot say. We'll not be inferior to this, in my opinion.

Moderator: The next question comes from the line of Khushi Soni with Nuvama Institutional Equities.

Khushi Soni: Congratulations on a great set of numbers. My question was regarding the order book that we currently have. Could you throw some light on how much of this pertains to the defence part and how much would be from the optical fiber cables?

Mahendra Nahata: Look, optical fiber cable is roughly about INR16,000 crores. Defence part, including the acquisition, which we have proposed, if I take that into account, then it would be roughly about and which is not included in this INR2,600 0 crores, but I would take it as my order because that acquisition is already final stage of completion.

If I take that into account, then the order book would be something like INR2,300 crores or so. Without that, it would be about something like INR300 crores or so. But one should take that into account because that acquisition is almost done.

Khushi Soni: All right. So out of this INR2,600 0 crores, if I understand correctly, currently, only INR300 crores of defence order is included. Additional acquisition is over and above that?

Mahendra Nahata: INR26,000 crores.

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Khushi Soni: INR26,000 crores. All right. And if you could help me with what kind of revenue breakup in the telecom segment do we see with OFC and the data center solutions that HFCL has been providing?

Mahendra Nahata: Look, the data center solution business, Khushi, we have started this year only. This is the first year of data center business. And first year, I think Q1 would have been about INR100 crores or so, I think, something like INR100 crores, maybe a little bit here and there. But the full year, we are looking at INR800 crores number, roughly about INR800 crores number. This is the first year of data center connectivity business.

But as I said a little while ago, I'm increasing this capacity by 5x. 5x. So, I don't want to multiply this INR800 crores number by 5x for that. But there is going to be significant increase in data center revenue in time to come. This is the first year of data center connectivity business. You must understand that. So -- but still, we are going to get about INR800 crores of revenue from that business. We already have almost INR850 crores plus orders in our hand, and we are receiving more orders for that. So capacity is being expanded by 5x.

Khushi Soni: All right. Just one last clarification...

Moderator: Sorry to interrupt, Khushi, I would request you to rejoin the queue. The next question comes from the line of Jigar Jani with Nuvama PCG Research.

Jigar Jani: Congratulations, sir, on a great set of numbers. I had 2 questions. First was on your segmental assets. I could see about INR1,000 crore s increase on the telecom side of products on the asset side. So, what is this capitalization related to compared to Q4 FY26?

Mahendra Nahata: Just a second.

V.R. Jain: So, it is aligned with whatever main capex we are doing or the incremental revenue we are having. So, the asset increase...

Mahendra Nahata: No, fixed asset base or?

V.R. Jain: Not fixed asset base. The overall...

Mahendra Nahata: You are talking current asset plus fixed asset or only fixed asset?

V.R. Jain: Overall assets, he's talking about.

Jigar Jani: No. So, the segmental assets that you disclosed, which is telecom products, defence products, so that has gone from about INR3,978 crores in Q4 to about INR5,000 crores. So there is a INR1,000 crore s addition. I believe our capex would be still to come online, the expansion or part of it is online already, the fiber cable expansion?

Mahendra Nahata: The fiber cable expansion is already happening. A preform has not yet started. The fiber and cable expansion is already happening. But just let me see the number. Let me...

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V.R. Jain: So, it includes all the assets, whatever capex we are incurring on the receivable side, the inventory side because everything is being built on the incremental revenue now. And keeping in view the revenue, I mean progress month-on-month basis. It includes a mix of all these things ...

Mahendra Nahata: Fixed assets plus working capital. So it is all put together, not only...

V.R. Jain: Okay. It's receivables also which might have gone up, basically.

Mahendra Nahata: Inventory, receivables, fixed assets, it's a mixture of all.

Jigar Jani: Okay. Understood, sir. And sir, secondly, on the EPC project, you had guided that we will be profitable this year ...

Mahendra Nahata: One second, sir. One second.

V.R. Jain: The net increase is just INR400 crores. You see that as the segment liabilities also of telecom products, that has increased by INR600 crores roughly. So the net increase in the telecom asset side is just INR400 crores only.

Mahendra Nahata: It's not INR1,000 crores. It's a net increase in INR400 crores.

Jigar Jani: Okay. Understood, sir. And sir, on the EPC side, the profitability we were guiding for profitability in FY27. So is that still on track that for full year FY27 on the EPC side, we will see some profitability this year or breakeven?

Mahendra Nahata: EPC side, one of the major downside was this Army warranty period where we were supporting Army network without getting anything, which we expect to be signed in the Q2, which I earlier said and which is on track. It will be signed in Q2. And post signing of that, revenue from EPC would increase and loss would significantly come down. I don't say that there will not be any loss. There may be some, but it may not be also. It's very right now too early to predict, but it will significantly come down, no doubt about that.

Moderator: The next question comes from the line of Tej Patel with Niveshaay.

Tej Patel: Congratulations on a very good set of numbers. Sir, my question is again related to margins. I understand, sir, probably at least for the, let's say, the upcoming 6 months up till December, we're probably able to maintain these margins.

My question is, let's say, once our preform cost revises at the start of the next calendar year, how would be able to maintain the current margins given, let's say, our older contracts were at a very lower price, maybe, let's say, lower than the current market price of the preforms. But once this preform contract revises to a newer price, how would be able to maintain margins after Q3 of this year?

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Mahendra Nahata: Look, some preform contracts are long term, which are going to be surviving beyond this financial year and maybe almost towards the end of this coming financial, almost. So -- and we have taken adequate steps to not let preform price for the most of our quantity to increase any significantly because we will be manufacturing our own preforms also.

So impact would not be any serious impact on the profitability. There may be a couple of percentage here and there, and that will be offset by the increase in the prices from the customers because the kind of demand we have, I don't find any reason why the customer price will not increase.

And then number two, connectivity solutions, where the profitability margins are a little better because of it has got much more value addition from the cable, then you cut it, connectorize it and then ship it. So all that would be balancing each other. Overall margin profile would still remain the same.

Tej Patel: Understood. But then, sir, if you could help quantify some, when you say some, what part of contract or how much of the contract is extended to the next financial year as well?

Mahendra Nahata: Well, I will not be able to go in that much of detail. These are some NDAs and company confidential. But yes, as I said, margin

profile will not go down because better price realization

from the customers, better value-added products and quite a significant part of preform price not increasing.

And whatever increase is there will be offset by the more value-added products and better price realization. So overall margin would not be impacted. That is what I'm emphatically telling you.

Moderator: The next question comes from the line of Tushar Dhonde with Shanghvi Family Office .

Tushar Dhonde: First of all, congratulations, sir, on a good delivery in this quarter. My first question was regarding the hyperscaler contract that we have. Is it regarding the supply of optical fiber cable, or data center interconnectivity products as well; or a mix of both?

And if it is regarding only optical fiber cable, do we see any complementary demand coming for the data center interconnectivity products as well for the same contract? And has the

execution of the contract started, as you said, it might start from the end of 1Q FY27 in the last call?

Mahendra Nahata: Look, we have both orders, but separate orders for cable and separate orders for data center connectivity solution. A single order does not have both, but different orders. But different orders from different customers are there, which are cable and data center connectivity solutions both. And more data center connectivity solution orders as well as cable orders are expected from different hyperscalers, not one, but different hyperscalers. We are negotiating with a number of them.

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And maybe under month's time or maybe less than that, we may have more orders coming up. So it is for both, to answer your question. And the delivery for both data center cable is going to start probably from now. Yes, this month, it should start and connectivity may be a month later.

Tushar Dhonde: Okay, okay. And my next question was regarding the defence revenue aspiration that I guess in the opening remarks, you said we would be doing INR500 crores of revenue in this particular year. Is that correct?

Mahendra Nahata: Sir, wait, just a second. I was answering your question and you started in between. Data center, you asked a particular contract that I said, yes, we'll start a particular kind of a miniature solution, which we call it, MMC from the next month or so. But otherwise, MPO cables and all that, that delivery has already commenced. That is already on. That's what we said. We made about INR100 crores revenue in the first quarter and overall year revenue, we expect around INR800 crores. So yes, next question.

Tushar Dhonde: Yes. My next question was regarding the defence vertical. In the opening comments, you mentioned that we would be doing INR500 crores of revenue in the defence vertical. Did I heard that right?

Mahendra Nahata: Yes, you heard it right. Absolutely right.

Tushar Dhonde: Yes, yes. So is it including the acquisition that you would be doing or...

Mahendra Nahata: Yes, yes. You are right. Absolutely right.

Tushar Dhonde: Okay. And when do we expect the acquisition to be complete?

Mahendra Nahata: Within this calendar year, within this calendar year. Calendar year...

Tushar Dhonde: So, can we expect the consolidation to happen from the 4Q of FY26?

Mahendra Nahata: Yes, yes.

Moderator: The next question comes from the line of Rishubh Vasa with Indsec Securities.

Rishubh Vasa: First of all, congratulations on a good set of results. My question is basically on the data center connectivity total addressable market. So basically, you are targeting -- what is the target when it comes to the new MMC and the SNMT facility? You have stated that 2.7 lakh assemblies per annum. And what kind of global spend on this product category are you underwriting? What share do you expect to capture?

And another question is on the concentration of the private book order book, which i

s around

INR16,000 crores. And what is the expected timeline for the entire INR26,000 crore s book order book? How many like years will be taking in order to complete this order? Like what is the schedule for FY27? Yes.

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Mahendra Nahata: This INR26,000 crore s orders, there are various orders of various kinds. There are fiber optic cable orders, which are 5 -year contracts. There are BharatNet kind of contracts, these are 3 -year contracts. So, O&M contracts are 7 -year contracts. So you have different but out of INR26,000 crores, I would say INR22,000 crores or so would be within 5 -year period, within 5-year period.

Rishubh Vasa: Yes, that is asked by other participants...

Mahendra Nahata: Yes. So, we should be INR22,000 crores plus would be within 5 years period. So it would all be executed within 5 years, but more orders are always being received. As we execute, we receive more orders. And that is how INR26,000 crores is an all -time high order book for us. It's all -time high order book. This quarter has been all -time high order, all -time high EBITDA, all-time high revenue, all -time high PBT, all -time high PAT.

So this is what I would like to mention again. So and so INR16,000 crores, which you mentioned just now, INR16,000 crores you just mentioned just now, there is an order for fiber optic cable. And it again varies from 3 months to 4 years kind of a contract. So it will be

executed accordingly.

Moderator: The next question comes from the line of Satya, an Individual Investor.

Satya: Congratulations on the all-time best quarter and thank you so much for a great performance. I had a couple of questions. One is on the spot price of the optic fiber cable side. How is the trend generally? I know overall, it has been we are getting very high prices, but still that momentum is continuing. Are we still getting great and better prices on the spot side? Are they falling or you are seeing the growth continue?

Mahendra Nahata: No, spot prices are not falling at this moment. Spot prices could be a little better. But remember one thing, there's nothing called spot. There's no fiber optic cable which is standard fiber optic cable. It is always made to specs. Everybody needs a different kind of a spec, most of them.

So any spot would also be 4 to 6 months. But anyway, such kind of spot prices would have some better pricing, some 5%, 10%, 15%, depending upon buyer, would have a better pricing than a 5-year contract, 15%, 20% better.

Satya: Right. Got it. Sir, second question on the capacity side, the capacity expansion that we have been doing. What is the status of the IBR optic fiber cable capacity? And what is the timeline status of that? And secondly, sir, we are developing the high-density fiber cables. Where are we on that? What are the timelines on that? Just wanted to get a sense of those?

Mahendra Nahata: No, as far as IBR is concerned, we already have capacity of roughly about more than about 14 million fiber kilometers as much as I remember. 12 machines are there, 14 million fiber kilometers and which is being expanded every month. Every month expansion is happening.

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So, this expansion is every month business. So this capacity will keep on increasing. As far as -- what was your second question?

Satya: Density fiber cables, I know we had 9,000 and 14,000, those numbers we are developing those cables. Where are we on the timelines for that? When do we expect them to commercialize?

Mahendra Nahata: No, no. What do you mean by density commercialization? 3,000...

Satya: Sir, we had the 7,000 fibers in a cable...

Mahendra Nahata: Already we are selling for U.S. market, approval is under process. And some other markets, we have started selling.

Satya: Right. And sir, what about 14,000? Under development...

Mahendra Nahata: Under devel

opment, it will take another 2 to 3 months.

Moderator: The next question comes from the line of Darshil Jhaveri with Crown Capital.

Darshil Jhaveri: Firstly, congratulations on a great set of results. I think great is also an understatement for your results this quarter, sir. Hope that this continues. Sir, just wanted to understand like from the debt side perspective, how do we see that increasing with such a high level of growth we are doing? So, can you comment a bit on the level of debt you want, the working capital cycle, sir? How would that be, sir?

Mahendra Nahata: The debt equity ratio is very reasonable at the moment, it's 0.3. So 0.3 is there cannot be any more comfortable debt equity ratio than that. And it is likely to remain in this range only. It's not going to increase further than that. So, 0.3. Yes.

Darshil Jhaveri: No, just that because we'll be doing a lot of capex, right? So, in terms of cash flow generation, how should we look at it?

Mahendra Nahata: There will be internal generation also. And part of that will be kept on being paid as well because every month, we are paying. So finally, the ratio would remain around 0.3 only.

Darshil Jhaveri: Okay. So, the ratio will remain around 0.3, right, sir. And sir, just wanted to understand like due to monsoons, is Q2 a quarter that can have slight decline or how do we just see, that, sir, as Q2?

Mahendra Nahata: The total revenue, most of the revenue is coming from fiber optic cable and that too from exports. In exports, U.S. doesn't have monsoon. So don't worry.

Darshil Jhaveri: Okay. Okay, sir. So, quarter-on-quarter, we can see the same run rate going on, sir?

Mahendra Nahata: More or less. 10% here and there, I would not say anything on. But more or less same. And as I said in the beginning of my statement, that earlier, we had talked about 20% growth in

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revenue in the whole year. Now we are saying that compared to last year, we are, to the best of our knowledge and estimate, we are saying that the growth would be 40%, not 20%.

Moderator: The next question comes from the line of Dhruv Bajaj with GrowthSphere Ventures.

Dhruv Bajaj: Congratulations on an amazing set of results, especially on the optical fiber cable sir. I think we are exceeding the expectations that everyone has set up for our business. But sir, I had some questions regarding the defence fees, especially the restructuring part. So based on our understanding, so we have transferred the entire defence vertical into HFCL Advanced Systems, correct?

Mahendra Nahata: No, no. It's not the entire ammunition business, Electronic Fuzes, those are still remaining in HFCL and we are not -- how we would restructure the entire business. Our Board is considering that with the consulting from E&Y advising us. We are doing that work at this moment of time, that how to restructure to the best interest of all the shareholders, all the stakeholders and to maintain profitability or increase profitability and revenue both. So, each sector of the business gives better revenue, better profitability. ...

Dhruv Bajaj: Right. Sir, but is it fair to say that the recent acquisitions that we made, like of Defsys final advance and similarly other firms where we are spending all business, where we have some INR1,900 crores of order book, we have transferred that business into HFCL Advanced Systems, right? Ammunition will be a new business for us. I think we have not started the production or any sales for that business.

Mahendra Nahata: That HASPL, which is a subsidiary of HFCL. Actually it is not transfer of business, it is transfer into a subsidiary.

Dhruv Bajaj: Sir, but the question that is coming from my end is like we have diluted a significant extent of the overall -- of that particular defence business. So now HFCL Limited, wherein we as minority shareholders are invested into HFCL

Limited, who owns only 51% stake in that business?

Mahendra Nahata: Wait, wait. You are not realizing one thing. We have not diluted. We have acquired business also. Aerospace business, we were not in. We have acquired that business. And with the acquisition of that business, which already has an order book of more than INR2,000 crores and expecting orders of another few thousand crores. So, it's not a dilution. Dilution with acquisition. And any acquisition you do, you have to have some dilution, but you are getting huge amount of business together with that.

Moderator: The next question comes from the line of Pritesh Kotadia with Anant Investments Private Limited.

Pritesh Kotadia: Congrats on an amazing set of numbers. And also would like to thank you for the opportunity you gave for the plant visit, which I came to Hyderabad on 12th of June ...

Mahendra Nahata: Did you like that?

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Pritesh Kotadia: Yes, it was a very great experience. Yes. Sir, yes. So, my question will be regarding preforms. So we will set up the manufacturing at which plant for the preform manufacturing?

Mahendra Nahata: We are in process of deciding. And within this month, we will decide which exact location. We are considering 2, 3 different locations. And one of the locations, we will decide and will set up.

Pritesh Kotadia: Okay. And what will be the cost, I mean, capex for that?

Mahendra Nahata: Right now, the Board has approved INR580 crores.

Moderator: The next question comes from the line of Ravi Mehta with Oneup .

Ravi Mehta: Just one question was on the telecom product revenue. So, what's the total -- apart from cable and fiber, the product sales that happens, what was that? And how are you seeing that revenue panning out? I believe the data center connectivity piece is within that. So, I just wanted to understand a little bit on that side?

Mahendra Nahata: Data center is part of optical fiber cables. This is unlicensed band radio, routers and Wi-Fi systems. These are the products which are contributing to that particular revenue.

Ravi Mehta: And that is also being clubbed within the telecom product?

Mahendra Nahata: Yes.

Ravi Mehta: So what is that quantum in this quarter? And where do you see that revenue going?

Mahendra Nahata: This revenue in the whole full year, we are looking at INR500 crores to INR600 crores on an overall basis. And it will probably contribute 10% or even less than that of the total revenue.

Ravi Mehta: Okay. And is it margin dilutive or accretive?

Mahendra Nahata: No, it is margin accretive, but not very high margins. The EBITDA margins could be something like 15%, 16%. 15%, I would say 12% to 15%, not 15%. 12% to 15%.

Moderator: The next question comes from the line of Meet Katrodiya with Niveshaay.

Meet Katrodiya: Sir, my question is this quarter, 50% of the revenue was from export, right? So how do you see this mix changing by end of FY27? And within export, can you please provide a breakup that is 100% cables are -- for data center or is there is something that we are also shipping from telecom? And also, sir, if you can throw some light on margin differential between IBR cable

and normal flat loose cable as well?

Mahendra Nahata: Last question is something I cannot answer because that's really confidential that how much margin on which kind of cable you get. But as far as your first question of -- I think export revenue, I would rather say should remain around 60% or so and 40% would be for local revenue on an overall basis because the defence revenue mostly would be local.

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There will be some revenue from local data centers and telecom for the fiber optic cable. So overall telecom revenue is all local. So overall basis, you should say roughly about 60 -40, 65 - 35, that kind of a range with export being...

Meet Katrodiya:

Got it, sir. And sir, one question on preform that you are very much confident on this year margin and also next year as well. So, let's say, if our supplier -- we must be doing a negotiation with our supplier, right? So how much price increase they are asking? And are we also talking similar with our customer to pass on this price? Or I just want to understand why you are so much confident on these margins?

Mahendra Nahata: I'm confident because we have -- some of the contracts are long -term contracts, as I said. Some of the contracts are not so long term, but at the same point of time, there are some -- overall, some increase in the price of preform, they would be compensated by 2 factors: one, better pricing from the customers and also the more value -added products like data center products, which we have created, those are more value -added products, so they have a better profitability, somewhat better profitability. So overall profitability in spite of increasing the preform prices is not going to be impacted, as I've said multiple times, and I am again saying that.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. Investors may connect with Mr. Amit Agarwal, the Head of IR, for any further clarifications. I would now like to hand the conference over to the management of HFCL for the closing remarks.

Mahendra Nahata: Well, ladies and gentlemen, it was really a very nice interaction with all of you, and I really compliment for the very nice questions asked by all of you and patiently hearing my presentation and my answers. I hope I have been able to reply all your queries to your satisfaction.

Still, if you have more queries, you can ask our IR team. I mean it's led by Amit Agarwal. And we will be very glad to answer. If I receive any query, I would be very glad to answer. But yes, gentlemen, as I said in the beginning of my presentation, company is on a good progress path. We have delivered numbers, which to date in the history of the company, highest in terms of revenue and profitability. And order book all, we have INR26,000 crores order book, which is itself tells you the sustainability of the business of the company.

Fiber optic cable business is on growth path. We are increasing capacities. And we are constantly reviewing the demand and demand -- increased demand may need more increase in capacity, which we would do if required. Data center connectivity business, we have started this year. And this year itself, we would be reaching to about INR800 crores in the revenue. And we are increasing that capacity of connectivity solutions by 5x, including our subsidiary, HTL. And so it would be a significant part of revenue because it's a value -added product. And to a large extent, it will offset if there is any increase in the raw material prices, if at all, or it may add to profitability.

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Margins are not going to decline in the current year, unless there is some geopolitical situation, which is out of my control. For example, if Suez Canal closes or something else happens, which is not in my control. But otherwise, from the company's business perspective, the growth, which -- revenue growth, which we had talked about, 20%, which we are now saying that to the best of our expectations, it will be 40% growth in the revenue.

Profitability, which we said that it will increase by 2%, 3% from the 16% to 17% last year, has already grown to instead of 20%, it has reached to 23%. And we expect this to continue in the next quarters also.

So, ladies and gentlemen, with all your blessings, all your support, company has done well, and we assure you that we will continue to do well. Thank you very much, and we are ready to answer any further queries you have, which you may write by e-mail to our IR Head, Mr. Amit Agarwal. Thank you very much to all of you.

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rator: Thank you, sir. Ladies and gentlemen, on behalf of Nuvama Institutional Equities, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.